State Bank of India (SBIN)

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Madam / Dear Sir,

Sub: Disclosure under Regulation 30 of SEBI (Listing Obligations and
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Pursuant to Regulation 30 and other applicable provisions of SEBI (LODR)
Regulations, 2015 , we attach herewith the transcript of the Q1FY23 post results
Conference Call held on 06.08.2022.

Please take the above information on record and arrange fo r dissemination.

Yours faithfully,
For State Bank of India

(Sham K)
AGM (Compliance & Company Secretary)

Q1FY23

Transcript
06.08.2022
MANAGEMENT : MR. DINESH KUMAR KHARA
CHAIRMAN , STATE BANK OF INDIA
MR. C.S. SETTY
MANAGING DIRECTOR (INTERNATIONAL BANKING , GLOBAL MARKETS &
TECHNOLOGY)
MR. SWAMINATHAN J
MANAGING DIRECTOR (CORPORATE BANKING & SUBSIDIARIES)
MR. ASHWINI KUMAR TEWARI
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MR. PAWAN KUMAR KEDIA
CHIEF GENERAL MANAGER (FINANC IAL CONTROL)
MR. CHARANJIT ATTRA
CHIEF FINANCIAL OFFICER
MR. SANJAY KAPOOR
GENERAL MANAGER (PERFORMANCE , PLANNING & REVIEW)

State Bank of India
August 06, 2022

Moderator : Ladies and gentlemen, good day and welco me to State Bank of India Q1 FY 23 Earnings
Conference Call. As a reminder, all participant lines will be in the listen only mode, and there
will be an opportunity for you to ask questions after the presentation concludes. Should you need

assistance during the conference call , please signal an operator by pressing "*" then "0" on your touch tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Sanjay Kapoor – General Manager , PPR from State Bank of India. Thank you and over to you Mr. Kapoor.

Sanjay Kapoor: Namaste and good evening ladies and gentlemen. I am Sanjay Kapoor – General Manager Performance Planning and Review. On behalf of the top management of S BI I extend a warm welcome to all joining us today on S BIs Q1 FY 23 Earnings Conference Call. On the call today we have with us our Chairman – Mr. Dinesh Kumar Khara; Mr. C.S. Setty – Manag ing Director, International Banking, Global Markets and Technology ; Mr. Swaminathan J – Managing Director, Corporate Banking & Subsidiaries; Mr. Ashwini Kumar Tewari – Managing Director, Risk Compliance & Strategy; Mr. Alok Kumar Choudhary –Managing Direct or, Retail Business & Operations; Mrs. Saloni Narayan – Deputy Managing Director Finance; Mr. Pawan Kumar Kedia – Chief General Manager (Financial Control) ; Mr. Charanjit Attra – Chief Financial Officer.

Before , I request the Chairman to give a brief summary of the bank 's Q1 FY 23 performance and the strategic initiatives undertaken, I would like to read out the Safe Harbor Statement. Safe Harbor Provisions. Certain statements in these slides are forward looking statements. These statements are based on management 's current expectations and are subject to uncertainty and changes in circumstances. Actual outcome may differ materially from those included in these statements due to a variety of factors. Thank you. \

Now , I would request Chairman sir, to mak e his opening remarks.

Dinesh Kumar Khara: Good evening, ladies and gentlemen. Welcome and thank you for joining this conference call. I start by thanking all our stakeholders including our customers, analysts and employees for the unstinted support and tr ust reposed in us. I also express my gratitude to our shareholders and other financial market participants, who have supported and valued the bank through the challenging times in the past few quarters. The effect of the pandemic has subdued to a large extent, thanks to the Governments ' massive vaccination program, the doses administered to more than 200 c rore persons , an astounding milestone. The economy is almost on track with the resumption of air travel and removal of other containment mea sures by most of the countries. However, the volatile geopolitical situation still poses a downside risk. The Indian economy remains resilient despite global headwinds, resulting in rise in inflation , surge in crude prices, increase in commodity prices and disruption in supply chains.

The global output has contracted in the second quarter of this year going to the downturn in China and Russia. RBI has already

raised the repo rate by 140 basis points this financial year to bring down the inflation in its mo st recent monetary policy statements on August 5 th, 22. The

RBI continued to remain focused on withdrawal of accommodation, so as to ensure that the inflation remains within the target while supporting growth. Further hike in interest rate and result in tightening of liquidity can 't be ruled out to tackle higher inflation , increased commodity and energy prices, which are putting pressure on global supply chains. The increase in urban consumption , improvement in rural demand and agriculture and the likelihoo d of a normal monsoon will help the economy in gaining traction going forward. The government 's CAPEX program and improved capacity utilization will support investment activity. The economic activity has continued to move forward as per the data available for the quarter first of financial year 23 despite global risk. The GST collection at 1.49 trillion in July 22 has been the second highest ever remaining above 1.4 trillion for the fifth consecutive month showing the strength of the economy .

I now present some of the key highlights of our performance in quarter one of financial year 23. The balance sheet size of the bank has crossed the milestone of 50 lakh crore, which is a reflection of the continued trust and faith placed on us by our esteemed customers. We are committed to adding value to our stakeholders by continuously improving our product and services. As regard business , the bank 's advances grew by 14.93% and deposit grew by 8.73% on a Y-o-Y basis, our international banking witnessed a robust credit growth at 22.39% on Y-o-Y basis 15% in dollar terms and deposit growth at 30.6 3%, 23% in dollar terms . The net interest income has increased by 12.87% Y-o-Y and net interest margin has increased by eight basis points Y-o-Y to 3.23%.

The non -interest income has declined by 80.44% Y-o-Y mainly because of MTM losses. This has resulted in a reduction in operating profit by 32.79% Y-o-Y, however the core operating profit after excluding MTM impact has increased by 14.39% Y-o-Y. The MTM losses have also impacted RO A of the bank, which has come down by nine basis point Y-o-Y to 0.4 8% and R OE of the bank, which has declined by 203 basis point to 10.09% due to consequent decline in net profit. However, i f we recalculate the profitability after excluding the MTM losses the notional

ROA and ROE would be 0.89% and 18.57% respectively , which is on the expected lines and on track of our medium term guidance. Our AFS book stands at 6,31,530 crores as on 30th June 22 with 60% in G SEC & SDL s and 23% in highly rated corporate bonds, we saw a hit on account of MTM losses amounting to Rs.6549 cr ores. We do not see any actual loss in this book and as the rates soften the MTM losses will be recovered.
During the year we have the redemption of 84,000 crores from the AFS book, which will also bring down the MTM losses. Further provision of 1503 crore were made for the investment depreciation during the quarter. The momentum in retail advances continues to show a growth of 18.58% in quarter one of financial 23 on Y-o-Y basis . Corporate SM E and agri advances have shown a robust growth of 10.57% , 10. 01% and 9.82% respectively on Y-o-Y basis. Our leadership position in home loan continues , the individual mortgage portfolio for the bank has the best quarter one performance ever. The home loan application registered a three times jump , sanctions in value terms double d over the same period last year. The individual mortgage portfolio registered its highest quarter one growth of 13,425 crore despite industry witnessing a

hike in interest rate from the historical lows. The home loan portfolio grew by 13.77% on a Y-o-Y basis.
As far as asset quality i

s concerned the bank 's gross NP A and net NP A as on June 22, was at 3.91% and 1% respectively, which is an improvement of 141 basis point and 77 basis points respectively on Y-o-Y basis. The slippage ratio for June 22 is 1.38% which is an improvement by 109 basis point Y -o-Y. We have been able to con tain the credit cost at 0.61% as against 0.79% in June 21. The net NPA of the bank has been brought down to 1% which is a result of focus ed and continuous attention in this area. We have been constantly trying and strengthening to maintain the bank 's loan asset quality. The digital leadership journey of the bank is continuing . More than 96.6% of the transactions are now routed through alternate channels. The registered users on YONO have already crossed 5.25 crore , a big milestone and which has created a significant value for the bank. 65% of the new savings accounts are opened through YONO . We have now more than 100 online marketplace partners for YONO . The bank will soon come out with only YONO which is YONO 2. 0 with many more advance d features and functio nalities . The bank is leveraging its analytics in a big way for taking forward its strategic goals.
We have totally revamped our contact center, which will add a lot of value for the bank and create a superior customer experience , most of services will be available for convenience of the customers relating to account inquiry, statement of account, debit card related services, digital banking, and other miscellaneous services. It will also be used for pre deli nquency reminders, soft recovery for NPA accounts, early bucket collection outreach, proactive outreach for digital handholding besides some routine banking inquiries. With the economy picking up we see growth in credit off take to continue. Our focus is also on increasing the CASA ratio, with more emphasis on growing our current account book and to maintain our leadership position in savings deposits. With increase in credit off take , we will better utilize our liabilities to improve the key ratios. These outcomes demonstrate the resilie nce of the bank, supported by our constant improving process oriented culture, the expertise and the vision of our leadership teams and the quality of employees amidst the present volatile geopolitical situation.
Before , I conclude my opening remarks, I w ould like to thank you all for your consistent support to the bank. We remain committed to reward your trust in us with superior sustainable returns over the long term. My team and I are now open to take your questions. Thank you.
Moderator: Thank you ver y much. We will now begin the question -and-answer session. The first question is from the line of Mahrukh Adajania from Edelweiss. Please go ahead.
Mahrukh Adajania: Sir my first qu estion is on international loan, s o we do have a breakup of domestic corporate loans in the presentation, but there 's a strong growth in international loans as well. So, which are the sectors that have contributed to international growth say may be the top two to three sectors, is it the oil companies borrowing whic h are the sectors ?

Dinesh Kumar Khara: Actually when it comes to international book cover, our major growth would have come from the syndicated loans. So, we will not have sector wise per se, but nevertheless the growth is essentially coming through we can come out with some kind of details relating to whether it is syndicated loan or it is state finance loan those kind of details we can certainly provide but majorly it is coming from the syndicated finance and also trade finance . Syndicated loans a nd the trade finance are the two major products in which we have witnessed the growth. And these are the geographies where the syndicated loans are coming from. And, I would also like to mention that both the places USA and UK both the places have got dece nt trade

finance growth
also because there are many platforms which are available, which helps us in sort of really
ensuring that we underwrite decent loan growth from this particular product.
Mahrukh Adajania: Sir, I'm asking because other PSU banks have also seen a very sharp rise in international loans.
And this has been happening in general for the segment for the last two to three quarters , so
suddenly why has there been higher focus on overseas loans because they 're growing faster than
for domestic co rporate?
Dinesh Kumar Khara: No, I am unable to comment about others . But as far as we are concern ed, we had introduced a
product, a factoring product was introduced by us about a year , a year and a half, almost two
years back and that is something which h as helped us to participate on various platforms which
are available in USA and UK. And so , that is one of the major reasons for the growth which we
have witnessed in the international banking group and we had witnessed similar growth last year
also but if you look at it, our growth in dollar terms is actually 15% when it comes to the
international book.
Mahrukh Adajania: Okay. And sir most of the incremental growth in this quarter will be syndicated not trade finance,
is that a fair assumption?
Dinesh Kumar Khara: Yes, it would be syndicated as well as trade finance .
Mahrukh Adajania: Okay. So, both would be kind of equal?
Dinesh Kumar Khara: Yes.
Mahrukh Adajania: Okay. And sir, the other question is on provision. So, the standard asset provisions are negative
and the flowchart that you gave on the breakdown of provisions that are not rec koned for
calculating net NPA that stock of cumulative provision that also declined sequentially, so has
there been a drawdown of existing provisions via standard asse t provisions negative during the
quarter?
Dinesh Kumar Khara: Just one sec ond, let me get the details. There is actually the right back of 1295 crore which is
essentially attributed to it's a combination of write back taken from provision for COVID
restructuring, which is essentially attributed to the reduction in the exposure under the

restructuring and additional number present of 300 crore were made further credit growth. So,
net of that is actually getting reflected here in 1295 crores.
Mahrukh Adajania: Okay . So, basically there was a right back up to 1 595 crores?
Dinesh Kumar Khara: Yes.
Mahrukh Adajania: Because of COVID restructuring, drawdown ?
Dinesh Kumar Khara: Yes.
Mahrukh Adajania: Okay. And sir my last question is on personal loans. So, what would be the maximum and
average ticket size and what will be the share of private versus government ?
Dinesh Kumar Khara: This express credit , the average ticket size is 5.97 lakh is the average ticket size and out of this
95% is g iven to the customers who are maintaining the salary accounts. And when we look at
this 95%, almost about 85% would be for the government employees only, that is defense and
government employees. Including the quasi -government would be about 90% out of this 95% ,
5% would be large corporates, which are well rated corporate. So, that's how it i s stacked up .
Mahrukh Adajania: Got it and the maximum ticket size would be ?
Dinesh Kumar Khara: Almost about 6 lakhs, 5.97, that is average maximum will go up to 20. We actually recently
launched another product which is RTFC but which has yet to really grow well. So, there the
maximum ticket size can go even up to 30 lakh, but as of now our maximum ticket size will be
in the range of about 20 , Rs.25 lakh.
Mahrukh Adajania: Got it, and sir my last question on this thing is that the business development expenses are the
highest component of other operating expenses by value. So, these agents would be sourcing
what loans express credit or some other loans , I'm assuming that DSA commission?
Dinesh Kumar

Khara: Actually when it comes to various acquisition expense, it is essentially on account of the home
loans as one and also the PSLC certificates which you buy , for that also whatever fee , the
premium is paid that will also come under this . We're not using any of the outsourcing agents
for express credit .
Moderator: Thank you. Next question is from the line of Mona Khaitan from Dolat Capital. Please go ahead.
Mona Khaitan: Sir my first question is on slippages if you could share the breakup of slippages and if there was
any one off in terms of interest reversal this qua rter?
Dinesh Kumar Khara: Break up of slippage you need, just a second. When it comes to the breakup of slippage s.
Breakup of slippage are essentially about 9700 crore which is coming from SME 3000 crore,
agri is about 2700 crore , per segment is 2353 crore s o, which actually add up to 8070 crore, then

CAG was 320 crore and CCG was 1335 crore. So, that ’s how it is and out of that we have already recovered 2800 crore till now .
Mona Khaitan: Okay. And were there any one off in interest reversal some say agri book or something?
Dinesh Kumar Khara: No, there is no one off.
Mona Khaitan: Okay, sure. So, what was the reason behind the sequential decline in margins?
Dinesh Kumar Khara: As far as last quarter was concerned we had some 600 crore worth of income tax refund, interest on the income tax refund which is not available this year , this quarter it is not available.
Mona Khaitan: Sure, got it . And secondly on the reset of EBLR loan. So, what is the basis of these resets what is the time period of reset?
Dinesh Kumar Khara: Sorry, I could get it.
Mona Khaitan: On what basis are the EBLR loans resets , the repo linked loan reset?
Dinesh Kumar Khara: Actually, it happens on the first day of the quarter , first of the following month .
Management: Most of our EBL R loans are repo linked loans. Suppose repo has increased this month, any day of the month this month and first of the subsequent month the reset happens.
Mona Khaitan: Okay, got it . And just finally on the BB and below book, we noticed that there was a rise in the share of BB and below book from 11% to 13% Q-on-Q, any if you could give some color on it what is leading to that?
Dinesh K. Khara : Majority of them are the state government loans which are not rated. So, that is the reason why this kind of a way we have seen.
Mona Khaitan: Okay. So, there was a rise in state government loans e ssentially ?
Dinesh K. Khara : Not really actually , if you really look at it has come down from 14% to 13%. But BB and below are essential those are the loans which are there .
Mona Khaitan: Okay, sure. Just finally, on the retail and SME, how is the underlyi ng demand and do you see any risk to it from the elevated inflation level ?
Dinesh K. Khara : We have till now when it comes to retail, we are not seeing the demand tapering off, we have a decent visibility of the demand. And I hope that it will continue. When it comes to SME , SME also, there is a reasonably good pipeline, if I may say so. This year in the first quarter, perhaps after many, many years we have seen the SME segment witnessing a growth. So , that way , I hope that we ’ll continue to see the decent trajectory of growth in the SM E segment too.

Moderator: Thank you. Next question is from the line of Jay Mundra from B&K Securities . Please go ahead.
Jay Mundra: So, the first question is regarding your savings account rate. So, SB I savings ra te is linked to repo and now with yesterday rate hike. The SAR rate by formula is very , very similar, almost similar to the floor of 270 that we offer. So, just wanted to check is it safe to assume that incremental repo rate hike would now be flowing to th e savings account card rate is that safe t

o
assume?
Management: No, it is not the right assumption because our saving rate is not linked to repo .
Dinesh K. Khara : So, more than one lakh i t is linked with external benchmark, but the stipulation is that it will be 2.75% below the repo rate . So, under these circumstances even if the repo rate becomes 5.40 and minus 2.75 it comes to 2.65. So, it is still more than the derivative number, as we are giving 2.70% up to one lakh and technically by going by this for mula we should have reduced this number to 2. 65 or even below, but because we value our franchisee that is why we do not use this formula to the disadvantage of people and even if repo has been enhanced the rate will remain same.
Jay Mundra: No, the questi on is sir incrementally. So, now that your formula derived rate and your floor of 270 are almost similar there is only five basis point gap. So, whatever incremental repo rate hike should one assume that the savings account rate will also be reflecting tha t?
Dinesh K. Khara : No.
Management: No, we will be very mindful of our franchisee .
Dinesh K. Khara : See, 2.70 we haven ’t given irrespective of whether it is one lakh or more deposit. If you had gone by the formula then this for more than one lakh the rate would have been lesser than 2.70. So, we have already been incurring 2.70 on the entire balance. So, even now despite t he incremental fee, this cost is not going to increase neither it will reflect in the savings bank interest rate.
Jay Mundra: Even going forward right.
Dinesh K. Khara : Yes, even going forward at this rate, this increase which has happened in repo rate.
Management: And going forward in case repo rate is above 5.45 also then what happens is the question.
Dinesh K. Khara : We can always calibrate the spread according to what the actual demand would be .
Jay Mundra: Understood. Second question is sir on EBL R, so in last three months less than three months the re

is a cumulative 140 basis point rate increase and the card rate on all floating rate loans on retail SME they clearly would have increased by 140 basis point rise. So, do you think the credit demand is healthy enough to absorb this increase of 140 basis point rate or do you think that

irrespective of 140 basis point rate hike in EBL R the effective interest charge to the custom er could be lesser than 140 basis point on a floating rate ?
Dinesh K. Khara : This is a part of the market dynamics we are taking a call but nevertheless the kind of trend which you have seen, we don't envisage the demand tapering off even if because actually when it comes to the retail loan book, retail loan book it is directly link ed to the actual number and when it comes to the corporate loan book it is all linked to the various benchmarks and also spread over whatever the benchmark is , risk spread over , risk premium over the benchmark that's how it is worked out. But when it comes to the final pricing, the risk spread accordingly gets adjusted depending upon the risk appetite and the market dynamics. So, that's how really it works out .
Jay Mundra: And last two thing sir, if you have the EC LGS number outstanding disbursement and NPA there ?
Dinesh K. Khara : Yes, ECG LS we had 32 ,000 crore was the total amount in both restructuring one and two. It has already come down to about 28,000 crore and out of this 28,000 crore this 4000 crore worth of reduction is about 2000 crore is I would say is essentially on account of the repayment and 2000 crore is NPA which has happened .
Jay Mundra: So, this is about restructured right , so I was asking on EC LGS?
Dinesh K. Khara : ECGLS is also 41,000 crore was the total disbursement , 1.91%.
Jay Mundra: Okay. L astly sir, the credit growth is running at 1 5% Q-o-Q is also healthy but it looks like that part of that is because of the low base of last year on Y-o-Y basis. So, how con

fident you would be to sustain this 15% growth for the rest of the financial year?
Dinesh K. Khara : I'm quite hopeful the reason behind is kind of a term loan and also the underutilization of the working capital, which is all aggregating to almost 5 trillion, and the pipeline is almost 1.2 trillion. So , I'm quite hopeful that we should be in a position to sustain this in the subsequent quarters.
Moderator: Thank you. Next question is from line of Kunal Shah from ICICI S ecurities . Please go ahead.
Kunal Shah: So, firstly on this decline in yield on advances on a quarter -on-quarter basis. So, in fact we have hiked the MCL R there would have been EBLR linked loans as well plus sequentially the growth is largely from the retail side. So, what is actually leading to this decline in yield on advances is it like more competitive rate pressure, which is coming in on the corporate and the SME front and with the revised EBLR, how should we see that trend in next couple of quarters?
Dinesh K. Khara : Sequentially perhaps may not be a right way because normally towards the end of the financial year, there are multiple other channels of revenue which are available for various accounts. And maybe that may not be the right way. And that is a reason why we are comparing on a sequential

basis. And on a sequential basis, it is an improvement. Actually, if we look at it , Y-o-Y basis it 's an improvement though sequentially it looks like to be a reduction because invariably we have seen that year end there are multiple other sour ces which actually improves the, which are the yield enhancers .
Kunal Shah: Okay . So, how should be the trend maybe with this EBLR hike and the MCLR hike, how should we look at it from year -on-year?
Dinesh K. Khara : We hope it to be improving going forward . July onwards, it should start looking up. If you look at this graph also you will probably see , this trend line also very clearly indicate June is low, and it does spike to the towards March, quarter after quarter it went up. So, it's a similar situation, we hope that we should be in the position to have a similar trend or maybe better towards in the coming quarters.
Kunal Shah: Sure. And overall, in terms of the deposit growth, so it is slightly below average as well now. So, they are definitely in terms of the hike , our hike on the deposit side has been lower compared to one of the other private bank. So, what would be the stance out there , is it like still 69 %, 70% odd of CD ratio is comfortable and we can further allow it to expand without tweaking too much on the deposit side , would that be the call or maybe we will see some action on the deposit rates as well to maybe garner the higher deposit mobilization now ?
Dinesh K. Khara : We are very closely focusing on the NIM and within that boundary condition if at all we 'll get a chance to shore up our deposit we will certainly do but nevertheless, as of now our credit deposit ratio is at about 63% and if we look at the redemption which will happen during the current financial year, both from our AFS and HTM book it will be almost at 1.5 trillion. So, we

will be very closely looking at couple of variables one of course as I mentioned the availab ility of liquidity . Second, we would be very mindful of our franchisee into the liability sector. And also, thirdly that what ever deployment opportunities which are available and the price at which we can deploy this money. So, these are some of the variables which will be kept in mind for deciding the interest rate increase in the deposit s.

Kunal Shah: Sure. And one last question o n miscellaneous income. So, there is recovery from AUCA but still miscellaneous income is significantly down. So, what is the element which is actually leading to that impact o n an average it used to be like 2000 , 3000 odd crores and this time it is o

nly 4 75?

Dinesh K. Khara : Miscellaneous income is essentially .

Kunal Shah: But the re is a sharp decline both year -on-year as well as quarter -on-quarter.

Dinesh K. Khara : No, actually miscellaneous income also, we 'll have a situation where quarter four would normally have the kind of dividend income which we get and also derivative is the other component. So, last year we had a dividend income of about 500 crore but this year it is negative and also when it comes to recovery in written -off account last year we had a onetime recovery

of 1,692 crores in King Fisher which is not there this year. So, that is the reason why this is behaving like this.

Kunal Shah: Okay. And derivatives also would be a part of it?

Dinesh K. Khara : Yes, derivative is the other component.

Kunal Shah: Some knock -on derivative which would have been there in this quarter.

Dinesh K. Khara : Yes.

Moderator : Next question is from the line of Adarsh from CLSA. Please go ahead.

Adarsh Parasrampuria: Just a question, sir. What would be your margin outlook incrementally?

Dinesh K. Khara : We're hoping it to be in line with the kind of trend which you have seen in the past and also what we have already recorded till now.

Adarsh Parasrampuria: Sir, is there a change because if you go back to the fourth quarter, clearly the margin outlook look a lot more stronger. So, is there anything that you are seeing in the market, which makes you believe that margins now should be like flattish rather than going up?

Dinesh K. Khara: No. I think I would rather expect the margin to improve from 3.23.

Adarsh Parasrampuria: And sir, second question is on capital. While we are better than regulatory requirements, growth has certainly picked up in the last few months. Do you anticipate that bank may need to shore up a little bit of capital now given how we ll the stock is done? And number 2, growth certainly is holding up a lot better?

Dinesh K. Khara: See, we have already got the approval from the Board for raising AT -1 and T -2 bonds worth about Rs. 11,000 crore. In fact, this month itself I think we have a lready redeemed about Rs. 2,000 crore. So, about Rs. 9,000 crore is the incremental, which will be available which we'll be using. So, I think hopefully, we'll be very closely watching the situation. And if need be, we will look at the options what all can be tapped to see to it that we have adequate capital available.

Adarsh Parasrampuria: And sir, what will be the threshold to consider equity raise because we are close to 10%. Many banks operate at better CET1s. And obviously the growth is better than wha t we've seen in the last few years. So, what is the threshold when you would think about seriously looking at equity raises?

Dinesh K. Khara: Well, actually, we have a couple of other options, but we have not really deliberated at the Board level. So, it will not be in order for me to really share those plans in this call.

Moderator : The next question is from the line of Abhishek Murarka from HSBC. Please go ahead.

Abhishek Murarka : So, just a couple of data related questions. What is your LCR right now?

Dinesh K. Khara: It's about 130%.

Abhishek Murarka : And currently how much excess liquidity you will be retiring? And you said that there is about Rs. 1.5 crore redemption coming from the investment book. Apart from that?

Management: Sorry, I think you may not have been able to hear me, I was on mute. So, we have sufficient liquidity in terms of excess SLR, number 1. Number2, I think there is about Rs. 83,000 crore worth AFS portfolio is coming up for redemption this year, the rest of the year. So, I think there should not be any problem in terms of funding any credit growth which is likely to happen, and there is absolutely no liquidity concerns even if the liqui

dity in the market tightens.

Abhishek Murarka : How much excess SLR did you say?

Management : Excess SLR is about 3.8.

Dinesh K. Khara: Rs. 3.8 lakh crore. We have got a total redemption from HTM and AFS aggregating to about Rs. 1,50,000 crore, which is which is actually coming up in the current financial year.
Abhishek Murarka : So, you could actually hold off any increase in TD rates for a while, while this liquidity gets deployed, that is what I was trying to understand.
Dinesh K. Khara: That's the (Inaudible) 41.08 call. As I mentioned that deposit is a franchise also. So, we have to keep that in mind. But nevertheless, what you mentioned that very clearly reflects that we have got the muscle power, if at all we so decide.
Management : And we always explore all the ways of raising the resources, not necessarily the deposits as we said. Deposits, of course, as Mr. Khara mentioned, we have 22,000 branches, obviously, our deposit mobilization will continue.
Abhishek Murarka : And sir, just a couple of que stion on Express credit. One is what would be the mix of new versus repeat customers there? And broadly these higher NPAs in the quarter, that would have come from given you have 80%, 85% Government or quasi Government. That would have come from that same cohort, right?
Dinesh K. Khara: No, actually, this is x press credit. NPAs is I would say it's more of an aberration because whenever some of the state governments are unable to pay some salary at a point of time, then it really turns out to be NPA, but as and when the salary gets paid, it gets adjusted also. So, that would be the scenario. About your other questions relating to how much will be the new versus how much would be the existing, we will not have that data right now available with us. We are not looked at it from that lens.

Abhishek Murarka : But every time some customer wants to roll over an xpress credit loan, what could be the rules around that? How much would we have to pay back or something to roll over?
Dinesh K. Khara: It all depends upon what is their salary and depending upon that we are extending. It's and EMI/NMI ratio, which we really look at it.
Moderator : Next question is from line of Ashok Ajmera from Ajcon Global.
Ashok Ajmera : Sir, while we appreciate, sir, the operating profit, but for this MTM losses would have been Rs. 19,302 crore, does it mean that we can assume that the operating profit for the whole year of the bank would be around in the range of about Rs. 78,000 to Rs. 80,000 crore, number one?
Management: Let us hope Ajm era sir.
Ashok Ajmera : Yes, sir, we hope so. And secondly, sir, this is a loss on sale and revaluation of investment, this Rs. 6,549 crore. So, what is the component, I mean of the loss which you have already booked and the MTM on the revaluation?
Dinesh K . Khara: It is actually on account of MTM. So, we have not really incurred any loss, it all revaluation.
Ashok Ajmera : So, heading only says that the loss on revaluation of the investment. Isn't it?
Dinesh K. Khara: That is the format, so that's why it is mentioned like that.
Ashok Ajmera : No, I understand, sir. So, sir, now going forward now with this 50-basis point again further rise, what do we expect on the Treasury front going forward in the next 3 quarters? Any estimate of further likely MTM or how mu ch we are cushioned for further MTM losses on the Treasury front, sir, including this year?
Dinesh K. Khara: Actu ally, we are cushioned for 7.45%. And if I may say so, the way the situation stand, you will observe that yesterday when the rate hike was there for 50 basis points, the yield moved up from 7.10% to 7.30%. So, that is something which is, I mean if I read i nto that kind of a trend then even if the next hike happens from RBI, which will be somewhere in September 28 to 30th, it's too early to say that what will b

e the interest rate hike because they normally get guided by the inflation trajectory and if at all past is a guide for the future, we have seen the inflation was trailing at around 7.9% about 2.5 months back. And from that level, it has already come to about 6.7%. So, what will be the situation from now onwards. If at all the past trend continues, then one may expect the inflation to be within 6%. And who knows, if at all it is something it may not really lead to any kind of interest, but it is all subject to various assumptions. So, having said that, as I mentioned that we have already booked the MTM l osses to the extent of 7.45%. So, we hope that we should not have any more such instances of providing for the further depreciation on the AFS book.

Ashok Ajmera : Sir, coming to this provisioning, we said that we have taken the benefit of some of the buffe rs of the provision which are there in this quarter. How much buffer is left which can be utilized in case the higher provision is required in future?
Dinesh K. Khara: Rs. 7,800 crore is the provision which is available for the restructured assets. So, tha t can always be used and whatever we have used is essentially wherever the repayment has happened. So, to

that extent only we have used. We have not used otherwise. Rs. 7,800 is the additional provision for the restructured accounts.

Ashok Ajmera : Sir, on the advances front, credit front, our credit growth especially in the domestic book is muted, if you take the corporate book except that yes, International book has grown very healthy, where the margins are but very less or limited. So, going forward when you say that we are aiming 15% of the growth, it means that the in next 3 quarters including the August now which is going July -August also, we may grow our total credit to about 12.5% for the remaining 3 quarters now.

Dinesh K. Khara: We hope so because i f I look at the underutilization of the working capital limit in the corporate accounts, which is almost as a whole Rs. 2.5 trillion. Similarly, when it comes to term loans, which are un -availed it is also to the extent over Rs. 2.5 trillion. And proposals in pipeline are about Rs. 1.2 trillion. So, that is how it is stacked up even if the term loans will not start availment immediately or may not get disbursed immediately. Still I expect that we should have a situation where we can easily think in terms of growing to the extent of about Rs. 2.5 crore to Rs. 3 lakh crore into the corporate book. We are at about 8.75 lakh crore as far as the corporate book is concerned. So, that is the kind of expectation which I have. So, if at all that comes and the kind of growth which you have witnessed into the retail side that I think will continue. Even SME also we have started seeing the traction and the pipeline is also there. So, I think all put together, I expect that there should be a decent sustainable grow th in the remaining 3 quarters.

Moderator : The next question is from the line of Nitin Aggarwal from Motilal Oswal. Please go ahead.

Nitin Aggarwal : Sir, this quarter, like many other PSU banks have reported controlled treasury losses, and some of them hav e reported profits as well. So, just wanted to check if we have done any transfer of securities from AFS to HTM during the quarter? And just related to it, do you think that the mix of AFS portfolio which is like still looks high needs to be reduced given how the rate cycle is placed out?

Dinesh K. Khara: We had done the transfer of securities, but unfortunately, we could not avail the benefit soon thereafter the 40-basis point increase announced by the RBI, which led to the yields moving up. So, we really could not take much of benefit. We went for the fur ther transfer of securities also. I mean as of now, we have got a decent elbow room available in the HTM and whatever securities are maturi

ng in AFS and whenever we are buying new securities, we are only putting in the HTM portfolio.

Nitin Aggarwal : And th is mix of AFS, sir, which is 42%, doesn't seem like comfort or any thoughts around reducing this mix.

Dinesh K. Khara: I'm sorry, I could not get your question.

Nitin Aggarwal : The mix of AFS investments in the total investment book at over 40%, does this number seems comfortable or any there have been any thoughts to reduce this number also?

Management : Yes, if I can respond, sir. So, we have adequate room in the HTM portfolio, maximum of 23% is what we can put in HTM. Our strategy would be that whatever maturing portfolio is there, it would be directly going to the HTM. See, primarily I think most of the credit growth will now be funded. So, the investment book may not grow as much as it has grown in the past 2 years. Even if we have to invest, I think we have adequate room to move to HTM. So, to answer your question specifically, I think our AFS portfolio probably will be coming down.

Dinesh K. Khara: Otherwise also, if you look at the industry level numbers, the advances book is growing at about 14% and the deposit growth is at about 8.4%, so which very clearly means that the treasury book of the banks will not probably grow as it has grown in the past.

Nitin Aggarwal : And so, second question is like, typically, we have seen that in line with the accrual, slippage trajectory from first quarter to fourth quarter, our credit costs also improves. Now, in this quarter, we have reported a credit cost of 61 basis points. So, how do you see the trajectory now going ahead for FY ‘23 and any color for FY ’24?

Dines h K. Khara: Actually, when it comes to macro, though, we keep on reviewing it very closely, but there are always the element of uncertainty more so in the current kind of a scenario, but nevertheless, our effort will be to bring it down to the extent possi ble, and that be rest assured We will not be in a position to give any kind of guidance on this particular aspect.

Moderator : The next question is from the line of Ayushi Shah, an individual analyst . Please go ahead.

Ayushi Shah : Sir, in the beginning of the presentation, you mentioned that you are planning on increasing your CASA book by focusing on the savings account part of things. Sir, so I just wanted to get an overall idea about it, how exactly do you plan on doing that? Because there's such intense competition in the market going on right now. So, how do you plan on ensuring growth?

Dinesh K. Khara: We w ill be trying to beat out the competition.

Ayushi Shah : Sir, basically by raising rate?

Dinesh K. Khara: No, where actually digital is something which is actually growing very well. And almost about

65% of our accounts are getting opened digitally. So, which means that we are in a position to offer the convenience to the customers and also the kind of product bouquet which we offer it is

complete in all respects. There is no reason for us not to be really sharing the mind space of the customers and getting their accounts. And CS P is one of our focus effort and we will continue to strengthen that going forward. Maybe Alok wants to add some thing.

Alok Choudhary : Yes. So, in CASA, what exactly if you find last couple of years there was a huge increase in saving bank deposits as well as TDR. So, on the ground it was being considered that whatever is coming is fine. But with the competition int ensifying, we have also now communicated to the ground that the CASA has to be a priority and that is why on an daily basis, the opening of accounts as well as encouraging contact with the premium customers or high value customers so that they can deposit more and transact more in our accounts so that the balances also increase. So, it is 2 -pronged. One, acquisiti

on of new valuable customers so that we open accounts where there is a higher possibility of increase in balances. Number 2, with whatever custome rs we have making relationship more rich so that the balances in the account increase . We will also try to increase product per customers so that the stickiness as well as the float around it that also improves. So, it is both acquisition strategy as well as the relationship strategy which will lead to better CASA.

Ayushi Shah : That is very good to hear. And sir, is there any guidance about like the CASA ratio that you will have for the coming 2 to 5 years?

Alok Choudhary: See, in this case, what we'll do is we understand the importance of CASA, everybody in the bank understands, so the endeavor will be to increase as much CASA as possible. We have our internal say benchmarks and internal aspiration as to where we should go, but there is a single say structurally as a bank, we are a bank, where people trust a lot. So, they bring a lot of term deposits to us and the growth rate of CASA and the growth rate of TDR is normally pretty skewed because we have higher growth in TDR because of customers trust. So, then percentage may not increase much, but in absolute numbers, it will surely increase.

Moderator : Next question is from the line of Anand Dama from Emkay Global. Please go ahead.

Anand Dama : Sir, again, the question on the treasury front. So, we said th at basically there is a redemption of about Rs. 1.5 trillion of investment. So, whether that could lead to higher realized losses going forward, number 1? And number 2 is that, what is the status on our investment fluctuation reserve? Where does it stand? Do we have a shortfall over there? And whether that is also to be made up going forward leading to higher provisions over there?

Dinesh K. Khara: See, when it comes to Rs. 1.50 trillion, which I mentioned this is a redemption which is during the normal cou rse in the current year. So, which means that we will not book any loss and in this redemption process, and we don't have any stressed NPA in the book as of now. So, that is one thing which will happen and the second question is relating to, sorry, I misse d out the second question.

Anand Dama : Investment fluctuation reserve, sir. Sir, what is the outstanding in the IFR and is there any shortfall over there?

Dinesh K. Khara: There is some shortfall but we are actually building up that shortfalls.

Anand Dama : So, what will be the quantum of the shortfall?

Dinesh K. Khara: Sorry, there's a Board approved glide path which is in line with the RBI directions and we are strictly following that and we will try and see that that gets completed in the current financia l year.

Anand Dama : Currently quantum basically, what's the kind of shortfall that we have?

Dinesh K. Khara: I will not have that number.

Management : See, the number is available in the balance sheet, but we can share with you, sir.

Dinesh K. Khara: We will share with you offline.

Anand Dama : Sir, second is the on the OPEX front. So, our OPEX certainly has been lower whereas most other banks have been reporting very high OPEX during this quarter. So, one benefit that we have is the staff cost which is la rgely stable. How about the other OPEX , whether we will have meaningful brand addition over next 9 months and that will lead to a higher OPEX during the 9 months going forward?

Dinesh K. Khara: See, employee cost , etc., is given, there is not much which can be done. But yes, of course, we are trying to shore up our income so that our cost income ratio gets addressed. And in that direction only we have come out , we have been given approval to set up the new subsid iary which is operation support subsid iary. And the intention is that this subsid iary will help us in reaching out or rather supporting our rural branches to garner qual

ity business and also to ensure
that the renewal, etc, also happens on time. So, this i s something which it will be put to use and which will help us in reducing the NPA in the agri sector and also will help us in booking the quality business which is available in the rural economy. So, this is what the plan of action is which will eventuall y address the cost to income ratio.
Moderator : The next question is from the line of Jignesh from Incred Capital. Please go ahead.
Jignesh Shial : Sir, I had a question one on around your margins, basically, which basically has come up on a sequential basis . So, I agree that Y -o-Y basis it has been pretty high, I mean, it has improved. What trajectory basically you're seeing it up for the full year though you have already indicated that you will see an improvement happening. But if you can give some guidance and the roadmap, how we are seeing it up, the improvement will be coming in? That is one.

And second, obviously, on the growth front with the rate hike already being there and inflation remaining high, though you remain confident that the growth would be -- you will be able to now benchmark it, but what exactly would be the momentum and which areas you think will be a better one as the growth may be coming up in retail corporate or international book, that you're seeing it for the next 3 quarters, if you c an give some clarity on it, that would be really useful. Thank you.
Dinesh K. Khara: The trajectory as far as the NIM is concerned, I would say the kind of trend which you've seen in the past, we expect to be a repeat of the similar trend going forward als o though we're starting at a little higher base as compared to where we were last year in the first quarter of financial year '21. As far as your second question relating to which are the areas of focus, I think, irrespective of the interest rate hike, etc ., which has been talked about, now the retail engine continues to adhere to its promise and we hope that we will have a decent growth in the retail going forward as well. Rather, when it comes to the corporate growth, we are quite hopeful this year we'll have better traction as far as the corporate book is concerned. And even SME also is one of the special focus for the bank. You would have observed that we have moved up in the SME from about Rs. 2.20 trillion to about Rs. 3 trillion plus, it has already m oved and this is all we are getting into supply chain finance and some kind of balance sheet lending also, but we are very mindful of the risks which are inherent in the SME. We are ensuring that we should underwrite the best of the quality of SME also. So , I would say that retail corporate SME all will grow. As far as Agri is concerned, our focus is going to be high value agriculture, our focus is going to be a S HG financing. So, this will be our focus so that the agri book should also improve in terms of quality. That is what our endeavor would be.
Moderator : Next question is from the line of Prakhar Sharma from Jefferies India. Please go ahead.
Prakhar Sharma : Just 2 questions. First on the SMA -1 and SMA -2 loan, the balances have gone up from Rs. 3,500 crore to about almost Rs. 7,000 crore. Could you just help us understand what is the reason for this?
Dinesh K. Khara: Of course, out of this Rs. 7,000 also if you will really look at it, we would have pulled back a significant component. So, essentially, i nvariably we have seen that in the first quarter there are always some peculiar behavior which we see. And that is one of the reasons why sequentially it looks on the higher side, but almost about Rs. 2 800 crore has been pulled back out of this. So, if at all we look at that Rs. 2,800 odd crore. So, then actually it comes almost in the same range as on December 21. So, that's how that part ly explains the behavior.
Prakhar Sharma : Sir, second questi

on is on the interest on tax refund for the March quarter. C ould you please clarify what was the amount in the previous quarter?
Dinesh K. Khara: Rs. 600 crore was the amount interest on tax refund.
Management : Yes, for the March quarter.

Dinesh K. Khara: Yes, for the March quarter.
Moderator : Thank you very much. Ladies and gentlemen, due to time constraint that will be the last question for today. And I'll hand the conference over to the Chairman sir for closing comments.
Dinesh K. Khara: Thank you very much to all the analysts who are taking out time on a w eekend on a Saturday evening. I wish all of you the very best. As we have explained that our endeavor is to keep on delivering better outcomes. Hopefully, it will be the scenario going forward. But for the situations which are actually beyond our control, in terms of GSEC, etc, we have to play in the broader macro and our effort will be to navigate through the turbulent times in the most

professional way. Thank you very much. all the very best.
Moderator : Thank you very much. On behalf of State Bank of Indi a, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

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Madam / Dear Sir,

Sub: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015: Transcript of Analyst Meet

Pursuant to Regulation 30 and other applicable provisions of SEBI (LODR) Regulations, 2015 , we attach herewith the transcript of the Q2FY23 post results Analyst Meet held on 05.11 .2022.

Please take the above information on record and arrange for dissemination.

Yours faithfully ,

(Sham K .)
AGM (Compliance & Company Secretary)

Q2FY23

Transcript
05.11.2022
MANAGEMENT : MR. DINESH KUMAR KHARA
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MANAGING DIRECTOR (INTERNATIONAL BANKING , GLOBAL MARKETS & TECHNOLOGY)
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MR. PAWAN KUMAR KEDIA
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CHIEF FINANCIAL OFFICER
MR. SANJAY KAPOOR
GENERAL MANAGER (PERFORMANCE , PLANNING & REVIEW)

State Bank of India
November 05, 2022

– Namaste and Good evening , ladies and gentlemen. My name is Sanjay Kapoor, and I am the General Manager of Performance Planning & Review Department of the Bank. On the occasion of the declaration of the Q2FY23 results of the Bank, it gives me immense pleasure to welcome the analysts, investors and our colleagues in person , after a gap of nearly 3 years. I also extend a warm welcome to the analysts, investor and colleagues who have joined this presentation through our live webcast.

– We have with us on the stage:
– Our Chairman , Shri. Dinesh Khara , at the centre.
– Our Managing Director , International Banking, Global Markets and Technology – Shri. C. S. Shetty.
– Our Managing Director , Corporate Banking and Subsidiaries – Shri. Swaminathan J.
– Our Managing Director Risk, Compliance and SARG – Shri. Ashwini Kumar Tewari.
– Our Managing Director , Retail Business and Operations – Shri. Alok Kumar Choudhary.
– Our Deputy Managing Director (Finance) – Smt. Saloni Narayan.
– Our Deputy Managing Directors heading various verticals and Managing Directors of our subsidiaries are seated in the 1st row and 2nd row of this hall.
– We are also joined by the Chief General Managers of different verticals and business groups.
– So, to carry forward the proceedings, I request our Chairman sir to give a brief summary of the Bank's Q2FY23 performance, and the strategic i nitiatives undertaken. We shall, thereafter, straightaway go to the Question & Answer session. However, before I handover it to the Chairman sir, I would like to read out the safe harbour statement.
– Certain statements in these slides are forward -looking s tatements. These statements are based on the management's current expectations and are subject to uncertainty and changes in circumstances. Actual outcomes may differ materially from those included in these statements due to a variety of factors. Thank you .
– Now I would request Chairman sir to make his opening remarks. Chairman sir, please.
– Mr. Dinesh Khara - Chairman, SBI:

– Thank you. Good afternoon, friends. Thank you for joining this analysts' meeting post announcement of the Quarter 2 results of Financi al Year 2023. It's actually a pleasure to see all of you in person after a gap of almost 3 years. I must compliment my Finance Team for opening this face -to-face interaction, which all of us have been missing for the last 3 years.
– A warm welcome to all of you, including those who are connected virtually. We hope you and your family are in best of health. Global economic activity is experiencing a broad base and sharper than expected slowdown, with inflation higher in developed economies as compared to EMEs . This phenomenon is perhaps seen for the first time. The cost-of-living crisis, tightening financial conditions in most regions, Russia's invasion of Ukraine and the lingering COVID -19 pandemic, all weigh very heavy on the outlook.
– However, in such uncertain and fragile global economic environment, the Indian economy has shown resilience. Indicators of aggregate demand indicate that the onset of the festi

ve season and the pent-up demand kept the growth impulse very strong. Several hi gh frequency indicators remain upbeat. The withdrawal of the South -west monsoon has aided travel, hospitality, and construction sector too. Electricity generation has picked up in September. Rural demand also has shown very healthy signs. Also, we have see n that the two -wheelers and three -wheelers and motorcycles have shown a very encouraging trend. This is actually a reflection of the rural economy. Domestic tractor sales have also picked up sharply to an 11 month high in the month of September. Credit gro wth in the banking system has continued to grow in double -digits in this financial year, as against single -digit growth which we witnessed in the last year. With economic activity gaining momentum, there will be an optimistic outlook for the demand conditi ons, and we expect credit growth to continue in the near term.
– At State Bank of India, our long-term strategy has been to build sufficient resilience in our balance sheet so as to absorb the volatilities caused by such external events. As a result, we have not only been able to ride through these difficult times, but we have

been able to post consistently improving outcomes in business, profitability and asset quality parameters. I am pleased to announce that during this quarter, we have posted the highest ever quarterly profit of 13,265 crores. Our business growth numbers are good, and in terms of asset quality our net NPA has dropped well below 1%. Let me now give some colour on the bank's numbers for the quarter.
– The Net Profit for the quarter increased almost 74% YoY to 13,265 crores, while the Operating Profit at 21,120 crores increased by almost about 17%. R oA of the Bank for the half year period improved by 15 bps on YoY basis to 0.76%, though for this quarter RoA stands at 1.04%. And RoE improved by 291 bps on YoY basis to 16.08%. Most other core profitability metrics have also improved over the previous year as well as

sequentially. The Net Interest Income increased by almost 13% YoY on the back of the improved credit offtake in all segm ents and continues improvement in asset quality. Domestic NIM also improved by almost 5 bps YoY and 32 bps sequentially. Actually, on YoY basis also we had some one -time one -offs which were there last year around the same quarter. If we ignore that, then w e have actually grown well in this quarter on a YoY basis too, as far as NIM is concerned. Fee Income grew by almost 10% YoY. Our Cost to Asset continues to remain among the lowest in the industry reflecting our efforts to build long term cost efficiencies .
– On the business front, the Credit Growth has continued to trend upward as the bank posted a YoY growth of almost 20% with growth coming from all the segments. Corporate Advances grew by 21% plus on a YoY basis wi th bulk of the growth coming from large c orporates. Personal retail also witnessed a decent growth of 19% on a YoY basis with home loan book growing almost at over 15% and other personal loan growing at almost 25%. SME and Agri segment advances also posted double -digit growth at 11% and 13.24% Yo Y respectively. Domestic Deposit grew by 9.16% YoY, driven by the growth in savings bank deposits and term deposits. Our foreign offices have continued to perform well with good growth in advances as well as deposits. Advances portfolio at foreign offices in Rupee term grew by almost 30%, while in dollar terms it has grown at 18%. And, the growth is coming from local lending, trade finance as well as India -linked loans. Sector -wise growth has come mainly in OMC, banking and financial services and IT service s. Deposit at foreign offices grew at almost 35%.
– Coming to asset quality, we continue to post improving outcomes. Our net NPA ratio has come down below the 1% mark and stands at 0.80% only as at the end of

Quarter
2 of FY23, with a YoY decline of 72 bps. Gross NPA ratio at 3.52% is down by 138 bps. Slippage ratio for the quarter stands at 0.33% and is lower by 33 bps on a YoY basis. Consistently improving asset quality is also reflected in our credit cost which stands at 28 bps for the quarter and is down by 15 bps YoY. On the restructuring front, as at the end of Quarter 2 of FY23, our total exposure under COVID Resolution Plan 1 and 2 stands at 27,336 crores. The restructured book has behaved well with 9% of the current exposure falling under SMA1 and SMA2 cat egory. We are holding sufficient additional provision against the restructured accounts. Capital also, I would say, is fairly okay, and we expect that our internal accruals will be adequate to take care of the normal business growth requirements. Our Capita l Adequacy Ratio, without adding the profit for the current half year, is at 13.51% and the CET ratio at 9.53%, are well above the regulatory requirements. Digital continues to be an important acquisition engine for the bank across assets as well as liabil ity products. During the quarter we have sourced 62% of the savings accounts and 45% of the retail asset accounts digitally through YONO.

– Our subsidiaries have also consistently perform ed well and continue to create significant value for all the stakeholde rs, and most importantly, for the customers. Most of our subsidiaries are leaders in their respective segments, and we will continue to nurture these subsidiaries and see them creating value for their own shareholders as well as the shareholders of State B ank of India.
– Now, before I conclude, I thank you all for your continuous support to the bank. We are proud to be part of SBI and consider it a privilege to be able to contribute towards the growth of our economy and the bank. We remain committed to rewar d your trust in us with superior sustainable returns over the long term. I wish everyone here very good

health and a very happy weekend. The floor is now open for questions from all of you. Thank you.
– Mr. Sanjay Kapoor - General Manager Performance Planni ng & Review Department, SBI:
– Thank you, Chairman sir, for the presentation. We now request questions from the audience. For the benefit of all, we request you to kindly mention your name and company before posing your questions. To accommodate all the ques tions, we request you to restrict your questions to maximum two at a time. Also, kindly restrict your questions to the quarterly results only and no questions about specific accounts please. In case you have additional questions, the same can be asked at t he end. We now proceed with the Question & Answer session.
– Question & Answer session:
– The first question is from Mahrukh.
– Ms. Mahrukh - Edelweiss:
– Hello sir, congratulations on a very very strong set of numbers. Sir, my first question is on margins. So, you’ve done very well on all core margin expansion. Given that there’s a bit of MCLR repricing still left and there’s also EBLR repricing which is not fully captured in, is it fair to assume that atleat for the next two quarters you will continue to see ma rgin expansion? The quantum can be different, but…
– Mr. Dinesh Khara - Chairman, SBI:
– I normally follow a golden principle – Under promise and over deliver. So, on that particular count, I will say, I will still under promise that we’ll try to keep the NIM at this level, though we might give you better results quarter on quarter.
– Ms. Mahrukh - Edelweiss:

– Okay sir. So a related question to that was on deposit growth. Obviously, you have a lot of liquidity. Your CD ratio domestic is the lowest, right? It’s 63% . So, will we continue to see flattish deposit growth? I mean, till what level should the domestic CD ratio rise before your de

posit growth accelerates?
– Mr. Dinesh Khara - Chairman, SBI:
– Actually, we look at deposit as a franchise, and that is one of the reason s why during the period when there was not enough credit growth, we never stopped our deposit gathering engine. And that resulted into a situation where we have deployed the money into treasury. And, today while we talk, we have got almost about 3.5 trilli on plus money which is lying in th e treasury instrument which we expect to redeem during the current financial year itself. So, you can very well expect that that kind of growth can be there in the deposit to support the advances growth, which we expect t o see in the remaining part of the year. And also, having said that deposit is a franchise, you would have observed that in the last quarter or so, we have also increased our deposit rates because we don’t want to be unfair with our depositors either.
– Ms. Mahrukh - Edelweiss:
– Okay sir. And just one last question. If you could give some sense on what quarterly increments you can expect in your wage bill for the New Wage Revision? It will start mostly from next quarter, right? And, what would be your assumpti on?
– Mr. Dinesh Khara - Chairman, SBI:
– Yeah, I have got those numbers. I expected this question from the analyst community, so that’s why I kept those numbers also ready with me. I’ll just share those numbers with you. Just one second, give me a minute. If at all… the monthly adhoc provisions, we assume that it will be required to provide for about 36 months, and the estimate increase in wages if at all it is 10%, in that event, we expect about 477 crores. So that’s the kind of number which we expect. And, i f at all 12%, it is about 580 crores. So much of it depends on what is the kind of demand and where we finally start providing for it.
– Ms. Mahrukh - Edelweiss:
– Okay sir. Thank you so much.
– Mr. Ashok Ajmera - Ajcon :
– My compliments to you sir for the fanta stic performance. In fact, one of the best performances in recent times, and highest profitability in the bank and the bank has done well on almost every parameter. But sir, having said that, now the question comes for sustainability. Because this quarter was an exceptionally good quarter, for some of

the other banks also, but of course, you have exceeded. On sustainability, what Mahrukh's question also was, that in the coming quarters now, no. 1, if the R oA… of course we have crossed now 1.04. It was a dem and for a long time; people were expecting. And secondly, on all other parameters like cost to income and other ratios, and the future growth in the credit books, and also, on the treasury front. Last time, I think, in answer to one of my questions you had said that we are cushioned for 7.45 on the treasury front. So here onwards now, since we have already come to that level and we expect another 50 -60 bps now going further, looking at the FED increase of 75 bps… so on all the fronts, like on the treasury f ront, on the credit front, on the recovery front, returns, profitability, where do you see now, at least in the coming two quarters… how do we expect to end FY23 sir?
– Mr. Dinesh Khara - Chairman, SBI:
– See, when it comes to the treasury front, though this quarter we had an opportunity, we could have booked MTM gain, but we consciously thought that we will not book it. We have kept it as a reserve for the rainy day. And, maybe at some later date, if at al l there would be a requirement, we can tap it, is what our intention was. But having said that, I would also like to mention that how the global interest rates will move and how the interest rates will move over here in the country, will also be a function of the fiscal. That is something which I expect that the kind of robust GST collections which we have seen till now in the current year, and going forward, I expect that those k

inds of things
will probably ease out the burden of the government raising the borrowings from the system. So, if at all it so happens, then perhaps the pressure will not be there as much for the G -Sec. That's how I read the situation, but much of it will depend upon how situations unwind over the period of time.
– The other question relating to the sustainability of this kind of growth – well, of course, we all are cognisant of the fact that the growth which we have seen in this quarter is a growth of the busy season. And generally, even post the busy season, the kind of growth which we are witnessing even now, is in the range of about 14 -16%. So my reasonable expectation is, that there are… some of the contributing factors which I must articulate. The retail engine has grown all this while without any challenge. Almost about 16% kind of growth we have registered in the retail segment. Quarter on Quarter basis and on a 3 year CAGR basis also. Corporate, we have witnessed a decent trend, and this trend is essentially attributed to the fact that we have seen improvement in the working capital utilisation; almost it has improved to the extent of about 4% as compared to the last YoY number. The other important component which you have seen is, we have seen term loan sanction and the availment. We still have got a reasonably decent pipeline which is as high as about 3.7 trillion of the loans either already sanctioned, or the proposals under process. So, that is something which gives me some kind of a confidence that 14 -16% seems achievable. Last but not the least, corporates earlier were

borrowing from the international market. Today the international market rates plus the hedging cost is actually an expensive proposition. So, that is also another factor which has lead to a scenario where corporates have started looking at the Indian banking system for borrowing. So, I think, these are some of the factors which gives me some kind of confidence that we can perhaps book 14 -16% of the credit growth. But having said that, I would like to caveat it by the fact that the growth in the banking system i s a function of the real economy. And, though in normal circumstances we expect that the economy should continue to do well, when we look around the globe, all of them are looking at India as one of the silver spots. So, I think, in view of that, my reason able expectation is that we should have a decent growth in the economy which will offer us opportunities for the credit growth too.
– Mr. Ashok Ajmera - Ajcon :
– Sir, now coming to the international only, there are two things. One is, our investment. We are th e largest Indian bank having maximum branches and investment outside. Now, there is a practice of marking 100% marked to market in the international book. And, since our investment is the largest there, how much pressure do you see is left to be… because i nterest rates are hardening up there also with another 75 bps, and still it's not stopping. So, something must have been already provided in this quarter. But going forward, what kind of numbers, or if we can get some idea on that, this is no. 1. Second, o n the international book, again, there is plenty of… I mean, the book is growing very fast because of interest rate divergence and we are now getting higher

margins and the cost of operations is much lesser, maybe 20 or 15 bps. So, net -net, we are gaining there. So, what are your comments on that and plans for the future on the international book?
– Mr. Dinesh Khara - Chairman, SBI:
– See, when it comes to international book, one, of course, our assets are generally… if we look at their average maturity, it wo uld be much lesser as compared to what we normally get to see over here. That is one part. The second component is, when it comes to our NIMs, of course, they have improved. And, our book is actually s

plit into the
local lending which is almost about 33%, India -linked loans are about 35%, and trade finance is almost 30% and local lending which we are doing, it is essentially syndicated loans which we do. And, also when it comes to geographies, we are essentially into USA, UK and also into Singapore and Hong Kong; these are the major geographies where we are present. So, I think, on that particular count, we are very closely reviewing this book. Though, as I mentioned in Rupee terms, it has grown about 30%, but in terms of dollar, it is at 18%. So, I think, w e are quite cognisant of what the realities are. But, one thing is, ECBs perhaps may not really pick up as much going forward. That's the other sense which I have for the international book. Deposits, we are in a position to

raise in the local markets depending upon our local requirements. So, that's how our international book is.
– Mr. Ashok Ajmera - Ajcon :
– One question on NARCL. Now you see our Gross NPA is still, I think 3.52%. So, how much are we still expecting the same kind with which we started? That time I had calculated that almost about 25 bps our Gross NPA would come down if all those accounts which are identified goes to NARCL. So, what is the difference now. First of all, they are yet to start. But, now it seems it started, but they are going slow on t hat 2 lakh crore initial amount and that. So, can you give colour on the total NARCL number of accounts on this quarter in FY23? How much we are going to pass on, atleast to bring down the Gross NPA? I mean, how much loan we are selling?
– Mr. Dinesh Khara - Chairman, SBI:
– Actually, when we started and now there's a lapse of time. And, during that period, from the system also, all kinds of options were explored including the options of OTS and compromises; all kinds of options were explored. And, by the syste m as a whole, that number also came down. Having said that, now NARCL has started performing and I believe there are about more than 40 accounts which are under resolution with NARCL. And we expect that it will… the way they are really addressing, I hope t o see better results there. But nevertheless, I think the banking system as a whole is open for all kinds of other options as well. The plus is that, with NARCL coming in, a very important component of the ecosystem has got strengthened. And also, it has h elped in the resolution through various other channels. So, I think, overall, what will be the impact, we'll have to probably wait and watch. But, as far as we are concerned, I think about 14 offers have been made.
– Mr. Ashok Ajmera - Ajcon :
– Outstanding amount?
– Mr. Dinesh Khara - Chairman, SBI:
– I'll give you the amount.
– Mr. Ashok Ajmera - Ajcon :
– No issues sir. I'll come back if time permits.
– Mr. Manish Ostwal – Nirmal Bang Securities:
– Hello sir. My name is Manish Ostwal from Nirmal Bang Secu rities. My question is, from 4th May, 2022 the policy rates have moved by 190 bps and on the lending side

mostly the rates have been passed on, but on the deposit side, the rates passing on is very gradual. So, when do you see the deposit rates see the ref lection of the policy move?
– Mr. Dinesh Khara - Chairman, SBI:
– Well, as far as the rates are concerned, I think each of the banks is actually looking at the rates from their own perspective in terms of how their liability is stacked up and how things are wi th them, and also what kind of growth they are seeing as far as asset

book is concerned. So, as far as the retail TD rates are concerned, we are very closely monitoring how things are, and what is our ALM requirement. And based on that, we are also calibra ting our interest rates. Your question that, in how much time will the transmission happen? I think, perhaps we'll have to wait and watch, be

cause as I
mentioned, there are multiple factors which would be at work in the transmission of the policy rates.
– Mr. Manish Ostwal – Nirmal Bang Securities:
– How much we have raised till now from 4th May, 2022?
– Mr. Dinesh Khara - Chairman, SBI:
– From 4th May… we will give you that number.
– Mr. Manish Ostwal – Nirmal Bang Securities:
– The second point sir, from the credit cost and the slippage and R oE and R oA 10 year high and the credit growth also at a 9 year high… so, in terms of certain numbers like credit cost and slippage number, that's extraordinarily low for the bank. So, can we sustain these numbers, what is your c omment? I know that you under promise and over deliver, but what is your sense on these numbers' sir?
– Mr. Dinesh Khara - Chairman, SBI:
– Our effort will be to keep it as low as they are currently. But yes, of course, it's a function of the real economy too. So, how the real economy pans out, we'll have to wait and watch for the actual numbers.
– Mr. Sourav – JP Morgan:
– Hi sir, this is Sourav from JP Morgan.
– Ms. Saloni Narayan - Dy. Managing Director Finance, SBI:
– The hike in the retail deposit rates, we have raised the rates 4 times after the 4th of May, and it has been as high as 80 bps in the 1 -2 years segment.

– Mr. Sourav – JP Morgan:
– Hi sir, this is Sourav from JP Morgan. Sir, just two questions. One is, your net slippage is negative this quarter. So, what were your expectations? Atleast in the near team, can we continue with these kinds of levels or is this exception what we are seeing right now? And second is, there is an increase in your SMA1 book, SMA 2 is still flat. Could you please explain that?
– Mr. Dinesh Khara - Chairman, SBI:
– Well, SMA loan book, of course, we have seen the number is slightly above where it was in June, but we had one particular large corporate account where we had seen it got slipped into SMA, but that we could pull back immediately. So, I think SMA is a phenomenon which is on a particular day. So, it's a number which keeps on changing. And, even in retail also we have pulled back some of the SMAs. So, I think, that's not as much of a worry. The other question is whether slippages will be around this number? I think as of now, as I mentioned, it's again the function of the real economy. As of now, we don't envisage any challenge. Whatever challenges were seen in the book, we have already provided for it. But, if at all there are some one -offs at a point of time, we cannot really predict that kind of scenario. So, we'll have to be in readiness for any kind of eventual ity. But I think we have built up enough cushion in the balance sheet to really address any such challenge which comes up.
– Mr. Ja i Mund hra – B&K Securities:
– Hi sir, this is Ja i Mund hra from B &K Securities. Sir, your CET 1 now stands at around 9.5%. Can yo u elaborate whether you want to raise capital, because growth that you are seeing is also pretty decent. So, your thoughts on capital.
– Mr. Dinesh Khara - Chairman, SBI:
– See, as far as our plan of action is concerned, we were to raise AT1 and Tier 2, which we raised at the most competitive rates. And also t he other plan of action is that, last year also we ploughed back a decent amount of profit, and we intend to do a similar plough back in the current year too. And, at this number, we'll have a reasonably decent number to plough back as well. So with that, we will have sufficient capital to support the growth. And, even at this number also, the kind of growth which we are visualising, we're in a position to support it.
– Mr. Ja i Mund hra – B&K Securities:
– No sir, no doubt that you are very above the regulatory threshold, and this is sufficient enough to chase growth. But it looks like, even within PSU peers and large private, SBI has the least amount of CET 1.
St

– Mr. Dinesh Khara - Chairman, SBI:
– We'll raise at the appropriate time, don't worry.
– Mr. Ja i Mund hra – B&K Securities:
– Secondly sir, on your margins, is there any one -off of a think in interest income, or is this purely purely organic?
– Mr. Dinesh Khara - Chairman, SBI:
– In this quarter we have 592 cro res as interest on income tax refund. Actually, last year around the same time, we had 1,900 crores worth of… So, I think it is much lesser as compared to that. And, considering our numbers, it is almost insignificant.
– Mr. Ja i Mund hra – B&K Securities :
– Sure. And last question sir, if you c an provide the breakup of the entire loan book by EBLR, MCLR and maybe fixed rate and overseas.
– Mr. Dinesh Khara - Chairman, SBI:
– Almost about 74% of the book is linked to MCLR and EBLR… 75%. And, out of that, about 41% is MCLR linked, the remaining is EBLR linked. And, I think the fixed rate is just about 21% and the rest is BPLR based rate and those kind of things.
– Mr. Ja i Mund hra – B&K Securities :
– Just a corollary, if I look at yields in this quarter, despite having 75% of the loans which are floating rate, and within that 30% is EBLR, the yield expansion on quarter on quarter basis looks very low. Any comments there? Sir, if you look at your yields on loan domestics…
– Mr. Dinesh Khara - Chairman, SBI:
– Actually, yield expansion is also a function of one -off, which I mentioned. If at all we look at that particular number, then probably it will throw up the right numbers. You were saying something?
– Swaminathan J , MANAGING DIRECTOR (CORPORATE BANKING & SUBSIDIARIES):
– Essentially 41% is MCLR. Bulk of this book is linked to 6 months MCLR. So, the reset will be with a lag. And 34% is EBLR, of which 11% is Treasury Bill linked. T -Bill linked, since it is linked to 91-day T-Bill, we reset only once in 3 months. So, while the policy rates keep moving, it's not that immediately the transmission takes place; the transmission has got a reset date during which it will happen. So, the full benefit of this

will be available in Q3 -Q4 rather than Q1 -Q2. That's the sense which I would li ke you to read from.
– Mr. Ja i Mund hra – B&K Securities:
– Thank you so much sir.
– Mr. Adarsh – CLSA:
– Sir, this is Adarsh from CLSA. Because margins have done so well, do you see any scope for changes in savings rate, or do you think it's transactional, so no need to really look at savings rate over the next 3 -6 months?
– Mr. Dinesh Khara - Chairman, SBI:
– No, we will also look at the market scenario, and also you would've observed that for high-value savings bank accounts, we have already increased the interest rates.
– Mr. Adarsh – CLSA:
– Got it sir. And you'll mentioned the reset on the T -Bill. Your reset on REPO is 90 days after the RBI moves, or do you do it in the next month?
– Mr. Dinesh Khara - Chairman, SBI:
– It's immediate.
– Mr. Swaminathan J - Managing Director Corporate Banking and Sub sidiaries, SBI
– It used to be quarter end and month end. Now it's 15th of the same month. We have changed it now, immediately after…
– Mr. Adarsh – CLSA:
– Okay, thank you sir. That's it.
– Mr. Anand – Emkay :
– This is Anand from Emkay . Sir, we have seen so much of rate hikes for long. This year has been pretty strong in terms of overall credit growth. Can we see a dip in the overall credit growth next year? Do you see any impact of the rate hikes, particularly in the retail segment or the co rporate capex, possibly which would have actually come in?
– Mr. Dinesh Khara - Chairman, SBI:

– To answer your question, we'll have to probably look at the behaviour we have seen in the current year. And, one of the major areas which perhaps c

an be a reflecti on of the
behaviours which we can see going forward is the home loan. We have seen that home loan interest rates have gone up, but we have not seen the demand tapering off. So, I think much of it will depend upon the segments. The way I look at it is, as f ar as corporates are concerned, so long as there is visibility of demand, then perhaps they… because in the overall cost structure, the interest cost is on an average about 10% of the total cost structure. So long as they have got visibility of the demand and they have got the capability to pass on this increase in interest rate, I think people will continue to borrow. But, we are assuming some factors to remain constant. The fact of life is that, practically all the variables keep on changing. So, I think a year down the line, we have to probably revisit all these assumptions and look at how the economy is looking like, what is the confidence level across the globe and what is the confidence level in India; that will probably help us in gauging the situatio n on ground.
– Mr. Anand – Emkay :
– But, there is a change of basically a dip in terms of the overall growth numbers?
– Mr. Dinesh Khara - Chairman, SBI:
– I don't think so. As I mentioned, the home loan, despite the increase in interest rate, the home loan book for us ha s grown almost 15%, the highest ever growth which we have seen. So, I think, much of it is… of course, there are multiple variables. So, how those variables interact and throw up their results, we'll have to wait and watch.
– Mr. Anand – Emkay :
– Sir, secondly, there was this RBI circular in 2019. And, basically what we had heard was that lot of these banks had made standard asset provisioning on some of these government entities. Have we got any intimation from RBI that we also need to make some a dditional provisions on these quasi government or government entities, including the likes of FCI (Food Corporation of India) in the current quarter? And if yes, what is the status over there?
– Mr. Swaminathan J - Managing Director Corporate Banking and Sub sidiaries, SBI:
– At this point in time, we don't have any definite indication on that. But, we are aware that at an industry level, there are discussions happening. But, I think it will be premature to comment at this stage. Maybe, we will let you know once the time… once these discussions get firmed up.
– Mr. Anand – Emkay :

– Because, if you look at BOB, PNB, all of these banks have made provisions, in fact, BOB has reversed the provisions on that front. So, it's just a matter of time that you will get some ki nd of an intimation. But, any ballpark figure on what is the exposure.
– Mr. Dinesh Khara - Chairman, SBI:
– These things are normally looked at on merits. And, if at all required, we will also… we'll see as and when the situation arises, we will appropriatel y plead with RBI and… if at all there's a situation like that, and we'll see what is the outcome. And, whatever be the outcome, we are there to comply with what the regulatory diktats would be.
– And, the balance sheet and P&L has adequat e cushion if at all such things do come up
– Mr. Swaminathan J - Managing Director Corporate Banking and Subsidiaries, SBI:
– I think we'll be able to absorb as and when it comes. It should not be an issue for us.
– Mr. Dinesh Khara - Chairman, SBI:
– But then, as of now, we don't have any such message.
– Mr. Anand – MK:
– Okay sure. Thanks a lot sir.
– Mr. Mahesh – Kotak:
– Good evening, sir. This is Mahesh from Kotak. Three questions from my side. One is, is there a particular threshold limit beyond which you would say that the margin seems to be too high, and you would want to revisit the yields or the spreads that is sitting across the various lending products that you have?
– Mr. Dinesh Khara - Chairman, SBI:

– We have not kept any thresho

ld margins for us. But yes, o f course, we would like to be
reasonable with our customers, both on the deposit side as well as on the loan side.
– Mr. Mahesh – Kotak:
– Okay. In the sense that, if margins do expand further, you would say your action would be mostly on the deposit side rat her than the lending side?
– Mr. Dinesh Khara - Chairman, SBI:
– Let's wait and watch.

– Mr. Mahesh – Kotak:
– Okay. The second question sir, on this foreign currency loan, any particular reason as to why there is so much excitement to do this business? Very stro ng growth, the environment doesn't seem to be that great outside India.
– Mr. Dinesh Khara - Chairman, SBI:
– Normally, this is given to the well -rated corporates in India and well -rated public sector entities in India.
– Mr. Mahesh – Kotak:
– But, OK, you don't see any risks coming out of this book?
– Mr. Dinesh Khara - Chairman, SBI:
– That's what I'm saying, the well -rated is something which takes care of the risk component.
– Mr. Mahesh – Kotak:
– And the final question, just a book keeping question, write off from the loans, does it now come under other income or is it now part of provisions? Income from write offs. Recover y from write offs.
– Mr. Dinesh Khara - Chairman, SBI:
– That is in the Other Income.
– Mr. Mahesh – Kotak:
– Is there a ballpark number that is there in this quarter?
– Mr. Dinesh Khara - Chairman, SBI:
– I think it's 1,800 crores? 1,800 crores kind of a number is there.
– Mr. Mahesh – Kotak:
– 1,800?
– Mr. Dinesh Khara - Chairman, SBI:
– 1,823.
– Mr. Mahesh – Kotak:

– Sir, under Miscellaneous Income it is 563 crores which is total, which should be part of that.
– Mrs. Saloni Narayan - Dy. Managing Director Finance, SBI:
– No no, it is not like that. We have had some losses, and to offset that derivative losses we have had. But, the AUCA recovery has been to the tune of 1,803 crores. Last year AUCA recovery was 1,344 crores, which is a growth of 34.15%. But, last time we had some t reasury losses… some derivative losses, due to which this 528 number is coming.
– Mr. Mahesh – Kotak:
– Okay, perfect. Thanks a lot.
– Mr. Sanjay Kapoor - General Manager Performance Planning & Review Department, SBI:
– Maybe we can have one more question.
– Mr. K unal – ICICI Securities:
– Yes sir. Kuna l here from ICICI Securities. With respect to these entire other provisions which are there of almost 900 odd crores, what that pertains to, because I think maybe there is no recovery component, but otherwise, we had s een a negative and there is some provisioning of 900 odd crores this quarter.
– Mr. Dinesh Khara - Chairman, SBI:
– Just one second.
– Mrs. Saloni Narayan - Dy. Managing Director (Finance), SBI:
– Other provisions would be non -fund based sir.
– Mr. Swaminathan J - Managing Director , Corporate Banking and Subsidiaries, SBI:

– These are the provisions that are made on the non -fund based limits. Also, wherever the ICA restructuring is not implemented within the timeline, etc, there are some additional pro visions that get made as per the regulatory requirements. They are under Other Provisions, but in any case, we'll share the exact breakup later.
– Mr. Kunal – ICICI Securities:
– Sure. And, when we look at it in terms of the overall slippage, which is there f or this quarter…

– Ms. Saloni Narayan - Dy. Managing Director Finance, SBI:
– So, this 898 is restructuring sir.
– Mr. Kunal – ICICI Securities:
– … it is towards restructuring.
– Ms. Saloni Narayan - Dy. Managing Director Finance, SBI:
– Yeah. We have provided 30% instead of the 5% mandatory that was the RBI guidance.
– Mr. Kunal – ICICI Securities:
– Okay got it. And, when we look at the slippage, h

ow much could be the impact of
recoveries inter -quarter adjustments which would have been there? Because, last quarter a lso we highlighted that out of 9,700 odd crores, 2,800 crores have already got recovered. So, does that get into the recoveries and upgrades or it is netted off in this number itself?
– Mr. Dinesh Khara - Chairman, SBI:
– No, it gets into the recoveries and up grades.
– Mr. Kunal – ICICI Securities:
– So, this is pure in terms of… maybe when we look at it almost like 3,000 odd crores retail SME which was there last time, that itself would've come down quite significantly.
– Mr. Alok Kumar Choudhary - Managing Direct or Retail Business and Operations, SBI:
– In this inter -quarter net off is there. The number which you're seeing here…
– Ms. Saloni Narayan - Dy. Managing Director Finance, SBI:
– This is the net number.
– Mr. Alok Kumar Choudhary - Managing Director Retail Busine ss and Operations, SBI:
– … it is inter -quarter net off.
– Mr. Swaminathan J - Managing Director Corporate Banking and Subsidiaries, SBI:

– If you look at the slide on NPA movement plus AUCA, there you will see the breakup in terms of gross slippages as well as the recovery and upgrades. If you want the slide number, I can guide you there.
– Mr. Kunal – ICICI Securities:
– Yeah. So, maybe whatever is there up to last year, only those recoveries and upgrades are there. Whatever was there in Q1, maybe that's getting netted off again.
– Mr. Dinesh Khara - Chairman, SBI:
– Yes.
– Mr. Kunal – ICICI Securities:
– And lastly, in terms of the restructured pool, so when we look at the decline, that's also not significant. In fact, hardly 1,000 odd crores of movement, that too coming from the corporate. And even since March, hardly 3,000 odd crores movement. So, when do we see retail and SME actually moving out of the restructured pool and how would that behaviour be?
– Mr. Dinesh Khara - Chairman, SBI:
– I think the repayment process started. 24 months moratorium and I think very small part of the book has got the moratorium over. So, that I thi nk is what we have already seen…
– Ms. Saloni Narayan - Dy. Managing Director Finance, SBI:
– Put slide no. 13.
– Mr. Dinesh Khara - Chairman, SBI:
– So, this is how it is looking like.
– Mr. Kunal – ICICI Securities:

– Yeah, so movement has largely been on the cor porate side. Retail and SME would really take some time. So, when should we see that actually coming off?
– Mrs. Saloni Narayan - Dy. Managing Director Finance, SBI:
– 24 month was the maximum that was given.
– Mr. Dinesh Khara - Chairman, SBI:
– That's the mor atorium which has been extended. So, we'll get to see it perhaps early part of next financial year.

– Mr. Kunal – ICICI Securities:
– Sure, thank you.
– Mr. Sanjay Kapoor - General Manager Performance Planning & Review Department, SBI: So, we have a few questi ons coming in through the online webcast. Chairman sir will now address these questions.
– Mr. Dinesh Khara - Chairman, SBI:
– The question from Mr. Darpin Shah – If you can provide breakup of slippages for retail, SME, agri, corporate and overseas business.
– SME has slipped 408 crores, Agri has slipped 631 crores and Per has slipped 330 crores. In the retail segment it is 1,369 crores slippages. In the corporate segment it is 956 crores, and total domestic all put together is 2,325 crores. IBG slippages w ere 74 crores. So overall Bank as a whole, we have seen a slippage of 2,3 99 crores.
– The next question comes from Ashish Sharma – What is the bank's outlook on NIM and R oA? Can we sustain that trend we have shown in this quarter?
– We will put in our best efforts to see that we sustain this trend.
– The third question is coming from Sharad Jutoor – Are NIM sustainable if looked at in the

context of shrinking CASA base and rising FD rates amid competition? Strategies, lever available to save the NIMs.
– Well, of course, I do agree with what you have mentioned in terms of shrinking CASA base. But, th ere also we have put in some efforts and those efforts are essentially… the current account market otherwise is comprising of 49% government business and 45% coming from the trade & commerce. Government business is likely to witness a very tectonic shift b ecause now they are opening the SNA and CNA accounts, and they are managing their cash pretty well. So, they may not leave much of float. That's why we have started embarking upon the trade & commerce, and there we have seen growth of almost about 8% in th e current quarter. So, hopefully, we have recalibrated our strategy for the current account deposits and we have all the products and services. Hopefully we should be in a position to reverse this trend of current account also. And, savings bank deposit, w e have opened very large number of savings bank accounts and we'll continue to do that. So, that will probably help us in coming back as far as CASA is concerned. And, we are very mindful in terms of increasing our interest rates on the term deposits. So, I think, hopefully our effort will be to sustain the NIM. But of course, the market forces, how will they really react going forward, will also influence our decision. But nevertheless, our conscious effort would be to sustain the NIM.

– Going forward, giv en the present advances, growth and capital burn posts what level of CET will you consider and equity capital base?
– Perhaps we will revisit this decision… this is a question from Lalita bh and we will be revisiting this subject after the financial result of the financial year 2022 -23. And, at that stage what will be the plough back and how the capital will look like, that will be the point of time when we will look into this.
– The last question is from Mr. Sawant – Will you please give more colour on how the bank is positioning to manage credit growth and low deposit growth environment?
– I have mentioned that we have got almost 3.5 trillion worth of securities which we are holding in the treasury, and we'll be in a position to monetise those securities which will help us in supporting the credit growth. And, we are having almost about 10% kind of a deposit growth also, as of now. Going forward we might see even better trends. And with that, we should be in a position to take care of the advances growth.
– Mr. As hwini Kumar Tewari - Managing Director Risk, Compliance and SARG, SBI:
– On your question on how many offers have been made? 10 offers of 24,000 crores

roughly. Our share is 3,400 crores. Thank you.
– Ms. Saloni Narayan - Dy. Managing Director Finance, SBI:
– We have some more questions received on the chat box. But, in the interest of time, we'll reply in writing. Sorry for not taking it up right now.
– Mr. Sanjay Kapoor - General Manager Performance Planning & Review Department, SBI:
– So, I trust all the immedi ate questions have already been addressed now. In the interest of time, we'll stop here. And, we'll be happy to respond to other questions in offline mode. So, let me end this evening with thanking the Chairman, the top management team, the analysts, the l adies and gentlemen. To round off this evening, we request you to join us for high tea which is arranged just outside the hall. Thank you very much.
– Mr. Dinesh Khara - Chairman, SBI: Thank you very much.

END OF TRANSCRIPT

Call: Feb 2023

The Listing Department,
BSE L imited,
Phiroje Jeejeebhoy Towers ,
25th Floor, Dalal Street,
Mumbai – 400001 . The Listing Department ,
National Stock Exchange of India L imited ,
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Mumbai – 400051 .

BSE SCRIP Code: 500112 NSE SCRIP Code: SBIN

CC/S&B/S K/2023/738 09.02.2023

Madam / Dear Sir,

Sub: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015: Transcript of Analyst Meet

Pursuant to Regulation 30 and other applicable provisions of SEBI (LODR) Regulations, 2015 , we attach herewith the transcript of the Q3FY23 post results Analyst Meet held on 03.02.2023 .

Please take the above information on record and arrange for dissemination.

Yours faithfully,

(Sham K .)
AGM (Compliance & Company Secretary)

Q3FY23

Transcript
03.02.2023
MANAGEMENT : MR. DINESH KUMAR KHARA
CHAIRMAN , STATE BANK OF INDIA
MR. C.S. SETTY
MANAGING DIRECTOR (INTERNATIONAL BANKING , GLOBAL MARKETS & TECHNOLOGY)
MR. SWAMINATHAN J
MANAGING DIRECTOR (CORPORATE BANKING & SUBSIDIARIES)
MR. ASHWINI KUMAR TEWARI
MANAGING DIRECTOR (RISK COMPLIANCE & SARG)
MR. ALOK KUMAR CHOUDHARY
MANAGING DIRECTOR (RETAIL BUSINESS & OPERATIONS)
MRS. SALONI NARAYAN
DEPUTY MANAGING DIRECTOR (FINANCE)
MR. CHARANJIT ATTRA
CHIEF FINANCIAL OFFICER
MR. SANJAY KAPOOR
GENERAL MANAGER (PERFORMANCE , PLANNING & REVIEW)

State Bank of India
February 03, 202 3

Moderator: Ladies and gentlemen, good day and welcome to State Bank of India's Q3 FY'23 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Sanjay Kapoor, General Manager, Performance Planning and Review from Sta te Bank of India. Thank you and over to you.
Sanjay Kapoor : Namaste and good evening, ladies and gentlemen. My name is Sanjay Kapoor and I'm the General Manager, Performance Planning and Review Department of the Bank.
On behalf of the top management of SBI , I extend a warm welcome to all of you joining us today on SBI's Q3 FY'23 Earnings Conference Call.
On the call today, we have with us our Chairman -- Mr. Dinesh Khara; Mr. C.S. Setty -- Managing Director, International Banking, Global Markets & Technolog y; Mr. Swaminathan J -- Managing Director, Corporate Banking & Subsidiaries; Mr. Ashwini Kumar Tewari -- Managing Director, Risk Compliance & SARG; Mr. Alok Kumar Chaudhary -- Managing Director, Retail Business & Operations; Mrs. Saloni Narayan -- Deputy M anaging Director, Finance.
To carry forward the proceedings, I request the chairman sir to give a Brief Summary of the Bank's Q3 FY'23 Performance and the Strategic Initiatives Undertaken. We shall thereafter straight away go to the question -and-answer ses sion.
However, before I hand over to the chairman sir, I would like to read out the Safe Harbor statement. Safe harbor provision: Certain statements in these slides are forward -looking statements. These statements are based on management's current expectat ions and are subject to uncertainty and changes in circumstances. Actual outcome may differ materially from those included in the statements due to a variety of factors. Thank you.
Now, I would request Chairman sir, to make his opening remarks.
Dinesh K Kh ara: Thank you very much. Good evening, ladies and gentlemen. Thank you for joining this Analyst Meet Post Announcement of the Q3 results of the Financial Year '23.
The Indian economy has exhibited remarkable resilience through 2022 in the face of the deteriorating global situations triggered by Russia - Ukraine war, monetary policy tightening and recurring waves of the pandemic, on the back of the strong financial and macroeconomic fundamentals. An important factor in the overall outcome has been the measur ed response of the monetary and fiscal policies in sharp contrast to the aggressive tightening worldwide.

The new year brings hope for continued momentum in India's growth story, backed by the sustained strength in domestic demand. The World Bank has gone on record to say that the nation was well placed to steer through any potential global headwinds in 2023. The IMF has also said that India remains a bright spot and would account for a significant portion of the global growth in 2023.
Several high frequenc y activity indicators like

vehicle sales, petroleum consumption, railway passenger traffic, air traffic, RTO revenue collections, festival sales, have all shown improved YoY momentum in Q3 of financial '23. GST revenue also continues to remain robust with 15% higher revenue in Q3 compared to the same period last year. In financial year '23, credit growth has continued to grow in double -digits. The incremental nine months credit growth has doubled in financial year '23 compared to financial year '22. Credit growth in the system is currently at 14.9% as against 9.2% in last year. The good thing is that, credit growth is broad -based and not limited to a few industries or sectors. So, we expect the pace to continue in the next financial year also, but some moder ation can happen.
At State Bank of India, we have always maintained that our long -term strategy is to build sufficient resilience in our balance sheet. So, while we'll continue to pursue growth in core operating income, we have also been proactive in ident ifying any potential risks and build adequate provisions for the same, and our operating results for the quarter are aligned with our long-term strategy.
I'm pleased to announce that for the third quarter and running, we have again posted our highest ever quarterly profit at Rs.14,205 crore. Our business growth numbers are strong, and in terms of asset quality, our gross NPAs have dropped to its lowest level in more than six years.
Let me now give some color on the bank's number for this quarter: Net profit for the quarter increased by 68.47% YoY to Rs.14,205 crores, while operating profit at Rs.25,219 crores, increased by 36.16%. ROA for the bank for the nine months period improved by 23 basis point on YoY basis and it stands at 0.87% and ROE improved by 45 8 basis points on YoY basis and it is at 18.59%.
Most other core profitability metrics have also improved over previous years as well as

sequentially. Net interest income increased by 24.05% YoY on the back of improvement in yields and continuing credit of ftake. Domestic NIM also improved by 29 basis points YoY and 14 basis points sequentially. Non -interest income grew by 32.22% YoY. Operating expenses increased by 16.69%. As we have started building provision for the wage revision, which has fallen due fro m November '22. Other than that, our overhead expenses as well as staff costs are within controls, and our cost -to-asset continues to remain among the lowest in the industry, reflecting efforts to build a long -term cost efficiency

On the business front, th e growth momentum in domestic credit offtake has continued in this quarter also, with growth coming from all segments; domestic advances grew by 16.91% YoY,

headline by retail personal advances which grew by 18.10% YoY and corporate segment which grew by 1 8.08% YoY. SME and agri advances also posted double -digit growth at 11.52% and 14.16% YoY respectively. Our personal retail loan book excluding housing segment has crossed the milestone of 5 trillion. Domestic deposits grew by 8.86% YoY driven by growth in savings deposits and term deposits. Our foreign offices have continued to perform well with good growth in advances as well as deposit.

Coming to asset quality, we continue to post improving outcomes. Our gross NPA has dropped below 1 trillion and stands at Rs.98,347 crores. In terms of ratio, our GNPA has come down by 136 basis points on YoY basis and stands at 3.14. Our net NPA ratio has also declined by 57 basis points and stands at 0.77. Slippage ratio for the quarter stands at 0.41%. Consistently impr oving asset quality is also reflected in our credit cost, which is at 21 basis points for the quarter, and is down by 28 basis points on YoY basis.

On the restructuring front, our total exposure under COVID resolution plan -I and II stands at Rs.26,035 cror es as at the end of Q3 of financial year '23. The rest

ructuring book has behaved
well, with almost around 10% of the current exposure falling under SMA -I and SMA -II. We are holding sufficient additional provision against the restructured account. The bank remains well capitalized and we expect that our internal accruals will be adequate to take care of the normal business growth requirements. Our capital adequacy ratio, without adding profit for the nine months, stands at 13.27% and CET ratio at 9.26%, are well above the regulatory requirements.

Digital continues to be an important acquisition engine for the bank across assets, as well as liability products. During the quarter, we have sourced 64% of the savings bank accounts, and 41% of the retail asset acc ounts digitally through YONO.

Our subsidiaries have also consistently performed well and continue to create significant value for all the stakeholders and most importantly for the customers. Most of our subsidiaries are leaders in the respective segments. We will continue to nurture these subsidiaries and see them creating value for their own shareholders and as well as the shareholders of SBI.

Now, before I conclude, I thank you for your continued support to the bank. We consider a privilege to be able to contribute towards the growth of our economy. We remain committed to reward your trust in us with superior sustainable returns over the long -term. I wish everyone here good health and very happy weekend. The floor is open for your questions. Thank you.

Mod erator: We will now begin the question -and-answer session. We have our first question from the line of Mahrukh Adajania from Nuvama. Please go ahead.

Mahrukh Adajania: Sir, a couple of questions. Firstly, the write -offs are slightly higher this quarter. So , if you could explain? And also the profit on the treasury bit, why does it look close to high this quarter?

Dinesh K Khara: Yes, write -off is in the normal course of business, there's nothing very unusual, I think it is about Rs.10,000 -odd crores is the write -off amount.

Mahrukh Adajania: Sir, it was Rs.3,000 crores last quarter, right?

Dinesh K Khara: I think normally we undertake write -off towards the third quarter and the fourth quarter. So, that is why kind of extent you have seen this year and it was not there in the past.

Management: On the treasury part, it also includes some amount of write -back of MTM provisions, because the MTM losses have come down, so that is getting reflected in the treasury income.

Mahrukh Adajania: On your exposure to a l arge group, in press, you made some comments that is 0.86% of total exposure. But, what is the total exposure, because we get to see only gross advances and your –

Dinesh K Khara: 0.88% of our loan book, which is Rs.31 lakh crores -and-odd.

Mahrukh Adajania : This includes all the sanctions across all offices?

Dinesh K Khara: It's outstanding exposure across all outstanding.

Mahrukh Adajania: But sir, you wouldn't talk about your sanctions?

Dinesh K Khara: I think as of now what is material is that only.

Mahr ukh Adajania: Because like PNB disclosed their sanctions, right, so –
Dinesh K Khara: It is their prerogative and normally we don't entertain questions relating to a particular account, because there's customer privacy issues involved.
Mahrukh Adajania: What do you think is the outlook on deposit growth and therefore margins? Operating performance has been phenomenal. Deposit growth is not great, but you don't even need it, because you have been running the lowest CD ratio amongst the lowest CD ratio in the industry on the domestic front. Do you think margins sustain at the 3Q levels, do they drop, when do they drop, how does deposit growth accelerate?
Dinesh K Khara: As of now we're having excess SLR to the tune of about 3.2 trillion. And we are very mindfu l… I've said it in the past also, deposit is a franchise and w

e always remain mindful of the depositors interest. So, in the buckets where we feel that we can attack the retail deposit, we are ensuring that we must be in line with the market trends. And th at's the policy which we have adopted, and we'll continue to follow that. So, based upon that, since you are also acknowledging the fact that we still have one of the lowest credit deposit ratios, depending upon the need, we will be calibrating our interes t rates. But I would also like to mention that about 74% of the loan book is linked to either EBLR or MCLR and out of this 74% I would say about 40% would be on account of MCLR. If at all, we increase the deposit interest rates, that will also give us elbo w

room for increasing the MCLR which will help us in ensuring that the NIM should not get adversely affected.
Mahrukh Adajania: So, more or less stable NIMs from here on?
Dinesh K Khara: I expect that, hopefully.
Moderator: We have our next question from t he line of Rahul Jain from Goldman Sachs. Please go ahead.
Rahul Jain: Just a couple of questions. #1, on the provisioning bit, we've seen a jump in standard asset provision in this quarter and I think outstanding standard asset provisions are about Rs.23, 000 crores. So, just wanted to understand why are we carrying such a large provision here, is there an element of contingency also that has been factored in here?
Dinesh K Khara: Yes, there is one of course is our loan book has grown, that has also led to an increase in provisioning because we are required to maintain standard provision for the standard assets also. Secondly, of course, we are always very mindful of, if at all, we get to see any kind of stress on the ground in any of the accounts, we do mak e some provision which are floating in nature, and much of it will depend upon what is the trajectory of the account, and accordingly, we crystallize those provisions. So, partly, it is on account of our increase in the loan book and partly it is on accoun t of our policy in terms of making the provisions proactively as against after the occurrence of the event.
Rahul Jain: This translates into roughly about 75 to 80 basis points of the loan book. Fair to say, 30 to 40 basis points may have been built just f or any future contingencies?
Dinesh K Khara: Yes, could be like. As I mentioned that if at all we get the visibility of any kind of stress in our loan account, we rather believe in making provision afront.
Management: It is across the sectors, it is not in the corporate book only.
Rahul Jain: Standard asset provisioning?
Dinesh K Khara: Yes.
Rahul Jain: Just on this provision for employees of Rs.5,429 crores in this quarter, what is the element of one-off here or this is going to be the recurring quarterly number?
Dinesh K Khara: No, we have a provision relating to our wage revision which is about Rs.996 crores is on account of that. And other than that, the provisions which have been made based on the actuarial assessment for our retirement liabilities, etc ., So, it is as per the –
Rahul Jain: So, this additional provision of Rs.996 crores, would you be making this every quarter?

Dinesh K Khara: On an average, it is for every month, it comes almost about Rs.500 crores, that will be the provision which will be required to make to meet the liability relating to the wage revision.
Rahul Jain: I missed out on the number. Can you please repeat?
Management: About Rs.996 crores is something which we have provided for and this is a provision for two months' tim e. Every month Rs.500 crores will be the provision for the wage revision and apart from that some provision we have made on account of the pension and gratuity liabilities which is essentially on account of the discount rate and also as per the recommendat ions of the actuary.

Rahul Jain: Again, going back to the exposure, that is of course in the public discourse, can we get some

more color as to the exposure –?
Dinesh K Khara: Towards the end of this meet, I mean, after I complete all your answers, I will make some comprehensive statement relating to the exposure to that particular group.
Moderator: Our next question from the line of Ashok Ajmera from Ajcon Global. Please go ahead.
Ashok Ajmera: Given the asset quality has improved tremendously, overall performance of the bank is so robust, that even if there is any problem concerning to this large group, which may not be even in the top-15 group of yours as far as the exposure is concerned, I don 't think the bank like State Bank of India will have any kind of problem when you are operating profit itself is Rs.26,000 crores per quarter. So, having said that, sir, we will wait for your final comments on the total overall exposure to the fund base, n on-fund base, bond, equity, foreign bonds, which you have assured that you will give the statement at the end of the question -answer. Having said that, sir, I have some data points and some information. We have gone slow in this quarter on the corporate credit. So, what is our ratio which we'll settle down if you take the whole FY'23, by March the composition between the RAM and the corporate?
Dinesh K Khara: I think it will be more or less where it is in the month of December, it will be a marginal movemen t for many of the segments.
Ashok Ajmera: If we go on the income side, the other income has gone up to Rs.11,467 crores from Rs.8,874 crores in the last quarter. And I think the major part of is the income from the treasury, the profit and sale and revalu ation of the treasury is Rs.2,937 crores as against Rs.457 crores in the last quarter. Whether this trend is going to be continued in the coming quarter January -March also? Now, with the interest rate almost picking up, maybe another 25 basis points, where do we stand on the treasury side, sir?
Dinesh K Khara: As far as the treasury side is concerned, there are two components; one, of course, is the improvement in yield on investment; and secondly in this quarter, we have booked some MTM gain which is about Rs.2,200 -odd crores which is more of a write -back, if you recall in the first quarter we had made MTM loss which was about Rs.7,500 crores. We had some MTM gain last

quarter also which we did not book, for the reason that we had seen the yields were somew here again shooted. So, that is the reason why we did not book at that stage. But we have seen that yields are now coming within the range and that's the reason why we have done this. So, I think that is the major reason when it comes to the kind of moveme nt you're observing in the treasury net results. Other item is, we had some derivatives which are again rupee -dollar swap which we have done. Some loss component is there on those derivatives. So, that is also booked in that particular head.
Ashok Ajmera: Our credit cost and cost -to-income ratio both have improved tremendously. Do we see this trend to continue like cost -to-income coming down even to this low level?
Dinesh K Khara: I think for the quarter -ending March '23 I can say for sure. And I think we w ill be in a position to give some guidance as we move further. It has also been a function of how in general macro economy will be moving. But nevertheless, as of now, it looks like that for the quarter ending March '23, we should have similar kind of a cr edit cost.
Ashok Ajmera: How much provision is on PLI the bank has made for the nine months?
Dinesh K Khara: PLI provision would be in line with what the number is likely to be, it would not be a very significant amount and it would be a very small number which is there; so, the 5% increase it is five-days salary and for 10% it will be 10 -days salary,

so it would not be a very significant component.
Ashok Ajmera: But we have already made the provision for this?
Dinesh K Khara: That's always there. We have s o many pockets where we are keeping so much of provision; non - NPA provision is as high as about Rs.33,000 crores.
Ashok Ajmera: Yes, sir, I think the concern of the market is absolutely unbounded. But anyway, all the best to you. I think the sooner or late r the market will understand the economics of the bank's financial.
Moderator: We have our next question from the line of Anand Dama from Emkay Global. Please go ahead.
Anand Dama: We've heard about a lot of resolutions in the pipeline right now, like SKS Power and all. Do we have any resolution pipeline, particularly for the fourth quarter and over next six to nine months?
Dinesh K Khara: There are so many resolutions are in pipeline, but when it will get crystallized, because it is always a process which is carried out in all these matters, and how much time it will take at each of the step is actually at times is not very certain. So, that is one of the reasons why saying it so much of certainty that in the last quarter we'll have so many resolutions comi ng through, it will not be in order for us, but nevertheless I will ask Mr. Tiwari if at all, he can give some color in this direction.

Ashwini K. Tewari: There are many cases which are at final stages, but we cannot be sure, since it's in various legal proceedings, tough to give a timeline or a date… I will give a high level number going forward.
Anand Dama: Secondly is the outlook on margins. I think this quarter also, we have seen a meaningful margin uptick. We still have some room in terms of LDR improv ement, and as you said that MCLR also would increase as basically the cost increases.
Dinesh K Khara: I would suggest that as guidance part is concerned, I would like to keep the guidance at this level. If at all, there will be room for improvement, we wil l certainly ensure that. Incidentally, this NIM also, it would have been even better, because in the last year we had the interest on income tax refund which was as high as about Rs.2,400 crores, this year we have got income tax refund, which is just about Rs.800 crores. So, that is other reason. It will have an impact of about six, seven basis points overall, but yes, of course, if at all we do apple -to-apples comparison, change can be even better. So, this is just for information.
Anand Dama: Yes, sure, I think that should also play out in the fourth quarter, right?
Dinesh K Khara: Hopefully, let's hope for the best.
Moderator: We have our next question from the line of Abhishek Murarka from HSBC. Please go ahead.
Abhishek Murarka: Actually, just one request when you make your comment on the large conglomerate. If you could clarify whether this Rs.27,000 crores include the LCBG, non -fund based and overseas loans, at the cost of repetition just requesting that? And also, if you also c larify that if there's a refinance opportunity within that?
Dinesh K Khara: Sorry, I missed out the second one.
Abhishek Murarka: The second one is if there's a refinance opportunity, given that your large exposure framework while is there a lot of headroo m and the group like several projects appear to be credit -worthy, then would you do it. So, just these two things if you could cover in your comments, maybe now or later, whatever, that would be very useful?
Dinesh K Khara: I think second question I can an swer you right now, that is if at all any refinance opportunity is always evaluated on merits. So, for me to say that anything right now will not be in order and as and when such demand will come, we have not received any such demand. If at all, any such request will come, it will be evaluated only on merit. And while evaluating, we are always very mindful in terms of the stake of the

promoter or of the entrepreneur and the kind of risk which it is and based on that very comprehensive assessment only views are taken. It is not merely simply one request comes and we grant the facilities, let me just clarify.
Abhishek Murarka: My second question is actually on the international loans. I think a couple of quarters back, we were talking about being a little aggr essive there looking for opportunities outside. What is the

outlook there, sir – in next one year, are we looking to grow that maybe to a higher percentage of loans, what's the strategy?
Dinesh K Khara: In terms of dollar, our international book has grown by about 9.15%. When we converted on the RALOO rate , it looks like that it is at about (+20%), in terms of dollar, it is just about 9.15%. And now, our focus is for improving the NIM as far as our international book is concerned. So, that is the reason you might have observed that our NIMs have improved significantly; we have moved towards 1.67 as far as our international NIMs are concerned and it is on a quarter -on-quarter basis an improvement of about 23 -24 basis points. So, that's how it is. And when it comes to the composition of the international book, it is essentially local lending in those markets which is not necessarily to the Indian corporates only, it is even to local corporates . And we are participating in the local syndications. And also, when it comes to India linked loans, they are majorly E CBs, and they are ECBs to either AAA or AA rated entities only. And th at's how this whole complexion is. Apart from that, the last component is trade finance. Trade finance book wherever we are getti ng the margins , we are participating on the platforms , wherever we are inefficient to get the margins , there we are actively involved.
Abhishek Murarka: And margins in the international book should hold up around current levels.
Dinesh Kumar Khara: I hope that we should be in a position to maintain at this level , if not improve.
Abhishek Murarka: And just one question I squeeze in on SME. Now for several quarters that book w as not really growing, and this quarter there is about I think 10% QoQ jump in that book. So, if you could share just, you know, know what has changed ? Is i t a change in product geography, you know, customer, focus? What has really changed over? And whether this is sustainable?
Dinesh Kumar Khara: Yeah. In SME, we have invested well in terms of structures , in terms of capacity building , and also in terms of focus . That is something which has been important for the last about a year plus , and the results we are no w in a position to see last quarter also , we saw a decent growth in SME book , and this quarter also we are seeing a decent growth in SME book. And he rein I would like to mention that we are having a focus on the distributor finance , vendor finance , balance sheet -based lending , and also we have come out with another known product which is essentially run

through YONO , which is a preapproved business loan where we are looking into the transactions in the current account s, and based upon their transactions we are in a position to offer the loans to al l such entities also, which are actually small in nature. But this is something which is becoming very popular . So, these are some of the contributing factors , and we have grown SME by al most 43,00 0 crore on a year -on-year basis , and these are some of the contribut ing factors.
Management: Continuous focus area .
Dinesh Kumar Khara: It has become a continuous focus area. And also , we are very mindful in terms of quality of lending , and we have created a loan management system where we are having an adequate visibility in terms o f the unstructured information through the GST and etc., etc. So, that way

we have sig

nificant ly strengthened our underwriting practices in SME. We have invested in terms of manpower . We have invested in terms of product . So, all that is showing up . And my mind , it is sustainable . We have set a target for reaching 4 trillion number by the year March ' 24, but the way things are, we should be very near to that by March '23.
Ashwini Kumar Tewari: So, this question about how much recovery or resolution we can expect, so basis the past record plus the recovery already done, and subject to of course the court decision which you get, we should have a number between 3,000 to 3,500 in quarter four.
Mode rator: Thank you, sir. We have our next question from the line of Kunal Shah from Citi Group. Please go ahead.
Kunal Shah: So, firstly, sorry, just to touch upon in terms of the recoveries and upgrade , so ex of the resolution which you have highlighted , maybe the run rate which is there for this quarter of 1,700 odd crores, should that be the normalize d one o r this is relatively on the lower side ?
Dinesh Kumar Khara: No, actually , recovery if you are seeing here also, we have to keep in mind that last year about 1,692 crores wa s on account of a particular account . It was one account. So, if we ignore, if at all we have to do th e apple -to-apple comparison, then perhaps our growth in recovery this quarter is as high as about 18% to 20%. So, I think we expect t hat going forward , we don't have chunky accounts , which are awaiting resolution. And perhaps it might take little longer also , but nevertheless , I mean, the kind of efforts which have been put in in terms of O TS, in terms of NARCL , and those kind of things have h elped us in sort of ensuring that it always happen faster . And we expect that we should be in a position to maintain this kind of a number at least in this quarter also.
Kunal Shah: So, c ompared , like when we look at it say in Q1, Q2, it was somewhere around 5 ,200 o dd crores. Last whole year it was 21,000 crores in terms of recoveries plus upgrades compared to may be almost like 1 ,600 crores kind of a number for this quarter . So, you are saying maybe ex of the any resolutions thi s can ideally be the run rate even though focus is th ere in terms of improving it.
Dinesh Kumar Khara: Actually, since, you know , you would have observed that the stock has come down quite a lot . The NPA itself is now less than 100,000 crores. So, that itself will leave th e, I mean, these are also the amount is also small in each of the cases . So, each of the re solution s, when it comes to efforts , it takes almost the same amount of effort , but the recovery may not be as commensurate to the efforts . So, that's why, you know, the number ma y look small , but in terms of the recovery , it will be a sustained effort. And normally , we get to see some kind of a better recovery in the last quarter . We hope that there will be a marginal improvement over what ever we have done this quarter.
Kunal Shah: And secondly, in terms of the corporate exposure and say getting into in fra, there is some rundown of almost 15,000 odd crores say in telecom and even in power. So, is it more of a

repayment of the account ? Or is it a r efinancing at the lower rate by the competitor what is actually leading to that ? And what would be the overall outlook on corporate trade growth ?
Dinesh Kumar Khara: No, corporate credit growth we have got proposals in pipe line is a bout 1. 9 trillion , and t he availment is yet to be taken both in term loan and working capital and the utilization. That would be about 1 .10 trillion . So, overall, about 3 trillion is the number in the corporate book which we are having some possibility of converting into at least. Unutilized will certainly happen . I mean, one positive trend which I must mention is relating to the availment of term loans and the non - availme

nt of term loan has come down quite a lot , and that is normally it augurs well because generally , after that , the working capital improves.
So, I think with that kind of a scenario , I expect even working capital utilization will also

improve . It has come down from about 56% to 54% , but we have also seen the increase in credit
growth . Sanctioning has gon e up by about 2 4% as far as the la rge corporate credit is concerned.
So, I think overall I ex pect that will have a good visibility of opportunities coming in her e, and
also the quality loan we should be in a position to extend .
Kunal Shah: And on telecom exposure and power , anything specific , particularly in this quarter ? 10,000
crores of rundown in telecom ?
Dinesh Kumar Khara: This is actually year-on-year rundown. This slide #10 carries the year -on-year prediction. And
this is usual repaym ent as well as the reduced utilization in couple of accounts.
Kunal Shah: So, compared to like September , September also it was almost 43 ,000, 44,000 crores , and that's
down to 20 .
Dinesh Kumar Khara: Some of the PSUs also there would be some repayment which would have come .
Ashwini Kumar Tewari: Compared to bonds as well.
Kunal Shah: So, these are the repayment . It's not like refinancing and ma ybe some kind of rate competition
and losing out to the comp etition.
Dinesh Kumar Khara: No, not at all.
Moderator: We have our next question from the line of Jai Mundra from B&K Securities. Please go ahead.
Jai Mundra: Sir, last time you had given a loan growth range of around 14% to 16% for '23. In this quarter,
as you said corporate growth usually have some seasonal uptick in the fourth quarter. And you
mentioned a decent amount of pipeline which is there, which could be disbursed. What would
be your, you know, outlook on the loan growth for th e full year and for '23 and maybe beyond,
if possible?

Dinesh Kumar Khara: I expect that the loan growth should be somewhere in the range of 14% to 16% . I still maintain
my expected indication , which I had given last time also.
Jai Mundra: And sir, you ha d mentioned your SLR at Rs. 3 .2 trillion , and within which, sir, how much would
be the scheduled redemption? Because that is what possibly will help you offset the deposit
thing? I mean, what was the scheduled redemption amount out of this?
Management : The remaining period the redemptions will not be much. For the current financial year, it would
be just about 20,000, 30,000. But we are also adding at the same time you see I think there are
investments happening in the SGL and some bit of tech also. And broadly, we expect that this
SLR will remain at this level for some time.
Jai Mundra: No, because, sir, your loan to deposit ratio is now 73, right. It is lower relatively , but it is still…
Dinesh Kumar Khara: If at all we put the IBG also. If at all we look at domestic , it w ould be somewhere around 66, 67
only. IBG funding is very different. You know, for IBG funding, we run our international
banking group more like a corporate ban k, and the re the loans are not necessari ly funded from
the deposits.
Ashwini Kumar Tewari: Predominantly borrowing , market borrowing.
Dinesh Kumar Khara: They are predominately market borrowing clients etc., etc.
Jai Mundra: So, speaking on overseas thing, sir, this quarter , the book has been flattish on QoQ basis. So,
how should, I mean, and you mentioned that the dollar term growth is only or, let's say, around
9%. How should we look at the growth in overseas book, sir, specifically going around assuming
in dollar terms you may give?
Dinesh Kumar Khara: We are very mindful in terms of the NIM, which we are generating the re, and that is the reason .
It was a conscious effort . It is not that we are not having opportunities . Since we are trying to
maintain the NIM, improve the NIM, that

is the reason why we are at this level . And considering
the kind of economy which you are seeing across the globe , 9.15 in the international space is a
decent number. And today this group is comp aring, is actually contributing 15% of total loan
book of the b ank.
Jai Mundra: And sir, one question on your agri loan growth, right. So, your agri loan growth has been
consistently lower than overall loan growth, right. In this quarter, this is like 11%, 12%, 11%,
and the overall loan growth is 18%, 19% o r 18%. And as of FY '22, we were PSL deficient. Now
so what are you thinking in terms of PSL compl iance, especially on the agri side, because that
growth has been very lackluster whereas the overall growth has been reasonably strong?
Dinesh Kumar Khara: There are, in fact, the way we started working on SME, we have already started working for agri
also. And we are trying to actually work in terms of the realignment of the agri book , and th at

process is already on . Earlier w e were into low value or small value working capital loans only.
We have already done about 40% of this book has become agri gold loan, and the remaining
book also we are looking at it how can, in fact, we are already working on it, high value

agricultural loan as well as getting in to the agri finance for the agri techs and agri infrastructure . So that is something which we are working on . And this is the result of that conscious effort , which has been put in. And hopefully , we will be in a pos ition, we have set a target of 3 trillion for the financial year '24 for this book to reach, but we are quite hopeful that in this quarter also , we will get to see a decent gro wth, and we are much on course as far as our internal target is concerned.

Ashw ini Kumar Tewari: PSL is also contributed by SME and affordable home. So, there are other contributors for the PSL, not only agri.

Management: As far as agri PSL is concerned, it is not a challenge in terms of the agr i mandate of 18%, it's not at all a cha llenge. We are complying with that. And from the other say sub segments where PSL is calculated for that we have measures like buying PTC, PSL certificates. So, that w e will do. But for an agri front, there is not an issue. And to add to what the Chairman said about agri, we are con scious about the quality of agri book which we create because we have seen the agri NPA, which is the highest 12. 03% the agri NPA percentage which you are seeing in the presentation. So, the color and composition of agri book has been changed entirely as of now. It means creating new kinds of products . It also means targeted approach towards selecting customers , as well as use o f analytics and technology. So, all these things are getting , so it is getting turbo charged so to say in order to get a better quality , sustainable agri portfolio.

Moderator: We have our next question from the line of Adarsh Parasrampuria from CLSA. Plea se go ahead.

Adarsh Parasrampuria: Sir, my question was on the exposure . So, I will wait for your comments.

Moderator: We have our next question from the line of Prakhar Agarwal from Elara Capital. Please go ahead.

Prakhar Agarwal: Just two things and one data keeping. What is the SR outstanding on our book?

Dinesh Kumar Khara: SRs have already been provided for whatever SRs were there, we have 100% provided for those SRs. It's about 7,000 odd crores.

Prakhar Agarwal: So, they were provided during this qu arter or they were already provided earlier?

Dinesh Kumar Khara: I think last quarter, last to last quarter. Last year itself we had provided for it.

Prakhar Agarwal: Secondly, when I look at the margins, you probably said that we will be able to sustain the margin. So, when I move into FY '24, should there be a cognizance that we should be essentially be equal to average of what we have reported in FY ' 23

because we have seen a sequential uptick

in FY '23 at every quarter ? So, to that exten t, if I were to average that out despite th e cost which will happen, we probably will be maintaining a similar NIM in FY '24? Is that fair to assume?

Dinesh Kumar Khara: Our effort, that is where our effort.

Prakhar Agarwal: And just last bit on this your trading. So, probably you said that around 2,200 crores of unwind that we have probably seen this quarter. Now in Q1 we had around 7,000 odd crores. So, when do we expect the balance to get unwind over a period of two, three years? Or how we should look at it?

Dinesh Kumar Khara: No, we have already provided for that 7,500 crore we had already provided for that no?

Prakhar Agarwal: No, sir, of that around 2,000 crores you said that this is that quarter NIM and this quarter . So, the balance…

Dinesh Kumar Khara: It's a MTM part only. How the yield will move, it will be a function of that no?

Moderator: We have our next question from the line of Manish Ostwal from Nirmal Bang. Please go ahead.

Manish Ostwal: I have only one question on the short -term liquidity in the market , intermediate market has tightened recently , and because of that the CD rate ha s also increase d. So, how do you see the funding environment in the wholesale market given the busy season in quarter four?

C.S. Setty : See, I think as we keep saying, you know, our funding of the credit growth, we use various instruments. Deposit, of course, is the mainstay. And market borrowings i s one. But our ability to borrow from the market at very competitive rate s continues to be available for us. And in terms of the deposits, I think there would be some small uptick on the bulk deposit side, and based on our requirement, we align the market rates. I think, broadly, we were able to contain the cost of repo rate. I think we expect that in Q4 also that trend will continue.

Dinesh Kumar Khara: The other thing which I would like to add here is what Mr. Setty has mentioned, you would have observe d that in the current financial year , we have already gone to market and r aised infrastructure bonds, and that is very, very competitive rates . So, I think that also is one of the source , and since we are having a reasonable portfolio of our infrastructure assets, that's the source which is available and which actually becomes much more competitive in terms of cost . So, already 20,000 we have raised, and that is something , that will be the strategy going forward also.

Manish Ostwal: And o ne small point on the equity capit al raise plan for the bank . So, any plan for that to raise the capital to support the growth?

Dinesh Kumar Khara: We are as of no w, I mean, once the profits will be brought back after the March quarter , our rough estimation is that as far as the Capital A dequacy Ratio is concerned , we will be at about

14.5. And at 14.5 we have made some rough assessment s, and it indicates that we can support the loan growth of at least 7 trillion . So, we will be very closely evaluating the situation , and wherever required, whenever required , we will certainly raise all kinds of resources . Not only equity, we will also be looking at AT 1, Tier 2 whatever is required to be done.
Moderator: Thank you. We have our next question from the line of Manish Shukla from Axis Capital. Please go ahead.
Manish Shukla: So, when you said about wage revision , monthly run rate was about 500 crores . That assumes what rate of wage inflation? 10%? 12%? 1 5%?
Dinesh Kumar Khara: 10%.
Manish Shukla: 10%. Okay. Second question, sir, on the standard asset provision of 23,000 c rores that you are carrying, roughly how much is it that you think is additional or extra? And under what situation will you be dipping into it?
Dinesh Kumar Khara: This

provision which we are carry ing I would say, rough ly, one is this additional provision for restructured standard accounts. This is essential f or the restructured book which we are carrying on the balance sheet . So, it is about 30% of our restructured book which is about 24,000 odd crores. And the remaining one is 23, 116 crore s, which is for standard assets as I mention ed that part of it is on account of o ur standard assets as it is . And part of it is on account of the whatever visibility of stress we had on ground . So, how long we will carr y, we normally take stalk of the situation quarter -on-quarter basis and based upon that we will take a call. It may or may not happen . It may or may not crystallize but depending upon the situation which we will be obtaining at the end of the quarter , we will be taking the call.
Management: And majorly it is for the normal standard asset provision.
Dinesh Kumar Khara: So, majorly, yeah, predominantly it is for the standard assets only.
Manish Shukla: And couple of times, we mentioned that our LDR at least domestic LDR remains pretty low, but at the same time during the quarter , borrowings have gone up by about 60,000 c rores, and you also hinted at potentially raising more borrowing s. I am just wondering, given the excess SLR and low LDR, why would you consider raising money or a debt borrowing?
Dinesh Kumar Khara: This is more of a market operation because we have to evaluate all the options and ensure that our cost of resources remains the lowest.
Manish Shukla: Last question , sir. In the budget, Finance Minister has enhanced limit for certain small savings schemes and int roduced a new scheme as well. Do you think that puts pressure on retail deposits for the system either in terms of availability or rate?

Dinesh Kumar Khara: I mean, total size of that kind of a deposit is about 2 trillion . And when it comes to the banking system , banking system deposits are somewhere around 100, 140, 150 trillion plus. So, it might have some impact but not a s significant which should be really , because we have seen in the past when it comes to special deposit schemes , they have been always carrying interest rate which has been quite high as compared to bank deposits . But I don't think it could make a significant dent into the deposit base of the banking system . So, that is how I look at it . And apart from that , you know , when you keep a deposit with the banking system , it is also liquidity is something which is available . When you keep a deposit like that , the liquidity is not available . So, it is more like a premium somebody is paying for keeping the illiquid asset . You understand it better . You are into the fina nce world.
Moderator: We will now have the address from the Chairman . Please go ahead, sir.
Dinesh Kumar Khara: As far as the exposure relating to a large conglomerate is concern ed, we have seen over the last 5 to 6 years the share of exposure with the Indian public sector banks as a percentage of the total debt has consistently declined from 55% in 2016 to 31% by the end of 2022 . During this period , the debt to EBITDA, which is the key moniterable, has been improving for the better , demonstrating t he Group's ability to complete and generate cash in a timely manner from project which we undertake . As is known most of the recent ac quisitions have been financed through overseas borrowing and market instruments. And so we don't envisage any risk build up to the Indian banks on this count . As far as we at SBI are concerned , our Group expo sure is well below the large exposure framework , and the loan outstanding expo sure stand s at 0.88% of our SBI's total loan book as on 31st of December '22.
The majority of the SBI loan outstanding are towards operating assets and projects that have been completed and generating cash accru

als. The proj ects that are under construction are o n
schedule as of now . The loan extended by SBI are secured by the project assets, and there is no facility granted on unsecured basis. The cashflows are routed through the designated accounts as the mechanisms are in place to ensure timely servicing of the dues, and there has been no record of any delay or default t ill date. We have not extended any finance against ple dge of promoter's equity. Whenever shares have been pledged in favor of SB I in certain entities , they are in the nature of additional collateral security .

The non -funded exposure of SBI is mostly towards letter of credit , bank guarantees , both performance and financial . Non-guarantees is sued towards securing the ir other financial obligations are not there. No guarantees have been issued. There are no concerns on the Group's ability to service the loan book at this point in time .

Management: We hope it clarifies.

Dinesh Kumar Khara: I hope it is , I have tried to address the majority of the concerns of all concerned.

Moderator: Thank you . Ladies and gentlemen , due to paucity of time, I would now like to hand the conference over to Chairman sir for closing comments.

Dinesh Kumar Khara: Thank you very much to all of you for taking out time and to be with us on this weekend evening . I take this opportunity to wish all of you the very best and have a great and enjoyable weekend. Thank you very much .

Moderator: Thank you . On behalf of State Bank of India , that con clude s this conference . Thank you for joining us, and you may now disconnect your lines.

END OF TRANSCRIPT

Call: May 2023

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Madam / Dear Sir,

Sub: Transcript of post result Analyst Meet

Pursuant to Regulation 46 (2) (oa) and Regulation 30 read with Schedule III, Part A, Para A, 15(b) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 , we attach herewith the trans cript of Post result Analyst meet held on May 18, 2023 for Audited Financial results of the Bank for the Quarter and Year ended on March 31, 2023 .

The same is also being made available on the Bank's website under the following web link:

https://sbi.co.in/web/investor -relations/webcast -audio -call

This is for your information and records.

Yours faithfully,

(Shima Devi)
Assistant General Manager (Company Secretary)

FY23

Transcript
18.05.2023
MANAGEMENT : MR. DINESH KUMAR KHARA
CHAIRMAN , STATE BANK OF INDIA
MR. C.S. SETTY
MANAGING DIRECTOR (INTERNATIONAL BANKING , GLOBAL MARKETS & TECHNOLOGY)
MR. SWAMINATHAN J
MANAGING DIRECTOR (CORPORATE BANKING & SUBSIDIARIES)
MR. ASHWINI KUMAR TEWARI
MANAGING DIRECTOR (RISK COMPLIANCE & SARG)
MR. ALOK KUMAR CHOUDHARY
MANAGING DIRECTOR (RETAIL BUSINESS & OPERATIONS)
MRS. SALONI NARAYAN
DEPUTY MANAGING DIRECTOR (FINANCE)
MR. CHARANJIT ATTRA
CHIEF FINANCIAL OFFICER
MR. SANJAY KAPOOR

– Mr. Sanjay Kapoor – General Manager Performance, Planning & Review, State Bank of India:
– Namaste and good evening, ladies and gentlemen. My name is Sanjay Kapoor, and I'm the General Manager – Performance, Planning and Review Department of the bank. On the occasion of the declaration of the FY23 results of the bank, it gives me immense pleasure to welcome the analysts, investors and our colleagues for an in - person meeting. I also extend a warm welcome to our analysts, investors and colleagues who have joined this presentation through our live webcast.
– We have with us on the stage, our Chairman – Shri. Dinesh Khara, at the centre.
– Our Managing Director – International Banking, Global Markets and Technology, Shri. C.S. Setty.
– Our Managing Director – Corporate Banking & Subsidiaries, Shri. Swaminathan J.
– Our Managing Director – Risk, Compliance and SARG, Shri. Ashwini Kumar Tewari.
– Our Managing Director – Retail Business and Operations, Shri. Alok Kumar Choudhary.
– Our Deputy Managing Director – Finance, Smt. Saloni Narayan.
– Our Deputy Managing Directors heading various verticals and Managing Dir ectors of our subsidiaries are seated at the first row of this hall.
– We are also joined by our CFO and Chief General Managers of different verticals/business groups.
– To carry forward the proceedings, I request the Chairman sir to give a brief summary of the Bank's FY23 performance , and the strategic initiatives undertaken. We shall, thereafter, straightaway go to the Question & Answer session. However, before I handover to the Chairman sir, I would like to read out the safe harbour statement.
– Certain sta tements in these slides are forward -looking statements. These statements are based on the management's current expectations and are subject to uncertainty and changes in circumstances. Actual outcomes may differ materially from those included in these stat ements due to a variety of factors. Thank you.
– Now, I would request Chairman sir to make his opening remarks.
– Mr. Dinesh Khara - Chairman, State Bank of India:
– Thank you very much. Very good evening to all of you. Thank you very much for joining this anal yst meet post the announcement of the FY23 annual results of the bank. As you are all aware, the global economy is passing through various uncertain times with the cumulative impact of adverse shocks of the past 3 years, most notably, the COVID - 19 pandemic , geopolitical situations in Ukraine, manifesting in unforeseen situations, spurred by the pent -up demand, lingering supply chain disruptions and commodity price spikes. Inflation reached multi decadal high last year in many economies, nudging central bank s to tighten aggressively to bring it back towards their target, and keep inflation expectation anchored. As a result of all this, the base line forecast of the global growth is to fall from 3.4 to 2.8 and then to rebound to 3% in 2024.

– In the backdrop of all this, India continues to remain resilient to various adverse external environment, owing to a large domestic market. Despite all the headwinds, India's GDP in FY23 is estimated to grow at 7%, driven by investment and private consump

tion. And going for ward, the economic activity would be supported by improving rural demand and the government's thrust on infrastructure spending.
– We also expect the revival in the corporate investment, which will give us opportunities of healthy bank credit, and also, wil l lead to moderating the commodity prices. Despite the increase in interest rate and its transmission, credit growth has continued to grow in double -digit and has been broad based across all the sectors in FY23.
– During FY23, ASCB's credi t grew by almost 1 5% on a YoY basis, as against 9.6% YoY in FY2 2. Aggregate deposit of all scheduled commercial banks grew at about 9.6% compared to the last year growth of 8.9% YoY. In the union budget for FY24, several steps have been announced to push up the capital inve stment in the country, which will actually boost the credit demand in the economy, and we expect the credit growth to continue in FY24 also, though with some moderation, which can perhaps happen.

– In the above backdrop, let me now share with you the bank's number of FY23, as well as for Q4FY23. I'm happy to share with all of you, that the bank has, for the third quarter in running, posted a highest every quarterly profit of 16,695 crores, and for the full year our net profit has crossed the landmark number of Rs. 50,000 crores, which is the highest ever by any bank in India. Net Profit for FY23 increased by 58.58% YoY, while Operating Profit at Rs 83,713 crores increased by 11.18% YoY. ROA of the bank for the year improved by 29 bps on YoY basis, to 0.96 %, and ROE improved by 551 bps to 19.43%. Here I would also like to mention that, for three quarters in a row, our ROA has been more than 1%.
– For Q4 FY23, Net Profit stands at 16,695 crores, which is higher by 17.52% sequentially, and 83.18% on a YoY basis. M ost other core profitability metrics have also improved over the previous year, as well as sequentially. Net Interest Income for the year has witnessed a growth of 19.99% on the back of improvement in yields and continuing credit offtake. Domestic NIM also improved by 22 bps on a YoY basis. Non - Interest Income declined marginally by 9.73%, essentially attributed to a MTM loss of more than Rs. 7,000 crores, which we suffered in the 1st quarter. Other than that, our core income streams, fee -based incomes rema ined intact and have improved by almost 6.84% YoY. Operating Expenses increased by 13.68% YoY as we have started building provision for the wage re vision , which has fallen due, effective from November 2022. There is some increase in the Overhead Expenses, which is essentially attributed to the higher tech related expenses like expense on IT, development, mobile banking, ATMs, and also higher DICGC premium because of the growth in deposits, which we have witnessed in the last financial year.
– On the business front, the credit growth has been robust across all the segments. Domestic Advances grew by 15.38%, headlined by retail personal advances which grew by 17.64%, and corporate segment grew by almost 12.52% YoY. SME and the Agri segment advances also posted h ealthy double -digit growth at 17.59% and 13.31% respectively. Domestic Deposits grew by 8.50% YoY, driven by the growth in savings bank deposits and term deposits. Our foreign offices have continued to perform well with good growth in advances, as well as in deposits.
– With regard to the asset quality, our Gross NPA ratio has come down 119 bps and stands at 2.78%, which is its lowest level in more than 10 years. Our Net NPA ratio

has also declined by 35 bps and stands at 0.67%. Slippage Ratio for the year s tands at 0.65%. The consistently improving asset quality is also reflected in our credit cost, which stands at 32 bps for the year, and is down by 23 bps on a YoY basis. We have a well provided stress book with PCR showing improvement by 135 bps at 76.39%. PCR,

including AUCA, improved by 171 bps YoY and stands at 91.91%.
– On the restructuring front, our total exposure in the COVID Resolution Plan 1 and 2 stands at 24,302 crores as at the end of Q4 FY23. The restructuring book has behaved well. And, when we look at our SMA 1 and SMA 2 also in this category, they are much within the range of about 11%. As against this book, we have already provided 30%, as you are all aware, as compared to the 15% requirement of RBI. So, we actually have insulated our book fr om any potential threat from the restructuring which might happen. The restructured book has already been taken care of by additional provisioning, but the book is behaving much better than what we have seen in our SMA book otherwise, or in the stress book overall. The bank has remained very well capitalised, and we have sufficient headroom to take care of the normal business growth requirement. Our Capital Adequacy Ratio has improved by 85 bps YoY, and stands at 14.68%. CET -1 Ratio has improved by 33 bps t o be at 10.27%, and both the ratios are well above the regulatory requirements.
– Digital continues to be an important customer acquisition engine for the bank, across assets, as well as liability products. During the year, we have sourced 64% of our saving s banks accounts and 35% of our retail asset accounts digitally through YONO. We have embarked upon a journey of creating a digital bank of choice within the bank when we launched YONO 2.0.
– Our subsidiaries have also consistently performed well and contin ue to create significant value for all the stakeholders, and most importantly, the customers of the bank. Most of our subsidiaries are leaders in their respective segments. We will continue to nurture these subsidiaries and see them creating value for thei r own shareholders, as well as for shareholders of SBI.
– Before I conclude, I thank you all for your continued support to the bank. We consider

it a privilege to be able to contribute towards the growth of our economy. We remain committed to rewarding your trust in us with superior sustainable returns over the long term. I wish everyone here the very best. Now the floor is open to all of you for questions. Thank you.

– Mr. Sanjay Kapoor – General Manager Performance, Planning & Review, State Bank of India:

– Thank you Chairman sir for your opening remarks. We now invite questions from the audience, and for the benefit of all, we request you to kindly mention your name and company before posing your questions. To, accommodate all the questions, we request you t o restrict your questions to maximum two at a time, also kindly restrict your questions to the financial results only and no questions about the specific accounts please. In case you have additional questions, the same can be asked at the end. We now pro ceed with the question and answer session. Yeah, please go ahead.

– Analyst:

– Sir, my question, I'm taking from your comment about the credit growth will continue with some moderation in FY24, so for the bank , what is our expectation of credit growth for the bank for the FY24 and secondly in terms of deposit growth and the pricing of deposit for the year do you see a material increase or risk to our margins - domestic margins. This is the first question.

– Mr. D inesh Khara – Chairman, State Bank of India:

– Sure. As far as credit growth is concerned, we expect that we'll have an opportunity of growing as far as the loan book is concerned, we should be growing somewhere in the range of between 12% to 14% overall. As far as the deposit is concerned in the current financial year, we have seen an increase in our deposit cost to the extent of about 16 basis points and much of it has come in the last quarter, we have seen from last quarter till now an increase of about 9 basis point. Whether to support this kind of credit growth, w

hether we'll be required to go aggressive for further deposits, perhaps no. The reason behind is that we still have excess SLR to the extent about 4 trillion and we have increased our interest rate on the deposit essentially because we always perceive that deposit is a franchise and to the extent possible we will take care of the interests of the depositor provided our overall cost of sources don't go up much. so, we have some elbow room, which is always available, so we try to calibrate the deposit interest rate within that elbow room.

– Analyst:

– So, you don't see any risk to the margin to sustain

– Mr. Dinesh Khara – Chairman, State Bank of India:

– Sorry?

– Analyst:

– You don't see margin to maintain

– Mr. Dinesh Khara – Chairman, State Bank of India:

– I expect in fact we still have some kind of a cushion available for our MCLR to go up and we have kept it essentially to really take care that our margin should not undergo much of a loss.

– Analyst:

– Right Sir. Second question on the

– Mr. Sanjay Kapoor – General Manager, Performance Planning and Review, State Bank of India:

– Can you bring your mic close?

– Analyst:

– Yeah. Second question on the, when you talking about operating metrics for the year 96 basis po int ROA and the 3.58 net interest margin domestic side, the only scope, only metrics where we can see some improvement because other metrics are top

notch and the best of in decades, so the cost to income ratio operating efficiency basically?

– Mr. Dinesh Kh ara – Chairman, State Bank of India:

– Sorry, operating

– Analyst:
– Operating efficiency?
– Mr. Dinesh Khara – Chairman, State Bank of India:
– See, as far as operating efficiency is concerned, the important component is cost to income ratio and cost to income ratio also essentially we have seen what we have seen in this quarter somewhere around 53% is our cost to income ratio and this is essentia lly because we have already started providing for the wage revision, which has fallen due in the month of November, so 500 crore is the allocation which you are doing every month, 500 crore. So, last five months already provided for 2,500 crore, but at th e same time if we ignore this particular increase and also whatever PLI, which we will be paying now because as for the arrangement for 10% the increase in operating profit, we are required to pay 10% of the wages to as a PLI and that is something which wi ll be required to do, which will require a some kind of reserves worth of about 600 odd crores, so we have already provided for all those things. So, these are the expenses which will take place in the next financial year. What is - we have got certain r igidities in our structure when it comes to cost and part of the rigidity is coming from the fact that almost about 18% -19% of our cost is on account of the retiral benefits, so that is something which is a function of what the – how the interest rate move s. We have to make the actuarial provision so that is something which happens, but other than that our effort and endeavour is to improve our income and with that in mind what we have seen in the current financial year, if at all we improve our income and also we keep the NP As in check, quality of assets remain the best, then perhaps we are in a position to address these challenges and of course other income continues to be a major focus. We have already seen decent traction in the Forex income in this ye ar and also the cross -selling income has gone up by almost about 26% -27%. So, I think going forward these are the levers which we are working on and it will certainly help us in improving our income and at this stage when it is a normal year, perhaps even now all safe at all we ignore the impact of the additional provisions which we have made, we would have been somewhere around 50% in our cost to income rati

o. So, I think as a strategy, we are very clear in our mind that the rigidities we will have to li ve with and we'll have to only think in terms of improving our income and cost we are trying to contain and control with the help of our digital engine. This year we have already underwritten more than 1 trillion worth of assets through the Yono, so natur ally eventually when this number grows up, this will also help us in reducing our overall cost. So, I think we are on a very clearly stated trajectory in terms of how should we address this cost to income ratio and that will be ensured and the other very important lever for a bank like us when it comes to efficiency , what matters is the ROA and the ROE. ROA, we have been exceeding 1% now for last three quarters on a sustainable basis. This quarter I think we had ROA of 1.23. So, hopefully with the kind of focus which we have brought in, I'm sure there will be a point of time when our cost to income will also come down. Apart from this this year, we also had another event of MTM which was about 7,000 odd crores. When we look at the yield movement that i s behind us and even at the end of the financial year also the impact

of that remained, so that is also having an impact on the cost. So, these are some of the factors which have an impact. So, there are some factors which are one off, those one offs wil l go away, so that will also have a bearing in terms of improving our cost to income ration.
– Analyst:
– I appreciate the insightful answers and congratulations to the SBI team for the extraordinary performance and execution and all the best for the sustainin g the metrics of FY23. Thank you.
– Mr. Dinesh Khara – Chairman, State Bank of India:
– Thank you.
– Analyst: Mr. Ashok Ajmera
– Compliment Sir, for the yet another good quarter and the whole year of the very good performance. You have exceeded in most of the numbers and the net profit going beyond 50,000 crores, the operating profit of more than 83,000 crores, and the bank is cush ioned very much for any future eventuality in case anything slow down or something is there. Sir, I have got some numbers which I would like to just, like we have the non -NPA provision of almost about 35,000 crore means our total provision held in the boo ks including everything is 2,44,000 crore and if you include this 35,000,

then 2,79,000 crore is the provisioning in the entire book, if you take 100% of the AUCA provided for. Now, going forward Sir two things are there, one is that there was some odd am ount of some 2,500 something of a extra provision for some other corporate related accounts, corporate accounts or something, so is there any specific account in mind for that or it was - so this is just one. Secondly, with the ECL now going to come, I mean the guidelines are getting finalized and everybody knows that it is going to come, how much have we prepared ourselves for that and is there any specific provision already has been made in this year and this quarter for that and what is your assessment on that on the ELV vis -à-vis the extra provisions which we are holding?

– Mr. Dinesh Khara – Chairman, State Bank of India:

– Well of course what you mentioned in terms of there are some number which is 2,600 odd crores, I will like to elaborate upon the proce ss which we follow. There are certain accounts which may not really qualify to attract any provision, but in our own assessment these are the accounts which can potentially be a threat going forward. As a matter of prudent practice in the bank, we have t aken a call that we will ensure that our balance sheet stays protected and we start providing for them and these are done on ad hoc basis and as and when there is an eventuality, which materializes then these poisons are crystallized. The second question relating to ECL, well I think to my mind till such

time the RBI regulations are announced on this subject it's more of a
fiction and to really address that fiction let me assure to this whole house that we are very well prepared. The number which you are s eeing as our non -NPA provisions, we have done some back of the envelope calculation which of course I cannot disclose till such time I go to my board, but my own assessment is that number is much below this number and that too it will be spread over five y ears so considering the fact that if at all it has to be spread over five years and that is a kind of a number and in that context I would also like to draw your attention to the fact that you would recall last year for

family pension we provided for more than 7,500 crore in one quarter in single go, in single go.

– Analyst: Mr. Ashok Ajmera

– In September 20 -21.

– Mr. Dinesh Khara – Chairman, State Bank of India:

– And even this year also 7,000 crore.

– Analyst: Mr. Ashok Ajmera

– Quarter one of this year, 7,400.

– Mr. Dinesh Khara – Chairman, State Bank of India:

– No, no, I think

– Analyst: Mr. Ashok Ajmera

– In financial year 21 -22.

– Mr. Dinesh Khara – Chairman, State Bank of India:

– Yeah, you're right.

– Analyst: Mr. Ashok Ajmera

– That's why I didn't touch

– Mr. Dinesh Khara – Chairman, State Bank of India:

– So, 7,000 crore MTM also we absorbed in quarter. So, I only want to assure all of you that this is something which none of you should bother for and we have got the ability to take care of that without any impact on the earnings of this bank and let me tell you I just want to assure all of you, you need not worry about that.

– Analyst: Mr. Ashok Ajmera

– Thank you for that assurance, Sir. I've got some couple of just data point and a s just explanation on some PNL account, expenditure account, income and expenditure account. The miscellaneous income in this quarter has gone up to 4,187 crore as against 1,214. The breakup of miscellaneous income has not been given, so what if this 4,2 87 crore in this quarter comprises of, this is #1.

– Mr. Dinesh Khara – Chairman, State Bank of India:

– I think this latest income would have one component of the

– Analyst: Mr. Ashok Ajmera

– Written off recovery.

– Mr. Dinesh Khara – Chairman, State Bank of Indi a:

– I think we'll get you the numbers.
– Analyst: Mr. Ashok Ajmera
– No, no, there's no issue Sir. Second is Sir this employee’s cost
– Mr. Dinesh Khara – Chairman, State Bank of India:
– Maybe our C FO saheb is good?
– Analyst: Mr. Ashok Ajmera
– Employee cost is understood.
– Mr. Dinesh Khara – Chairman, State Bank of India:
– Just one second yeah
– Mr. Dinesh Khara – Chairman, State Bank of India:
– Can you - I'm in can we get the breakup of that how much is recovery, we'll give you the break up. Over here we have 12 auditors who all do audits and on top we have one consolidated auditor. This is a very unique example in the banking system, one bank i s being audited by more than 12 auditors.
– Analyst: Mr. Ashok Ajmera
– No, no, this has nothing to do with that auditor.
– Mr. Dinesh Khara – Chairman, State Bank of India:
– So, I think you should not have any doubt on the numbers which we are giving.
– Analyst: Mr. Ashok Ajmera
– No doubt is there at all, there's no question of any doubt. Sir, secondly the employees’ cost is understood, it's increased from 14,700 to 17,000 crore in this quarter, but even the overall operating expenses have also gone up by almost ab out 2500 to 3000 crore in this quarter, so that is also if there is any one off thing in that or it is going to be tr end in the subsequent quarters, this was my question
– Mr. Dinesh Khara – Chairman, State Bank of India:
– Show the next slide.
Next slide we have given the entire breakup of operating overheads.
– Mr

. Dinesh Khara – Chairman, State Bank of India:
– Yeah, these are the total expenses.
– Analyst: Mr. Ashok Ajmera

– And third Sir on the capital adequacy okay, we are above the regulatory norms, but now whe n our deposit growth I mean the credit growth is still we are targeting 14% - 15% or 13.5% - 14.5% -15%, but the deposit is still I think 8% or so.
– Mr. Dinesh Khara – Chairman, State Bank of India:
– Deposit growth is about 9%
– Analyst: Mr. Ashok Ajmera
– 8.5% to 9%.
– Mr. Dinesh Khara – Chairman, State Bank of India:
– But I also mentioned that we have got excess SLR of 4 trillion - excess SLR of 4 trillion
– Analyst: Mr. Ashok Ajmera
– So, money will be put out of
– Mr. Dinesh Khara – Chairman, State Bank of India:
– Yeah, which we can always unwind and support the loan book growth.
– Analyst: Mr. Ashok Ajmera
– Thank you, Sir.
– Mr. Sanjay Kapoor – General Manager, Performance Planning and Review, State Bank of India:
– Can we move to the next person please?
– Analyst: Mr. Ashok Ajmera
– Yeah, yeah, sure. Thank you, Sir.
– Smt. Saloni Na rayan -- Deputy Managing Director – Finance, State Bank of India:
– So, as far as miscellaneous expenses is concerned – no expense also they were asking Sir, so under the overheads, the biggest contributors are tech expense, insurance expense, and expense on GST. Sequentially, overheads have increased by 26.73%, which is the usual phenomenon in the last quarter because all the bills are paid or either accounted for. So, these are the reasons.
– Mr. Dinesh Khara – Chairman, State Bank of India:
– Yeah please.
– Mr. Ramesh Bhojwani:
– Sir, Ramesh Bhojwani from Mehta and Vakil.

– Mr. Dinesh Khara – Chairman, State Bank of India:

– Sorry?
– Mr. Ramesh Bhojwani:
– Ramesh Bhojwani from Mehta and Vakil.
– Mr. Sanjay Kapoor – General Manager, Performance Planning and Review, State Bank of India:
– Can you bring the mic closer to your mouth?
– Mr. Ramesh Bhojwani – Mehta and Vakil:
– Yeah. First and foremost, not only for State Bank, this full year has been the best in the banking industry for all the banks and it comes once in a decade o r even once in 15 years. Going back 15 years, we saw the worst scenario where gross NPAs hit 14.51, today your gross NPAs are 2.79. so, the economic cycle has turned and two thoughts come to my mind as you also mentioned it in a subtle way that going for ward, this trend, this tempo will continue maybe at the same rate or little lesser that is number one and the number two is Sir two days back wholesale price inflation came negative -0.92 basis point and the CPI is below 4.9. I personally believe in June when RBI will come, I am seeing a cycle of rate reduction to start with 25 basis point if not 50 and monsoon is expected to be 94% to 102%, so it's a reasonably average or a reasonably expected rainfall. So, going forward the rate cycle - the rate down cy cle will start maybe 25 basis point this time and subsequently 50:50. So, in such a scenario how do you see the whole banking metrics and parameters playing out?
– Mr. Dinesh Khara – Chairman, State Bank of India:
– See, I would say that what you mentioned was something which I always had in mind and that is one of the reasons when the rest of the market was only increasing the deposit interest rates, we did not increase the interest rates.
– Mr. Ramesh Bhojwani – Mehta and Vakil:
– Excellent.
– Mr. Dine sh Khara – Chairman, State Bank of India:
– Isn't it and then I knew that from this pole to this pole, let there be aberrations, let others face those aberration, we are the largest bank let us stay cool.
– Mr. Ramesh Bhojwani – Mehta and Vakil:
– Yeah.
– Mr. Dine sh Khara – Chairman, State Bank of India:
– We remained cool. So, this is something which we were expecting to hap

pen.
– Mr. Ramesh Bhojwani – Mehta and Vakil:
– This is like a foresight which you are now seeing playing out.
– Mr. Dinesh Khara – Chairman, State B ank of India:

– No, this is something which we were very mindful and we did not - you would have observed that we started increasing interest rates somewhere in November -December quarter because we were feeling that our depositors interest is getting comprom ised, those have stayed with us all this while we should take care of them and that is why you would have observed that I also mentioned that we increase the deposit rate in some buckets so that we should take care of our depositors interest, but keeping i n mind the overall cost of resources should not go up. So, that is something that is what I also believe, so if at all if that happens what you are saying, what we believe will turn out to be correct and when it comes to interest rates even if it comes do wn, we have not increased our interest rate to the hilt already, we still have elbow room there, so we will not be required to reduce our interest rate, so the picture which you are seeing today will probably stay.
– Mr. Ramesh Bhojwani – Mehta and Vakil:
– Wonderful, brilliant. You have put it very beautifully.
– Mr. Dinesh Khara – Chairman, State Bank of India:
– So, that is what my sense was and secondly we ought to mentioned in terms of what we saw 15 years back and it's a similar - it's a once in 15 years kin d of an event which happens when the banking sector does well, but yes of course banking sector - banks and banking sector they are the institutions and even if they face accidents they internalize those learnings.

– Mr. Ramesh Bhojwani – Mehta and Vakil:
– Yes, but great resilience is there in the banking sector in India. Thanks to our RBI
– Mr. Dinesh Khara – Chairman, State Bank of India:
– Thanks to the regulator and thanks to the practices adopted in the risk management practices and opted by the banks.
– Mr. R amesh Bhojwani – Mehta and Vakil:
– We have a SLR and CRR which combined becomes 21%. In a country like US, they've only 4% CRR and what we are seeing today, we are not even seeing the tip of an iceberg or a beginning of a storm.
– Mr. Dinesh Khara – Chairman , State Bank of India:
– So, I think on this particular account whatever learnings which got incorporated they have been very well practiced in the system. We have significantly strengthened our risk management practices over the years and whenever we shoul d ensure that the underwriting should be of excellent quality, not only underwriting even control follow up should be of the highest order and also the ecosystem has also got developed over the period of time. Today, there is a situation where risk is the re, today there is a situation when IBC is in place, so borrowers are also responsible, banks have also strengthened their risk management practices, so overall this is nothing but a reflection of an economy transition from a developing to the develop stat e. Thank you.
– Mr. Ramesh Bhojwani – Mehta and Vakil:

– Yes. Thank you very much. All the best.
– Mr. Sanjay Kapoor – General Manager, Performance Planning and Review, State Bank of India:
– Next person.
– Mr. Vishal – UBS:
– Excuse me, Sir here at the last bench.
– Mr. Dinesh Khara – Chairman, State Bank of India:
– Yeah, please go ahead.
– Mr. Vishal – UBS:
– Hi, this is Vishal from UBS. Sir, two questions from my end. One on express credit which is now almost 9% -10% of our loan book and actually has grown at a v ery express rate as well, so how do you derive comfort on this book and also what would be the lead indicators you know before you start worrying about this book right now the gross NPA is 0.6% only, but generally how do you track that book?
– Mr. Dinesh Kha ra – Chairman,

State Bank of India:
– I think I've stated in the past analyst meets also and I will again repeat the same thing. When it comes to our express credit book, we give it only to our corporate salary packaged customers and also perhaps our experi ence is that though it is unsecured, but it is better than the secured book and that is something which you have already demonstrated and the NPA ratios you have already seen. More than 83% of the customers are either employed in armed forces or governmen t employees and apart from that more than 12% of the customers are employed in the reputed corporates with very low incidence or default, so this is the kind of a book which we have. 95% of the book if at all people are going to get their salaries will be in a position to recover the loans. I have not seen a single default from the defence forces in terms of payment of salary in my 38 -39 years of my service life, so I don't think it will ever happen in this country. So, I think we need not worry much abo ut it.
– Mr. Vishal – UBS:
– Okay. Thanks for that color and the other question which keeps I'm sure coming to you is capital, so clearly you have increased the cushion, now what would trigger a capital raise from here?
– Mr. Dinesh Khara – Chairman, State Bank of India:
– See you're from UBS?
– Mr. Vishal – UBS:
– Yeah.
– Mr. Dinesh Khara – Chairman, State Bank of India:

– So, I would like to ask you a question and in an economy like ours how many entities

can raise 40,000 crore worth of equity in a year?
– Mr. Vishal – UBS:
– No Sir, I think we can answer that, but – you can raise, SBI can raise.
– Mr. Dinesh Khara – Chairman, State Bank of India:
– No, no, you answer my question. How many entities have raised 40,000 crore worth of equity in last five years' time?
– Mr. Vishal – UBS:
– SBI would have.
– Mr. Dinesh Khara – Chairman, State Bank of India:
– We have not raised; we have plo ughed back that profit man and this is something which I've been saying for the last six months plus. We have created value for our existing shareholders and without diluting our return on equity. I think you people if at all you have invested into State Bank of India stock you should be rather happy and also when it comes to capital, unless and until we set that capital right. You know it is not merely a number , you need to understand this , this 14.68% is something which is our capital adequacy ratio and toda y with 14.68% capital adequacy ratio, I can support the loan book growth t o the extent of Rs. 7.10 trillion without any impact , that 7.10 trillion if at all I underwrite well that will only give me an opportunity to plo ugh back. So, I think this is a mach inery which we should salute, if at all we only ensure that we underwrite properly and there are no NPA provisions, there are no aging provisions, we need not look at market for raising further equity. We should only generate profit employed back.
– Mr. Vis hal – UBS:
– I think that would be great, Sir. I think we've not seen that in last 15 -20 years. This is for the first time we are seeing that there is
– Mr. Dinesh Khara – Chairman, State Bank of India:
– No. I think you have not seen it , for maybe you might not have seen for last three years, we are very clearly focused on this that we will only plo ugh back profit and we will create value for our existing shareholders, those who have stayed with us through the thick and thin, we will work for them, we will create value for them, and that is one of the reasons why today when we went to the board, we have declared a dividend to the extent of 1113% - 1113%. Last year we had declared a dividend of 770%. How many corporates are there in the country who have raised this kind of a dividend?
– Mr. Vishal – UBS:
– Thank you, Sir. All the best.
– Mr. Jay Mundra – ICICI Securities:
S

– This is Jay Mundra from ICICI Securities. Question on your fee income Sir, so maybe fourth quarter has a seasonality, so if I look at full year your core fee X treasury, it is around 60 to 70 basis point of the assets right, which has been more or less st agnant, it is growing more or less in line with the loan growth, but it has been stagnant at that level 60 to 70 basis point of the assets as compared to the let's say other peers which are you know 1.5% to maybe 2% of assets they clocked that kind of a fe e. We are very well placed on the OpEx to asset and of course NIIN credit cost, so wanted to understand Sir do we have any internal target or aspirations to raise a fee to asset ratio?
– Mr. Dinesh Khara – Chairman, State Bank of India:
– See that context you have to of course it was a very conscious call which we took in terms of waiving off of a processing fee in the last quarter, so these are all - you know these are the competition related dynamics, which will always be at play, but yes of course for a ban k like us with 32 trillion worth of asset book, loan processing will continue to be one of the major earning points when it comes to our fee income. Apart from that the cross selling is another area because we are leveraging our distribution channel and w e have seen a growth of about more than - of almost 27% in the cross - selling income. On this, we have got a very clear target, in the medium term we would like to make it a billion dollar plus. So, today we have reached about 3,600 crores, we would like to see this number somewhere around 7,000 to 8,000 crores. The other major area is going to be the Forex income, which we have already seen a growth of almost over 25% to 26% in this year. So, these are the major levers of growth in fee income, loan proc essing, cross -selling, Forex. This will be the mainstay for our fee income going forward.
– Mr. Jay Mundra – ICICI Securities:

– Right and Sir question on your deposit cost right, so A - the deposit cost that we report in our presentation is I believe the cum ulative number right, which is let's say one Q and then first half, then nine months, and then full year, so if possible, I wanted to
– Mr. Dinesh Khara – Chairman, State Bank of India:
– It's a deposit costs at a point of time.
– Mr. Jay Mundra – ICICI Securit ies:
– Correct. So, I was looking at if you have the quarterly number because in a rising rate or so far
– Mr. Dinesh Khara – Chairman, State Bank of India:
– Yaar bahot se bank to aise hai jo deposit costs dete hi nahi hai, aap unse kya poochte hoo, aap unse kya poochte hoon? Humse to , hum dete hai to aapko jab further uska jo drill down chahiye, jo dete nahi hai unse kyon nahi poochte hai deposit cost?
– Mr. Jay Mundra – ICICI Securities:
– Because you are giving an opportunity
– Mr. Dinesh Khara – Chairman, Stat e Bank of India:

– No, because we are giving , hum de rahe hai to aur bhi chahiye aapko, jo nahi dete hai unko poochkar dikhau na, chaliye.
– Mr. Jay Mundra – ICICI Securities:
– Okay Sir and just lastly would it be safe to say that the card rates on deposit righ t if I look at SBI term deposit rates, they have not changed barring very few 5 basis points here and there since Feb, would it be safe to say that the card rates on TD have almost peaked?
– Mr. Dinesh Khara – Chairman, State Bank of India:
– Dekhiye aisa hai ki, I will only like to mention since you have come from the ICICI, I should say that very clearly, bulk deposit mein aap market mein ja kar dekh lejiye kaun jata hai rate quote karne aur usse aapko pata chal jayega ki hamare card rate aur actual deposit rate mein kya faraq hai, theek hai.
– Mr. Sanjay Kapoor – General Manager, Performance Planning and Review, State Bank of India:
– Can we move to the next person?
– Mr. Nitin Agarwa

l -- Motilal Oswal:
– Hi Sir.
– Mr. Dinesh Khara – Chairman, State Bank of India:
– Who is this? Yeah , please go ahead.
– Mr. Nitin Agarwal -- Motilal Oswal:
– Sir, this is Nitin Agarwal from Motilal Oswal . Sir congratulations on a good year and reaching the milestone of 50,000 crore profit this year. One question on YONO wherein like it is contributing 64% of the savings bank account that you are opening, so how do you look at the cross selling as an str ategy for the accounts, the customers that you are gaining through this channel, and if you can also share some color on the value of the balances like in terms of the customer behavior over the past couple of years, how are you seeing the progression in t erms of the deposit balances in these accounts.
– Mr. Dinesh Khara – Chairman, State Bank of India:
– Well, as a strategy when it comes to YONO I think for a bank like us we have to have, we perceive YONO as a distribution channel. So, there are a set of cust omers who can perhaps be serviced only through this channel, and there are a set of customers who can be served through physical channel only. So, phygital is a reality for us and we will continue to work on this. Well, when it comes to YONO we have blende d it with analytics also now, and by virtue of analytics we are in a position to have a much better assessment of our customer behavior, customer profiling, and that helps us in going for that targeted marketing also. The question which you have asked in t erms of value and all that I would not have it right now with me, maybe we can share with you separately. But yes, of course, the intention is that we are targeting a specific customer segment with the help of YONO. And we are going ahead in terms of upgra ding this

essentially with that in mind because the kind of customer base which is being targeted they would like to experience frictionless banking and that is something which we are

offering through YONO.
– Mr. Nitin Agarwal – Motilal Oswal:
– Right. And, s ir, second question on the deposit rates, apparently it looks like the overall rate environment has peaked out, RBI has taken a pause for now, and inflation data points are coming quite benign. So, by when we can expect the interest rates and the deposit r ates start to moderate. Will you look for the RBI to change the stance and reverse the trajectory to take that step or that can be pretty much in advance prior to RBI reducing the REPO rates.
– Mr. Dinesh Khara – Chairman, State Bank of India:
– See, moderati on and deposit will be a function beyond the REPO rate also. There are many banks in this country who are running into a credit deposit ratio of as high as 85%. And if at all they have to remain relevant in the loan book side then they will have to continu e to increase their deposit rates. So, I think to my mind repo rate is just one indicator which will be put to use to arrive at the deposit rate, but other than that there would be, again it would be a function of the market in terms of borrowing. But if a t all they are increasing their interest rates and are underwriting loans then I am sure they will very soon start providing for it also. So, it is a very fine balance which we have to keep in mind while doing the real life scene in the banking sector.
– Mr. Nitin Agarwal – Motilal Oswal:
– Sure, sir, thank you.
– Mr. Sanjay Kapoor – General Manager, Performance Planning and Review, State Bank of India:
– We will take one last question from this gentleman here. We have a lot of questions received through online webcast also, we will take one last question.
– Mr. Sushil Joshi – Indus Equity:
– Congratulations to team SBI, this is Sushil Joshi from Indus Equity.
– Sir, do you expect that credit rate growth will be more fronted in the first half of the year in vie w of election, infrastructure spend and various other f

actors.
– Mr. Dinesh Khara – Chairman, State Bank of India:
– I would say that it should be all through the year. Because see today we have to be very mindful of the fact for the system as a whole, signif icant portion of the credit growth is coming from retail. And the retail demand is an all -season demand. And the other pieces infrastructure related spend etc., I think the infrastructure projects normally have got long gestation period so the sanctioning might happen at a point of time but the availment might get spent over a period of time. So I think to my mind it should happen throughout the year.
– Mr. Sushil Joshi – Indus Equity:

– These projects can carry credit for 2 -3 years because these will be big pr ojects.
– Mr. Dinesh Khara – Chairman, State Bank of India:
– Yeah, yeah.
– Mr. Sushil Joshi – Indus Equity:
– Second question, sir, you have spent a lot of….
– Mr. Dinesh Khara – Chairman, State Bank of India:
– And also by the way apart from infrastructure spend s harper focus on renewable, sharper focus on solar, sharper focus on battery EVS, etc., these are actually new growth levers in the economy.
– Mr. Sushil Joshi – Indus Equity
– And won't it be linked to your green deposit scheme which RBI is rolling out, green deposit scheme.
– Mr. Dinesh Khara – Chairman, State Bank of India:
– See, irrespective of the green deposit or otherwise, actually speaking it is a bit of a dilemma. Green deposit whosoever put the green deposit he expects better returns and wherever you want to land the green deposit you have to give concessions. So, how t o really strike out this balance. I think it will probably stabilize over a period of time irrespective of the colour of deposit, green or black, whatever be the colour of the deposit the opportunities will be supported.
– Mr. Sushil Joshi – Indus Equity:
– Sir, outlook on your foreign offices. And second thing you have spent a lot of money on creating digital and physical infrastructure which may increase your salaries at the individual level because it is performance led and the kind of productivity they are going to lead. But this may lead to a lot of income but the cost may freeze from an outlook

on a long term point because some initiatives are visible and some are not spoken so far.
– Mr. Dinesh Khara – Chairman, State Bank of India:
– Well, as far as the fo reign offices are concerned we are very mindful in terms of our NIMs in the foreign offices, and that is the reason why we started slowing down our growth in the last quarter of this financial year because there are good number of opportunities which are a vailable in the receivable finance. But that is available at very, very low margins. So, we sacrifice the top line for our profitability from the foreign office and that is the reason why you would have observed that our NIM in the international book has g one up from 1.3 -odd 2 to 1.69 -1.70, that is something which we are very clearly focused on. Foreign offices are more like our I mean corporate bank and being a corporate bank majority of the offices are into the corporate lending only. But we are very mind ful in terms of the quality, we have become, we participate in syndication, we are not as much onto bilateral credit, we are there for EC B supporting large corporates in India. So, this is the broad components of our loan book in the foreign offices. Our effort is now to move up to the lead syndicator also, to assume the status of lead

syndicator so that we should earn the fee income as well. In some geographies we have already started doing it, but increasingly we would like to see it happening across. Your second question relating to branch network of 22400 with the increasing salary might have a situation of the cost going up. You would have observed that the fee income which

is now we are seeing about 26% broad kind of growth. Our effort is that our emp loyees who are posted in the branches we should use them for high skilled jobs whether it is marketing or it is processing. In the rural segment we have started getting into high value agri loan book and for that we need the processing capacities. So, we will be utilizing our employee base. We have already put in place about 47 CPCs for agri, 45 CPCs have already started functioning in the last second half of this financial year. Going forward we will be doing that, we will be doing quality business using our high cost resources for underwriting, quality business we will be using them for marketing cross selling, 26% growth which you have seen is not the ultimate. As I mentioned we have got a very clear target for having a 1 billion dollar earning from the fee income which means that the distribution of our subsidies product from these up - country locations where the penetration level is very low. We are leveraging the brand value of State Bank of India, we are leveraging the branch network of State Bank of India and we are ensuring that it should be most reliable product which we should sell from those counters, those people who are being exposed to these products for the first time, that is something which our effort is. We have already seen the results, goi ng forward it will only multiply.
– Mr. Sushil Joshi – Indus Equity:
– What will be our digital spend on a sustainable basis.
– Mr. Dinesh Khara – Chairman, State Bank of India:
– I have not really applied myself on this job but we are ensuring that we actually ai m to become a digital bank of choice within State Bank of India even before the Central Bank comes out with its regulation for the digital bank we want to be in readiness.
– Mr. Sushil Joshi – Indus Equity:
– Thank you for answering all my questions and all th e best.
– Mr. Dinesh Khara – Chairman, State Bank of India:
– Thank you, sir.
– Mr. Sanjay Kapoor – General Manager, Performance Planning and Review, State Bank of India:
– Sir, we have received a few questions from the online webcast.
– Mr. Dinesh Khara – Chairman, State Bank of India:
– I have got some questions which were received online, so I think I will just take few minutes to answer all of them.
– The first question is please provide guidance on NIM’s credit growth and deposit growth in financial year 24.
– I have already answered this question.

– The next question is from Sneha Ganatra, relating to any plans to list subsidiary.

– As of now there is no such plan.
– Another from Vellore, Gopalakrishna Kannan, V.G. Kannan, would you be interested in increasing interes t rates on savings bank deposit which has been rather stagnant, and if so will it not affect your NIM.
– We don't have any plans to raise the savings bank rates for the time being.
– Suvi Samadar, overall overseas l ending portfolio
– It is Rs 4,92,440 crores an d it has witnessed a rupee term growth of 19.55%, in dollar terms it has grown by about 10%.
– Manish Dhariwal, kindly share the difference for dip in corporate loan growth.
– NO dip in corporate loan growth, corporate loan has actually grown at more than 12 %.
– Akash Agarwal, can I know the impact of wage revision in total employee cost.
– Total employee cost Rs. 57,292 in 2023, wage revision is about 2490 crores in financial year 23. So, it is 4.35% of the employee cost.
– Employee cost went up a lot this quarter driven by provisions, can you break up the provisions.
– So, wage revision provi sions are 498 crores which has gone up. Pension and other retirement benefit it has gone up by 1359 crores essentially on account of the yield movements.
– Vishal from rediff mail he has sent a question, what is the trend of NII YoY and how are you looking for growth in first 6 months of the financial 23 -24 in terms

of NII.
– NII growth in the current year I mean in the financial 23 was 19.99%, and 29.47% in quarter 4 of financial 23 over quarter 4 of financial 22.
– Please, now I can take the physical questio ns.
– Mr. Sanjay Kapoor – General Manager, Performance Planning and Review, State Bank of India:
– So, I trust all the questions have been addressed. And we will be happy to respond to further questions in the offline mode and people can reach out to us.
– Mr. D inesh Khara – Chairman, State Bank of India:
– No, let us here somebody is having any questions let them ask.
– Mr. Sanjay Kapoor – General Manager, Performance Planning and Review, State Bank of India:
– Can we bring the mike here please.
– Analyst:

– Sir, internat ional book geographically I mean for like Rs 492000 crores, we have major I mean almost about 26 -27% in US and then UK, and some of the other European countries and Japan and other places. Now, with this whatever is happening globally outside and a lot of capital has been invested there, and the moment in the rupee and dollar of course for some time it is stable, so how do you see I mean that going forward, as you already said that you are tempering further growth in the book….
– Mr. Dinesh Khara – Chairma n, State Bank of India:
– No, I think, it should be seen in a very different perspective. I have got your question. See, the point is that today India has already become the 5th largest economy in the globe. Our exports have gone to the extent of 770 billion . So, very clear focus in terms of manufacturing and re -exporting from the country. And similarly when it comes to, we have got Apple coming into the country, they will also be exporting, we have got Foxconn, Apple, all the leading manufacturers are lookin g at India. So, eventually the way I look at the scenario is that we have got the potential to be if not China at least Taiwan. And to that extent there is going to be huge manufacturing export which should happen from this country. There is a very clear f ocus from the government, and the PLI is something which is intended with that in mind. So, eventually when that kind of situation comes, we have to have our global presence also. We have been calibrating our strategies from time to time depending upon the situations which are obtaining in those geographies, but we have been a long term player in the international market, and there is no other bank which is a long term player in international market let me tell you. So, it is more of a strategic move, we ha ve completed 101 years in UK, we have completed 50 years in New York and Maldives we have completed 50 years, Colombo today perhaps maybe we are surprised more than 100 -150 years we have completed in Colombo. So, this is the only bank which has got deep ro ots in international geographies. And as and when the opportunity arises, we are the ones who will take benefit of this. And let me let me also bring back your memory to the year 2020 -21, that was the point of time when there was no taker for deposit in th is banking

system of the country. We continued to mobilize the deposit and then we went for the rupee -dollar swap. We supported, we created factoring as a product in the international market and we made money on that. When the lending opportunities came up in India we unwound those swaps we brought that money back and when all others were clamouring for deposits, we were only unwinding our swaps. Even if there was a loss on the swap still the cost was not as high. So, I think these are the strategic moves which we always make to take advantage of the situation and I always believe that the bank more than 216 years old should not look at year 2 or 5 years, it should look at 20 years 25 years and 50 years hence. By that time people will take time to really bui ld up their organizations, we have already created. So, I think t

his is what our strategy is.
– Analyst:
– Thank you.
– Mr. Dinesh Khara – Chairman, State Bank of India:
– Yeah please.
– Mr. Rahul Maheswary – Ambit Asset Management:

– Rahul Maheshwari from Ambit Asset Management. Sir, in your initial remarks you said that the growth you are expecting 12 to 14%, can we expect whatever the metrics of the engines you have built.
– Mr. Dinesh Khara – Chairman, State Bank of India:
– If we do all the work, then what are you peo ple doing.
– Mr. Rahul Maheswary – Ambit Asset Management:
– No, sir, my question is, can the gap between the private sector banks, few private sector banks and the PSU which was very high in the initial years in the past, can that be bridged or even SBI can g row much faster than the private sector banks. Looking at the two factors…
– Mr. Dinesh Khara – Chairman, State Bank of India:
– I think last year the loan book for the system as a whole has grown as 15% and we grew at 15.99%. People talk about elephant dancing, elephant is racing, racing faster than the system, it is not only dancing. So, I think the kind of potential which we have you will have to watch.
– Mr. Rahul Maheswary – Ambit Asset Management:
– And just second thing as you said we know a few of the banks only participate for the large corporates and the industrial loans which are there as SBI is one of the primer. This time if the cycle builds for the capex, what are the internal metrics that will be taken care of that we don't see the pas t cycle in GNP that had taken place.
– Mr. Dinesh Khara – Chairman, State Bank of India:
– We have significantly strengthened our risk management and we are very mindful, we actually prescribe our risk limits for each industry and we draw from our learnings fr om the industry what are the mitigants which are required to be put in place. We ensure that they are already in place, and when it comes to the credit appraisal, apart from the appraisal in the committees, we have got the non-business heads who are there to independently appraise the proposals. So, I think these are enough mitigants as of now. Going forward what else will be the need of the system, even that will be taken care of.
– Mr. Rahul Maheswary – Ambit Asset Management:
– And just last what is the…
– Mr. Dinesh Khara – Chairman, State Bank of India:
– And also in the past we were not having analytics, today we are using analytics in a very big way to build up our risk models.
– Mr. Rahul Maheswary – Ambit Asset Management:
– What are the projects in the pipe line, the large projects.
– Mr. Dinesh Khara – Chairman, State Bank of India:

– I would not like to name any one of them.
– Mr. Rahul Maheswary – Ambit Asset Management:
– No, no, the quantum can you give that what is the?
– Mr. Dinesh Khara – Chairman, State Bank o f India:
– Almost 1.7 trillion worth of projects are work -in-process.

– Mr. Sanjay Kapoor – General Manager, Performance Planning and Review, State Bank of India:
– Thank you, we will take one last question from the lady there.
– Analyst:
– Just wanted to understan d what would be our exposure to the NBFC sector this year and last year.
– Mr. Dinesh Khara – Chairman, State Bank of India:
– NBFC sector exposure is , Rs. 3.73 trillion is our NBFC exposure but that exposure is essentially to very well rated corporates these NBFCs which are into the public sector or supported by the leading corporate groups.
– Speaker:
– Sorry, sir, the exposure is 3.57.
– Mr. Dinesh Khara – Chairman, State Bank of India:
– Sorry?
– Speaker:
– 3.57.
– Mr. Dinesh Khara – Chairman, State Bank of India:
– 3.57 trillion.
– Analyst:
– Right, and what would it be last year.
– Mr. Dinesh Khara – Chairman, State Bank of India:
– How much was it last year? It has seen a growth of about 31%.

– Speaker:
– 2.71.
– Analyst:

– And sir, lastly on slippages ratio, I mean this is for the industry also, right, the slippage ratio and this is for industry also, all the PSU banks have seen a low slippage ratio. Can this continue the sustainability?
– Mr. Dinesh Khara – Chairman, State Bank of India:
– Okay, slippages ratio are they sustainable . I think partly it is macro, but significant part would be the underwriting and also the control and follow up.
– Analyst:
– Thank you, sir.
– Mr. Sanjay Kapoor – General Manager, Performance Planning and Review, State Bank of India:
– Thank you, we will be happ y to respond to these questions in offline mode now. Let me end this evening thanking the Chairman sir, the top management team, the analysts, ladies and gentlemen. And to round o ff this evening we request you to join us for high tea which is arranged just outside the hall.
– Thank you very much everyone.
– Mr. Dinesh Khara – Chairman, State Bank of India:
– Thank you very much, thanks to all the participants.

Call: Aug 2023

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Madam / Dear Sir,

Sub: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015: Transcript of Analyst Meet

Pursuant to Regulation 30 and other applicable provisions of SEBI (LODR) Regulations, 2015 , we attach herewith the transcript of the Q1FY24 post results Analyst Meet held on 04.08.2023 .

Please take the above information on record and arrange for dissemination.

Yours faithfully,

(Aruna N Dak)
AGM (Compliance & Company Secretary)

Q1FY24

TRANSCRIPT
04.08.2023
MANAGEMENT : MR. DINESH KUMAR KHARA
CHAIRMAN , STATE BANK OF INDIA
MR. C.S. SETTY
MANAGING DIRECTOR (INTERNATIONAL BANKING , GLOBAL MARKETS & TECHNOLOGY)
MR. ALOK KUMAR CHOUDHARY
MANAGING DIRECTOR (RETAIL BUSINESS & OPERATIONS)
MRS. SALONI NARAYAN
DEPUTY MANAGING DIRECTOR (FINANCE)
MR. SANJAY KAPOOR
GENERAL MANAGER (PERFORMANCE , PLANNING & REVIEW)

State Bank of India
Aug 04, 202 3

- Mr. Sanjay Kapoor - General Manager, State Bank of India:
- Good evening, everyone. May I request Chairman sir, MD’s and DMD Finance to come on stage please.
- So, good evening once again and Namaste, ladies and gentlemen. My name is Sanjay Kapoor and I'm the General Manager Performance Planning and Review Department of the bank. On the occasion of the declaration of the results of Q1FY24 of the bank,

it gives me immense pleasure to welcome the analysts, investors and our colleagues for an in -person meeting. I also extend a warm welcome to the analysts, investors and colleagues who have joined this presentation through our live webcast.
- We have with us on this stage, our Chairman Shri Dinesh Khara at the center, our Managing Director International Banking, Global Markets and Technology Shri C. S. Setty, our Managing Director Retail Business and Operations, Shri Alok Kumar Choudhary, our Deputy Managing Dir ector of Finance Shrimati Saloni Narayan, our Deputy Managing Director heading various verticals, and Managing Directors of our subsidiaries are seated in the first row of this hall. We are also joined by Chief General Managers of different verticals and b usiness groups.
- To carry forward the proceedings, I request the Chairman sir, to give a brief summary of the banks Q1FY24 performance and the strategic initiatives undertaken. We shall thereafter straightaway go to the questions and answer session.
- However, before I hand over to the Chairman Sir, I would like to read out the safe harbor statement. Certain statements in these slides are forward -looking statements. These statements are based on management's current expectations and are subject to uncertainty and changes in circumstances. Actual outcomes may differ materially from those included in these statements due to a variety of factors. Thank you.
- Now I would request Chairman sir, to make his opening remarks. Chairman, sir, please.
- Mr. Dinesh Khara – Chairman, State Bank of India:
- Thank you. Very Good evening, ladies and gentlemen. Thank you for joining the analyst meet post announcement of the first quarter result of financial year 24. In July 23 IMF upwardly revised the 2023 Global Forecast to 3% from 2.8% in April. Immediate concerns about the financial stability have been subsided, owing to the resolution of the US debt, ceiling standoff and strong action by authorities to contain turbulence in US and Swiss banking. However, the recent downgrade of the US by Fitch over concerns of country's finances and debt burden could trigger bouts of financial volatility, with risk of reactions from the market. Against this backdrop, Indian economy continues to exhibit stronger than expected growth momentum with robust domestic investment providing the necessary support amidst weaker external sector dynamics. Looking ahead, real GDP growth is expected at 6.5% in financial year 24, aided by the government's thrust on infrastructure spending, traction in domestic demand, revival in corporate investments, and healthy bank credit.
- Headwinds, from prolonged geopolitical tensions and slowing external demand are the key risks to the outlook. On the banking front, credit growth has continued to grow in double digits and became broad base d across sectors. During the first quarter of the financial year 23 - 24 all scheduled commercial banks credit grew by almost 16% YoY

and aggregate deposit grew at 12.9%. As demand for credit continues, we expect credit and deposit may grow up by 14 to 15% in financial year 24.
- In the above economic backdrop, let me now highlight a few of the key aspects of the bank's performance in financial year 24, quarter one of the financial year 24. I'm pleased to announce that for the fourth quarter in running, we h ave posted our highest ever quarterly profit of 16,884 crores. Net profit for the first quarter increased by 178.25% YoY. While operating profit at 25,297 crores increased by 98.37%. ROA of the bank for the first quarter improved by 74 basis points on YoY basis to 1.22%. And ROE improved by 1433 basis point to 24.42%.
- Here also, I would like to mention that first quarter is very unique in its character. In the first quarter, one we don't have the advantage of the carry forward of the recoveries of the prev ious quarter and second, in the last quarter of any financial year, there are invariably various one offs. So, to that extent, that also inflate the performance in the last quarter of any financial year. So that's why we are comparing our performance on the YoY basis in the first quarter. So, I thought I'll just put across the viewpoint which we have in this context. Most of the core profitability metrics have also improved sequentially. Net interest income for quarter one financial year 24 increased by 24. 71% YoY, on the back of the improvement in yields and continuing credit offtake. Domestic NIM at 3.47% has also improved by 24 basis points YoY. Non -interest income has increased by 421.73% mainly due to the MTM right back as well as gains booked in deriva tive income. Our core income streams, fee -based income are steady and have improved by almost 4%, operating expenses increased by 23.68% YoY , as we have started building provisions for the wage revision, which have fallen due from November

22.
- On the busin ess front, the credit growth has been robust across all segments, domestic advances grew by 15.08% YoY, headlined by retail personal advances which grew by 16.46% YoY and corporate segment which grew by 12.38% YoY. SME and Agri segment also posted a health y growth in the loan book, it grew at 18.27% and 14.84% respectively. Domestic deposit grew at almost 12% driven by the growth in current account deposits and term deposits.
- Our foreign offices have continued to perform well with good growth in advances as well as in deposit. However, we have generally maintained some kind of a pause in the international book for the simple reason that international economies, global economies , are facing some kind of challenges. And we would like to build up our book depending upon risk appetite in those economies.
- With regard to asset quality, our gross NPA ratio has come down by 115 basis point YoY and stands at 2.76% and continues to be at its lowest level in more than 10 years. Our net NPA ratio has also declined by 29 basis points and stands at 0.71%. Slippage ratio has improved by 44 basis point YoY and stands at 0.94%.
- The consistently improving asset quality is also reflected in our c redit cost, which stands at 32 basis points and has improved by 29 basis points YoY. We have a well provided stressed book with PCR showing improvement by 23 basis points YoY, at 74.82%. PCR including AUCA improved by 127 basis YoY and stands at 91.41%.
- Here also I would like to add that when it comes to our loan book being healthy in quality, we are not required to provide for because for the simple reason, one the quality of the book and secondly, we don't have the aging provisions which you need to prov ide for.

- On the restructuring fund our total exposure under COVID resolution plan one and two stands at 22,666 crores as at the end of financial year, first quarter of the financial year 24. The restructuring book has behaved well, with

about 11% of the c urrent exposure
falling under SMA one and SMA two category. We are holding sufficient additional provision against the restructured accounts. If you recall, we have been maintaining provision to the extent of 30% as compared to 5 and 10% requirements presc ribed by the RBI for such book. The bank remains well capitalized and we have sufficient headroom to take care of the normal business growth. Our capital adequacy ratio has improved by about 113 basis point YoY and stands at 14.56%. CET one ratio has impro ved by 47 basis point to 10.19%. And both the ratios are well above the regulatory requirement.
- Here in I would like to add with the with the current capital adequacy, with the current capital, we can support the loan book growth to the extent of another additional 7 trillion.
- Digital continues to be an important customer acquisition engine for the bank across asset as well as liability products. During the quarter, we have sourced 63% of savings bank account and 35% of retail asset accounts digitally thr ough YONO. We have recently launched YONO for every Indian in which customers of other bank can now access and experience the seamless UPI journey on the YONO.
- Our subsidiaries have also consistently performed well and continue to create significant value for all the stakeholders and most importantly for the customers. Most of our subsidiaries are leaders in their respective segments . We will continue to nurture these subsidiaries and see them creating value for their own shareholders as well as the shareh olders of SBI.
- To conclude, I would like to thank all of you for your continued support to the bank. We consider it as a privilege to be able to contribute towards the growth of our economy. We remain committed to rewarding your trust in us with superior sustainable returns over the long time. I wish everyone here the best of health and happiness. My team and I are now open for taking your questions. Thank you.
- Mr. Sanjay Kapoor - General Manager, State Bank of India:
- Thank you, Chairman sir, for the prese ntation. We now invite questions from the audience . For the benefit of all, we request you to kindly mention your name and company before posing the questions. To accommodate all the questions, we request you to restrict your questions to maximum two at a time. Also kindly restrict your questions to the financial results only and no questions be asked about specific accounts please. In case you have additional questions the same can be asked at the end. We now proceed with the questions and answer session.

- Mr. Ashok Ajmera – Chairman, Ajcon Global:
- Sir. I am Ashok Ajmera, Chairman Ajcon Global. Sir at the outset compliments to you for the highest ever profit in the fourth consecutive quarter that every time we are making the higher and higher. My other comp liments is on that we are sitting on a non NPA provision of 34,955 crore which is almost about 152% of your entire net NPA, which is keeping the well, I mean, the bank well cushioned.
- Now, having said that, sir, a couple of questions rather your guidance on the number one is on the credit growth. Of course, you said that some of the other parameters, you

know, the figures should not be compared on quarter on quarter, but you know, year back figure become obsolete, especially in the financial sector. So, we will definitely compare with the last quarter only. So, you should look at it that 0.25% or 1.25% growth on the credit and global credit has gone down rather about almost by about 8 -9,000 crore, I mean international. And our own domestic book also has gro wn by I think around 1.4 or 1.45%. So, going forward with this kind of 14 - 15% guidance, are we fully like having the sanctions and the proposals in the pipeline that in next three quarters we run four and half to five percent every quarter, the loan book

, this is my
first question, sir.
- Mr. Dinesh Khara – Chairman, State Bank of India:
- Should I answer?
- Mr. Ashok Ajmera – Chairman, Ajcon Global:
- Yes, sir. Then I will ask second.
- Mr. Dinesh Khara – Chairman, State Bank of India:
- Okay, fine. Okay. Well, what you mentioned in terms of you should compare the credit growth on a sequential as compared to a year on year. You know, when it comes to the economy, why there's a busy season and the lean season? There are certain reasons beca use our economy has got certain characteristics. So, likewise, I still stick to my argument, that first quarter, we should compare only on a quarter -on-quarter basis, not on a quarter -on-quarter but on a year -on-year basis. Because the kind of situation we witness in the first quarter of any financial year are very different as compared to the last quarter.
- Now, your second question, when you are comparing the growth in advances on a quarter -on-quarter basis, certainly my submission to you would be that th ere are reasons why we are not doing it. And it is borne out of what we have seen over the years.
- Now what you mentioned in terms of the, our ability to grow. Retail person al, we have grown at 17% compounded annual growth rate for more than three years. A nd we don't see any reason that we will not be in a position to grow at this space going forward also. And why I'm saying that is that because we are already seeing that when it comes to home loan sanctions, there are already sanctions are up to the extent of 15%.
- The other very important component of the economy is the corporate sector. The growth rate which is envisaged for the economy is 6.5%. And it is riding on the basic few critical sectors, which are going to lead this growth, it starts from infrast ructure where perhaps when it comes to the financial closures, we don't see any competition. When it comes to core sectors, additional capacities being created. There also for the financial closer, we are the one, who are the preferred banker. When it come s to our ability to underwrite, we feel quite confident and that is I would like to add that even as on date, we have got our pipeline to the tune of about 3.5 trillion out of which about 1.2 are already sanctioned and another 2.3 are in pipeline. So, this is about the corporate sector. So corporate sector, when it takes a lead, it shows up into all other sectors of the economy. The more prominent among them are the SME and the retail. Agriculture sector is a function of the weather gods. Unfortunately, the rain if at all, we look at the long-term average for the rainfall. It seems to be better than previous years. So

hopefully, we'll get to see a decent traction in the rural economy also which will give us enough opportunity to support that growth. This is the broader economy.
- The next comes our ability to respond to such challenges. For last couple of years, we have been very mindful in terms of strengthening our structures so that we are in a position to deliver. To address the retail last year, we added almost 140 RACPCs. And

similarly for SME we have significantly built the muscles of the bank for addressing the SME and that is something which you have already seen. Now, we are growing even this quarter YoY we have grown at 16% in SME. Rural again, we ha ve grown to the extent about 12 to 13% and many of you who are tracking the bank for many years would have seen that rural we were almost stagnant and when we are growing there, we are very, very mindful about the quality of the book which we are underwrit ing and that is a reason why from somewhere around 15% of NPA, in the rural book, it has come down to 11 and we are very clearly targeting this to be in the single digit in this financial year. So, I think our focus is when it comes to growth, we are very mindful that the growth should be in sy

nc with our risk appetite and growth should not be reckless growth, that is something which I would like to add.

- Mr. Ashok Ajmera – Chairman, Ajcon Global:
- Sir, when you referred here of the competition now with this grand merger of HDFC and HDFC Bank, which has become a behemoth now, and I think the credit book is also almost of our size or maybe I have not just compared.
- Mr. Dinesh Khara – Chairman, State Bank of India:
- I don't think so, I think you're not updated.
- Mr. Ashok Ajmera – Chairman, Ajcon Global:
- Not updated. Okay. So now that big bank is again a private sector that is coming in. From the competition point of view is there any particular working, any action plan to take on them with this changed scenario.
- Mr. Dinesh Khara – Chairman, State Bank of India:
- They are focusing on the physical branch expansion, and we are focusing on digital as well as physical as well as other channels. And as I mentioned that we are very mindful about in terms of strengthening our structures on the ground because , you know, when it comes to mergers, we have also handled the merger of 8 banks. So, it is not merely adding the balance sheets, it is ensuring the integration of the culture and also ensuring that the co ntrol structure is effective enough. So that is what my learning is from the mergers, but yes of course as a leading bank we have to be very mindful of what the competition is doing, and we are ensuring that we should stay ahead of the curve. Yeah, please.

- Mr. Alok Kumar Choudhary – Managing Director – Retail Business and Operations, State Bank of India:

- Bank is basically people, right. Customers and the people who serve the customers. So, if you see State Bank of India, what is the number of people who leave us. Every year hardly 1000 people may be leaving us. Right. What is the attrition in the market,

the people who are going to serve, the marketing people, the servicing people, I don’t want to quote the numbers, right. But if you can find that there is a behemoth, you used the word behemoth I think that word suits us more. So, with this that people who are to serve the customers, people who are to market they are all a solid block, not leaving the shape. And you are comparing with somebody or people where the main people who are going to serve are themselves at a very high rate of churn. So that is one. Number 2 is the number of customers we acquire as a bank, the number of customers we acquire is much more than what anybody else acquires. And the number of millennial accounts that are opened is also more than 50%. New customers are millennials, up to the age of 30. So, both the sides, people who serve they are a solid block, totally committed and the number of people who repose faith in us, they are also quite large in number. So, from that perspective I don’t think that this would be any challenge.

- Mr. Ashok Ajmera – Chairman, Ajcon Global:
- Point well taken Sir. Just one…. Just one thing. Sir, you have given the split of the AUCA numbers, 10 year and old 5,300, 5 year and old 68,481 crores and less than 5 years 1,02,471 crores – just a ballpark, just …. .like these are all 100% provided for accounts. So, what as per your analysis, since you have given a detailed analysis of the break up, the aging wise, what can we roughly take as a recovery maybe in the next coming 2, 3 years or 5 years out of this 1 lak h 76 thousand crores Sir?

- Mr. Dinesh Khara – Chairman, State Bank of India:
- The recovery in AUCA is a function of the available security. So, there cannot be any ballpark figure for which we can ascribe for the recovery in AUCA. It is actually case to case basis and that is why our stressed assets resolution group is now actually addressing how to make the maximum possible recovery from these accounts.
- Mr. Ashok Ajmera – Chairman, Ajcon Global:
- Bu

t any assessment of the …. because when this analysis was do ne the security also must have been …..
- Mr. Dinesh Khara – Chairman, State Bank of India:
- That's why I am saying that it cannot be aggregated. It would be more at a disaggregated level. The approach will depend upon the security which is available in each of the accounts.
- Mr. Ashok Ajmera – Chairman, Ajcon Global:
- Thank you. Thank you very much.
- Mr. Sanjay Kapoor - General Manager, State Bank of India:
- Please move on to the next one. Here please.

- Mr. Anand Dama – Head BFSI – Emkay Global Financial Services Ltd:

- Sir, this is Anand Dama from Emkay Global. Sir, my question was on margins. For this quarter if you look at a quarter on quarter basis we have seen a 27 basis point contraction in terms of margins.
- Mr. Dinesh Khara – Chairman, State Bank of India:
- Again, quarter on quarter, let me just put across when it comes to NIM what will you do for the one off that you get on the last quarter.

- Mr. Anand Dama – Head BFSI – Emkay Global Financial Services Ltd:

- Sir, agreed. But if you take out the one off then still we have 15 odd basis point contraction. That is there.
- Mr. Dinesh Khara – Chairman, State Bank of India:
- See again, I think you have to understand how the increase in interest rate will show up in the deposits or the increase in advances will sh ow up in the loan book. So, there is always a trajectory which is followed. So, I think it is not a linear way of really looking at things. Anyhow please carry on with your questions.

- Mr. Anand Dama – Head BFSI – Emkay Global Financial Services Ltd:

- So, coming to your stuff, YOY basis if I look at a full year basis where do we settle in terms of margins when we….
- Mr. Dinesh Khara – Chairman, State Bank of India:
- I expect that we should be having 3.47 should be our effort to retain this kind of a NIM.

- Mr. Anand Dama – Head BFSI – Emkay Global Financial Services Ltd:

- Sir, secondly on your slide no 15, basically the margins that you show over there, that I believe are like cumulative margins. So there is a difference between what you show on slide no 22 an d what you show on the slide no. 15, particularly in the first quarter even if you look at the cumulative margin should not be different than what you show on slide no 22,right. So why is this wide difference between what you show on slide no 15 and slide no. 22?
- Mr. Dinesh Khara – Chairman, State Bank of India:
- What is the difference? Slide no. 22 also 3.47 is the NIM for domestic and when it comes to…

- Mr. Anand Dama – Head BFSI – Emkay Global Financial Services Ltd:

- If you look at the whole bank, Sir.
- Mr. Dinesh Khara – Chairman, State Bank of India:
- 3.33 and 3.33 there also.

- Mr. Anand Dama – Head BFSI – Emkay Global Financial Services Ltd:

- Sir, last quarter was 3.37 over there..
- Mr. Dinesh Khara – Chairman, State Bank of India:
- No, 3.37. I reall y don't know, what..3.60 …3.84….. Anyhow please reconcile this.

- Mr. Anand Dama – Head BFSI – Emkay Global Financial Services Ltd:

- Secondly was on the PSLC fees. So, we saw in case of Canara Bank there was huge fees that came from PSLC. There are other banks also who are exploring the PSLC fees. Any opportunity that we have in terms of…..
- Mr. Dinesh Khara – Chairman, State Bank of India:
- See our corporate book is growth is… we have got a corporate book which would be as high as about 15 trillion or so. S o, on a 15 trillion, I mean we have to actually depend upon purchasing PSLC's. We don't have a situation like that. So, they have some earnings, but if at all they may grow on the corporate side maybe they may not have those opportunities going forward. Bu t yes of course considering our book which is about 33 trillion, out of t

hese 33 trillion about 15 trillion would be the corporate book
and about 12 trillion would be the retail book and our rural is somewhere around 2.6 and SME is somewhere around 3.7. So that is the kind of composition which we have. In any case we have to…I mean if at all we grow at about 14% or so for our corporate book, then we may not hav e opportunity for organically growing in PSLC's priority sector. We will have to look at PSLC's only.

- Mr. Anand Dama – Head BFSI – Emkay Global Financial Services Ltd:

- Okay. Thank you, Sir.
- Mr. Dinesh Khara – Chairman, State Bank of India:
- Or alternatively till there is a change in the definition of the priority sector. Because today it is also being talked about can the solar be part of the priority sector. Because we have about 40,000 book which we had done for the renewal of the energy it self and ideally speaking it actually qualifies for the priority sector. Hopefully there could be some consideration on that.

- Mr. Siddhant Dand – Additional Director, Goodwill warehousing Private Limited:

- Hi, I am Siddhant Dand from Goodwill. Sir, we ar e seeing a lot of products come on the savings account side, CASA side. The SA side where you know they are disrupting the market, like when Kotak came down with their active money, IDFC and other small private sector banks having much higher rates of inte rest. So, at what point 2 years, 5 years you think the bridge between the FP and the saving account will come much closer even for big sector banks. You think that will happen? And secondly you know the interest rates in PSU banks and even for current acco unts which are at zero is kind of hitting when inflation is higher. So, are you seeing a gradual drop in CASA over the years. Will you see that?
- Mr. Dinesh Khara – Chairman, State Bank of India:

- Well CASA the behavior, if at all you will look at the CASA p re-pandemic and during pandemic and post pandemic, these are the 3 stages in which CASA should be looked at. Not in this light, I am just describing to you otherwise. Pre -pandemic CASA used to be somewhere around 40% in the system, during pandemic it went up to 44% and post-pandemic it is somewhere around 42 – 43%. This is the macro level picture of CASA. What you talked about the CASA and most of the SA for most of the various public sector, private sector banks like Kotak it may be termed as CASA, but I w ould say that SA is actually term deposit. So, from the cost point of view SA is actually term deposit. It should not be looked at, CA yes of course, we have to be very cognizant of the CA component of various private sector banks. And therein I would like to say that the current account market as such has undergone a change. Earlier a significant portion of the Current account market almost 55% of the total current account market used to be Government accounts. They started SNA, CNA now they are thinking i n terms of just in time, which very clearly means that the float that used to be available in the current account in the past will no more be available. Having recognized this reality, what we started doing for last about 6 months plus, we have started foc using on the current account from Trade commerce industry, Trusts etc etc. And I am happy to share with you that up to March we were growing faster than any other bank, June we were growing faster and even July we are growing faster. So, it’s not that it i s in the natural course, we have made certain efforts we have tweaked our strategies and that is something which is helping us. So, our effort is going to be CASA in the real sense of the word, lowest possible cost of resource and I am quite confident that the initiatives that we have taken will further enhance or strengthen our position as far as CASA is concerned. But having said that macro cannot be ignored and also the other reality to be seen is

during inflation invariably we have seen that there is tr end to the term deposit. Money moves to the term deposit and whatever increase in cost of deposit we have seen in this quarter is essentially because last year in the second half of the previous year in certain buckets we had increased the interest rates. Whenever the renewal of those term deposits has happened, all that has been fact ored in already. And fortunately , in the last policy also there was no increase in the policy rates. We expect with the kind of inflation trends which are seen, hopefully there should not be any increase in the interest rates as far as the policies are concerned. So, if at all that is the situation then hopefully as such cost of deposits are concerned it should stable around this level for some time to come.

- Mr. Siddhant Dand – Additional Director, Goodwill warehousing Private Limited:

- My second question is as you know cross sales numbers are improving at 17%, but for a bank of our size, with the subsidiaries we have it should ideally be growing higher. So, have you considered open architecture instead of closed architecture when it comes to cross selling?
- Mr. Dinesh Khara – Chairman, State Bank of India:
- You know typically speaking we have to be very mindful of the kind of customers who walks into our branches and when we offe r the product, we have to keep in mind what they expect. So, our assessment of the ground level situation is customers who walk into State Bank of India’s counters, they are looking at the product from State Bank group. They are not looking at the product from any other entity. So that is the strategy which we are following. But hopefully this number in the first quarter is not always all that great. We always know that insurance gets sold only in the last quarter of the financial year. So again, this is no t a linear trend which we will get to see, quarter on quarter it will keep on changing. And last year we had seen a growth of about 30% and

I am quite confident that this year also the growth will not be less than 30%, it will be rather more.

- Mr. Siddhan t Dand – Additional Director, Goodwill warehousing Private Limited:

- Perfect . Thank you.
- Mr. Sanjay Kapoor - General Manager, State Bank of India:
- Next person please.
- Mr. Sameer Bhise – Executive Director, JM Financials Ltd:
- Hi Sir - Sameer from JM Financials. Thanks for the opportunity. Sir, if I see other lines of fee income on a YOY basis, we kind of see bit of sluggishness with respect to loan processing charges etc. So how do you think the fee income lines moves through the year?
- Mr. Dinesh Khara – Chairman, State Bank of India:
- Loan processing charges, of course when we are looking at the quality book to be underwritten, the market dynamics actually forces to do that and not that it is going to be there forever. But yes of course, I would say it is more of a temporary situation.
- Mr. Sameer Bhise – Executive Director, JM Financials Ltd:
- Okay. And secondly if you could provide…..

- Mr. Dinesh Khara – Chairman, State Bank of India:
- And also last year there were some one -offs also, which was in the first quarter itself. So that is the other reason why it is looking flat.
- Mr. Sameer Bhise – Executive Director, JM Financials Ltd:
- If you could provide the slippage break up across segments?
- Mr. Dinesh Khara – Chairman, State Bank of India:
- Slippage break up across segments…Yeah, I will just provide it…just one second. Our slippages were to the tune of about 7659 crores and retail person al was about 2400, Agri was 2300, SME was 2400 and out of this we have already recovered, pulled back about 700 crores in retail person al, Agri about 300 cror es and 600 crores in SME.
- Mr. Sameer Bhise – Executive Director, JM Financials Ltd:
- So, the recoveries are in 2Q basically or in the same

quarter?
- Mr. Dinesh Khara – Chairman, State Bank of India:
- Yeah recoveries have happened in the month of July.
- Mr. Sam eer Bhise – Executive Director, JM Financials Ltd:
- Okay. Fair enough. Thank you.

- Mr. Dinesh Khara – Chairman, State Bank of India:
- This is what I wanted to say that when we recon slippages, we do so at a point of time, but the fact of the matter is SMA 0, 1, 2 that also our teams on ground keep on recovering and at times it is attributed to some kind of a cash flow mismatch with these entities, so we do get decent recoveries out of SMA’s.
- Mr. Sameer Bhise – Executive Director, JM Financials Ltd:
- Thank you. Thank you, Sir and all the best.
- Mr. Dinesh Khara – Chairman, State Bank of India:
- Thank you.
- Mr. Sanjay Kapoor - General Manager, State Bank of India:
- Next one.

- Mr. Kunal - Citi:

- Hi, Kunal over here from Citi. So particularly with respect to the growth in couple of sub segments. One is in terms of the Xpress Credit so the sequential growth is lower now. We are getting towards almost about 20 odd percent YOY growth compared to a muc h higher run rate. So, what would be, maybe any early delinquencies which we are seeing and your view in terms of RBI indicating to go bit conservative on the….
- Mr. Dinesh Khara – Chairman, State Bank of India:
- Nothing like that. Let me jump into this issu e right away, when it comes to Xpress Credit you would have seen that the quality is perhaps as good as it used to be in the past. We have no challenge. I will repeat once again that 94% of our Xpress Credit is given to the salary earners. And they are the salary earners who are working with either State Government, Central Government, Central forces, Paramilitary Forces, Public Sector Enterprises, only about 4 – 5% is with the corporates, and they are well rated large corporates. So, we don’t experience an y challenge in express credit, whatever little GNPA you are seeing here is also essentially attributed to the fact that when people are not getting their salaries in some of the State Governments, that is the reason why it is showing up like this. And apar t from that unfortunately those who are no more they are the ones who are contributing to this kind of NPA otherwise there is nothing like stickiness in this particular portfolio. And the other question which you had about growth is not tapering to be abou t 25 – 26%, there are reasons when we look at the leverage on the end user balance sheet in the economy that is around 25 – 26%. So, we feel that we will try to keep it at this level and maybe during festive season we will get to see some kind of blip in t his.

- Mr. Kunal - Citi:

- Sure. Secondly on corporate lending, so we have one of the lowest MCLR but still when we compare we have always highlighted in terms of the ….
- Mr. Dinesh Khara – Chairman, State Bank of India:

- Unfortunately, people are quoting for term loan they are quoting T Bill rates. I don't want to venture into such kind of luxuries if I may say so, more so when if at all people don't see interest rate risks and if I see interest rate risks, I would rather be cautious than to be sorry.

- Mr. Ku nal - Citi:

- Okay. And in terms of excess SLR now what is the…..
- Mr. Dinesh Khara – Chairman, State Bank of India:
- We have got excess SLR to the tune of 4 trillion.

- Mr. Kunal - Citi:

- 4 trillion, it is a similar number like last year.
- Mr. Dinesh Khara – Chairman, State Bank of India:
- Yeah, yeah.

- Mr. Kunal - Citi:

- And MCLR re -pricing we are not seeing any benefit coming into the yields, was there any impact of interest reverse on the yields?
- Mr. Dinesh Khara – Chairman, State Bank of India:
- It has come up now. Yield on advance have gone up it is essentially on acco unt of that.

- Mr. K

unal - Citi:

- No sequentially when we look at it…
- Mr. Dinesh Khara – Chairman, State Bank of India:
- Sequentially of course what will happen is MCLR re -pricing will show up only when the renewal of the accounts happens. It will not be sequential.

- Mr. Kunal - Citi:

- So when should we ideally see that happening would it be Q2, Q3, how..?
- Mr. Dinesh Khara – Chairman, State Bank of India:
- So, from 8.10 to 8.78 it has already come in the MCLR

- Mr. Kunal - Citi:

- But 8.1 was full year again, if we go it was 8.8.
- Mr. Dinesh Khara – Chairman, State Bank of India:

- So, it has to be seen on the full year basis.

- Mr. C.S. Setty - MD, International Banking, Global Markets and Technology, SBI:

- You see year on year.
- Mr. Dinesh Khara – Chairman, State Bank of India:
- Again, you see year on year only.

- Mr. Kunal - Citi:

- Okay. Thank you.
- Mr. Sanjay Kapoor - General Manager, State Bank of India:
- Next person please.

– Ms. Rati Pandit – Nirmal Bank Institutional Equities:
– Hello, this is Ms. Rati Pandit from Nirmal Bank Institutional Equities. Thanks for the opportunity. We have seen that your international NIMs have gone up significantly. I've also looked at the slide where you've given the split of the business and other parameters. So, if you could just elaborate more on the business outlook over there

and the margins?
– Mr. Dinesh Khara – Chairman, State Bank of India:
– International, we are very cautious. One, of course, because of the scenario in the global economies. And, one of the other reasons is, when we look at our international book, the India linked loans which are seen lower, is essentially on account of the fact that we had some… some oil companies had these revolving lines. So, they have not availed and that is one of the reasons. But, we are very very mindful in terms of the quality of risk. If at all I may say so, we go for cherry picking in our international book, which is not like our domestic book. And, there we operate absolutely like a corporate bank. And, asset and liability both are priced… they are linked to the variable rates. So, we have already seen the kind of movement in the FED rate, etc. So, SOFR and SONIA all are getting influenced by that, and that is one of the reasons why we see the kind of NIMs which we are seeing. But I would say that, over a period of time it will get normalis ed also, it will not remain at this level for the rest of the year.
– Mr. C.S. Setty - MD International Banking, Global Markets & Technology (IB, GM & T), State Bank of India:
– I think one is of course, the moment under reference rates moving. And, we are also focusing on the margins even if the business is not coming up. That is what you see in lower growth rate, what you have witnessed in the finance. Our focus on growth in margins and the underlying reference rates moving is contributing to that. As the Chairman said, they're going to moderate as we go forward.
– Ms. Rati Pandit – Nirmal Bang Institutional Equities:

– And usually, what is the difference in the yields we get from I ndia linked and non -India linked corporates over there?
– Mr. C.S. Setty - MD International Banking, Global Markets & Technology (IB, GM & T), State Bank of India:
– ECVs are generally, slightly better priced i.e. India linked. And the local… we normally focus on high quality… we do only investment grade. So obviously, the yields in the local loans are less.
– Ms. Rati Pandit – Nirmal Bang Institutional Equities:
– Okay. And my second question is similar to repricing on loan, what Kunal had asked. So, what proport ion of our book is fixed rate, and a significant part of it is already repriced? And what is the average tenure?
– Mr. Dinesh Khara – Chairman, State Bank of India:
– I t

hink our floating rate, which would be MCLR, everything put together, would be somewhere a round 70%... 75%, and 24% is fixed.
– Ms. Rati Pandit – Nirmal Bang Institutional Equities:
– Okay. And average tenure would be 1 year reset?
– Mr. Dinesh Khara – Chairman, State Bank of India:
– 6 months would be a significant portion in MCLR. EBLR is anyway RE PO linked.
– Ms. Saloni Narayan – DMD Finance, State Bank of India:
– So, MCLR is 50 -50 sir. 6 months and 12 months.

– Mr. Dinesh Khara – Chairman, State Bank of India:
– Hmmm.
– Ms. Rati Pandit – Nirmal Bang Institutional Equities:
– Okay, that's it from my side. thank you.
– Mr. Vishal – UBS:
– Hi sir, this is Vishal from UBS. I'll ask a YoY question for you. On the overhead expenses, there is a decline of 48% in business acquisition side. So, is there something which is changed in terms of…
– Mr. Dinesh Khara – Chai rman, State Bank of India:
– No, I will just explain to you, because earlier for the PSLC whatever we paid, we had booked in the 1st quarter. That is one reason. And this time, we have amortised as per our accounting policy. That is one. Secondly, last year in Q1 we were not having provisions for wage revision, which we have started doing from the month of November onwards @500 crores per month. So, the wage revision has fallen in the month of November of the previous year, so that is something. So, these are the reasons.

– Mr. Vishal – UBS:
– And sir, how much is the PSLC which got amortised?
– Mr. Dinesh Khara – Chairman, State Bank of India:
– … I would not have that. We'll provide that to you separately.
– Mr. Vishal – UBS:
– Okay, no worries. And, another item, which is standard assets. So, there is a reversal in that line instead of a positive number of 430 crores or something. So, that reversal is on account of…? Because, I think standard assets actually have grown QoQ also.
– Mr. C.S. Setty - MD International Banking, Global Markets & Technology (IB, GM & T), State Bank of India:
– We made some specific provision in the past on some of the account s in the Q1 last year, which was not there this year.
– Mr. Vishal – UBS:
– Sir, how much did we reverse? Because, I'm sure if it was a positive standard asset number, we would've reversed something bigger, to the tune of maybe 1,500… whatever number that is.

– Mr. C.S. Setty - MD International Banking, Global Markets & Technology (IB, GM & T), State Bank of India:
– Some of these standard asset provisions which is held as an ad hoc basis, even if it slips, for example, that gets reversed.
– Ms. Saloni Narayan - Deputy Managing Director (Finance), CC Mumbai, State Bank of India:
– Also from the restructured book. We have reversed because the accounts are being used.
– Mr. Vishal – UBS:
– So, what is the number ma'am? Is that number there?
– Ms. Saloni Narayan - Deputy M anaging Director (Finance), CC Mumbai, State Bank of India:
– I'll give you the number.
– Mr. Vishal – UBS:
– No worries. Thank you. And, if I may ask one last question on term deposit repricing, which is anyway the topic of debate, how much of our TD book is ki nd of repriced? Any sense on that?
– Mr. Dinesh Khara – Chairman, State Bank of India:

– Normally, we had come out with some 500 days…
– Mr. Alok Kumar Choudhary - MD Retail Business & Operations (RB & O), State Bank of India:
– Every month the churning of TDR wo uld be to the tune of 1.2 to 1.4 lakh crores, every month. Now, depending on the rate at that particular point of time, there will be repricing. And, most of the deposits, as you know in the market, that people are quite savvy in terms of managing their in terest, so the deposits you used to hear of 7 -10 years, nobody comes there. People are mostly either in, up to 1 year or 1 -2 year

s, that
kind of thing. So, you're seeing our TD book… almost in 1 year the entire book gets repriced.
– Mr. Vishal – UBS:
– Okay, thank you.
– Mr. Param – Nomura:
– Hi sir. Param here from Nomura. Sir, on the corporate loan book growth, you gave some colour on the pipeline for growth growing ahead. But, as far as CapEx led demand is concerned, both private and public sector, how d o you see that panning out, say over the next year, and especially, private capex. Because we are in such a sweet spot, do you see that playing out, say after elections? What's your sense on that?
– Mr. Dinesh Khara – Chairman, State Bank of India:
– No, I thi nk what I mentioned about the number, out of that, about 2.7 trillion is from the private sector, and the remaining is from the public sector. So, private sector is significantly higher than the public sector.
– Mr. Param – Nomura:

– Do you see that building up going ahead?
– Mr. Dinesh Khara – Chairman, State Bank of India:
– Oh yes, very much.
– Mr. Param – Nomura:
– Okay. And sir, within your corporate book, the fastest growing piece that we can see is the NBFC book. Even for the sector as a whole, I think it's gr owing at 30% plus. So, that's the main driver. So, do you see that…
– Mr. Dinesh Khara – Chairman, State Bank of India:
– Apart from that, we are also seeing growth coming in from the renewable sector. And also when it comes to even the NBFC sector, the growt h is essentially happening in the well -rated NBFCs only, quite well -rated, I would say. And, apart from that, infrastructure, road, construction, etc, there also we are seeing the opportunity. Infrastructure is one of the major ones. Going forward, we expe ct to see growth coming in even from some of the steel and those kinds of entities also.
– Mr. Param – Nomura:

– Okay. Thank you sir.
– Mr. Nitin Agarwal – Motilal Oswal:
– Hi sir. Nitin Agarwal from Motilal Oswal. Two questions sir. One is, on the proportion of bank employees that are there on defined contribution, how much is that number and how has it changed in the last 3 -5 years? And, what is the outlook on cost to income ratio that we can have? If I look at the cost to core income ratio, we have been about 54, 55. And, while you have highlighted many times in the past that the bank has very limited levers to reduce cost to income, but the other large private banks is now talking of a 30% cost to income over a 10 year period. So, as SBI benefits from this defined contribution and the other operating leverage related benefits, how do you see the cost to income ratio panning out?
– Mr. Dinesh Khara – Chairman, State Bank of India:
– For us, when it comes to defined contribution, that number has moved up by about 1%. It is now about 60% that are into the defined contribution, about 40% are into the defined benefit. So, defined benefit number has come down by about 1% in a year's time. What you have asked in terms of how do we have to reduce the cost to income ratio, o n that we are very clear, that we will address it by shoring up the income, and also improving the productivity of our staff on ground. So, that is something which we are very clearly focusing on. And the cost to income ratio, if we look at in the current quarter, it is somewhere around 50%. So, I think, what we have done in the last year or so, it is started showing up. Digital sourcing is one lever. Our SBOSS is another lever which we are leveraging. So, all this put together will help us in addressing th e cost to income ratio in the medium term. But, you know, when it comes to other banks stocking off… private banks reducing to 30%, I would not like to comment on that. The kind of churning which they have, they should actually be worried about, as compare d to reducing their cost.
– Mr. Nitin Agarwal – Motilal Oswal:
– That's a very long -term 10 -year guidance.
–

Mr. Dinesh Khara – Chairman, State Bank of India:
– No. In fact, if at all the churning continues at this pace, that should be a cause of worry for them. Because eventually, all said and done, banking sector is based on knowledge.
– Mr. Nitin Agarwal – Motilal Oswal:
– Right sir. And, if you could also share what is the AS 15 liability that we have to provide for based on the wage hikes, and any provision that we have made towards the…
– Mr. Dinesh Khara – Chairman, State Bank of India:
– Actually, that has not been crystallised, because the negotiations are still on. But, however, we have provided at the rate of 10% increase, if at all they will be. If at all we have some visibility in terms of the actual number, we would ensure that we provide the further remaining amount also. Quarterly acturial valuation, we are ensuring that we get it done on a regular basis, and whatever additional provisions are required, tha t we keep on providing on a Quarter on Quarter basis. There is no deferral, it is all fully provided.

– Mr. Nitin Agarwal – Motilal Oswal:
– Okay sir. And sir second thing I want to take you view on, if you look at the branch count, most private banks are expanding branches at a very aggressive run rate. And PSUs overall, have been more or less, static, in terms of the branch count over the last many years. So, how do you look at the expansion on that front in the coming years?
– Mr. Dinesh Khara – Chairman, State Bank of India:
– We are looking at expanding digital. And even when it comes to physical, we tend to add about 300 odd branches in the current year, depending upon the potential where the branches are required. But yes, of course, we are not only looki ng at the branches and digitals, we are also looking at the BCs. We are understanding what the customer needs are, and accordingly we are providing vehicles which will help us in serving them better.
– Mr. Alok Kumar Choudhary - MD Retail Business & Operati ons (RB & O), State Bank of India:
– See, how this narrative changes is, some years back we were always saying the branch is dead. That was the normal narrative, right? And the physical branches that we had, were supposed to be a drag in terms of cost. But now, people understand the ecosystem that we are in a Phygital country, where both physical and digital is required. So, when you're already at 22,000 places with 78,000 CSPs, which are mini - branches in some soft, of course, all the facilities will not be available. So, with this kind of footprint, what we're more interested in, is deepening relationships with existing franchise, and sweating the assets which we already have. So, somebody is building an asset, we already have an asset and we're trying to sw eat it out. So, our strategies will have to be different, because somebody who is already 216 years old, with all systems, governance, etc. will have different priorities than somebody who is new to the industry and trying to make greater footholds.
– Mr. D inesh Khara – Chairman, State Bank of India:
– Otherwise also, our digital transactions are now about 87%. And, when it comes to transaction outside the branch, as I hear, is about 97.5%. So, I think, we are ensuring that wherever there is a requirement, we must have the branch. But yes, of course, it's not a… I think, each bank will have to have their own strategies. Perhaps, the competition cannot guide each other's strategies.
– Mr. Nitin Agarwal – Motilal Oswal:
– Right sir. Thanks a lot.
– Mr. Sanjay Kapoor - General Manager, State Bank of India:
– We'll have one last question.
– Mr. Hardik Shah – Goldman Sachs:
– Hi sir. This is Hardik Shah from Goldman Sachs. My first question is on deposit rates. We note that SBI is offering higher term deposit rates versus top private banks, despite having lot of buffer on the credit to deposit ratio. So, what are

your thoughts on this?
– Mr. Dinesh Khara – Chairman, State Bank of India:

– See, as I have said in the past also, it's not uniformly that we're offering higher deposits; we're offering in some buckets. And, the intension is that we intend to take care of our depositors' interest also. It is not merely a commercial consideration. We are a bank which is almost more than 217 years of existence. So, we have to nurture our customers and we have to be mindful of our relationship with them. So, that is the reason why, in some of the buckets we increased, which actually addressed our commercial requirements also, ALM requirements as well. But, not universally, because we are very m indful that overall how much impact it will bring in in terms of the cost.
– Mr. Hardik Shah – Goldman Sachs:
– Okay. And sir, my second question is on home loans, particularly, we have lost market share. Our YoY growth is lower than the industry growth. So, what are your thoughts on that?
– Mr. Dinesh Khara – Chairman, State Bank of India:
– See, home loans, again… you know, when you go for lending, you reduce the interest rate, you can increase the growth. I'm not into that. I'm accountable to each one of you quarter after quarter, and for many many more years. So, my life does not come to an end after one quarter. So, that's why, I have to be very mindful that whatever pricing strategy I put in place, that I should be in a position to sustain it.

– Mr. Hardik Sh ah – Goldman Sachs:
– Understood. Thank you sir.
– Mr. Sanjay Kapoor - General Manager, State Bank of India:
– Thank you. We have a few questions coming in through the online webcast. These will now be addressed by the Chairman sir.
– Mr. Dinesh Khara – Chairman, State Bank of India:
– The first question is coming from Mr. Arun. He's asking, is there any plan to make AMC business go public? It's not on the cards, as of now. We may consider if at all there may be any priorities in a future date.
– The asset quality is stable, but how do you see that balance of slippage and recoveries? As advised, as on 30th June, the fresh slippages were to the tune of 7,659 crores, and out of this, the pullback of more than 1,500 crores has already happened as on 31st July, which is amounting to about 20%. And, our effort and endeavour is to contain the slippages in the coming quarters.
– A question on deposit competition. The health of banking sector is strong and excess liquidity in the system has been used up. All ba nks are competing hard for deposits. Will SBI look to compete and keep its current market share on incremental deposits? Our expectation is that the ASCB deposit should grow at about 12 -13%, and advances to grow at 14 -15%. Our growth in deposit and credit is also expected to be almost on similar lines. And, we certainly don't experience the kind of pressure which, perhaps, others might be experiencing. One, of course, when it comes to our credit deposit ratio, we still have enough elbow room available. And secondly, we have got excess SLR available to us. But yes, of course, we remain mindful of the interest of our depositors, and we don't want to shortchange their interest.

– When can we see an IPO of SBI MF? I've already explained.
– Any plans for value unlocking in case of YONO app? For us, YONO app is a distribution platform. Maybe tomorrow, some analyst might start asking when are you spinning off your branches. I think without branches, the bank does not exist. Even private sector banks are thinking in terms of adding branches. No idea of spinning off YONO.
– Can you continue with 15% loan growth in FY24? In all likelihood, yes.
– Can you please provide a breakdown of your loan book in terms of how much is fixed, floating, etc? As ind icated, about 26% is fixed and the remaining 74% is floating.
– Tha

nk you.
– Mr. Sanjay Kapoor - General Manager, State Bank of India:
– Thank you sir. I trust, all the questions have been addressed. We'll be happy to respond to other question in offline mode. Let me end the evening with thanking the Chairman, the top management, the analysts, ladies and gentlemen. To round off this evening, we request you to join us for high tea, which is arranged just outside the hall. Thank you.

– END OF TRANSCRIPT

Call: Nov 2023

CC/S&B/ AND /2023/622 10.11.2023

Madam / Sir,

Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015: Transcript of Analyst Meet

Pursuant to Regulation 30 and other applicable provisions of SEBI (LODR) Regulations, 2015 , we attach herewith the transcript of the Q 2FY24 post results Analyst Meet held on 04.11.2023.

Please take the above information on record and arrange for dissemination.

Yours faithfully,

(Aruna N Dak)
AGM (Compliance & Company Secretary)
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Q2FY24

TRANSCRIPT
04.11.2023
MANAGEMENT : MR. DINESH KUMAR KHARA
CHAIRMAN , STATE BANK OF INDIA

MR. C.S. SETTY
MANAGING DIRECTOR (INTERNATIONAL BANKING , GLOBAL MARKETS & TECHNOLOGY)

MR. ASHWINI KUMAR TEWARI
MANAGING DIRECTOR (RISK COMPLIANCE AND STRESSED ASSET)

MR. ALOK KUMAR CHOUDHARY
MANAGING DIRECTOR (RETAIL BUSINESS & OPERATIONS)

MRS. SALONI NARAYAN
DEPUTY MANAGING DIRECTOR (FINANCE)

MR. SANJAY KAPOOR
GENERAL MANAGER (PERFORMANCE , PLANNING & REVIEW)

- Mr. Sanjay Kapoor - General Manager, State Bank of India
Namaste and good evening, ladies, and gentlemen. My name is Sanjay Kapoor, and I am the General Manager of Performance Planning and Review department of the bank. On the occasion of the declaration of Q2FY24 results of the bank, it gives me immense pleasure to welcome the analysts, invest ors, and our colleagues for an in -person meeting. I also extend a warm welcome to the analysts, investors and colleagues who have joined this presentation through our live webcast.

We have with us on the stage , our Chairman Shri. Dinesh Khara at the centre , our Managing Director International Banking, Global Markets and Technology Shri . C. S. Setty, our Managing Director Risk, Compliance and Stress Assets Resolution Group S hri. Ashwini Kumar T ewari, our Managing Director Retail Bu siness and Operations, Shri Alok Kumar Choudhary, our Deputy Managing Director of Finance Smt. Saloni Narayan, our Deputy Managing Director s heading various verticals, and Managing Directors of our subsidiaries are seated in the first row of th e hall. We are also joined by the Chief General Managers of different verticals and business groups.

To carry forward the proceedings, I request our Chairman sir to give a brief summary of the bank's Q2FY24 performance and the strategic initiatives undertaken. We shall , thereafter , straight away go to the Q&A session.

However, before I hand it over to the Chairman sir, I would like to read out the safe harbour statement. Certain statements in these slides are forward looking statements. These statements are based on management's current expectations and are subject to uncertainty and changes in circumstances. Actual outcomes may differ materially from t hose included in these statements due to a variety of factors. Thank you !

Now, I would request Chairman sir to make his opening remarks.

- Mr. Dinesh Khara – Chairman, State Bank of India
Thank you very much. Good evening, friends.

Thank you for joining this analyst meet post announcement of Q2FY24 results of the Bank. Let me first and foremost start with a brief description of the present global economic scenario.

Global growth remains weighed down by tight financial conditions, uncertainty abou t the policy trajectory, high debt distress and geopolitical tensions which have been further accentuated by the conflict in Middle East. Labor markets in major Advanced Economies continue to remain tight prompting central banks to maintain 'higher for lon ger' stance. The International Monetary Fund, in its October 2023 update of the World Economic Outlook, kept the global growth forecast unchanged at 3% in 2023, same as in its July 2023 update. Growth in 2024 is, however, projected to moderate to 2.9% as a stronger -than-expected momentum in the US is likely to be more than offset by a weaker -than-expected growth in the Euro area and China. Against this backdrop, the outlook for domestic activity is brightening on account of the sustained buoyancy in services, consumer and business optimism, public spending on

infrastructure and the underlying strength of the financial sector's balance sheet even as corporations deleverage and post strong bottom lines. Consumer confidence has improved with upticks in most of the macroe

conomic conditions. Overall credit ratio of ICRA assigned
ratings was 2.0 in Apr -Aug 2023, indicating improved credit quality o f India Inc. Rating upgrades were strong in the Hotels, Auto components, Financials and Transport and Infrastructure sectors. Growth is expected to gain momentum through the rest of the year, especially from the impetus of festival spending. High frequency indicators showing acceleration increased in quarter ending Sep'23. GST revenues remain robust as monthly GST threshold has n ow increased to Rs 1.66 trillion in Apr -Oct'23 as compared to 1.5 trillion in FY23. On the external front, the current account deficit is modest with sufficient foreign exchange reserves providing a strong buffer that is insulating the economy from global spillovers as well as from the slowdown in external demand. While recognizing global risks and the volatility in financial markets that they entail, real GDP growth is expected at 6.5% in FY24.
On the banking front, the bank credit growth remained strong in H1FY24 in tandem with the economic activity. Credit extended by SCBs rose by 19.3% YoY as on 6th October 2023, over and above the growth of 16.7% a year ago. As demand for credit continues, we expect credit and deposit may grow by 16 -17% in FY24.
In th e above economic backdrop, let me now highlight a few key aspects of the b ank's performance in the Half Year and the Second Quarter of FY24.

I am pleased to announce that we have posted quarterly net profit of 14,330 crores which has increased by 8.03% Y oY. Operating Profit for Q2FY24 is at 19,417 crores which has moderated by 8.07% YoY. RoA for H1FY24 stands at 1.10% and has improved by 34 bps over the corresponding period last year. However, the RoA for Q2FY24 has moderated by 3 bps on YoY basis to 1.01 %. RoE for H1FY24 has improved by 649 bps to 22.57% YoY and perhaps it is the highest RoE in the industry .

Most other core profitability metrics have also improved during the current year. Net Interest Income for Q2FY24 increased by 12.27% YoY on the bac k of improvement in yields and the continuing credit offtake. Domestic NIM for H1FY24 at 3.45% and it has increased by 6 bps on YoY basis . Domestic NIM for Q2FY24 at 3.43% and it has declined by 12 bps YoY on account of increase in cost of deposits during the quarter. We expect NIMs to be stable around this level by the year end. Non-Interest Income has increased by 21.59% YoY, mainly due to increase in fee income by 10.00% and pr ofit on sale of investments during the quarter.

Operating Expenses have increased by 34.60% YoY mainly on account of additional provisions made for the ensuing wage revision. Earlier, the provisions for wage revision were made at the rate of 10% w .e.f. Nov 2022, which we have now increased to 14%, with backdated effect from Nov 2022, due to which additional provisions of 3,417 crores have been made in the second quarter. As a result, operating profit has been impacted and has come down.

On the business front, the credit growth has been robust across all segments. Domestic Advances grew by 13.21%, mainly driven by SME Advances, which grew by 22.75%, Retail

Personal Advances which grew by 15.68% and Agri Advances which grew by 14.76%. Corporate Segment Advances grew only by 6.62%.

Recently, there have been concerns on the growth of unsecured loan portfolio in the banking industry. However, I wish to state that Xpress Credit has been one of the safest product lines of the bank as it is given to corporate s alary account customers whose salaries are visible to us. Out of the total portfolio of Xpress Credit, nearly 82.6% of the customers are either employed in armed forces or are government employees and nearly 12% are employed with reputed corporates includi ng public sector entities , etc. The portfolio of Xpress Credit stands at 3.2 trillion as on September 2023 with a

gross NPA ratio of 0.69% . It is actually constituting
25% of the total retail personal portfolio of 12.43 trillion. We also have a strong anal ytics driven collection mechanism using Contact Centre for the pre-delinquency Outbound Voice Recording calls and also Loan Account Management system for calling by the branches. As a result, as I mentioned the GNPA of the portfolio is only at 0.69% indica ting resilience of the portfolio in terms of asset quality.

Under deposits, Domestic deposits grew by 11.80%, driven by growth in Current Account deposits and Term Deposits. Savings Bank deposits have shown a growth of 4.34% Y oY.

Our foreign offices ha ve continued to perform well with the growth in Advances at 8.11% YoY as well as in Deposits at 14.57% YoY. Our foreign office advances have crossed an important milestone of 5 la kh crores.

With regard s to the Asset Quality, our Gross NPA ratio has improved by 97 bps YoY and stands at 2.55% and continues to be at its lowest level in more than 10 years. Our Net NPA ratio has also improved by 16 bps and stands at 0.64%. Slippage Ratio for H1FY24 has improved by 16 bps YoY and stands at 0.70%. The consi stently improving asset quality is also reflected in our credit cost which stands at 0.22% and it has improved by 6 bps YoY.

PCR (including AUCA) improved by 39 bps YoY and stands at 91.93%. PCR for Q2FY24 has declined by 248 bps to 75.45%. Herein, I wou ld like to mention that our PCR for the corporate book has gone to 9 9.55%.

On the restructuring front, our total exposure under COVID resolution plan 1.0 & 2.0 stands at 20,854 crores as at the end of Q2FY24. The restructuring book has behaved well with 20% of the current exposure falling under SMA -1 and SMA -2 category. We are holding sufficient additional provision against the restructured accounts. If you recall, we had kept the provision at about 30% and we have about Rs. 20,000 crore s of book and we ar e holding sufficient provision for this book.

The Bank remains well capitalised, and we have sufficient headroom to take care of normal business growth requirements. Our Capital Adequacy Ratio has improved by 77 bps YoY and now it stands at 14.28%. CET -1 Ratio has also improved by 41 bps to 9.94% and both the ratios are well above the regulatory requirements. Here in , I would like to mention that we have not reckoned the profit which we have earned till now and if at all we will add that also then our capi tal adequacy ratio will be at around 15.32%.

Digital continues to be an important customer acquisition engine for the Bank across asset as well as the liability products. During the quarter, we have sourced 61% of Savings Bank accounts digitally through YONO. We are seeing increased traction in cross selling business through YONO. This quarter we have already earned about 190 crore worth of fee income through YO NO on account of sale of third-party product, our subsidy products. We are seeing increased traction in cross -selling business through YONO. We have recently launched "YONO for Every Indian" in which customers of other banks can now access and experience seamless UPI journey on YONO. Nearly 25 la kh registrations have been done during Q2FY24 since its launch on 01.07.2023. Advances business through analytical leads has grown 38% YoY in H1FY24.

Our subsidiaries are also continuing to perform well and continue to create significant value for all the stakeholders and most importantly for the customers. Most of our subsidiaries are leaders in their respective segments. We will continue to nurture them and see th at they continue to creat e value f or their own shareholders as well as the shareholders of SBI.

To conclude, I thank you all for your continuous support to the Bank. Being proxy to the Indian economy , we consider it a s a privilege to be able to contribute towards the grow

th of our
economy . We remain committed to rewarding your trust in us, with sustainable returns over the long term. I wish everyone here the best of health and happiness , in this festive season. My team and I are now open to taking questions. Thank you very much.

- Mr. Sanjay Kapoor - General Manager, State Bank of India
Thank you , Chairman Sir for the presentation. We now invite questions from the audience. For the benefit of all we request you kindly mention your name and company before posing the questions. To accommo date all the questions, we request you to restrict your questions to maximum two at a time. Also , kindly restrict your questions to the financial results only and no questions to be asked about specific accounts , please. In case you have additional questio ns the same can be asked at the end . We now proceed with the Q&A session.

And the first question is from here …

- Ms. Mahrukh Adajania – Executive Director (Equity Research), Nuvama
- Good Evening , Sir. Ma hruk from N uvama. S ir, my first question is on margins. So , where do you expect margins to stabilize given that everyone has come up with aggressive festive offers including festive deposit rates. So , where do you see domestic margins stabilizing for the next 2 - 3 quarters?

- Mr. Dinesh Khara – Chairman, State Bank of India
My expectation is that our margin should be around this level or maybe it might see compression for another 3 - 5 basis points.

- Ms. Mahrukh Adajania – Executive Director (Equity Research), Nuvama
So, deposit cost has bottomed out or …

- Mr. Dinesh Khara – Chairman, State Bank of India
I expect the impact of deposit cost only and as far as the loan book is concerned, we have already offered the concession whatever we had to offer, and we are seeing decent traction when it comes to our sourcing and underwriting is concerned. So, I think we will have the impact of the increase in the deposit rates only I expect that it will have an impact of another 3 - 5 basis point on the margins.

- Ms. Mahrukh Adaja nia – Executive Director (Equity Research), Nuvama :
And the full MCLR impact is now already captured?

- Mr. Dinesh Khara – Chairman, State Bank of India:
It is, yes, almost fully captured . Though , we still have some elbow room for increasing the MCLR but that will be very judicious.

- Ms. Mahrukh Adajania – Executive Director (Equity Research), Nuvama :
Thank you, sir. Sir, my next question is on O pex. So, say for every one percent increase in the wage agreement what would be the sensitivity so if we provided for 14 % now and if it settles at 15 what will be the additional cost?

- Mr. Dinesh Khara – Chairman, State Bank of India:
Roughly about 100 crores. 100 crores per month.

- Ms. Mahrukh Adajania – Executive Director (Equity Research), Nuvama
Okay , but so , if you remove the 3.4 billion that you mentioned from this quarter then do you expect if rates remain stable as they are now , do you expect the prov isions for wages to remain at the core level or …

- Mr. Dinesh Khara – Chairman, State Bank of India:
No, see once all this backlog which we have to provide for that will not be there then it will be actually once the wage revision happens then it is the wage bill only no additional provision . So, roughly about 400 crores is something which we expect if at all . I mean that will be the increase in the wage bill. 400 crores , for a month. So , about 1 200 crores a quarter.

- Ms. Mahrukh Adajania – Executive Director (Equity Research), Nuvama
Okay sir. Okay , thank you sir.

- Mr. Sanjay Kapoor - General Manager, State Bank of India
The next question is from … can you please raise your hand.

- Mr. S ushil C Choksey - Managing Director, Indus Equity Advisors
Sushil Choksey, Indus Equit

y. Sir, based on current economic environment and specifically business in India how are we seeing traction on large projects at as we are?

- Mr. Dinesh Khara – Chairman, State Bank of India:
Our, when it comes to our … we have got proposal s in pipeline of about 3.4 trillion and about 1.4 trillion would be which is awaiting… I mean, which are pending for disbursement s. So, about 4.8 trillion … 4.7-4.8 trillion is that kind of a book. So, I think with the kind of evolving situation, global situation since all these projects are primarily going to cater to the domestic economy, I do not expect that it will ha ve any significant impact and because what we get to say in terms of the inflow of proposal, that is again the validation of what I am saying.

- Mr. S ushil C Choksey - Managing Director, Indus Equity Advisors
But your growth in SME and retail is quite su stainable and growing in a better pace. Will your growth not outnumber your projection?

- Mr. Dinesh Khara – Chairman, State Bank of India:
See, w e have been indicating that we will be growing at about around in the range of 14% and I would like to surprise the market on the higher side. That’s why my suggestions or recommendations are always little conservative.

- Mr. S ushil C Choksey - Managing Director, Indus Equity Advisors
So, in the current week your business standard appearance and govern or’s speech and the Fed on Wednesday, the entire bond market globally is showing a different colour than the concern. Middle East concern stays but the bond market is clearly indicating that things may reverse where treasury and rates are concerned. What is your view? Have you changed your view post Wednesday or you still …

- Mr. Dinesh Khara – Chairman, State Bank of India:
See, I think these one -offs, you know when we form a view, it is not based upon the one -off events. It is based upon multiple events which are happening across. Yes, of course , these

are important events which need to be factored but I think if at all we have to have a view, we will have to probably wait and watch little more in terms of how the global economic s, economic situation unfolds and it s likely impact because Fed has said something. And also, our RBI Governor has indicated something . But yes , of course , I think there are mu ltiple other things which you have to keep in mind while having a view.

- Mr. S ushil C Choksey - Managing Director, Indus Equity Advisors
Thank you for answering my questions.

- Mr. Sanjay Kapoor - General Manager, State Bank of India:
Can you please raise your hand.

- Mr. M B Mahesh – Institutional Equities, Kotak Securities Limited
Good Evening Sir, Mahesh from Kotak. Just a few questions. One, if you could just kind of explain the movement of the balance sheet. There seems to be a bump up in investments this quarter, increase in borrowings. What explains , what have you been thinking on the balance sheet side?

- Mr. Dinesh Khara – Chairman, State Bank of India:
No, investments are moved towards 17 trillion and we have seen decent growth also but when it comes to our credit deposit ratio on the domestic book front it is somewhere around 64%. We are very mindful in terms of underwriting the risk which is according to our risk appetite and if at all we don 't want to get into any adventure and that is one of the reasons why we are very conscious in terms of building up of a loan book. And also, when I talk about that I am very mindful in terms of the price at which we ca n lend. If at all the price does not offer us adequate risk return reward, then probably I would rather prefer to look into the investment book as compared to the loan book. So, that is something which explains , maybe you have something more to add.

- Mr. C. S. Setty – Managing Director (IB, GM & T) , State Bank of Ind

ia
Yeah , I think on the investment book the growth has been 8.2% , you know , QoQ . It is mainly coming from the G -Secs and SDLs. So, some of these liquidity what we normally have , as we keep sa ying that , you know , we have a policy of parking the excess liquidity in the SLR securities, and we have substantial excess SLR which helps us market borrowing. That's what , you see there are one hand investments are growing as well as we also , you know , participate in any liquidity management what we need to do.

- Mr. M B Mahesh – Institutional Equities, Kotak Securities Limited
So, the question pertains to the fact that you raise borrowings as well on the other side which I assume is far more expensive. So, I just trying to understand what way you 're thinking when you were…

- Mr. C. S. Setty – Managing Director (IB, GM & T) , State Bank of India
You are talking about the market borrowings or the borrowings in terms of the borrowings.

- Mr. M B Mahesh – Institutional Equities, Kotak Securities Limited
The borrowings i n the balance sheet. Non deposit related the borrowings which is sitting there that also has gone up about a trillion one lakh crores this quarter. But just trying to understand what have you been thinking on those two metrics because you raise deposits and borrowings and you have seen significant investments when your CD ratio is low. Just trying to understand what …

- Mr. C. S. Setty – Managing Director (IB, GM & T) , State Bank of India
No, you see , one thing is that we can't raise deposits when we need to fund the credit . Right. As, Mr. K hara keeps saying deposit is a franchise . We continue to raise the deposits and when the deposits are raised there are two alternatives one is that you fund the credit growth or alternatively put in the investments. So, and whenever we put in the dat ed securit ies obviously

those securities are used for raising any liquidity. That's where you see the borrowings also the other side. I hope I'm …

- Mr. M B Mahesh – Institutional Equities, Kotak Securities Limited
Sure. I'll take it off line. The second question is on the provisioning line. Again , this reversal on standard assets as well as other provisions. If you could just tell us what's happened in these two lines.

- Mr. Dinesh Khara – Chairman, State Bank of India:
Yeah , we have been adopting a pol icy for past almost two years plus where we have started providing for any kind of a likelihood of the stress which might emerge on our loan book and that is something which you have … when we are sure that those stress are no more there on the site we have reversed those positions which we had created for the standard assets. That's about 1200 odd crores .

- Mr. M B Mahesh – Institutional Equities, Kotak Securities Limited
Okay. And last question , sir on the SME side . You have started seeing pretty good healthy growth in that , it's now clocking about 20 %. What are you thinking on that particular portfolio?

- Mr. Dinesh Khara – Chairman, State Bank of India:
See, I think somewhere in the year 20 we had given the guidance that we will try to achieve , move up in the SME book from 3 trillion to 4 trillion. So, we are somewhere there only 3.8 8 trillion , we are already there , by 24 we had indicated. So, I think we should be in a position to reach out to this level and this growth has been built up in a very very clear and conscious manner and into the identifiable products which are in line with our risk appetite. So, that is something which we have done and we feel that we feel that we should be in a position to sustain this kind of a growth trajectory going forward . Having built up our infrastructure relating to SME lending. We have significantly beefed up our infrastructure

for SME lending. We have
improved the loan management system , we have gotten the algorithm relating to the lending to SME , we have introduced a new product pre -approved business loan, where we are witnessing almost about 1800 kind of a growth every quarter. So this is something these are some of the initiatives which we have done and that pre -approved business loan is all analytics driven , depending upon our understanding of the customer and their transactions. So, I think we have taken multiple such steps which will help us in rampin g up our SME book.

- Mr. M B Mahesh – Institutional Equities, Kotak Securities Limited
Thanks sir. Just to clarify the yields on the SME loans is similar to the Xpress Credit, If I were to just compare these two products .

- Mr. Dinesh Khara – Chairman, State Bank of India
It should be slightly lower . But then of course it continues to be a much better yielding product comparing /considering the fact that these days some of the banks are willing to lend to some of the corporate at less than the S TL rate also.

- Mr. Prakhar Sharma – Equity Analyst, Jefferies India Private Limited
Sir, Prakhar here from Jeff eries. Congratulations sir, very good set of numbers especially in the backdrop. Sir, just wanted to get some more clarity on the funding cost part. I just wanted to know is it possible to give some sense on whether what percentage of term deposits have actually moved to the new rates because for the last couple of months banks have not ra ised term deposits materially. So probably the incremental rate has been set. Where are we from that on the P&L side?

- Mr. Dinesh Khara – Chairman, State Bank of India
Even, w e have not also increased the interest rate for some time but whatever re -pricing has happened I think perhaps it will all be fully panned out by the next quarter whatever little is left out.

- Mr. Prakhar Sharma – Equity Analyst, Jefferies India Private Limited
Okay, okay, understood. And despite that the margins will hold up.

- Mr. Dinesh Khara – Chairman, State Bank of India
That's the reason I was saying that maybe we might see compression of another 3 – 5 bps .

- Mr. Prakhar Sharma – Equity Analyst, Jefferies India Private Limited
So, if I may just ask sir, where is the offset in your view coming is it mostly the LDR or we are yet to see some re -pricing on the loan side because …

- Mr. Dinesh Khara – Chairman, State Bank of India
I think LDR will be the one. We expect to improve the LDR and that will help us in shoring up the re -pricing of loan whichever whatever will come now for the renewal at this stage. MCLR based loans which will come for the renewal now.

- Mr. Prakhar Sharma – Equity Analyst, Jefferies India Private Limited
Perfe ct. Thank you, sir .

- Mr. Nitin Aggarwal – Sr Group Vice President, Motilal Oswal Financial Services Ltd
Sir, sir, this is N itin Aggarwal from Motilal. Sir, one question on the unsecured piece of the book like in the press meet you talked about that the trends on asset quality are going very strong on a personal loan book. But if I look at your subsidiary cards, they have been talking about some rise in stress levels. So how do you look at the divergence in these two segments of unsecured and do you t hink that this gap will narrow?

- Mr. Dinesh Khara – Chairman, State Bank of India
See the point is that the subsidiary has got a very different underwriting principle and the book is very different for them. As far as we are concerned, we are giving unsecured loans to those who are maintaining salary accounts with us. So, we have got a very clear visibility in terms of the fund flow for such entities , I mean , such customers and that is something which is helping us in terms of mitigatin g the risk in the unsecured book. When it comes to our subsidiary

Card, they do look at some of the customers very independently because that is a separate entity and there are certain restrictions as far as RBI is concerned in terms of sharing the customer database with our entities also. And that is one of the reasons why almost about 50% of the book is something which comes from State Bank and the remaining 50% is from the market. And, as it is you know when it comes to credit card business that is o n a very different line, it is a unsecured business, it is very high yielding business also. And to that extent they have got a ability to absorb little higher delinquencies also but their collection mechanisms are also very different as compared to what w e really practice. So I think to that extent it is a very different model which they follow and the kind of model which we follow is very different as we have lower risk appetite we have got much lesser yield on such book also but nevertheless our delinquencies are well within control.

- Mr. Nitin Aggarwal – Sr Group Vice President, Motilal Oswal Financial Services Ltd
Right sir. And s ir, the other question is on the loan growth wherein you are indicating for a 14% plus loan growth and so how do you specifically look at the corporate growth and the international growth wherein we have seen a good pickup this quarter. So, these two segments if you can share some color .

- Mr. Dinesh Khara – Chairman, State Bank of India
See, corporate loan I expect as I was sharing that we have got the undis bursed portion of some of the sanctioned loans un -availed limits of the term loans. In the term loans we have seen the availment has improved by almost about 100 bp s in this quarter as compared to previous quarter. And also, when it comes to the utilization of the working capital also it has improved in this quarter. I think going forward we will have a situation where this will probably , availment will improve further and also the part of the pipeline, which is there for 3.4 trillion and odd, which is there for the proposals which are under process. We will get to see some sanctions getting converted into , I mean some such proposals getting converted into sanctions and some of them getting availed also. So, I expect that this corporate growth should see some improvement going forward. Ideally, I would like to see it somewhere and at least in the lower two digit numbers.

- Mr. Nitin Aggarwal – Sr Group Vice President, Motilal Oswal Financial Services Ltd
Right sir. And the in ternational book?

- Mr. Dinesh Khara – Chairman, State Bank of India
International book we will be somewhere around this number only. We do not want to go very aggressive on international book because different geographies are behaving differently and that is the reason why we want to confine ourselves to some of the stable geography is like US and Middle East and Japan where we have gro wn in this quarter also. If you recall , last quarter we had not grown in the international book. Essentially , we are trying to understand how the global situation is going to evolve. Now we have got some clarity and with that in mind we will be growing in these markets.

- Mr. Nitin Aggarwal – Sr Group Vice President, Motilal Oswal Financial Services Ltd
Right sir. Thank you so much.

- Mr. Dinesh Khara – Chairman, State Bank of India
Thank you.

- Mr. Jai Mundhra –Vice President (Equity Research), ICICI Se curities Limited
Hi sir . This is Ja i Mundhra from ICICI Securities. It is a question on your R oA. So, for the last two quarters we did 1.2% R oA. This quarter we have done 1% R oA and I can see that, you know, this wage revision provision, enhancement that we have done, 3400 crores, this turns out to be around 24 basis point of an R oA pre-tax. So, of course

, this is likely to be one o ff
unlikely to reoccur. So, the question is are you a 1.2% R oA bank or are you a 1% R oA bank? I mean , in the sense you know I mean so yeah so that is the question.

- Mr. Dinesh Khara – Chairman, State Bank of India
No, my effort is that it should be a 1.2% R oA bank. Budgeting has been done around that kind of a number only and that is how we are. When it comes to our monitoring on ground this is something which we are doing.

- Mr. Jai Mundhra –Vice President (Equity Research), ICICI Securities Limited
Right. And, secondly sir when you say margins could decline by 3 - 5 bps, this is domestic only o r this is global because your overseas margin you know have been at very very high level and you know could be , could be more volatile versus domestic.

- Mr. Dinesh Khara – Chairman, State Bank of India
Actually , overseas book if you 've looked at all, you will look at the interest rate and overseas that is all on the higher side now. So, I think this 3 - 5 bps compression in margin is essentially I was looking at the domestic book only, but I think overseas I expect that we should be in a position to maintain these kind of margins in the overseas book at least on the foreseeable future.
- Mr. Jai Mundhra –Vice President (Equity Research), ICICI Securities Limited
Thank you, sir . All the best.

- Mr. Hardik Shah – Associate (Global Investment Research), Goldman Sachs
Hello sir. Hardik here from Goldman. Congratulations on good set of numbers. My first question is on the competitive intensity in the mortgages. How is it and how do you expect it to trend going forward?

- Mr. Di nesh Khara – Chairman, State Bank of India
This market is quite competitive , there is no doubt about it but when we look at our sanctions and disbursements, we are seeing healthy trend. Is there about 20% or increase? 25% increase on a sequential basis. So, I think we will continue to see that kind of a traction because we have invested well in terms of our ability to source , process , disburse and also control and follow up. So last year we added almost 150 CPCs across the country. So, this is

some thing which is going to really work well I think, and we expect that we will have decent growth in this going forward.

- Mr. Hardik Shah – Associate (Global Investment Research), Goldman Sachs
Okay , and sir, second question is on the SME book . Can you give some more colour around

what is the average ticket size , what are the sectors that you are lending to within SME?

- Mr. Dinesh Khara – Chairman, State Bank of India
Yeah please.

- Mr. Alok Kumar Choudhary – Managing Director (RB & O) , State Bank of India
So in case of SME, we have grown almost by 57% in working capital which essentially means that the units which you were sanctioned loans they are utilizing more and more working capital because we have enhanced scale of operations or demand fulfilment also. In case of term loan, we have grown by around 25% but the growth also comes from a supply chain finance where we have grown by almost 29.44%. Growth is also coming from the CGT MSE loans because in CGT MSE loans also we have improved our pro cesses and that is leading to growth. And the best part in this entire SME transformation is that we have around say 2000 relationship managers spread across almost all the districts of the country wherever you have SME concentration there are almost 900 branches which are essentially doing SME nothing else. Of course , the related SME work , maybe current account, and some of the forex business. And the processing cells , we have two types of processing cells even in many places . One processing cell is e ntirely for all kinds of loans which will come and one processing cell is also when specifically , say, established only for the supply chain b

usiness and we went
into some transformation known as project Pratham which also led to lot of BREs business rule engines getting established. So, I think both on the product side , as well as process plus use of the different partners , fintech partners etc. This is all leading to growth and the most important point is what the Chairman has said that he has mandated 4 trillion kind of SME growth. So, which has electrified the entire workforce in the country to do this SME business because you understand that SME has been our business since time semi -memorial and we need to have a right ful place in the entire SME ecosyst em of the country. Hope it satisfies …

- Mr. Hardik Shah – Associate (Global Investment Research), Goldman Sachs
And what would be the utilization levels in those working capital which has enhanced the growth.

- Mr. Alok Kumar Choudhary – Managing Director (RB & O) , State Bank of India
Utilization level only in SME space ? Another , because , the SME loans would be generally up to 50 crores because more than 50 crores the SME loans as we classify in our portfolio is very little. So, there we d o not have that kind of data that for 20 crores loan or 15 crores loan what

is the utilization. That utilization percentages we generally monitor for the corporate credit loans where we have around 56% kind of utilization in the corporate loans.

- Mr. Hardik Shah – Associate (Global Investment Research), Goldman Sachs
Okay. Got it. Thank you, sir .

- Mr. Anand Dama – Senior Research Analyst, Emkay Global Financial Services Ltd
Sir my question again is related to SME but not on the growth front I just want to understand any signs of stress that you see in the SME segment how are the NPA's trending in the mudra and the non -mudra loans specifically.

- Mr. Alok Kumar Choudhary – Managing Director (RB & O) , State Bank of India
You see in case of SME we have done analysis to find that the SME NPA is mostly a function of less than 50 lakh. 50 lakh loans is basically the section which gives the highest more than 70% of the NPA. So there as most of these SME borrowers should be micro kind of borrowers. So, they are exposed to more kind of vagaries of the market as such we find that they may be prone to stress many times but we also see that many of them get pulled back. Like you see the slippages of last quarter almost 12 00 crore of slippages has been pulled back. So, it's a kind of pull and push business. So, market vagaries put them into stress but our support and also the discipline of the SME borrowers put them back into SME. So, from that perspective I don't think any sector wise we have but in case of re structuring we found that the most of it is the retail s hops , transport operators those were more ...

- Mr. Dinesh Khara – Chairman, State Bank of India
Seeing the reduction in SME NPA it used to be about 6% in the Q3FY23 and from there it has come down t o somewhere around now at about 4.41%. So that is again you know part of it we need to address the under writing but at the same time our connect on the ground is

something which works well, and we have to be pragmatic in terms of how we assess their limits and how we ensure that their cash flows are taken care of. So, but at the same time I must also mention in the SME space it was a very clear effort on our part when we got into this space once again that we should try and build up this book through vendor finance, distributor finance where we have got a clear visibility and that is one of the reason why from Sep'22, the NPA level at 6.03% we are now at 4.41%. So, it is a very careful selection and also ESG as something which also worked well apart from that we are taking shelter in the CGT MSE. Whatever comforts are available for the banking system we are a vailing all of them, but I wo

uld say that it is a multi -prong strategy which has worked to ensure that we bring it at 4.4% but ideally speaking we w ould like to see it somewhere around 3 to 3.5% only.

- Mr. Alok Kumar Choudhary – Managing Director (RB & O) , State Bank of India

So, just to add a bit of data sir, we the risk mitigated products which we have that is around 35.23% where we have either CGTM SE or maybe asset backed loan or securities there. So, we are trying to move more into risk mitigated products so that the incidence of NPA is quite less.

- Mr. Anand Dama – Senior Research Analyst, Emkay Global Financial Services Ltd

So, secondly on the savings deposit side you know system wide we have seen typically dips into the first quarter rises again second quarter this time around trend have been diff erent and we are seeing actually dip in the second quarter across banks in the savings deposits.

- Mr. Dinesh Khara – Chairman, State Bank of India

No, we have seen a growth.

- Mr. Anand Dama – Senior Research Analyst, Emkay Global Financial Services Ltd

I mean , obviously , the growth is there but it is much less er.

- Mr. Dinesh Khara – Chairman, State Bank of India

Yes, of course , you have to see … The point is that , the trend whi ch you are indicating is normally in the normal situations when the inflationary conditions are there invariably the trend is that people try to move t he deposit where they can have the inflation neutral returns or if at all they should get the positive returns that is the effort on the part of the people and that is one of the reasons why perhaps you would have seen more traction in the mutual fund space also because those who are yield chaser, they will look at all possible options. So, that is something which is seen but nevertheless , we have also witnessed because some of the savings accounts are also opened by the government entities and as you are aware that the government has now moved to the just in time funding of these accounts. That is also one of the reasons why you would have seen the kind of growth which is there in savings account is muted . But nevertheless , you know as far as we are concerned, we are now trying to build up our CASA focus with more emphasis on CA. And, when I talk ab out CA it is we were having a huge dependence on the government deposits in the current account, but we started de - risking ourselves and we got into t rade & commerce industry and we have now witnessed the growth on a YOY basis which is about 8% plus in cur rent account and which is much better than our competitors also. So that is something which we have seen and also when it comes to savings b ank deposit , invariably we have seen that in these kind of times people normally go for MOD kind of a situation wher e the money can move from savings bank to term deposit depending upon the threshold with the customer offers. Having said that I must also mention that we have opened almost about 30 lakhs plus savings … 40 lakh plus savings bank accounts during the quarter and almost about 1.40 lakhs corporate salary package accounts. So, I think when it comes to our effort to really open the accounts there is no slowness which we have observed almost about 30,000 accounts are getting opened through YOYO on a daily basis which actually represent about 61% of the accounts which we are opening in the bank. So that is how it is all stacked up. So, I think the fact of the life and moreover since we have to be very mindful in terms of our cost of deposit . We don 't think th at there is a need for any increase in interest rate for the savings deposit that is how we look at this whole subject.

- Mr. Anand Dama – Senior Research Analyst, Emkay Global Financial Services Ltd

Sure. So, lastly , on t

he capital front I mean your stance is well known that you don 't need to raise capital as such. But when you look at the optimal ratios when you compare it with the peers globally as such obviously on a C ET basis basically, we are on a lower side.

- Mr. Dinesh Khara – Chairman, Stat e Bank of India
We will be raising the Tier-1 and also, we will be ploughing back significantly higher number of profit as compared to what we did last year.

- Mr. Anand Dama – Senior Research Analyst, Emkay Global Financial Services Ltd

Sir, any working , on what could be the bump up that we might see in the CET-1 because of the investment.

- Mr. Dinesh Khara – Chairman, State Bank of India
I think we have done some exercise and we expect that at the year-end we should be somewhere around 15.32% as far as CAR is concerned and about 11% plus in the C ET-1.

- Mr. Anand Dama – Senior Research Analyst, Emkay Global Financial Services Ltd

Post the reclassification of investments.

- Mr. Dinesh Khara – Chairman, State Bank of India
Not the investment. Ploughing back of the profit.

- Mr. Anand Dama – Senior Resear ch Analyst, Emkay Global Financial Services Ltd

Okay that is it but you will have more I think something coming from the reclassification of investment.

- Mr. Dinesh Khara – Chairman, State Bank of India
That too we will see we have not analysed .

- Mr. Anand Dama – Senior Research Analyst, Emkay Global Financial Services Ltd

The results that are going to be created.

- Mr. Dinesh Khara – Chairman, State Bank of India
We have not analysed all that.

- Mr. Anand Dama – Senior Research Analyst, Emkay Global Financial Services Ltd

Okay. Thank you, sir.

- Mr. Sanjay Kapoor - General Manager, State Bank of India
So, we have a few questions coming in through the online webcast. We request Chairman Sir to address , please .

- Mr. Dinesh Khara – Chairman, State Bank of India
Yeah sure . I think , I will take up one by one.

- The first question has come from Rahul Ja in - When do we expect to get full clarity of wage negotiation and how did the provision guidance of 10% change d to 14% .

The wage negotiation is still in process. Keeping in view of the progress in negotiation it is our reasonable expectation that we might be having the wage negotiation around 14% . That is the reason why we have increased it to 14%.

- The second question comes from Ram J.S. - Given the regulator concern on unsecure d loan do you expect risk weight to be increased for them.

RBI has been talking to on this particular issue for quite some time and it is our interpretation that RBI is worried about the smaller loan values of less than 50,000. Risk weight may go up but as of now there is no timeline.

- Another question is from Mr. Pavin Kumar Nagpal - How does the bank plans to maintain its credit growth momentum in the second half of the financial year?

For credit growth we have a good number of loans which are already sanctioned and pending for disbursement, and we are seeing good traction as far as our retail loan book is also concerned in terms of the sanctioning. So that is the reason why we feel that we should get to see the decent credit growth momentum. We have approximately 1.4 1 lakh proposal, 1.41 trillion worth of proposals pending for disbursement we expect them to get disburse d in next 2 - 3 quarters and also proposals which are under process of sanctioning are about 3.3 trillion.

- Shri Gopal Agarwal - At what rate manag ement is expecting loan growth.

We expect that we should be growing at about 12 - 14 percent at least . Ideally, we will try to improve it even further.

- How is the growth and quality of Pre-Approved Loans through YONO app looking like

?

It’s a… actually I would say that it is perhaps one of the best is no cost of sourcing the business and we are not only doing the Pre-Approved Personal Loan we are also doing Pre-Approved Business Loan encouraged by the outcome which w e saw in the personal loans and also, we are going for Insta Home Loan Top-up and as well as the Real Time X press Credit. Digital loan portfolio generated till now is about almost 10,000 crores during the first half of the current financial year.

- Why did the domestic NIM fall for this quarter ?

Domestic NIM on Q oQ basis has declined marginally from 3.47 to 3.43 due to increase in cost of deposit and of course we don ’t have any one off which we had in the previous quarters. On a YoY basis the cumula tive domestic NIM has actually improved from 3.39 to 3.45 percent and essentially attributed to the increased loan book and better yield on advances.

- What percent of advanced portfolio is MCLR link ed, what part is fixed rate and what part is Repo linked?

MCL R link is 38 %, fixed is 31 %, EBLR is 27 % and other which also include T-bill is 14 %.

- Mr. Sanjay Kapoor - General Manager, State Bank of India
Thank you.

- Mr. Dinesh Khara – Chairman, State Bank of India
So, with that all the questions which have been received offline have been answered.

- Mr. Sanjay Kapoor - General Manager, State Bank of India
Thank you, sir . I trust all the questions have now been addressed.

- Mr. Dinesh Khara – Chairman, State Bank of I ndia
Anybody has any more questions to ask?

- Ms. Mahrukh Adajania – Executive Director (Equity Research), Nuvama
Yes sir, thank you. Sir, I have two questions. You just answered on risk weights, and you said we don 't know the timeline of increase. You meant for below 50,000 or for all loan.

- Mr. Dinesh Khara – Chairman, State Bank of India
I think perhaps it is likely to be below 50,000 because perhaps RBI observations are also more concerned about less than 50,000 and herein, I would l ike to mention that when we sanction, we do not sanction less than 50,000 at all. Whatever less than 50,000 is there it is only on account of the repayment of the existing Xpre ss Credit. So, I think essentially, they are trying to address the genuine conce rns which they have from some of the players in the industry which are into ETB and also into low ticket personal loans.

- Ms. Mahrukh Adajania – Executive Director (Equity Research), Nuvama
And Sir, just one last question, it was probably asked earlier. So, you had good deposit growth , you had healthy loan growth and you have a low domestic CD ratio also of 64 %. So, why have your borrowings increased when deposits and your CD ratio were already up before?

- Ms. Mahrukh Adajania – Executive Director (Equity Research), Nuvama
There a t times , these are the tactical decisions also.

- Mr. C. S. Setty – Managing Director (IB, GM & T) , State Bank of India
We can explain offline. I think I told you that we'll discuss .

- Ms. Mahrukh Adajania – Executive Director (Equity Research), Nuvama
Sure. Okay sir. Thank you.

- Mr. Sanjay Kapoor - General Manager, State Bank of India
Thank you. We'll be happy to respond to other questions in offline mode. Let me end the evening with thanking the Chairman, the Top Management team, the Analyst, Ladies and Gentlemen. To round off this evening, we request you to join us for high tea which is arranged just outside the hall. Thank you !

- Mr. Dinesh Khara – Chairman, State Bank of India
Thank you very much. Thanks to all of you !

Call: Feb 2024

CC/S&B/AND/2023/ 848 08.02.2024

Madam / Sir,

Disclosure under Regulation 30 of SEBI (LODR) Regulations, 2015 :
Transcript of Analyst Meet

Pursuant to Regulation 30 and other applicable provisions of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 , we attach herewith the transcript of the Q 3FY24 post results Analyst Meet held on 03.02.2024.

Please take the above information on record .

Yours faithfully,

(Aruna N Dak)
AGM (Compliance & Company Secretary)
Encl: A/a

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Q3FY24
ANALYST MEET
TRANSCRIPT
03.02.2024
MANAGEMENT : MR. DINESH KUMAR KHARA
CHAIRMAN , STATE BANK OF INDIA

MR. C.S. SETTY
MANAGING DIRECTOR (INTERNATIONAL BANKING , GLOBAL MARKETS & TECHNOLOGY)

MR. ASHWINI KUMAR TEWARI
MANAGING DIRECTOR (CORPORATE BANKING AND SUBSIDIARIES)

MR. ALOK KUMAR CHOUDHARY
MANAGING DIRECTOR (RISK, COMPLIANCE AND STRESSED ASSETS RESOLUTION GROUP)

MR. VINAY M TONSE
MANAGING DIRECTOR (RETAIL BUSINESS & OPERATIONS)

MRS. SALONI NARAYAN
DEPUTY MANAGING DIRECTOR (FINANCE)

MR. SANJAY KAPOOR
GENERAL MANAGER (PERFORMANCE , PLANNING & REVIEW)

- Mr. Sanjay Kapoor - General Manager (Performance, Planning and Review), State Bank of India

Namaste and Good evening, ladies and gentlemen. I am Sanjay Kapoor, General Manager of Performance , Planning and Review department of the bank. On the occasion of the declaration of the bank’s Q3FY24 results , I am delighted to welcome the analysts, the investors, and our colleagues for an in -person meeting. I also extend a warm welcome to the analysts, investors and colleagues who have joined this presentation through our live webcast.

We have with us on the stage , our Chairman - Shri. Dinesh Khara at the centre , our Managing Director International Banking, Global Markets and Technology - Shri. C. S. Setty, our Managing Director Corporate Banking and Subsidiaries - Shri. Ashwini Kumar T ewari, our Managing Director Risk, Compliance and Stress Assets Resolution Group – Shri. Alok Kumar Choudhary, our Managing Director Retail Business and Operations – Shri. Vinay M Tonse, our Deputy Managing Director of Finance - Smt. Saloni Narayan, our Deputy Managing Director s heading various verticals, and Managing Directors of our subsidiaries are seated in the first row of th is hall. We are also joined by the Chief General Managers of different verticals and business groups.

To carry forward the proceedings, I request Chairman sir to give a brief summary of the bank’s Q3FY24 performance and the strategic initiatives undertaken. We shall , thereafter , straight away go to the Q&A session. However, before I hand it over to the Chairman sir, I would like to read out the safe harbour statement.

Certain statements in these slides are forward looking statements. These statements are based on management's current expectations and are subject to uncertainty and changes in circumstances. Actual outcomes may differ materially from those included in these statements due to variety of factors. Thank you !

Now, I would request Chairman sir to make his opening remarks. Chairman sir, please…

- Mr. Dinesh Khara – Chairman, State Bank of India

Thank you. Good evening, dear friends and thank you for joining this Analyst Meet today. I would like to start by thanking for the support of all our stakeholders including our customers, shareholders, employees and the broader ecosystem. Without their support we would not have been in the position to achieve what we could. Fairness to all our stakeholders remains at the crux of the bank's culture, which in turn has helped us in creating sustainable value.

Let me start with a brief description of the present global and domestic economic scenario. Global economy is projected to grow at the rate of 3.1% in ‘24 and 3.2% in ‘2025 owing to greater than expected resilience in the U.S. and several other emerging ec onomies. While global economy is showing resilience, the projected growth is still below the historical average of 3.8% for the 20 years starting from ‘2000. While the likelihood of a hard lending has receded, still there are certain risks that need to be monitored. New commodity price spikes from the geopolitical shocks, supply disruptions and persistent underlying inflation could prolong the tight monetary conditions. Against this backdrop, the outlook for th

e domestic activity is

brightening on account of the sustained buoyancy in the services, consumer and business optimism, public spending on infrastructure and the underlying strength of the financial sector's Balance Sheet. Consumer confidence has improved with uptick in most of the macroeconomic conditions. The Union government at a historically unprecedented rate and it has taken the overall public sector capital investment from almost about six trillion in ‘2015 to 18 trillion in

‘2025 as per the budget estimates, which is a jump of almost three times. Gross tax to GDP in FY25 is projected to touch 11% plus; the highest ever in 16 years. GST monthly threshold has moved up to 1.64 trillion and even in the previous month of January we have seen a level of 1.67 trillion. CPI inflation is expected to moderate in coming months. On external front, the current account deficit is modest with foreign exchange reserves providing a strong buffer. IMF has recently updated India's GDP outlook growth for the year ‘2024 to 6.7% from 6.3% earlier underpinning the growth potential of the Indian economy. While recognizing the global risk an d the volatility in financial market, the real GDP growth is expected to be 7.3% in FY24. Interim budget has estimated the nominal GDP growth of 10.5% for the year ’25.

On the banking front, the deposit growth has rebounded but sustained credit growth momentum has increased the wedge between deposit and the credit growth. As on 12th of January all Scheduled Commercial Bank credit grew by almost about 20% as compared to 16% last year and the deposit grew by 13% as compared to almost 11% last year. Latest Credit growth numbers reveal their sustained pick up across agriculture, MSME, and services.

Coming to the bank's performance, once again we have delivered stellar numbers. Our net profit in 9MFY24 stood at ■ 40,378 crores, which has witnessed an increase of 20% plus over 9MFY23. This is despite providing for wage revision of ■ 12,718 crore s during the current financial year as per the Bipartite Wage Settlement at the rate of 17% wage hike. Further, I'm happy to share that our net profit for the Q3FY24 stands at ■ 9,164 crores after absorbing the additional liability to the tune of ■ 7,100 crore s in a single quarter as a onetime exception item. This comprising of two sub items. Firstly, ■ 5,400 crore s, which is on account of an increase in pension and addressing the anomaly which used to be there between the employees who retired many years back. Some of the employees who are getting pension at the rate of 40%, while others were drawing pension at the rate of 50%. This matter was sub judice for a fairly long time and it is almost likely to get resolved soon. And with that in mind, we had a very clear visibility in terms of the likely liability and we have decided to provide for the same in the current quarter. Secondly, we have also provided for ■ 1,700 crores towards the Dearness Relief Neutralization for the pre ‘2002 retirees and family pensioners. Our ability to absorb the above liabilities without significantly impacting the long term profitability outcomes of the bank demonstrates the strength o f our Balance Sheet and also the reflection of our philosophy that we must ensure that the Balance Sheet stays strong under all conditions.

ROA of the bank at 0.94% for 9MFY24 has improved by 7 basis points over 9MFY23. The ROE for 9MFY24 stands at 19.47%, which has improved by 88 basis points over 9MFY23.

We have been consistently delivering ROE in excess of 15% for the last six quarters. Our aspiration from our current position of strength is to sustainably deliver a ROE more than 15% through various business cycles.

The cost to income ratio of the bank stands at 57.35% including wage raise provision and excluding the impact of one time exc

eptional item of Pension liabilities and Dearness Relief Neutralization.

Overheads have been under control and have shown a decline of 3.10% sequentially. The underlying driver for the sustainable step up in the profitability profile of the bank have been the unmatchable liability franchise with 48 crores plus customers comprising nearly 34% of the Indian population. Ou r customer centric approach, the process oriented culture of the bank, strengthened underwriting processes and correct pricing of the risk have also contributed to the sustainable profitability. We are mindful of our liability portfolio as it provides a stable stream of resources for us. We continuously monitor the concentration of our deposit profile daily ensuring that the dependency on the wholesale funding is contained within the prescribed level.

The differential rate of deposits and the CDs are just around 13% of our total deposits. We retain reasonable reserve resource in the form of liquid assets over and above the CRR and the SLR requirement to meet the future contingent demand and broad basing the deposit mix.

Unencumbered excess SLR stands at about 4 trillion as on 31st December’23.

Liquidity Coverage Ratio at about 131% as on 31st December’23 is well above the regulatory benchmark.

I'm happy to highlight that the credit growth has been robust across all the segments. Our retail personal loan book is more than 13 trillion is growing at 15% plus YoY with an industry leading asset quality. The growth in agri, SME and corporate segment has witnessed the healthy growth of 18% plus, 19% plus and almost 11% respectively.

I'm glad to share the progress we are making in digital banking. 59% of the savings bank accounts were opened through YONO in 9MFY24. We are also leveraging analytics with significant business of ■ 95,000 crore s being sourced through analytical leads showing growth of 37% YoY.

With regard to asset quality, our Gross NPA ratio has improved by 72 basis point YoY and stands at 2.42% as at December'23 and continues to be at the lowest level in more than 10 years. Our Net NPA ratio has also improved by 13 basis points and stands at 0 .64%. Slippage ratio for 9MFY24 has improved by 5 basis point YoY and stands at 0.67%. The consistently improving asset quality is also reflected in our credit cost for 9MFY24. It stands at 0.25% and has improved by 12 basis point on a YoY basis.

We are well provided for our Loan book with PCR (including AUCA) standing at 91.49% and PCR for Q3FY24 standing at 74.17%.

While we are glad about the outcome in the current quarter, we are also conscious of the areas for further improvement. On the liability side, we continue to focus on increasing our share in current account while maintaining our leadership position in savings deposit. Our CET1 ratio after considering plough back of nine -month profit is at 10.38%. Additionally, the current ROE profile of the bank is above the credit growth trend which will lead to CET1

incremental accretion. However, the bank is open to raising equity capital if the growth trends are higher than expectation.

Our subsidi aries are also consistently performing well and continue to create significant value for all the stakeholders and most importantly for the customers.

Concluding my opening remarks, I want to thank you all for your support to the bank. The bank, while pursuing its own progress, contributes to the progress and economic growth of the broader ecosystem. We remain committed to reward your trust in us with su perior, sustainable returns over the long term. My team and I , are now , open to taking your questions. Thank you very much.

- Mr. Sanjay Kapoor - General Manager (Performance , Planning and Review), State Bank of India

Thank you, Sir, for your opening address. Thank you, Sir.

We will now invite questions from the audience. F

or the benefit of all, we will request you to
kindly mention your name and company before posing the questions. To accommodate all questions, we request you to restrict questions to maximum two at a time. Also, kindly restrict your questions to the financial results only and no questions be asked about specific accounts, please. In case you hav e additional questions, the same can be asked at the end.

We will now proceed with the Question & Answer session. Thank you.

- Mr. Ashok Ajmera – Chairman, Ajcon Global

Thank you, Sir. This is Ashok Ajmera, Chairman Ajcon Global. Sir, compliments to you for the fantastic results but for that exceptional item even the net profit would have been higher by more than ■ 20,000 crores . I mean the operating profit also has gone up and net profit also would have been much, much higher. So, my question is on that only. Number one, that this 15%-17%, I mean, the expected rate of wage hike was 15% and now it has gone to 17%, so in our employee cost in the normal P&L there is hardly any impact if you see the numbers of the last quarter and this quarter and which it seems that you have taken in exceptional item. Whereas in case of all other banks so far, they have take n in the regular P&L the direct hit of the increase. This is number one.

And, secondly, what was the need for a provision in this quarter itself of such a big amount? Was it because the results were good, the profitability was good or is it because in the next quarter you are feeling that may not be so robust or so good .

And, third is that you wanted to make the bank's balance sheet to remain very healthy?

This is my first this thing, Sir.

- Mr. Dinesh Khara – Chairman, State Bank of India

Well, I think, when it comes to the way we look at this expense particularly, as far as provision for the wage increase is concerned we were providing at the rate of 10% from November'22 onwards and later on we increased it to 14% and when the MOU got ente red into, as of now it has not crystallized into a liability, that will crystallize into liability at a later date. So, that is the reason why we thought much in order to create a provision because only and only when it gets crystallized into liability it should be taken as an expense. That is something which we have done. I must mention that up to September'23 we had made a provision of ■ 8,895 crores and we have made additional provision for the wage increase in this quarter of about ■ 6,313 crores. Provision made during this financial year is ■ 12,718 crores and the additional provision which is required to be made in this financial year would be another ■ 5,409 crores.

Your second question, why we have made provision in this quarter.

- Shri C.S. Setty - Managing Director (International Banking, Global Markets & Technology), State Bank of India

Before that, 7100 needs to be…

- Mr. Dinesh Khara – Chairman, State Bank of India

Yes, ■ 7,100 crores is actually a provision which essentially, we have made because, as I mentioned in my opening remarks also, there was an anomaly in the pension being paid to the different set of employees in the bank. Some set of employe es were being paid pension at the rate of 40%, the other were being paid pension at the rate of 50% and this matter was pending before the court of law since '2002. And now, of course, there is a definite progress. Though we still don't have the liability b ut, nevertheless, since we saw it' s an event which is almost certain to happen, our actuary suggested that we should make a provision of another ■ 5,409 crores for meeting this liability in future. And also the other piece was relating to the difference in the dearness relief for the pensioners who retired before November of '2002. That liability was ascertained at ■ 1,700 crores and the actuarial assessment suggested tha

t we should

provide for this. So, the decision to account for these liabilities have actually happened because there was a crystallization of the liability. It has nothing to do in terms of whether this quarter is strong or the next quarter is weak.

I'm not supposed to make any kind of projections about the next quarter but the general expectation is that last quarter is always strong quarter and also the kind of growth trajectory which we have seen, no reason to believe otherwise.

- Mr. Ashok Ajmera – Chairman, Ajcon Global

Just a connected question, we will get the tax benefit on this provision for the year end?

- Mr. Dinesh Khara - Chairman, State Bank of India

We will get the tax benefit.

- Mr. Ashok Ajmera – Chairman, Ajcon Global

Will it be treated a full expenses?

- Mr. Dinesh Khara - Chairman, State Bank of India

Yeah.

- Ms. Saloni Narayan - Deputy Managing Director (Finance), State Bank of India

Yes-yes, of course.

- Mr. Ashok Ajmera – Chairman, Ajcon Global

Sir, my second one is on the capital adequacy . Sir, I mean, we are growing very fast and we need to grow. In spite of even such a large size still we are going in percentage terms also, 13%-14%-15%. So, on capital adequacy , though, I mean, you have excess SLR. You said 4 trillion but don't you feel that some major decision is required to be taken to bring the capital adequacy on par with some of the other banks? I would not use the word peer banks because they are too small as compared to you but still a capital adequacy of about 15.5% -16% don't you think that some drastic decision or bold decision is required to be taken when the share price is also reasonably good now?

- Mr. Dinesh Khara - Chairman, State Bank of India

See, if at all we reckon the profit which we have booked till now and if we reckon it to be ploughed back into the system, our capital adequacy ratio would have been 14.34% and our CET1 would have been 10.38%. So, this is something which I think we need to reckon.

And the other piece is that our ROE is growing at about 19% -20% and also our loan book is growing at about 14% -15%. As long as our ROE is growing faster than the loan book, the incremental ROE will actually give us the ability to plough back the profit and which will ensure that we stay healthy as far as the capital adequacy is concerned. But, nevertheless, we are

quite open. We are reviewing th is situation on an ongoing basis and we are hopeful that there would be some resolution relating to the AT1 pricing and the valuation issue also. So, even that will also open up the opportunities in terms of raising money through AT1 option.

So, we are quite open for all options and we will, as I have mentioned in the past, we are well equipped to deal with the opportunity for growth in the loan book and we will ensure that the capital should not come in the way for the growth of this bank. And even now also, if at all we reckon this kind of plough back, we can easily build up our loan book by another 7.5 0 trillion. So, I think, we are very well placed. I have no reason to doubt but, as I mentioned, that we are quite open and if at all need be we will not hesitate in terms of raising capital. We have identified enough resources through which we can raise the capital. It is not more than a one quarter effort to raise that kind of a capital and there's no reason for my investors also to really worry because when we are prudent in terms of identifying the source of capital and also the cost of capital, I think, that should be a happy situation for all our investors.

- Mr. Ashok Ajmera – Chairman, Ajcon Global

Thank you, Sir. I got the signal. Thank you very much and all the best, Sir.

- Mr. Sanjay Kapoor - General Manager (Performance , Planning and Review), State

Bank
of India

Okay, thank you. We'll move to the next question, please.

- Mr. Manish Ostwal – Fund Manager, Nirmal Bang Securities Pvt Ltd

Hello, this is Manish Ostwal from Nirmal Securities . Sir, my question on the kind of credit cost we are seeing in bank, if I look at the nine months performance of the bank and when I compared to the large private banks, our performance even better. So, obviously, the economy is doing well and that is a on e factor but can you talk about the some of the structural factors in the bank underwriting practices which is sustaining this kind of credit cost? I have never seen this kind of credit cost in SBI almost 15 -20 years, so can you comment on that?

- Mr. Dinesh Khara - Chairman, State Bank of India

Thanks for the compliment. And what you mentioned in terms of economy doing well and that is the reason for the credit cost being low, if that being so then the industry should also have a similar kind of a situation. But, nevertheless, I would like to highlight that we have worked on it for quite some time in terms of … we have strengthened the mechanism for underwriting the risk, for having adequate appreciation of the risk and for ensuring that there is adequate risk premium for the risk which we are undertaking. And that is something which has helped us in terms of en suring that the credit cost should remain contained.

Apart from that when it comes to the portfolio selection also, we are very clear in our mind that what should be our portfolio composition and we have leveraged whatever is available in the ecosystem, structured , unstructured and also when it comes to retail book we have created our Loan Management System which does not leave any discretion and there the decision engines are all embedded into the Loan Management System. So, when it comes to retail, when you have got such a large network you have to control the quality and that is something which we have addressed through the Loan Management Systems. And when it comes to the corporate credit, our Credit Review Department which is there, the credit committees and the composition of the credit committees are the one which helps us in achieving what we have achieved.

And, I think, going forward we are quite cognizant of the likely emergence of the risk and we are ensuring that we should be ahead of the curve and we should be in a position to manage those risks very well.

- Mr. Manish Ostwal – Fund Manager, Nirmal Bang Securities Pvt Ltd

Within that, there is a retail portfolio where even your portfolio like Home Loan, Car Loan and the Personal Loans where the Gross NPA level even significantly lower than the top notch lenders in the private space, so can you talk about that also?

- Mr. Dinesh Khara - Chairman, State Bank of India

We are , actually , the top notch. We are the industry best.

- Mr. Manish Ostwal – Fund Manager, Nirmal Bang Securities Pvt Ltd

No-no, I mean, I'm talking private sector, Sir.

- Mr. Dinesh Khara - Chairman, State Bank of India

No. So, see the point is one thing which I expect you to be, it should be agnostic to the ownership, whether private or public sector.

- Mr. Manish Ostwal – Fund Manager, Nirmal Bang Securities Pvt Ltd

Sure.

- Mr. Dinesh Khara - Chairman, State Bank of India

So, it is more of a professionalism. I think professionalism is not the exclusive domain of a private sector. I think it is there, it is uniform and anybody can be professional and I actually rate ourselves as more professional than any private sector.

- Mr. Manish Ostwal – Fund Manager, Nirmal Bang Securities Pvt Ltd

Appreciate, Sir.

(Audience Applauds)

- Mr. Manish Ostwal – Fund Manager, Nirmal Bang Securities Pvt Ltd

And the second question, on your slide number 20 th

ere's a statement which mentioned that
we expect our ROE is higher than the loan growth and you said in your remarks that if the credit growth even higher than your expectation then we may tap the market. So, what rate of credit growth where you see that need of capital to raise?

And, secondly, in your macro commentary you suggested that 11% kind of nominal GDP for FY25. So, based on that what kind of loan growth we are looking at?

- Mr. Dinesh Khara - Chairman, State Bank of India

Normally, w hen it comes to as compared to the nominal growth, we have seen in the past that the credit growth for a bank like us is generally 3% -4% more than the nominal growth and more than that is normally not there. And considering the fact that we are very selective in terms of the risk, as I mentioned that risk is something which we are very cogn izant of, so I would say that ideally speaking we should be growing around 14% -15% kind of a growth.

And also I would like to mention that this ROE is actually a bit depressed because of the kind of, as I mentioned, that we have in this quarter itself if you really look at it till now we have made the additional provision of almost about ■ 20,000 crores. We have got a profit of ■ 40,000 crore s for the nine months and ■ 12,000 crore s provision we have made in this financial year for the wage hike and another about ■ 7,100 crore s is on account of the one off pension liabilities. So, almost about ■ 20,000 crore s we have provided for. The impact on the wage increase in the next financial year is almost about ■ 500 crore s per month, which is about ■ 6,000 crore s overall. So, ■ 14,000 crore s is an additional provision which we are absorbing in this financial year. With that, our ROE is at about 19.5. My expectation is that we should be trading at more than 20% of ROE and if at all we are trading at more than 20% of ROE and our Loan growth is at 15%, incrementally we are creating additional elbow room for the loan book to grow.

As I was mentioning that we have got enough elbow room to grow and at about 7.5 trillion loan book can be grown. Our loan book is at about 35 -36 trillion, so 7.5 trillion is almost about 18% -20% kind of growth. I think 18% -20% growth is some distance. Not that we don't have liquidity, we have got enough liquidity. Our Liquidity Coverage Ratio is at 131%. And also when it comes to our credit-deposit ratio, as on 31st December we are at 66%.

So, I think liquidity wise no challenge, ability to support growth in terms of capital I don't see any challenge. I only need your good wishes and your support so that we should continue to grow.

- Mr. Manish Ostwal – Nirmal Securities

All the best, Sir.

- Mr. Dinesh Khara - Chairman, State Bank of India

Thank you.

- Mr. Sanjay Kapoor - General Manager (Performance , Planning and Review), State Bank of India

We'll move to the next question here. This side, please.

- Ms. Mahrukh Adajania – Executive Director (Equity Research), Nuvama

Yes, Sir. Hi, good evening.

- Mr. Dinesh Khara - Chairman, State Bank of India

Yeah, please go ahead.

- Ms. Mahrukh Adajania – Executive Director (Equity Research), Nuvama

Sir, my first question is just on wages. You have mentioned that you know you had aligned for DA to pre -2002 of pre -2002 employees and then the 40% and 50% alignment for wages.

- Mr. Dinesh Khara - Chairman, State Bank of India

Not wages, it is for pension.

- Ms. Mahrukh Adajania – Executive Director (Equity Research), Nuvama

Sorry, for pension. So how long was this for? As in, that how long did the case go on because we don't recollect…

- Mr. Dinesh Khara - Chairman, State Bank of India

See, the point is that this case was going on from the year 2002 as far as the pensions are concerned. As far as the DA neutralization is concerned, it was at an industry level, and this was a decision which happened at the behest of intervention through IBA. So, this is something which we have identified the likely liability, and we have provided for it.

- Ms. Mahrukh Adajania – Executive Director (Equity Research), Nuvama

Got it. But the IBA would have told the entire industry?

- Shri C.S. Setty - Managing Director (International Banking, Global Markets & Technology), State Bank of India

The second part, there are two parts, ■ 5,400 and ■ 1,700.

- Ms. Mahrukh Adajania – Executive Director (Equity Research), Nuvama

Yeah, ■ 1,700.

- Shri C.S. Setty - Managing Director (International Banking, Global Markets & Technology), State Bank of India

■ 1,700 is for the industry.

- Mr. Dinesh Khara - Chairman, State Bank of India

■ 5,400 is only for State Bank of India .

- Shri C.S. Setty - Managing Director (International Banking, Global Markets & Technology), State Bank of India

It is only specific to SBI.

- Ms. Mahrukh Adajania – Executive Director (Equity Research), Nuvama

Right. So, ■ 1,700 likely impact for the industry as well depending on their size.

- Shri C.S. Setty - Managing Director (International Banking, Global Markets & Technology), State Bank of India

Correct. And ■ 5,400 is specific to SBI, and both of them are one -time actuarial assessment which we have made and…

- Mr. Dinesh Khara - Chairman, State Bank of India

We have only contributed to the pension fund corpus, that is all.

- Shri C.S. Setty - Managing Director (International Banking, Global Markets & Technology), State Bank of India

Yeah, it is not a recurring expenditure.

- Ms. Mahrukh Adajania – Executive Director (Equity Research), Nuvama

So, is there any other pending hike left from the past in terms of pension?

- Mr. Dinesh Khara - Chairman, State Bank of India

Fortunately, nothing. Rest , you never know, it can come up any day. As of now, there is nothing.

- Ms. Mahrukh Adajania – Executive Director (Equity Research), Nuvama

Okay, and in Q4, sir, the pending provision of 55 billion that you have mentioned of 54…

- Mr. Dinesh Khara - Chairman, State Bank of India

■ 5,409 crores.

- Ms. Mahrukh Adajania – Executive Director (Equity Research), Nuvama

Yeah, ■ 5,400 crores, that would include some impact on pensions or this is just…

- Mr. Dinesh Khara - Chairman, State Bank of India

This is only salary.

- Ms. Mahrukh Adajania – Executive Director (Equity Research), Nuvama

Only salary ?

- Ms. Saloni Narayan - Deputy Managing Director (Finance) , State Bank of India

Sir, that is salary plus the regular pension.

- Mr. Dinesh Khara - Chairman, State Bank of India

That is regular expenses. All staff expenses, because even now also when we are providing for, we are providing for everything on an ongoing basis. It is a recurring kind of a thing. But it will stop. ■ 5,400 crores once we will provide, this 17% aspect is taken care of.

- Ms. Mahrukh Adajania – Executive Director (Equity Research), Nuvama

So then over and above that, whatever pensions will be provided for, that will just be interest rate related. Is that the case?

- Mr. Dinesh Khara - Chairman, State Bank of India

That will be from the quarter -to- quarter, whatever is the gap if at all there is any.

- Ms. Mahrukh Adajania – Executive Director (Equity Research), Nuvama

It will not be because of the new wage agreement?

- Mr. Dinesh Khara - Chairman, State Bank of India

No, no, nothing, nothing.

- Ms. Mahrukh Adajania – Executive Director (Equity Research), Nuvama

Okay, so it will just be the rate catch -up.

- Mr. Dinesh Khara - Chairm

an, State Bank of India

As I mentioned, you know, in my passing reference, that the wage increase impact of all this, whatever wage increase is envisaged, is ■ 500 crore s per month, and for the year as a whole, it is going to be about ■ 6,000 crore s only.

- Ms. Mahrukh Adajania – Executive Director (Equity Research), Nuvama

Okay, so for the next quarter, then the wage provision… like your wage line is 98 billion this quarter, right?

- Mr. Dinesh Khara - Chairman, State Bank of India

Sorry?

- Ms. Mahrukh Adajania – Executive Director (Equity Research), Nuvama

Your wage… you have employee expenses and then you have contribution to employees. So, the employee expenses are around 98 billion for the quarter, ■ 9,800 crores. So next quarter, what will it be?

- Mr. Dinesh Khara - Chairman, State Bank of India

It would be about… Sorry, maybe if you can clarify, I am not in a position to comprehend this question.

- Ms. Saloni Narayan - Deputy Managing Director (Finance), State Bank of India

Basically, we have provided for ■ 6,312 crores this quarter. For the next quarter, what remains is ■ 5,409 crores out of which salary is ■ 1,386 crores, and pension at the rate of 17% is ■ 3,072 crores, gratuity is ■ 378 crores, other employee benefits is ■ 573 crores, and total it comes to ■ 5,409 crores. Is it clear?

- Ms. Mahrukh Adajania – Executive Director (Equity Research), Nuvama

Okay.

- Ms. Saloni Narayan - Deputy Managing Director (Finance), State Bank of India

Another point that I would like to make, that we have done all the provision for the wage settlement that has happened. So next year around, when you see the impact of this, the overall wage bill will be around ■ 66,000 crores as against ■ 77,000 crores this year, because of all the provisions that we have already taken.

- Mr. Dinesh Khara - Chairman, State Bank of India

It is only wage bill.

- Ms. Saloni Narayan - Deputy Managing Director (Finance), State Bank of India

It is actually going to go down.

- Mr. Dinesh Khara - Chairman, State Bank of India

It is only wage bill, but the pension related liability is actually over and above.

- Ms. Saloni Narayan - Deputy Managing Director (Finance), State Bank of India

No sir, it is all put together.

- Mr. Dinesh Khara - Chairman, State Bank of India

Okay, fine. No, no, ■ 77,000 crores .

- Ms. Saloni Narayan - Deputy Managing Director (Finance), State Bank of India

■ 77,000 crores is all put together. ■ 7,100 crores is excluded.

- Mr. Dinesh Khara - Chairman, State Bank of India

Okay, that is what I am saying. ■ 77,000 crores plus ■ 7,100 crores is something which we have provided this year. So as against ■ 84,000 crores, it is going to be only ■ 66,000 crores.

- Ms. Mahrukh Adajania – Executive Director (Equity Research), Nuvama

Got it sir, that is very clear. And my last question is on margins. So, can we say that now margins will be maintained at these levels?

- Mr. Dinesh Khara - Chairman, State Bank of India

Around the same level. We expect maybe at the most, if at all there is any dip, it would be only 2 to 3 basis points.

- Ms. Saloni Narayan - Deputy Managing Director (Finance), State Bank of India

Maximum.

- Ms. Mahrukh Adajania – Executive Director (Equity Research), Nuvama

Okay, and most of the depos it repricing of the past is over now?

- Mr. Dinesh Khara - Chairman, State Bank of India

Yeah, yeah. Almost.

- Ms. Mahrukh Adajania – Executive Director (Equity Research), Nuvama

Okay, sir. Thank you so much and all the best.

- Mr. Dinesh Khara - Chairman, State Bank of India

Thank you .

- Mr. Sushil Choksey – Managing Director, Indus Equity

Sir, Sushil Choksey, Indus Equity. Congratulations for very stable result and all the guidance and the time and talent which SBI provides to the country. Sir, my first question is based on the interim budget and the FOMC outlook and the behaviour of money market, and if there is a proxy to India where money market is concerned, SBI should be the largest gainer. So, based on 4 trillion of excess SLR, how is your outlook on treasury?

Second thing, will the interest rates peak out as newspapers are indicating and RBI may cut by 50 bps in the second half? Therefore, FOMC may cut in the last quarter. One doesn't… it's all speculation. But what is our internal outlook based on all the para meters which have happened in last one week?

- Mr. Dinesh Khara - Chairman, State Bank of India

See, when it comes to RBI and FOMC, I would say that they have decoupled to a greater extent. RBI decisions are more based upon their own assessment, MPC's assessment as far as the inflation trajectory is concerned. And as we read MPC deliberations, we wou ld say that perhaps they are looking at inflation to come within 4 % range. We are hopeful, what you mentioned in terms of 2nd quarter. Our assessment is 2nd or 3rd quarter we should actually get to see some kind of a rate reduction. This is what our expec tation is. And when it comes to the money market and the trajectory and its likely impact on State Bank of India's balance sheet, I would put it like this that, much of it depends upon how the interest rate or the T -bill and the G -sec would be behaving as on 31st of March. That will be probably helping us in terms of the eventual outcome. Though, going by the current trend, we are optimistic, but let's wait and watch.

- Mr. Sushil Choksey – Managing Director, Indus Equity

Sir, as urbanisation and consumption in India is growing, and the economy is headed to 5 trillion, 7 trillion, 10 trillion, based on numbers. Being the largest bank in India, I'm sure our consumer -led banking and corporate banking, both need your support w ith the market share what we have. If we have to gear up for those kinds of economy size and challenges for the consumer credit, what enablers you would have to do now along with YONO and so many other things? And what kind of digital spend you would have to do over the next 3 -4 years to sustain those numbers?

- Mr. Dinesh Khara - Chairman, State Bank of India

Well, we have already invested in terms of the structures, when it comes to the credit processing cells for real estate. Our credit processing cells, last year we added almost about 150. So, we are somewhere around 400 odd credit processing cells, that we have created across the country. We have enough fee t on street for sourcing the applications. And also, we have created a seamless process when it comes to the low -value SME loans, and also for the home loans, we are working on a workflow mechanism so that the journey should become end-to-end digital. So, I think, it's a constant and an ongoing process which is there, and our effort is that we should stay ahead of the curve in terms of investing and ensuring that we deliver value to our customers, and we should be expedient in terms of delivery.

- Mr. Sushil Choksey – Managing Director, Indus Equity

Sir, and the rate at what you're growing, around 14%, as you indicated based on nominal GDP, in 3 ½ years we would be nearing 50 lakh crores. So, our cost to income with all the enablers which you've already placed in, will it not substantially be low?

- Mr. Dinesh Khara - Chairman, State Bank of India

Cost to income, we are hoping. Actually, if you look at our productivity also, employee productivity… if you can pull out that slide please, employee productivity? So, if at all you would look at that, our productivity is significantly higher, about ■ 29.78 crores, which has gone

up from ■ 18.77 crores in the year 2019. So, that number has moved to ■ 29.78 crores. So, actually it has jumped up quite a lot. We are actually leveraging multiple things here. We are leveraging analytics. We are also cogni zant of the need, if at all. We are exploring the possible application for GenAI. And, also we are looking at we can leverage technology for the advantage of our employees. So, I think it is a multi -pronged approach which we have in terms of addressing the requirements, and also to ensure that we should be ahead of the curve, much ahead of the curve as far a s the opportunities when they arise, we should be in a position to respond, or maybe we should be in a position to create opportunities also.

- Mr. Sushil Choksey – Managing Director, Indus Equity

Had you not provided the one -time provision this year, I think the year end would have been the largest profit -making company of India.

- Mr. Dinesh Khara - Chairman, State Bank of India

You are right, because by that reckoning we were already at ■ 60,000 crore s plus as of now. So, going by the normal expectation, I think… my dream is that this bank should generate 1 trillion profit and hopefully that is… (Audience Applauds) … what I am seeing is that is the reality. That would have happened if at all we would not have been required to make such provisions.

- Mr. Sushil Choksey – Managing Director, Indus Equity

Thank you, sir . Thank you for answering all my questions.

- Mr. Saurabh Kumar – Executive Director, JP Morgan

Hi sir, Saurabh from JP Morgan. Sir , two questions. One on your corporate banking piece we have seen the private banks getting strained on LDR and all. Are you seeing opportunity either to buy portfolios from them or accelerate growth in that space? That is the first one.

And secondly, your presentation mentions a 50 basis points capital release because of the investment fair valuation in April 24. Can you just comment on that? Thank you.

- Mr. Dinesh Khara - Chairman, State Bank of India

Well as far as the private banks opportunity is concerned, I would rather say that we already have got a pipeline which is almost 4.6 trillion. So, that is one opportunity. But yes of course, if at all opportunities come our way and it is in line with our risk appetite, we will be more than happy to support such kind of requirements of the corporates.

Now the other piece which you have mentioned in terms of the impact to the extent of about 50 basis point on the capital adequacy, maybe I'll request Mr. Setty to come in.

- Shri C.S. Setty - Managing Director (International Banking, Global Markets & Technology), State Bank of India

I think, when we look at the revised evaluation norms which are likely to come from 1st April next year, our broad assessment is that if you have the same portfolio levels and move and implement the norms, there is a positive uptake in terms of some of the portfolios what move to FVTPL from the AFS category. I think that is what is adding to the positive MTM in that.

While we may not immediately be able to add to the profit, the norms indicate that FVTPL positivity… today you know any positive MTM cannot be booked, it is only negative MTM is needed to be booked. But the new norms allow us to move to AFS reserve, and AF S reserve is part of the CET1. So probably, to start with, we will have to wait for the detailed RBI guidelines, how do they want us to… if I am opening the balance AFS reserves in a positive way, whether I can book that or I need to book in the general re serve, is something what we are negotiating. But it will definitely add around 50 basis point to CET1, that is our assessment.

- Ms. Saloni Narayan - Deputy Managing Director (Finance), State Bank of India

So, sir, on the 1st of April, we have

to actually draw up our balance sheet.

- Shri C.S. Setty - Managing Director (International Banking, Global Markets & Technology), State Bank of India

Balance sheet. Yeah.

- Ms. Saloni Narayan - Deputy Managing Director (Finance), State Bank of India

So there that will come.

- Shri C.S. Setty - Managing Director (International Banking, Global Markets & Technology), State Bank of India

Yeah, it is only a matter of accounting, but it will add to the CET1, 50 basis point. Is it clear?

- Mr. Saurabh Kumar – Executive Director, JP Morgan

Sir on the LDR question, my question was essentially are private banks talking to you to sell their wholesale books?

- Mr. Dinesh Khara - Chairman, State Bank of India

No, no. As of now we have not received any such request. But if at all it comes, I will be more than happy to wrap it up if it meets my risk appetite.

- Mr. Sanjay Kapoor - General Manager (Performance , Planning and Review), State Bank of India

Yeah , next question.

- Mr. Kunal Shah – Director, Citigroup

Yeah , Hi, Kunal over here from Citigroup. So firstly, maybe just to get on to that number of ■ 77,000 odd crores. So , you highlighted that will be the staff cost for this fiscal FY24? Sir, today we are at almost ■ 55,000 crores , so that indicates another ■ 22,000 crores for 4Q. That would be more to do with this ■ 5,000 crores which is required, because any which ways, this quarter there was additional wage revision catchup which was there. But, we are expecting further rise in the employee cost bill for Q4 as well.

- Mr. Dinesh Khara - Chairman, State Bank of India

That is only additional provision which is required to be made. In the 4th quarter it is only

■ 5,400 crores for the wage increase.

- Mr. Kunal Shah – Director, Citigroup

Okay. Because it was coming to ■ 55,000 crores in 9 months and ■ 77,000 crores . So, that is where maybe ■ 22,000 crores seems to be the catch up for 4Q in terms of the wage bill, which is still higher than Q3, considering that there was already a catch up from 14 to 17 odd percent.

- Mr. Dinesh Khara - Chairman, State Bank of India

No, it is actually the requirement is only ■ 5,400 crore s additional, apart from that the normal wage bill which is there. That is only requirement.

- Shri C.S. Setty - Managing Director (International Banking, Global Markets & Technology), State Bank of India

Assuming that, the bipartite settlement is not implemented in the Q4, which is unlikely. I think… I don't know it will it may take some time. If had it been implemented, it will become a normal wage bill.

- Mr. Dinesh Khara - Chairman, State Bank of India

That would have been almost ■ 500 crore s worth of additional wage bill on a month -on-month basis.

- Mr. Kunal Shah – Director, Citigroup

Ok. And secondly in terms of the expansion in CD ratio was there this quarter, but still if we look at it in terms of margins, there was still some decline of 6 odd basis points. Would it be fair to assume that this would be more back ended growth and we will see the benefit on the…

- Mr. Dinesh Khara - Chairman, State Bank of India

You are very right, because it would not have been uniform right from the first day of the quarter. It would have happened towards… it is normally seen towards the busy season and also later than the busy season, that is something which is there. And also, the fact remains that, during the busy season because in the retail sector, the competition really mounts, and then we have to give all kinds of concessions, relief, etc. But nevertheless, the asset comes to our book. So, that is something which has happe ned. So, I think it is more abnormality considering the fact that we are chasing the quality, and

for quality we are willing to look at the lower risk. You will probably appreciate that the CRP naturally has to be lower for the better risk, and that is som ething which is the reason.

- Mr. Kunal Shah – Director, Citigroup

And lastly in terms of RBI's increase in risk weights , both for NBFC as well as unsecured, so maybe they have not highlighted. Any which ways you have been commenting that our unsecured portfolio is much better than the secured as such. But just in terms of RBI's indication or maybe highlighting that this co uld be the riskier segments. what would be our stance in both the segments? And are we passing it on in terms of the increase in the lending rates?

- Mr. Dinesh Khara - Chairman, State Bank of India

Yeah, we are actually… it has got an impact of about 49 basis point for our CET 1 and 70 basis point for the capital adequacy ratio overall. So, to that extent, the cost of capital has gone up while we are lending to this particular sector. And when it com es to NBFCs, etc., we are passing on. We are actually have jacked up the pricing also.

- Mr. Kunal Shah – Director, Citigroup

To the extent of?

- Mr. Dinesh Khara - Chairman, State Bank of India

Depending upon each of the NBFCs. Depending on their risk weight, we will look at it how much we should…

- Mr. Kunal Shah – Director, Citigroup

And on Xpress we have not increased?

- Ms. Saloni Narayan - Deputy Managing Director (Finance), State Bank of India

We have increased in the Xpress Credit also.

- Mr. Dinesh Khara - Chairman, State Bank of India

We have increased in the Xpress Credit also.

- Mr. Kunal Shah – Director, Citigroup

Okay.

- Mr. M B Mahesh – Executive Director, Kotak Securities

Good evening , this is Mahesh from Kotak. Just to clarify on the question that he had asked, this ■ 77,000 crores that you are saying, includes the ■ 7,100 crores?

- Ms. Saloni Narayan - Deputy Managing Director (Finance), State Bank of India

No.

- Mr. M B Mahesh – Executive Director, Kotak Securities

But then I think the statement he has asked is right, right? Because in the 9 months, you have provided ■ 55,000 crores .

- Ms. Saloni Narayan - Deputy Managing Director (Finance), State Bank of India

Again, I will just explain. So, the wage revision impact is ■ 18,127 crores for the whole year. And for the next quarter, the coming quarter it is ■ 5,409 crores . We have already made a provision of ■ 12,718 crores during the 9 months. And in FY23 we made a provision of ■ 2,490 crores . The staff expense which anyways we are paying to the staff, so you look at that. Up to 9 months FY24, it is ■ 42,171 crores . So, three more months we will pay the salaries and pension and everything. That comes to ■ 16,829 crores for the next quarter. Add to that ■ 5,409 crores . Is it clear? So, for the whole of next quarter, it is ■ 22,238 crores , which is staff expenses, plus the provision. Put together all of this, for the whole year it is ■ 77,127 crores , which means, ■ 59,000 crores for the wage bill, and plus ■ 18,127 crores for the increase.

- Mr. M B Mahesh – Executive Director, Kotak Securities

Mr. Khara, if you look at the numbers today, your average wage cost, even if you exclude these one -offs are running at about 30 lakhs, which is significantly higher than almost all the public sector banks and the private banks put together. Any direction i n which you want to see… how does this number go? Because this is simply way too high that we are seeing.

- Mr. Dinesh Khara - Chairman, State Bank of India

Sorry , I could not get your question please.

- Mr. M B Mahesh – Executive Director, Kotak Securities

If you look at the wage cost for next year, which is about a little over 65,000 crores, on a 2 lakh employee base you are still looking at about a 30 lakh.

- Ms. Saloni Narayan - Deputy Managing Director (Finance), State Bank of India

2,35,000.

- Mr. M B Mahesh – Executive Director, Kotak Securities

Even after that , the numbers will be worked out to roughly about 30 lakhs per employee. Most banks are…

- Mr. Dinesh Khara - Chairman, State Bank of India

We have got about 300,000 pensioners also.

- Mr. M B Mahesh – Executive Director, Kotak Securities

But how do you solve this problem? Because, a large part of the current costs…

- Mr. Dinesh Khara - Chairman, State Bank of India

The problem which can be solved is only through improving the productivity, and that is something which we are trying to showcase. Our effort in terms of improving the productivity have already started yielding results. And, I am sure going forward , the productivity will actually improve. The kind of focus which we have on our digital, today almost ■ 95,000 crore s worth of loan book has been generated through the digital , and it is up by about 30%. Going forward, we expect that this particular lever will start creating value. And our back of envelope

calculation is, as well as the pension obligations are concerned, that we should be in a position to meet by generating this incremental productivity through the digital. And we have got the attrition rate which is just about 1% as compared to the industry level of 35 or 33, or whatever be the number.

- Mr. M B Mahesh – Executive Director, Kotak Securities

Perfect. So two questions ma'am. One is, what would be the outstanding priority sector book and RIDF investments, or just specifically the RIDF investments?

- Mr. Dinesh Khara - Chairman, State Bank of India

That specific we will provide to you.

- Mr. M B Mahesh – Executive Director, Kotak Securities

Just one question to you sir. Some of the NBFC led banks, companies like PFC, REC have become a little bit more aggressive on the power sector. For some time, we have seen almost all public banks… banks in general being slow on this sector. Is there any op portunity that is being missed here?

- Mr. Dinesh Khara - Chairman, State Bank of India

I don't see that we have missed out any opportunity. But yes of course, as I mentioned, that we always evaluate the risk in terms of the return which we can get. And if at all it does not meet our risk appetite, we let it pass. So, renewable energy is one of the areas where we are very clearly focusing, and we have developed the expertise also, and we are seeing good traction coming for that.

- Mr. Sanjay Kapoor - General Manager (Performance , Planning and Review), State Bank of India

We have one last question from one more person.

- Mr. Dinesh Khara - Chairman, State Bank of India

This gentleman is there.

- Mr. Bhavik Shah – Morgan Stanley

Bhavik from Morgan Stanley. Sir, two questions. First, sir, our other operating expenses growing at say 2 0% YoY. Sir, how should one look at it? Will this be elevated or should it normalize?

- Mr. Dinesh Khara - Chairman, State Bank of India

Other operating expenses. Can you please pull out the slide?

- Ms. Saloni Narayan - Deputy Managing Director (Finance), State Bank of India

Operating expenses , slide number 18.

- Mr. Dinesh Khara - Chairman, State Bank of India

May be if at all you can throw some light on this.

- Ms. Saloni Narayan - Deputy Managing Director (Finance), State Bank of India

Majorly sir it comprises of the staff expense as you can see in that, and also the pension.

- Mr. Bhavik Shah – Morgan Stanley

No, I mean other operating expense, excluding the staff.

Ms. Saloni Narayan - Deputy Managing Director (Finance), State Bank of I

ndia

Just a minute. Other operating expense. Overheads. Overheads, I don't think there is a very significant number that we can…

- Mr. Dinesh Khara - Chairman, State Bank of India

In terms of absolute number, they are not really very big number.

- Ms. Saloni Narayan - Deputy Managing Director (Finance), State Bank of India

Not very relevant, but anyway I can tell you some of the items where we have seen this growth. One is, business acquisition and development expense, which is to the tune of 7 and 11 crores. Other tech expenses to the tune of ■ 371 crores. DICGC insurance ■ 230 crores, GST expense

■ 128 crores, donations ■ 81 crores, P&T expenses ■ 74 crores. I don't think there is such a big number.

- Mr. Bhavik Shah – Morgan Stanley

So basically, we have a quarterly run rate of say ■ 11,000 crores.

- Mr. Dinesh Khara - Chairman, State Bank of India

So actually, see one aspect which is there when it comes to the insurance, particularly deposit insurance, as the deposit grows, this will continue to grow.

- Ms. Saloni Narayan - Deputy Managing Director (Finance), State Bank of India

And quarter on quarter actually it has gone down sir. From ■ 11,948 crores it has gone down to ■ 11,577 crores .

- Mr. Dinesh Khara - Chairman, State Bank of India

That is for the total over itself, which has come down from ■ 11,948 crores to ■ 11,577 crores . And I think there is… the major items which are there is, one among them is ATM, C DM, debit card and those expenses, which I think is a cost of delivery, which will continue to be there. And the other one is the various acquisition and development expenses. Again, it is corresponding to the wages growth, it will continue to grow. So, thi s is what is the behaviour, what we will get to see.

- Mr. Bhavik Shah – Morgan Stanley

Sir, what will be the digital expenses as a part of this? As in, should we expect this to go to

■ 13,000 crore s run rate per quarter next year or more than that?

- Mr. Dinesh Khara - Chairman, State Bank of India

Much of it, when it comes to digital part of it, would get depreciated also. So, we will have to see that composition how much we can depreciate, how much we can book in the revenue book, that is something which we will see.

- Mr. Bhavik Shah – Morgan Stanley

And sir, second question, recovery from written off accounts, the AUCA accounts, they have been around say ■ 2,300 crore s so far in the 9 months. Sir, as in, how should one look at it? Like how do we expect?

- Mr. Dinesh Khara - Chairman, State Bank of India

This stock is actually now coming down, and also there are no lumpy recoveries which are expected to come in. These are all now small value recoveries which will come in. But yes, our effort is to see that we should step it up as much as possible. But it has got its own limitation , because AUCA is generally those accounts where the security, if at all it is there, is much lower. And I mean, various such considerations are there when it comes to affecting recoveries in AUCA accounts.

- Mr. Bhavik Shah – Morgan Stanley

Sir, in the next 6 months, do we expect anything significant from NCLT, like in the pipeline?

- Mr. Dinesh Khara - Chairman, State Bank of India

It is very difficult to predict what will come through NCLT. But nevertheless, our effort is to make… I mean, we do not let our effort go waste. We are pursuing quite actively, and wherever possible we will certainly be looking at the outcome. But when it comes to NCLT, it is not merely what our efforts are. We have to depend upon the other members of the consortium, COC etc., and there is a dependence on the decision taken by them also, and also the ecosystem how the ecosystem works.

- Mr. Bhavik Shah – Morgan Sta

nley

So lastly, as this ■ 4,000 crores, how much work is from NCLT? As in, if you can shed some light?

- Mr. Dinesh Khara - Chairman, State Bank of India

I will not have that kind of…

- Ms. Saloni Narayan - Deputy Managing Director (Finance), State Bank of India

No, we do not have anything from NCLT in this at least, as far as I have the numbers. Basically, it is contributed by our retail branches to the tune of ■ 1,537 crores . The specialized wing has contributed ■ 2,758 crores . I think the biggest recovery during this year is around ■ 200 crores as far as lumpy recoveries are concerned, and IBG has a small recovery of ■ 33 crores.

- Mr. Dinesh Khara - Chairman, State Bank of India

So generally, these are all compromises, something which works much or the surface reaction, which yields better results and faster results.

- Mr. Bhavik Shah – Morgan Stanley

Sir, thank you sir and sir good luck for future goals.

- Mr. Dinesh Khara - Chairman, State Bank of India

Thank you.

- Mr. Sanjay Kapoor - General Manager (Performance Planning and Review), State Bank of India

Sir, we have a few questions coming through here …

- Ms. Saloni Narayan - Deputy Managing Director (Finance), State Bank of India

I think, there was one question on RIDF outstanding. The outstanding is ■ 2,67,000 crores.

- Mr. Sanjay Kapoor - General Manager (Performance Planning and Review), State Bank of India

So, we have a few questions coming through the online webcast. These will now be addressed by the Chairman sir.

- Mr. Dinesh Khara - Chairman, State Bank of India

- Yeah. This question has come from Aditi Naval. With respect to various development expenses, there has been quite a significant jump since September quarter. I wanted for you to throw some light on the same?

Various acquisition and development expenses has increased by ■ 194 crores sequentially. On quarter -on-quarter basis, increase is due to amortization of the PSLC issuance charges by ■ 65 crores and business operation expenses have gone up by ■ 81

crores , and auto loan sourcing fee by ■ 54 crores. That is the explanation for the business development expenses.

- The other question has come from Mr. Anil Chaurasia. What were the number of branches at the end of December ‘23?

At the end of December ’23, we had 22,494 branches.

- Next question comes from Ashish Agarwal. Percentage of book linked to MCLR, EBLR and fixed rate book.

MCLR 37.6%, EBLR is 27.4% and fixed rate is 20.9%.

- Another question has come from Siji Philip. Any guidance on loan growth and deposit growth for financial year ‘24?

We expect all scheduled commercial banks deposit to grow by about 12 to 13%, and ASCB advances to grow by 14 -15%. Accordingly, our growth in deposit and credit is also expected to be in the similar range.

- Next question comes from Mr. Abhishek Murarka. Will any part of ■ 7,100 crore s provision recur from the next quarter onwards? Also, what will be the approximate additional wage revision you will have to make in 4th quarter?

There will be no recurrence of this one -time provision. This is something which I would like to mention. It is only one -time. And for the uniform pension from 40 to 50%, and D R neutralization also is only ■ 1,700 crores , which is one -time. There is no further repeat of such provisions. And provision to be made in Quarter 4 of the financial year ‘24 is about ■ 5,400 crores for the increase in wage to 17%.

- Mr. Param Subramanian, why did we see a drop in NIM? How much wage revision provisioning is still pending?

NIM has come down mainly due to re -pricing of deposit at higher rates, mainly term deposits. And, provision to be made in Q4 of FY‘24 is ■ 5,400 crores.

- Shridal Ignesh, any speci

al plans for agriculture readiness growth?

Agri advances have registered a growth of 18.12%. While we will continue to grow in our traditional book, in KCC and agri -gold loans, our key focus area will be to finance all the players involved in entire agri -value chain. Under investment credit we are seeing lot of opportunities under Atmanirbhar Bharat scheme of the Government of India, that is AIF

and the PMFME. We have launched two new products namely Agri Enterprise Loan and Kisan Samriddhi Rin, which will enable us to onboard high value farmers.

- This question is from Ashish. Please tell us about exceptional item of ■ 7,100 crore s.

One time present for commutation of pension from 40% to 50%, and DR neutralization for all pensioners, family pensioners who retired prior to 1st November 2002. One time present for commutation of pension is ■ 5,400 crore s. One time provision for DR neutralization is ■ 1,700 crores.

- Mr. Sanjay Kapoor - General Manager (Performance , Planning and Review), State Bank of India

Thank you, sir. I trust all the questions have now been addressed, and we’ll be happy to respond to other questions in offline mode. So let me end the evening with thanking the Chairman and the top management team, the analysts, and the ladies and gentleme n. To round off this evening, we request you to join us for high tea which is arranged just outside the hall. Thank you.

- Mr. Dinesh Khara - Chairman, State Bank of India

Thank you very much to all of you. Thank you!

END OF TRANSCRIPT

Call: May 2024

CC/S&B/AND/202 4-25/106 16.05.2024

Madam / Sir,

Disclosure under Regulation 30 of SEBI (LODR) Regulations, 2015 :
Transcript of Analyst Meet

Pursuant to Regulation 30 and other applicable provisions of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 , we submit the transcript of the Q 4FY24 post results Analyst Meet held on 09.05.2024.

Please take the above information on record .

Yours faithfully,

(Aruna N Dak)
DGM (Compliance & Company Secretary)
Encl: A/a

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Q4FY24
ANALYST MEET
TRANSCRIPT
09.05.2024
MANAGEMENT : MR. DINESH KUMAR KHARA
CHAIRMAN , STATE BANK OF INDIA

MR. C.S. SETTY
MANAGING DIRECTOR (INTERNATIONAL BANKING , GLOBAL MARKETS & TECHNOLOGY)

MR. ASHWINI KUMAR TEWARI
MANAGING DIRECTOR (CORPORATE BANKING AND SUBSIDIARIES)

MR. ALOK KUMAR CHOUDHARY
MANAGING DIRECTOR (RISK, COMPLIANCE AND STRESSED ASSETS RESOLUTION GROUP)

MR. VINAY M TONSE
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MRS. SALONI NARAYAN
DEPUTY MANAGING DIRECTOR (FINANCE)

MR. PAWAN KUMAR KEDIA
CHIEF GENERAL MANAGER (FINANC IAL CONTROL)

MR. SANJAY KAPOOR
GENERAL MANAGER (PERFORMANCE , PLANNING & REVIEW)

– Mr. Sanjay Kapoor - General Manager (Performance, Planning and Review), State Bank of India

Namaste everyone and good evening, ladies and gentlemen. My name is Sanjay Kapoor and I am the General Manager, Performance , Planning and Review Department of the Bank. On behalf of State Bank of India, I am delighted to welcome the analysts, the investors, colleagues and everyone present here today on the occasion of the declaration of the results of the Bank for the financial year ending 2024. I also extend a very warm welcome to all the people who are ac cessing the event through our live webcast. We have with us on this stage our Chairman - Shri. Dinesh Khara at the center , our Managing Director , International Banking, Glo bal Markets and Technology - Shri. C S Setty , our Managing Director, Corporate Banking and Subsidiaries - Shri. Ashwani Kumar Tewari , our Managing Director, Risk Compliance and Stressed Assets Resolution Group - Shri. Alok Kumar Choudhary , our Managing Director, Retail Business and Operations, Shri. Vinay M Tonse , our Deputy Managing Director, Finance - Smt. Saloni Narayan. Our Deputy Managing Directors heading various verticals and Managing Directors of our subsidiaries are seated in the front rows of this hall. We are also joined by the Chief General Managers of different verticals and business groups.
To carry forward the proceedings, I request Chairman sir to give a brief summary of the Bank 's FY24 performance and the strategic initiatives that have been undertaken in this regard. We shall thereafter straight away go to question and answer session. However, before I hand over to the Chairman sir, I would like to read out the Safe Harbor Statement. Certain statements in today's presentation may be forward -looking statements. These statements are based on management's current expectations and are subject to uncertainty and changes in circumstance s. Actual outcomes may differ materially from those i ncluded in these statements due to a variety of factors. Thank you.

Now, I would request Chairman sir to make his opening remarks.

– Mr. Dinesh Khara – Chairman, State Bank of India

Thank you. Thank you very much. Good evening, friends. Thank you for joining this analyst meet. I would like to start by thanking all of you and all of our stakeholders, including our customers, shareholders, employees and the broader ecosystem for their support and helping us in creating sustainable value for the economy. Let me first start with a brief description of the present global and domestic economic scenario.
Global growth remains resilient with easing inflationary pressures and tight employment conditions in spite of geopolitical and extreme weather event risk. IMF Minutes , latest chapter 24, World Economic Outlook , raised their global growth forecast for FY24 to 3.2% , 10 bps higher than in its January 24 update and expect the global economy to grow at the same pace in FY25. Global headline inflation is expected to fall from an annual average of 6.8% in FY23 to 5.9% in FY24 and further to 4.5% in FY25, with ad vanced economies returning to their inflation targets sooner than emerging markets and the devel

oping economies. Commodities and energy prices
can drag the economic and growth prospect by infusing sudden shocks on the supply side. A collateral impact of escalating geopolitical tensions at multiple fronts. In India, the conditions are, however, sh aping up for an upshift in the real GDP growth backed by strong investment

demand and upbeat business and consumer sentiments. CPI inflation has gravitated to 4.9% in March after averaging to 5.1% in the preceding 2 months. CPI inflation is expected to moderate in ensuing months and is estimated to taper to 4.5% in FY25 compared to 5.4% average in FY24. In FY24, credit offtake of all scheduled commercial bank s recorded a growth of almost

over 20% while deposit grew by about 13.5% and the momentum with some moderation is expected to continue in FY25 too.
I will now discuss the bank's performance. Once again, we have delivered excellent numbers. I am happy to share that our net profit for FY24 is the highest ever at ■ 61,077 crores, showing an increase of 21.59%. (Audience Applauds)

Our net profit for Q4 of the FY24 also stands at ■ 20,698 crores, which has increased by 125% sequentially. This is despite incurring wage revision expenses of ■ 13,387 crores during the current year period as per the bipartite wage settlement and after absorbing the additional liability to the tune of ■ 7,100 crores relating to pension liabilities and the D R neutralization in the third quarter as a onetime exceptional item. Our ability to absorb the above liabilities without significantly impacting the l ong-term profitability of the bank demonstrate the strength of our balance sheet. RoA of the bank is now at 1.04% for the whole of the FY24. It has improved by 8 bps over FY23. The RO E for the FY24 is at 20.32%, which has improved by 89 bp s over the FY23. We have been consistently delivering RO E in excess of 15% for last seven quarters. Our aspiration from our current position of strength is to sustainably deliver the RO E of more than 15% through the various cycles. The cost to income ratio of the bank is at 55.66% including the wage revision expenses and excluding the impact of the onetime exceptional item of pension liabilities and Dearness Relief neutralization in Q3 of FY24.
Excluding the wage revision and onetime exceptional item, the cost to income ratio is actually at 49.34%, which is an improvement of 315 bp s over FY23. Non -interest income has shown a growth of 41% plus in FY24 over FY23. We believe sustaining our profitability at these levels highlights the resilience of the underlying value drivers of the bank. The underlying drivers for the sustainable step up in profitability profile of the bank has been the unmatched size and reach of the bank with 50 crores plus customers comprising nearly 35% of the India's population. This is a testament of the continuous trust reposed in us by our valued customers.
Our customer centric approach, the process -oriented culture of the bank, strengthened underwriting processes and correct pricing of the risk have all contributed to the sustainable profitability. Our deposits have grown by 11% YoY and term deposits have g rown more than 16% YoY. We are mindful of our liability profile as it provides us with a stable stream of resources. We continuously monitor the concentration of our deposit profile daily , ensuring that dependency on the wholesale funding is contained wi thin the prescribed levels. We retain reasonable reserve resources in the form of liquid assets over and above the CRR, SLR requirements to meet the future contingent demands and broad basing the deposit mix. Unencumbered exce ss SLR was to the tune of about 3.7 trillion as on 31/03/24 and the liquidity coverage ratio stood at 124% as on 31/ 03/24. All this is above the regulatory benchmark. I am happy to highlight that the credit growth has been

robust across all the segments. Our Retail,
Agri and SME a dvances have crossed 20 trillion. Out of the above , retail personal advances itself constitute almost about 13 .50 trillion. Agri advances are more than 3 trillion and MSME advances are more than 4.33 trillion. They are all g rowing at a pace of 14.68%, 17.92% and 20% YoY respectively.

The corporate segment is also showing healthy growth at more than 16% growth on a YoY basis. I am glad to share the progress we are making in digital banking. 61% of our savings bank accounts were opened through YONO in the FY24 and we are also leveraging analytics to its hilt, which has led to the significant growth and now that number stands at 1.37 trillion. All this is sourced through analytical leads showing growth of almost 32% on a YoY basis. As far as the asset qualit y is concerned, our gross NP A ratio has improved by 54 bp s YoY and stands at 2.24% as at March ‘24 and continues to be its lowest in more than 10 years. Our net NPA ratio has also improved by 10 bp s and stands at 0.57%. The slippage ratio for FY24 has improved by 3 b ps YoY and stands at 0.62%. The consistently improving asset quality is also reflected in our credit cost for FY24, which stands at 0.29%. It has improved 3 b ps on a YoY basis. We are well provided for our loan book with PCR including AUCA standing at 91.89% and PCR ex cluding AUCA standing at 75%.
Our employees are recruited from the best talent in the country and are trained to handle the scale, complexity, and the compliance requirements of the bank. SBI is the employer for life and most of our employees really believe in this. The attrition rat e for the bank is only 1.43%. We take great pride in the process -oriented culture of the bank. While we are glad about the outcomes in the current quarter, we are also conscious of our areas of further improvement. On the liability side, we continue to focus on increasing our share in current accounts while maintaining our leadership in the savings bank deposits. The cost base of the bank is high, however, the same also reflects our focus on compliance and establishment cost. We aim to lower our cost to income ratio by focusing on th e income side. Our CET -1 ratio stands at 10.36,

which is the highest ever since the implementation of the Basel 3 norms.
Additionally, the current RO E profile of the bank remains above the credit growth trends and hence we foresee CET -1 accretion going ahead. However, the bank is open to evaluate the options of raising equity if at all the growth trends so warrants. Our subsidiaries are also consistently performing well and continue to create significant value for all stakeholders and most impor tantly, for the customers of the bank. To conclude, I once again , would like to thank you for the support which you have extended. The Bank, while pursuing its own progress, contributes to the progress and growth of the economy and its countrymen. We remain committed to rewarding your trust in us with superior, sustainable returns over the long term .
My team and I are now open to taking questions from all of you. Thank you very much.

- Mr. Ashok Ajmera – Chairman, Ajcon Global

Sir, compliments to you . Sir, one of the most, I think , outstanding and fantastic results for the State Bank of India and when we are going in the range of almost about 110 lakh crores of the operating profit on a yearly basis, I mean , going more than 1 lakh annualized basis may be 1,10,000 or 1,15,000 crores. So, all this net NPA and these figures look very small as compared to our profit generating capacity. Having said that, sir, my first question is on the recent RBI guidelines on the provisioning. Now, our total I think Infra project, which are under implementation as well as might have being completed also total loan including CRE altogether maybe about

4,50,000 crores. Out of that, how much amount do you feel will come under the purview of these guidelines if it is implemented? And what is the ballpark figure by which we will require to increase our capital adequacy because otherwise also our capital adequacy as

compared to some of the peer, I would not call peer bank, but smaller public sector banks is much higher than our s, that has already always been a concern. Though with this profit added for this year already in the CRAR, we are still at around 14.28%. So, going forward and if this particular guideline gets implemented, where do we stand Sir?

- Mr. Dinesh Khara – Chairman, State Bank of India

Thank you very much first of all for all your compliments. The second question, which you have raised is essentially relating to a discussion paper, which has been floated by Reserve Bank of India. Well, of course , we have yet to evaluate it in all entirety, but based upon our experience with Reserve Bank of India for last couple of years, now RBI is quite a receptive regulator. They're not ignoring the viewpoint of the banking industry and I am sure they would certainly be cognizant of the viewpoint, which will be expressed by RBI as well as State Bank of India and its individual capacity as well. So, I would not like to hazard any guess, but nevertheless, whatever little back of envelope calculation we have done based upon that I can only assure you considering the fact that we still have got almost about 32,000 crore worth of non -NPA provisions holding in our book and such kind of pockets are many, but I don't want to discuss much of the m, but I would only like to say that whatever is in the wildest of the thought, whatever could be the additional provision, we can absorb it in no time, that is one thing, which I would like to say.

As far as your assessment in terms of our project loans, I would only like to correct that it is only about 1.21 trillion. It is not somewhere around 4.5 trillion.

- Mr. Ashok Ajmera – Chairman, Ajcon Global

No, no, total infra stage and …..

- Mr. Dinesh Khara – Chairman, State Bank of India

So, I think this is a project loan. This is essentially applicable for the project loans, but also it has given a glide path it has to be done in about three years' time, so it will leave sufficient room, but nevertheless whatever back of envelope calcula tion is there, we're not really worried. To be very precise, what we had seen when the ECL discussion paper had come, I remember during that time also in one of the analysts meet like this, some questions were raised. ECL has not yet become crystallized as of now, let us see when it gets crystallized, but nevertheless it will be much, much less than what the annual outlay was for ECL. So, I will only say that on a standalone basis we are not worried and of course, if at all such kind of way eventuality w ill come and will actually get frozen, we will also revisit the pricing , if need be.

- Mr. Ashok Ajmera – Chairman, Ajcon Global

Sir, what could be the intent whether the RBI is thinking because such a sudden and that to straight away with the 5% provisioning maybe over the period of 2/3 years? Are they fearing that some of these projects may not get completed in time or there may b e …..

– Mr. Dinesh Khara – Chairman, State Bank of India

The way I read , I will share with you. The intent seems to be that RBI has got some concerns about the right pricing of the risk by some of the lenders. So, when you know when the lenders start pricing a 15 -year term loan with T-bill. It will naturally raise the concern with any regulator. So, that seems to be the concern, but I think my sense is that there will certainly be some middle path. I am quite confident about that. The way they are quite re

ceptive about various regulatory
provisions and I am hoping for that . But nevertheless , in the worst of the situation also, we're quite comfortable.

- Mr. Ashok Ajmera – Chairman, Ajcon Global

Sir, my second question is on the other income, it is almost gone up by almost 6,000 crore in this quarter and out of that of course fee definitely must have been increased because of the March quarter, 6200 to 8700 crores, but there is one item of miscell aneous income, which has gone up from 1807 crore to 4957 crore and this two together have given the fillip of 6000 crore, almost 5900 crore to the other income, which is added in the profit of course . So , what could be this miscellaneous income going almo st by 3100 crore higher in this quarter?

- Ms. Saloni Narayan - Deputy Managing Director (Finance), State Bank of
India

Sir, may I respond.

- Mr. Dinesh Khara – Chairman, State Bank of India

Yeah please.

- Ms. Saloni Narayan - Deputy Managing Director (Finance), State Bank of India

One is the AUCA recovery included in that. In this quarter, we had much better AUCA recovery, which is part of the miscellaneous income.

- Mr. Ashok Ajmera – Chairman, Ajcon Global

It must have been always …..

- Ms. Saloni Narayan - Deputy Managing Director (Finance), State Bank of India

No, no, no, this quarter we've done 1000 more than last quarter.

– Mr. Ashok Ajmera – Chairman, Ajcon Global

But included even in the previous quarter?

– Ms. Saloni Narayan - Deputy Managing Director (Finance), State Bank of India

Yeah.

– Mr. Ashok Ajmera – Chairman, Ajcon Global

Okay. Yeah.

- Ms. Saloni Narayan - Deputy Managing Director (Finance), State Bank of India

That is the major thing, but other than that we've also got dividend from our subsidiaries and the CNP Commission and also some annual maintenance charges, which are normally the highest in the last quarter. These are the four reasons.

- Mr. Ashok Ajmera – Chairman, Ajcon Global

Sir, in this one item is the profit from the investment is also there, which is 3,463 crores. So, going forward, where do we stand Sir as far as the profit in the other income booking from the sale of the investments and revaluation of the investments, Si r?

- Mr. Dinesh Khara – Chairman, State Bank of India

No, I think going forward with the revised guidelines, I think earlier what was required to be done for the MTM, whatever was kept in the AFS, everything was subject to MTM, will not have that kind of a situation, if at all we have got and also whatever profit will be there, it will also be routed through the balance sheet, not through the profit and loss also. Anything you want to add please?

- Mr. C.S. Setty - Managing Director (International Banking, Global Markets & Technology), State Bank of India

I think the revised valuation norms, the MTM gains and losses will not be there much, but our effort would be that now how do we get the trading gains both on the fixed income portfolio as well as equity portfolio. So, that will continue, but as far as th e MTM fluctuations, that I think will not be there.

– Mr. Ashok Ajmera – Chairman, Ajcon Global

Sir, the last in this round is point note #17. Loan transfer, 24 accounts are transferred to the NPA accounts outstanding of 7,451 crores. Sir, is it NRCL? Because the recovery seems to be around 15% -17%, only, 383?

– Mr. Dinesh Khara – Chairman, State Bank of India

That is NRCL.

- Mr. Ashok Ajmera – Chairman, Ajcon Global

It's NRCL. The entire amount? Okay. Thank you.

- Mr. Dinesh Khara – Chairman, State Bank of India

No, it will not be entire. Just one second.

- Mr. Alok Kumar Choudhary - Managing Director (Risk, Compliance, & Stressed Assets Resolution Group)

, State Bank of India

Not, entire, around, 10 accounts of the bank.

- Mr. Ashok Ajmera – Chairman, Ajcon Global

Out of 24 accounts.

- Mr. Alok Kumar Choudhary - Managing Director (Risk, Compliance, & Stressed Assets Resolution Group), State Bank of India

Yes.

- Mr. Ashok Ajmera – Chairman, Ajcon Global

Okay. Thank you.

- Mr. Sanjay Kapoor - General Manager (Performance, Planning and Review), State Bank of India

Yeah, before we move to the second question , we will just request you to kindly mention your name and company before answering the questions.

– Mr. Manish Ostwal – Fund Manager, Nirmal Bang Securities Pvt Ltd

Hello. Sir, this is Manish Ostwal from Nirmal Bang Securities.

– Mr. Dinesh Khara – Chairman, State Bank of India

Yeah.

- Mr. Manish Ostwal – Fund Manager, Nirmal Bang Securities Pvt Ltd

Excellent performance another quarter for State Bank and best performing bank in India right now on all the parameters.

- Mr. Dinesh Khara – Chairman, State Bank of India

Thank you very much.

- Mr. Manish Ostwal – Fund Manager, Nirmal Bang Securities Pvt Ltd

Sir, my question is for the next year, your commentary says that we are anticipating 6.8% GDP growth over the next year. Where do you see the credit growth for the system and where we are at State Bank?

- Mr. Dinesh Khara – Chairman, State Bank of India

For us, my estimation is that we should be growing as far as the loan book is concerned, should be growing at about 13% to 15%.

- Mr. Manish Ostwal – Fund Manager, Nirmal Bang Securities Pvt Ltd

The second question on the capital consumption, this year excellent capital consumption management we have achieved and I recall during one of the quarterly analysts meet you said we will grow profit, use the profit to improve the capital and then raising the funds and you deliver on that front. So now if we maintain the 13% to 15% kind of loan growth then we should no t go for big capital raise. How should one think of your capital raise plan?

- Mr. Dinesh Khara – Chairman, State Bank of India

See as of now we had done, I always keep on doing the estimation in terms of what is the ability of our capital to support the growth. So, we have done that estimation and according to that estimation, we can easily grow about 7 trillion worth of loan boo k. Today, we stand at about 37 trillion as a loan book. So, which actually translates to about 21% kind of a growth and my estimation is that we should be growing as far as the loan book is concerned around 15%. So, as of now we are in a comfortable pos ition and we are quite hopeful about the other options, which are available through the Tier -1 etc. also. So, as I have mentioned in the past also, we are quite mindful in terms of our cost of capital, which actually works out to be about 14% to 15% and if at all we go for raising our Tier -1, we are somewhere around 8/8.2/8.5, but net of tax actually it is about 5.6 only. So that is something, which you have in mind, but yes, of course we keep on evaluating the situation. If at all there will be ri ght situation, maybe we'll look into it, but nevertheless, as of now, I feel that we are quite comfortabl e but nevertheless we will be evaluating the situation on an ongoing basis.

- Mr. Manish Ostwal – Fund Manager, Nirmal Bang Securities Pvt Lt d

And lastly on the SBI Wealth, what are the things we are doing? What is the AUM under management and that business and because that is a very strong cross franchise, we can build over long -term, can you share some details over there?

- Mr. Dinesh Khara – Chairman, State Bank of India

Sure. SBI Wealth, we are in the process of revamping. Now, we have identified two segments. One is a Premier Banking, the other is Wea

lth Banking, and also when it comes to beyond a particular TRV, we are offering the physical relationship manager. Otherwise, we are offering the Virtual Relationship Manager concept. And, as far as t he AUM is concerned, you know there are opportunities which we are offering the wealth business to those who are already banking with us. So, our focus is essentially new t o business, if at all we can get the customers who are new to business and earlier we were having the profile, age profile of the wealth customer was skewed in terms of more than 60 years. Now, we have clearly indicated that we want to have the younger lot like you, one of you, can come to our fold in the wealth and we offer comprehensive services to all of you also, so that we should have your mind set also when it comes to wealth, that is something, which you're workin g on.

We have already launched a pilot in two circles, which is one is Bangalore and the other one is in Bombay. The results are quite encouraging and I would say that maybe another quarter or so, we should be in a position to roll out full scale across the cou ntry and when we are going across the country, we are not only confining ourselves to Metro Urban, we are going to Tier 3 - 4 wherever there is a potential. Since we have got a branch network already there, we have to only be for power, resources in such lo cations and we are going to have a new head also for the wealth banking who is quite well adapt into this kind of a space, and we're quite hopeful that we should be the position to have AUM of almost 1 trillion through the wealth itself in a year or so.

– Mr. Manish Ostwal – Fund Manager, Nirmal Bang Securities Pvt Ltd

And today the market has recognized your consistent predictable earnings despite of the fall in the market the stock. All the best for the coming quarters.

– Mr. Dinesh Khara – Chairman, State Bank of India

Thank you very much, I appreciate.

– Ms. Mahrukh Adajania – Executive Director (Equity Research), Nuvama

Hello Sir. Congratulations, Sir. Sir, my first question is on the wage provision. You have explained you know what the run rate will be. Could you share the absolute amount because in this year there are, I mean at least in this quarter there are some write backs also and there is an additional provision. So, what will be the run rate monthly or quarterly in employee expense?

– Mr. Dinesh Khara – Chairman, State Bank of India

Now, going forward, we expect that we will have almost about 500 crores a month, which means about 6,000 crores would be the additional cost. Though we have already this - in the previous year as far as the wage is concerned, we have provided about 13,000 crores plus. So, we will not be required to provide I mean , it will certainly come down and actual costs will go up only to the extent of about 6,000 crores. So, about 7,000 crores savings would be there in their wages.

– Ms. Mahrukh Adajania – Executive Director (Equity Research), Nuvama

Got it, Sir. Sir, and my next question is on your strategic stakes in companies not your subsidiaries, so would there be any divestments in FY25 and would that help in your growth capital or you would still want to consider an equity raise, if growth is s tronger?

– Mr. Dinesh Khara – Chairman, State Bank of India

I think these are all moving parts. We'll have to wait and watch depending upon how the market situation is and based upon that we'll be taking the appropriate call, but yes, of course as I mentioned, we keep on revisiting our capital situation and I've a lready stated in the past also, capital will never be a constraint for the growth of this bank and we will ensure that in good time we have adequate capital. I'll once again repeat that, that is the confidence conviction, whic

h
we have and we will stick t o that.

– Ms. Mahrukh Adajania – Executive Director (Equity Research), Nuvama

Got it, Sir. Sir and I have one last question on margin. Sir, what would be your outlook on margins, right, as in that assuming rates are not cut, obviously there's a rate cut and that'll have, but assuming that rates are not cut, what will be the outlook on margins from here on?

– Mr. Dinesh Khara – Chairman, State Bank of India

See, as far as our cost of deposits are concerned, we have already plateaued somewhere in the month of October, December only. So, I think my sense is that we don't expect the NIM should undergo significant change, if you really look at it, our NIM has actually move d up from 3.41 to 3.43 from December to March and essentially when it comes to our international book also, it has almost more or less at the same level, some marginal 5 -6 bps difference is there. So, I think our effort and endeavor would be to maintain NIMs around this level only.

– Ms. Mahrukh Adajania – Executive Director (Equity Research), Nuvama

Thank you, Sir.

- Mr. Dinesh Khara – Chairman, State Bank of India

Thank you.

- Mr. M Alimchandani

Dinesh ji, excellent Q4 numbers despite of challenges, RBI circular, staff cost revisions, it's really wonderful. Hats off to you. Now, very few specific questions. Now, one is what are SBI's and your plans and subsidiaries plan for Gift City? And very specifically, everybody is looking forward to it and SBI should take the lead in this specifically, if you can articulate? #2, is very clearly what is the growth capital required by SBI for next three years, any estimates for that and how we are going to raise it and if you are doing QIP, definit ely at how much premium because currently our share apparently is very much undervalued considering the excellent results and the excellent outlook and #3, on divestment, very clearly say yes to Yes Bank, very,

very prized possession and there are talks you should not go as per SEBI formula because the way IDBI pricing is there, it is three times of what happened two years back. If you do it, the kind of an open auction for all stakes, you may even get two to three times t he value because it's a very excellent technology bank and our ex -CFO has set all the screws right in spite of what happened in the past? If you can articulate your views and this next is on NDS, we were always saying our SBI ex -CFO who went to Jio now had clearly articulated we have no worries on that. We are fully prepared and you had also quietly shared it when the stocks got a battering. What is the thought process on that, on a consultation with the regulators and specifically do you expe ct it post elections or it will take a long time because it's an overhang, which market has forgotten for a few days and also your thought process, how you are engaging with RBI on lots of circulars are there. It's creating a lot of uncertainty. Will it come now or after the election or after two years it will come where infra circular, which has come up a few days, will it also become like NDS? Nobody really knows, bu t the market has taken it wrongly in the last few days. Your specific answers and then I can come back on it?

– Mr. Dinesh Khara – Chairman, State Bank of India

I hope I don't forget, but if I forget, I will ask you.

– Mr. M Alimchandani

Yes Sir.

– Mr. Dinesh Khara – Chairman, State Bank of India

Your first question is relating to the Gift City and whatever our plans in the Gift City. We have got a International Banking Unit in Gift City, which we opened in the year 2016 -17 and we already have built a balance sheet of 7 million over there, which is actually our own outfit, State Bank of India's outfit and actually it is the largest IBU also , that is one. Secondly, as far as the group co

mpanies are concerned, our SBI Mutual Fund has already opened a branch office, which in due course is likely to b e upgraded to a subsidiary of the company, which will be based out of Gift City. So, that is the other company, which is going there in Gift City and as well other companies are concerned Life and our custodial company etc ., they are evaluating the options and the appropriate decisions will be taken by the board of all these companies.

Your second question was - please kindly repeat the question.

– Ms. Saloni Narayan - Deputy Managing Director (Finance), State Bank of India

Growth capital.

– Mr. Dinesh Khara – Chairman, State Bank of India

Yeah, growth capital. We have got, I mentioned earlier also, as far as the growth capital is concerned, as we are very well placed as far as our capital adequacy ratio is concerned at 14.28%. We've got ample room for raising AT -1 and we are hoping some k ind of a revisit to the pricing formula for AT -1 valuation formula, not the pricing formula, but the valuation formula, once that kind of clarity is in place, we will be in a position to raise AT -1 also. Our ROE is growing at about 20% and our loan book i s growing at about 15%. So, that gives us a natural advantage in terms of our ability to plo ugh back and that will continue to be the focus. So, if at all I have to prioritize the first is the natural plough back, which will happen. Second, we will raise through AT -1. Third, we will look at the opportunities for raising equity at a right price, if at all required because as of now, with the current capital, also with the current capital adequacy ratio, we c an grow the balance sheet to by another 7 trill ion. Our balance sheet is already 37 trillion and that 7 trillion actually translates into about 21%. So, I think I have assured multiple times and I once again will like to reiterate, growth capital will never be a constraint for the growth of this bank and the group companies. I assure you once again on that.
Your third question was relating to Yes Bank. Yes Bank, I'm unable to comment anything as of now, but what you mentioned, we will certainly keep in mind when we go to the Board, we'll keep your suggestions in mind and we will take appropriate decisions. I will only say this much.
Fourth question, NDS , ECL kind of a thing , which you are mentioning , at a point of time, we have made on assessment for the ECL, the provision requirement was about 30,000 odd crores, which is required to be in about 5 years' time, which works out to be about 6,000 crore a year. With the balance sheet profit of about 60,000 crores, this does not really worry us at all. But, I must also mention that , then and now, the quality of book has even improved. So , my assessment is that even ECL requirement will also come down. It is simply a back of envelop e calculation. We have not applied ourselves on this. But nevertheless, since it is not a cause of worry, I am not really much concerned.
Last question was relating to the recent circular instruction. No, in fact, before that you had said that how are we engaging with RBI on various circular instructions. Let me assure you, RBI as a regulator, is a very receptive regulator. And since we deal with many other regulators also, I get a chance to say this. But they are very cognizant in terms of what the requirements of the economy are. But at the same time, they want to ensure that the banking system should stay very well protected. So, with that in mind, perhaps this kind of a discussion paper has been brought out. And I am quite sure that they are very keen to look at the suggestions which will be given by IBA, as well as by us as State Bank of India. And maybe they will even be open to the viewpoint of the various other stakeholders also. The reason why perhaps this kind of a circular instruction has co

me, because in the market we have seen that 15 years proje ct loans, 15 years infrastructure loans are being priced linked to the T -Bill. I think any regulator will get worried on this. So , I think… I actually look at it from that perspective. So , that is the reason. And more so, this has to be seen in the context when interest rates are expected to start moving up; maybe 6 months, 9 months, whenever. But there could be a possibility. So , when the risk is not properly priced, I think the regulator is bound to be concerned. And in my experience, my thought about RBI, is that it’s a very balanced and very matured regulator. So , we are very respectful of our regulator. Thank you.

– Mr. M Alimchandani

Thank you. Sir, thank you for a very good reply. On the group companies, very specifically, our AMC, Nippon, price market cap has gone up three times in the last three years. HDFC AMC, three times. It's high time we should get it listed and get a valuation for that. This is the right time. Same thing for insurance.

Now I'll come to our SBI cards. Why it is underperforming? I feel it will continue to underperform for the next five years also. Why? I'd engaged with Deputy MD cards. Now, we have a prime reputation pre -paying car loans, pre -paying home loans. And in ICIC I, we can keep 1 crore FD, for a lifetime card. But SBI card, they are insisting on compulsory FD. Just because we want to use SBI card for buying on Amazon and Flipkart, today I lost a 2,000 rupees discount because SBI is insisting on a FD deposit of 30,0 00-40,000. But ICICI gives me a lifetime free card where I can play golf. Why insist on a 30,000, 50,000 FD rupees when ICICI voluntarily, we can give 1 crore FD. And this is a... your Turner Road branch is not listening to your Deputy MD. He says, refer t o me. It needs to improve. That is why it is underperforming and other cards company will flourish. If you can take this seriously, take it up. This will help our companies and the bank in a big way.

– Mr. Dinesh Khara – Chairman, State Bank of India

We have taken note of your suggestion. But only one thing which I would like to mention. I am very conscious of what you mentioned in terms of the valuation for Nippon Life, HDFC Life. And also I am conscious of the challenges being faced by some of these companies on account of getting listed. I think the example of ICICI Securities is before all of us. They listed and they delisted themselves also. So, it is a matter of principle essentially, because when it comes to entities like mutual fund, etc., they are more like a knowledge industry. There the knowledge capital is required, not the financial capital. And, in fact, for that matter, considering the capital which we have put in there and their networth, it is significantly high. And I don't want to expo se them to quarter se quarter tak (QSQT), because if at all I will list them, they will only keep on answering to all of you and will not focus on the product. I don't want to do that. Let them focus on the product and generate return for each one of you. Thank you!

– Mr. M Alimchandani

Hats off to you. All the best.

– Mr. Sanjay Kapoor - General Manager (Performance, Planning and Review), State Bank of India

Yeah, we move on to the next question.

– Mr. Sushil Choksey – Managing Director, Indus Equity

Team SBI, congratulations on excellent performance. Sushil Choksi, Indus Equity. Sir, we are moving globally in the right way. Globalization on money market, debt market. I think, next 12 months there is going to be huge inflow where India markets are concerned, and size of SBI may have a larger share to gain of, whether it is our debt portfolio, FX, maybe pricing products well. How are we placed to garner that profit?

– Mr. Dinesh Khara – Chairman, State Bank of

India

Well, when it comes to the opportunities which are being unfolded on account of debt paper getting included into JP Morgan and Bloomberg also, so, we have already activated our custodial company, which is SBI -SG Global Securities. And also, when it comes t o holding of stock of debt paper, some of our entities which are in place, like SBI DFHI being one, which is a PD, which can actually warehouse all these kinds of debt papers also. That is one entity which can hold such paper. Apart from that, our treasury also is holding such papers. So I think, we are very well placed in terms of reaping the benefit out of the opportunity which will unfold before us. Yes, as of now, these are the early days. There is some kind of volatility, and that volatility is going t o be the way forward for such instruments too. Because the way I read is, if at all there is a global scenario where the interest rates in US will go up, it will lead to movement in and out; that also is a reality. So, I think economy per s ay will have to really gear up for such kinds of volatilities. But nevertheless, as a major lender and also a custodian of all the securities, we have multiple entities where we can warehouse and we can keep stock of it. Once we will have visibility of the trend, we will certainly be on the top of the opportunity. I only assure you this.

– Mr. Sushil Choksi – Indus Equity Advisors:

Sir, the kind of profits we are generating and the strength of human resource which SBI churns out, not only for themselves, for the industry, and with new generation capabilities which are emerging in the global banking, what are we enabling ourselves at in understanding adoption of technology and human resource? And what kind of CapEx will do to invest in this?

– Mr. Dinesh Khara – Chairman, State Bank of India

I think, more important is to leverage the analytics, which gives us enough insight into the customer behaviour. And based upon that, if at all, we can offer hyper -personalization and the customization which suits the customer's requirement. And it is not merely in terms of product and the product features, but it is also in terms of the distribution channel. And knowing all this kind of a trend, we are ensuring that we invest well in terms of the people, product, process, and technology. It is not merely w ithin the company, but it is across the group. So that is the broad principle on which we are operating. And we will ensure that we must not let any opportunity go past us.

– Mr. Sushil Choksi – Indus Equity Advisors:

Thank you for answering all my questions. All the best !

– Mr. Jay Mundra – ICICI Securities:

Hi, sir. This is Jay Mundra from ICICI Securities. A few questions, sir. Sir, last quarter we had said that staff cost for next year, FY25, should be around 65,000 crores. And we had deduced that 4th Quarter could see around 22,000 crores rough amount. This quarter, the staff cost has been reasonably lower; there are some adjustments that we have done. So does the 65,000 crore number for FY25, does that still hold, or it could be revised upwards?

– Mr. Dinesh Khara – Chairman, State Bank of India

It could be somewhere around that only. We expect that 65,000 to 70,000 something which we expect… but that is only to take care of what we have not visualized. But otherwise, our additional cost is only about 500 crore… as I mentioned, about 6,000 crore p er year. So in this one… if you can go back to the previous slide? In this one also 71,000 crores, if you really look at it, herein we have got additional provision of 13,387. So if at all 57,850 plus 6,000 crores, would be about 63,000 crore. So what we m entioned about 65,000 -66,000 crore is a reasonable estimation, because there would be DA increase, etc., which we cannot really visualize as of now. So that is a reasonable estimation.

– Mr

. Jay Mundra – ICICI Securities:

Sure. And second question is on your corporate growth, right, so this year and this quarter we have ended at 16 percent YoY. There is a seasonal uptick also in the 4th Quarter. But going ahead for maybe in one year and two years, do you think that this 16% has scope to move upward to around, let us say, 20%, maybe driven by whatever the CapEx and demand, fresh demand? And, do you see any change in the competitive intens ity, because it looks like some of the large private banks may not prioritize corporate g rowth at this point of time?

– Mr. Dinesh Khara – Chairman, State Bank of India

Well, as far as the growth is concerned, the loan growth in particular for a bank like State Bank of India, we always link it up with the GDP growth. GDP growth, nominal growth plus inflation plus 2%, that is our principle. And with that in mind, I expect that we should be in a position to grow at about 15%. 13% to 15%, is my estimation. And, we actually get to have opportunities. Since we are present in all sub -segments, we have enough opportunities everywhere. But we are very mindful in terms of deciding our portfolio, so that we should be in a position to improve our yield on advances for the portfolio as a whole. So, that is something which you have in mind. Corporate, we should be in a position to grow around 16%. I think overall we should be in a position to grow somewhere around 13% to 15%.

– Mr. Jay Mundra – ICICI Securities:

Any comment on the competitive intensity in the corporate…?

– Mr. Dinesh Khara – Chairman, State Bank of India

Competitive intensity, of course, will give us an opportunity for improving our yield. But I think when it comes to corporate book, private sector banks are there, but the significant partners are also the public sector banks. But nevertheless, we have inv ested well in terms of our capability. In terms of processing, we have a PFSB U which is a strategic business unit, and we have invested very well in terms of building the capability.

And you know the new opportunities which are coming, particularly when it comes to EV batteries and also when it comes to cell manufacturing, so all these are involving some kind of a project evaluation, comprehensive project evaluation. And if at all we look at our goal, eventually, to become a part of the global supply chain when it comes to white goods, when it comes to engineering, when it comes to telecom manufacturing, etc., etc., they are going to unfold significant opportunities for these kinds of i nvestments. So, I think we have invested well, and that gives us a competitive advantage as compared to others.

There could be situations that we will underwrite and then down sell also. But yes, of course, that will generate fee income for us. And, we are quite conscious on this particular opportunity and we want to leverage it to the hilt.

– Mr. Jay Mundra – ICICI Securities:

Sir, lastly, we have improved CD ratio this quarter. We have been doing this for the last few quarters. But what is your sense, where can it stabilize? There seems to be some more scope, but what do you think would be the ideal…?

– Mr. Dinesh Khara – Chairman, State Bank of India

Ideally speaking, for a bank of our size, we would like it to be somewhere around 75%.

– Mr. Jay Mundra – ICICI Securities:

This is domestic or…?

– Mr. Dinesh Khara – Chairman, State Bank of India

Domestic.

– Mr. Jay Mundra – ICICI Securities:

Thank you, sir. Thank you.

– Mr. Sanjay Kapoor - General Manager (Performance, Planning and Review), State Bank of India

We'll move to the next question.

– Mr. Akshay Jain – Senior Research Associate, Autonomous Research

Hello, sir. This is Akshay here from Autonomous Research. Sir, I have two questions. One on the

credit cost front. So, our credit cost has been in the range of around 20 -25 bps for some time now, which is aiding our ROA, which is above 1%. So, now with qua ntum of recoveries moderating, how do you see credit cost evolving?

– Mr. Dinesh Khara – Chairman, State Bank of India

I think, of course, what you mentioned in terms of recovery moderating, but nevertheless, if at all we are required to have lower provisions also, even that will also help us. And that is something which is our effort and endeavour. And, in this bank, for such a big bank, we have a very simple mantra when it comes to credit quality. And that mantra is known to everybody in the bank, that their NPA and SMAs should be lower than that of the 31st of March of the previous year. So, on one hand, our loan book ke eps on growing. At the same time, our NPA and SMAs are kept under check, which is all effort elastic. So, to make it really happen, everybody is energized to achieve this goal. And that is something which is reflected in these numbers also.

– Mr. Akshay Jain – Senior Research Associate, Autonomous Research

Sir, any specific guidance you would like to give on the credit cost?

– Mr. Dinesh Khara – Chairman, State Bank of India

I would like to keep it as low as possible. My effort would be to bring it to 0.25. But we cannot ignore the risk which are inherent in the macro. We will have to live with that.

– Ms. Saloni Narayan - Deputy Managing Director (Finance), State Bank of India

Sir, your guidance has been 50 bps.

– Mr. Dinesh Khara – Chairman, State Bank of India

Guidance, of course, is 50, but that is for all of you. When it comes to my internal st aff, it is as low as possible. Because you people hold me responsible for whatever guidance I will give you.

I do not want to get… I should not be held responsible for that. But just let me assure you, the effort and endeavour is to do it, to maintain the a sset quality as best as possible.

– Mr. Akshay Jain – Senior Research Associate, Autonomous Research

Sir, second question is on the other income front. Other interest income front. So, there seems to be a component of IT interest refund?

– Mr. Dinesh Khara – Chairman, State Bank of India

Yes, there is.

– Ms. Saloni Narayan - Deputy Managing Director (Finance), State Bank of India

Yes, 1,300 crores.

– Mr. Dinesh Khara – Chairman, State Bank of India

We keep on paying to them also and we have to have the refunds also. So, it is a part of the game.

– Mr. Sanjay Kapoor - General Manager (Performance, Planning and Review), State Bank of India

We will move to the next question.

– Mr. Dinesh Khara – Chairman, State Bank of India

But nothing unusual. Yeah.

– Mr. Saurabh Kumar – Executive Director, J.P. Morgan

Hi, sir. This is Saurabh from J.P. Morgan. Two questions. One is on your CASA growth. Your current account growth is just 2% this year. So, when your CASA much lower than, let us say, even the private banks, how would you think about your margins for next year? So, besides the CD ratio, is there any other flex you have on your NIMs?

And the second is on the overhead growth. So, you quantified the staff. How would you think about the overhead growth when your loans are growing at about 14% odd? Is there any operating leverage there?

And just one related question is essentially around the credit cost piece. Your Agri NP Ls have now come down to now 9.5. Do you think this can fall or do you think this stabilizes at around 10%? Thank you.

– Mr. Dinesh Khara – Chairman, State Bank of India

The first one is relating to the CASA. Well, CASA is something which the industry, as a whole, has seen turmoil. And I think as compared to others, we have lost the CASA to the extent of about 280 bps. This is gen

erally a phenomenon seen when the people ar e looking for the better yielding asset class. And here also you will see our… when it comes to our term deposit growth, it is as high as 16%. So, that is part of the product feature, when we are opening high value savings bank account. We need to offer th em the multi -option deposit scheme, which is actually a sweep beyond a threshold. So, that is something which is seen. So, whatever you're seeing in term deposit, is essentially also originating… part of it is coming from the savings bank also. The important component here is the current account, and current account post the revised business model adoption by the Government of India where just -in-time has become a reality, we had reoriented ourselves into the trade commerce industry, trust, etc., etc. for opening of current account and we had a decent success. We already opened it at more than 40 locations across the country which are the major markets for current account and for such kind of a business. Well, this is the position as at the end of the day. But what we keep on monitoring on an ongoing basis is the daily average balance in the current accounts. And there we get to see decent growth in the daily average balances.

Apart from that, we are into CMP, we are significantly invested into the technology so that we should offer the best -in-class, the cash management product. So, these are the kind of initiatives which we have already taken, and I am sure with these initiati ves, we will be in a position to improve our CASA.

Your second question was relating to… Agri -NPA, of course. Agri -NPA, we have brought it down from 15 to 9, and our goal is to… in fact, the target which we have already given is to bring it to less than 8. And we are quite hopeful that we should be in a po sition to achieve it, bring it down somewhere in the range of 6 to 8% in the days to come. So, that is our effort and we are quite hopeful to achieve these numbers also.

– Mr. Saurabh Kumar – Executive Director, J.P. Morgan

… growth in overheads, basically, for next year.

– Ms. Saloni Narayan - Deputy Managing Director (Finance), State Bank of India

Basically the staff cost. Staff cost is a major expense for overheads.

– Mr. Dinesh Khara – Chairman, State Bank of India

No, in fact, in the growth in the overheads, we have got some as a business and developmental expenses of 4,200 crore. PSLC is the other one. Then we are actually building on our Agri book. We hope that we should be in a position to reduce our dependence o n the PSLC. So, that will help us in reducing this kind of increase in overhead too.

– Mr. Saurabh Kumar – Executive Director, J.P. Morgan

Sir, the question was, ex of staff, the overheads. Can it grow slower than loans or no , next year?

– Mr. Dinesh Khara – Chairman, State Bank of India

Yes, I think yes, we can. Because as I mentioned, our effort when we are embarking upon SBOSS, is essentially to build up excellent Agri book which should help us in reducing our dependence on PSLC. That is our effort. We have seen it… as compared to past, we have already seen an improvement in this.

– Mr. Sanjay Kapoor - General Manager (Performance, Planning and Review), State Bank of India

We will have one last question now.

– Mr. Param Subramanian – Nomura Financial Advisory & Securities(India) Pvt Ltd

Hi, sir. Param from Nomura here. Sir, firstly on your provisions, so this year we have seen about 4,000 crores of provision writebacks from standard provisions and other provisions that are showing up. Is this something that can continue going ahead, becau se your coverage on your restructured portfolio is pretty high? So, is that something you can keep reversing going ahead? That is my first question.

– Ms. Saloni Narayan - Deputy Managing Director (Finance), State Bank of India

Can I respond, sir?

– Mr. Dinesh Khara – Chairman, State Bank of India

Yeah, you start, I will chip in. Yeah.

– Ms. Saloni Narayan - Deputy Managing Director (Finance), State Bank of India

One reversal that we worked was the NPA automation that has been done by the bank, and RBI had asked us to provide 0.5% of the operating income. I think we have reversed how much?

– Mr. Dinesh Khara – Chairman, State Bank of India

1,000 crore , about 900 odd crores.

– Ms. Saloni Narayan - Deputy Managing Director (Finance), State Bank of India

During the quarter, we have 900 crores roughly. That is a major reversal. And then in standard accounts, two of the accounts have remained standard for the last two years. So, we have just written that back. That is a very normal thing to do. Other than th at, there is not no one -off…

– Mr. Dinesh Khara – Chairman, State Bank of India

1,306 crore is one item, the other one is 370 crores. So, other provisions, 1,306 crore. What she has mentioned about 900 crore, we were required to keep extra provision, which we have reversed. And standard asset is what is explained.

– Mr. Param Subramanian – Nomura Financial Advisory & Securities(India) Pvt Ltd

Got it. Sir, you also have a very high PCR coverage on your restructured book, which the other banks do not have. Is that something you look to reverse?

– Mr. Dinesh Khara – Chairman, State Bank of India

We do not envisage any challenge on that. But nevertheless, since we have already provided for it, as a matter of abundant caution, we have kept it. But otherwise, the behaviour on the restructured loans is actually much better than what we had expected. A nd the kind of repayment which you are seeing is pretty decent. And I don 't think so there will be need of utilising that provision. Apart from that, that is one pocket which you have mentioned, there are many others also. There are small amounts here and there.

– Mr. Param Subramanian – Nomura Financial Advisory & Securities(India) Pvt Ltd

Sir, one more question. Sir, on the corporate book, this time, QoQ , we have seen a very strong growth. And we have not seen it in the large private banks. Of course, you do not have any...

– Mr. Dinesh Khara – Chairman, State Bank of India

No, they are not really into this activity. They are shying away from this activity.

– Mr. Param Subramanian – Nomura Financial Advisory & Securities(India) Pvt Ltd

Sir, is there any inorganic component to it?

– Mr. Dinesh Khara – Chairman, State Bank of India

No, no. We don 't do that. We believe in underwriting and down selling. Others would have the inorganic. We don 't have. We want to build a fee income portfolio.

– Mr. Param Subramanian – Nomura Financial Advisory & Securities(India) Pvt Ltd

Perfect, sir. Thank you so much. Congratulations.

– Mr. Sanjay Kapoor - General Manager (Performance, Planning and Review), State Bank of India

Thank you. Sir, we have a few questions coming in through the online webcast, which I'd request you to…

– Mr. Dinesh Khara – Chairman, State Bank of India

Yes, sure.

- The first one has come from Mr Ravi Kiran Lingamaneni. How SBI is expanding its services for NRI, as we can see NRI are looking towards private banks for savings.

We have got exclusive NRI branches and also a completely digital paperless journey is being extended to onboard NRI customers through a new application. Accounts can be created in as little as 30 minutes with the help of this new journey. And also, apart from that, we have got the centres which we have created only for facilitating opening of the NRI accounts at two locations in the country. That is also helping us in ensuring that we have got the excellent service which we can offer. In

certain geographies where the regulators permit us to offer NR I services, we are also putting in place our feet -on-street so that we can garner this NRI deposits also and create value for our valued NRI constituent.

- The next question is coming from Amol. Is SBI planning about listing of SBI General ?

As I have already mentioned that, we would like this company to grow a little more. Then we will think in terms of its listing.

- Next question is coming from Chintan Joshi, Autonomous Research, London. Can you explain 29% QoQ increase in other net interest income? Are there any one -offs in this number?

There are no one -offs on this number. It is business as usual. Income from interest on IT refund is Rs. 1,302 crores in Q4 as compared to Rs. 740 crores in the Q3 of FY2024, which actually keeps on happening.

- Another question is coming from Komal Jain. Your comments on the future outlook?
We are expecting a very good business growth in the next couple of years, subject to favourable macroeconomic conditions and easing of the geopolitical tensions. We are also focusing on improving our market share, both in deposits and advances. The main dr iver of business growth

will be expansion of digital products and services on our digital omnichannel platform, YONO, to increase efficiencies in the bank. We will continue to focus on booking quality assets and improving asset quality going forward. Here it would not be out of place to mention that this year we have seen more than 30% growth in our book, which we have underwritten with the help of YONO. We expect this trend to even get further strengthened in the days to come with the new offerings which we are going to have.

- Next question is from Priyesh Jain from HSBC. What percentage of the loan mix is fixed rate, MCLR link, Repo link and others?

So, MCLR linked as of now is 36% -37%, EBLR is 27%, fixed rate is 21% and others are just over 14%. They would be majorly T -bill kind of loans.

- Next question is coming from Ankit Pandey. What is the impact on us of the RBI's draft guideline on infrastructure project finance?

It is a draft guideline, as I have already explained. I am sure this question is already answered for you.

- Next question comes from Rahul K. What is the growth guidance on advances for the next two years? What is the quantum of technical written off accounts held and recovery run rate?

As for long -term plans, we expect the growth to be somewhere in the range of 13% to15%. Outstanding technical write -off is Rs. 1,75,202, which is actually AUCA book, which we call it. And recovery from the written off account is Rs. 6,934 crores.

- Another question is from D. Siddharth. Going forward, will SBI outpace the deposit growth of banking industry? Will YONO 2.0 take care of all kind of demands of the CASA depositor?

We have taken several steps to increase our market share in deposits. Digitization within YONO will definitely help in our endeavour to garner more and more quality deposits and much lower cost also.

So, these are the questions which we got offline. Any other questions anybody has got, we would be happy to answer.

– Mr. Piran Engineer – Investment Analyst, CLSA India Private Limited

This is Piran Engineer from CLSA. Sir, just firstly following up on his question, will we grow faster in corporate book next year versus the 13% to 15% target, just given that HDFC will be slower?

– Mr. Dinesh Khara – Chairman, State Bank of India

Whether HDFC was a challenge for us in the corporate book, I really don ’t know. So, if they are growing slower wi ll that give an opportunity, perhaps that is not the consideration. What matters most is how the macroeconomy evolves. So, if at all there are opportunities in the macroeconomy, I assur

e you we will go strong.

– Mr. Piran Engineer – Investment Analyst, CLSA India Private Limited

And sir, just secondly, our fee income, if I look at it over a five -year period, growth has been like 4-5% vs balance sheet growth of 11 -12%. So, what exactly has led to this and can we expect it to grow in line with loans?

– Mr. Dinesh Khara – Chairman, State Bank of India

I will have to come back to the analysts' meet every quarter and answer to all of you, that has led to this growth, because I keep on chasing all of my employees that they should go for the loan application fee. I am not giving any waivers. Simple.

– Mr. Piran Engineer – Investment Analyst, CLSA India Private Limited

It is a more competitive dynamic, that loan processing fee has…

– Mr. Dinesh Khara – Chairman, State Bank of India

See, if at all you can create value, people don 't mind paying fee. That 's what I believe. And we believe in creating value. We believe in financial closures and helping our corporates to go fast for whatever they intend to, and then we do the down selling. This is as a business policy, we have decided.

– Mr. Piran Engineer – Investment Analyst, CLSA India Private Limited

Okay, thank you.

– Mr. Dinesh Khara – Chairman, State Bank of India

Thank you .

– Mr. M B Mahesh – Executive Director, Kotak Securities

Sir, this is Mahesh from Kotak. Just two data keeping questions. One is, on the balance sheet, there was a DTA impact on the reserves. Can you just explain what is the math behind that?

– Mr. Dinesh Khara – Chairman, State Bank of India

Sorry?

– Mr. M B Mahesh – Executive Director, Kotak Securities

The net worth. If you look at the movement of net worth this quarter, it does not add up with the earnings that has been reported. We understand that you have taken a charge at the DTA level. If you could you just explain what has happened this quarter?

– Ms. Saloni Narayan - Deputy Managing Director (Finance), State Bank of India

Can we get back to you on this, sir?

– Mr. Dinesh Khara – Chairman, State Bank of India

I have not understood it well, so we will answer it…

– Ms. Saloni Narayan - Deputy Managing Director (Finance), State Bank of India

Separately, I will get back to you on this.

– Mr. M B Mahesh – Executive Director, Kotak Securities

In last quarter, you had indicated that there would be a positive impact on the investment portfolio. Has that been completed at the beginning of this quarter?

- Mr. C.S. Setty - Managing Director (International Banking, Global Markets & Technology), State Bank of India

Yeah, we have taken the valuation, revised valuation and has been implemented from 1st April. And as we mentioned, I think our initial estimate shows that there is a positive impact on the AFS reserve. As you know, the positive gains have to be reflected i n the AFS reserve only.

- Mr. M B Mahesh – Executive Director, Kotak Securities

Is it possible to quantify that, or we will have to wait for that?

- Mr. C.S. Setty - Managing Director (International Banking, Global Markets & Technology), State Bank of India

No, we will have to wait for the quarter end ing, because this is… I mean, we need to look at how the portfolio behaves by the end of the quarter.

- Mr. M B Mahesh – Executive Director, Kotak Securities

Perfect. Last question, ma'am. On the staff expenses, it was expected that there would be an incremental head of about 5,000 crores this quarter. It has not happened. If you could just give us an explanation around that.

– Mr. Dinesh Khara – Chairman, State Bank of India

Actually, when the agreement happened, we could have a very clear visibility in terms of what to pay an

d how much to pay. So, it had impact in terms of what is the payslip component, what is the basic pay, etc., etc. Based upon that, it was all reassessed and whatever a dditional provisions are required, they have been booked. And we also had some MTM gain in our...

– Ms. Saloni Narayan - Deputy Managing Director (Finance), State Bank of India

3,900 crores of MTM gain.

– Mr. Dinesh Khara – Chairman, State Bank of India

MTM gain on our corpus for the pension and the provident fund also. So, that has also helped us in this quarter.

– Ms. Saloni Narayan - Deputy Managing Director (Finance), State Bank of India

And also the lower liability on gratuity. So, we have done some reversals on that because we have already...

– Mr. Dinesh Khara – Chairman, State Bank of India

Provided for more in the gratuity also, so that also...

– Ms. Saloni Narayan - Deputy Managing Director (Finance), State Bank of India

That's why we have reversed around 812 crores. So, as against our estimate of 5,400, we have now done 669 only. And that takes care of the entire thing.

– Mr. M B Mahesh – Executive Director, Kotak Securities

Perfect, ma'am. Thanks.

– Mr. Sanjay Kapoor - General Manager (Performance, Planning and Review), State Bank of India

Okay, this will be the last question.

– Ms. Wuzmal Handu – Goldman Sachs (India) Securities Private Limited

Okay, sure. Good evening, sir, ma'am. This is Wuzmal from Goldman Sachs. I have two quick questions for you. One is on upgrades and recoveries. I want to understand what are your thoughts on how it would trend in the next year? Should the 13% upgrades to opening GNPL be the base case or do you see any lumpy accounts coming in next year that would push it forward?

And the second question is on the deposit growth. As of FY24, your deposit growth YoY looks like 11%, which is slightly lower than what we saw for the industry. So, how do you see that trending for the next year?

– Mr. Dinesh Khara – Chairman, State Bank of India

See, when it comes to the recovery, I would say that no lumpy accounts left out. They're all small and sundry accounts which are left out. And the recovery… but happy to share with you that even in this year also, we had a similar situation. And still, we could make the recovery as high as about 7,000 odd crores. Sorry? So, 7,000 odd crores as compared to... No, 6,900 as compared to about 7,000 crores, which we did last year. So, I think, depending upon the stock of such assets, we need to recalibrate our s trategies. So, that is something which we will be doing.

Your second question was relating to deposit growth. Deposit growth, we have taken multiple initiatives. And with a sharper focus with our complete retail network, and also focus on our corporate books also, corporate relationship also, I'm quite hopeful t hat we should be in a position to improve our percentage growth in the year to come.

– Ms. Wuzmal Handu – Goldman Sachs (India) Securities Private Limited

Thank you, sir.

– Mr. Dinesh Khara – Chairman, State Bank of India

Thank you. Thank you very much.

– Mr. Sanjay Kapoor - General Manager (Performance, Planning and Review), State Bank of India

Thank you. I trust all the questions have now been addressed. We'll be happy to respond to other questions in offline mode. Let me end the evening with thanking the Chairman, sir, the top management team, the analysts, the ladies and gentlemen. We thank yo u all for taking time out

of your schedule and joining us for this event.
So, to round off this evening, we request you all present here to join us for high tea, arranged just outside the hall. Thank you. Thank you.

– Mr. Dinesh Khara – Chairman, State Bank of India

Thank you very much and have a great evening. Thank you.

END OF TRANSCRIPT

Call: Aug 2024

CC/S&B/AND/202 4-25/372 09.08.2024

Madam / Sir,

Disclosure under Regulation 30 of SEBI (LODR) Regulations, 2015 :
Transcript of Analyst Meet

Pursuant to Regulation 30 read with Para A Part A of Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 , we submit the transcript of the Q 1FY25 post results Analyst Meet held on 03.08.2024.

Please take the above information on record .

Yours faithfully,

(Aruna N Dak)
DGM (Compliance & Company Secretary)
Encl: A/a

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Q1FY25
ANALYST MEET
TRANSCRIPT
03.08.2024

MANAGEMENT : MR. DINESH KUMAR KHARA
CHAIRMAN , STATE BANK OF INDIA

MR. C.S. SETTY
MANAGING DIRECTOR (INTERNATIONAL BANKING , GLOBAL MARKETS & TECHNOLOGY)

MR. ASHWINI KUMAR TEWARI
MANAGING DIRECTOR (CORPORATE BANKING AND SUBSIDIARIES)

MR. VINAY M TONSE
MANAGING DIRECTOR (RETAIL BUSINESS & OPERATIONS)

MRS. SALONI NARAYAN
DEPUTY MANAGING DIRECTOR (FINANCE)

MR. PAWAN KUMAR KEDIA
CHIEF GENERAL MANAGER (FINANC IAL CONTROL)

MR. SANJAY KAPOOR
GENERAL MANAGER (PERFORMANCE , PLANNING & REVIEW)

– Mr. Sanjay Kapoor - General Manager (Performance, Planning and Review), State Bank of India

May I request everyone to be seated please? Namaste everyone and Good evening, ladies and gentlemen!

My name is Sanjay Kapoor and I am the General Manager , Performance Planning and Review Department of the bank.

On behalf of State Bank of India, I am delighted to welcome , the analysts, the investors, the colleagues and everyone present here today on the occasion of declaration of the financial results of the bank for Q1FY25 . I also extend a very warm welcome to all the people who are accessing the event through our live webcast.

We have with us on the stage, our Chairman – Shri. Dinesh Khara at the center , our Managing Director (International Banking, Global Markets and Technology) – Shri. C.S Setty, our Managing Director (Corporate Banking & Subsidiaries) – Shri. Ashwini Kumar Tiwari, our Managing Director (Retail Business & Operations) - Shri Vinay M Tonse, our Deputy Managing Director (Finance) – Smt. Saloni Narayan.

Our Deputy Managing Directors heading various verticals and Managing Directors of our subsidiaries are seated in the front rows of th is hall.

We are also joined by the Chief General Managers of different verticals and business groups.

To carry forward the proceedings, I will request our Chairman Sir to give a brief summary of the Bank’s Q1FY25 performance and the strategic initiatives undertaken. We shall thereafter straight away go to the question -and-answer session. However, before I hand over to the Chairman Sir, I would like to read out the Safe Harbor Statement.

Certain statements in today’s presentation may be forward looking statements. These statements are based on the management’s current expectations and are subject to uncertainty and changes in circumstances. Actual outcomes may differ materially from those included in these statements due to a variety of factors.

Thank you. Now I would request Chairman Sir to make his opening remarks.

– Mr. Dinesh Khara – Chairman, State Bank of India

Thank you very much. Good evening, friends! Thank you very much for taking out time and joining us for this Analyst Meet, post announcement of the Q1FY25 results of the Bank.

At the outset, I would like to thank all our stakeholders including our customers, shareholders, employees and all concerned for their support and helping us in creating sustainable value, not only for the Bank but also for the economy as a whole. I will first start with a brief description of the present global and domestic economic scenario and will then discuss the Bank’s performance .

In the last few months, global economic activity appears to be strengthening across advanced economies and emerging market economies. Global trade is gathering momentum, inflation is approaching targets, but the pace of disinflation has somewhat slowed down.

Central banks are closely monitoring the growth trajectories, employment and labor markets and price trends with US Fed expected to have a 25 bp s rate cut in September '24. Th at is a positive for the global economy and it augusts very well.

As far as the domestic economy is concerned, second quarter of FY

25 has begun with gaining
growth momentum. The benign monsoon pattern , and its accelerated distribution of late, should smoothen the inflationary expectations in the medium run. The latest numbers show that the SCBs credit growth was around 1 4%, while the deposit grew at about 11 %. For the third consecutive year (till now), the credit growth has been higher than the deposit growth.

New investment announcements which were around ■ 10 trillion during 20 20/21, have improved to about ■ 37 trillion in the last two years. Major industries where new announcements have been made include Non-Renewable Energy, Real Estate including Housing, Electronics, Renewables, Basic Metal, Inorganic Chemicals , etc. Union Budget announcements are positive for the markets. The thrust to the consumption revival, PM Surya Ghar Muft Bijli Yojana, PMAY - Urban, MSME and start -up, agriculture and boost to the infrastructure throws up considerable opportunities for the banks.

As far as we at State Bank are concerned, we have once again delivered excellent numbers. I am happy to share that our net profit for Q1FY 25 is at ■ 17,035 crores and shows an increase of about 0.90 % over Q1FY 24. Operating profit at about ■ 26,449 crores has increased by 4.55 % YoY.

The bank continues to report R oA of greater than 1 % which is at 1.10 % for Q1FY 25. The R oE of the bank for Q1FY25 is at 20.9 8%. The cost to income ratio of the bank is at 49.42 % for the Q1FY 25 and shows an improvement of 95 bps over Q1FY 24. Net interest income for Q1FY 25 has increased by 5.71 % YoY on the back of the improvement in yields and continuing credit offtake . Operating expenses have increased marginally by 0.65 % YoY.

We believe that sustaining our profitability at these levels highlights the resilience of the underlying value drivers of the bank.

As far as deposits are concerned, our deposits have grown by 8.18 % YoY and term deposits have grown by 12.20 % YoY. CASA deposit s have grown by 2.59 % YoY and we have taken several steps to strengthen our liability franchise.

I am pleased to share that the credit growth continues to be robust across all the segments. Our domestic advances grew at 15.55 % and the Retail, Agri and MSME advances have crossed the number of ■ 21 trillion during Q1FY 25. Out of the above, Retail Personal advances constitute about ■ 13.7 trillion , Agri advances ■ 3.09 trillion and SME advances ■ 4.43 trillion. They are growing at 13.60 %, 17.06 % and 19.87 % respectively. The corporate segment is also showing a healthy growth of almost 16 % YoY. Our foreign officers have continued to perform well, with the advances growing at 14.4 1% and deposit s growing at 10.48 %.

Our liquidity position is comfortable with the Liquidity Coverage Ratio being at about 129 % as on 30.06. 2024, which is well above the regulatory benchmark. The domestic CD ratio is at 69.28 % indicating significant cushion to grow our credit portfolio.

I am happy to share that the progress we are making in digital banking, almost eight crore customers have been registered on YONO driving digital agenda of the bank. 63 % of the regular saving bank accounts were through YONO in Q1FY 25. YONO business has gained significant traction with more than 29 lakh users having registered till now. We are also leveraging analytics with significant business of ■ 25,438 crore s underwritten during Q1FY25 .

As regards asset quality, our gross NPA ratio has improved by 55 bps YoY and stands at 2.21 % as at June '24 and continues to be at its lowest level in more than 10 years. Our net NPA ratio has also improved by 14 bps YoY and stands at 0.57 %. The slippage ratio for Q1FY 25 has improved by 10 bps YoY and stands at 0.84 %. We have a well provided stress ed book with PCR including AUCA standing at 91.76 % and PCR excluding AUCA standing at 74.41 %.

The bank rema

ins well capitalized, and we have sufficient headroom to take care of normal
business growth requirements. Our capital adequacy ratio stands at 13.86 % with CET -1 ratio at

10.25 % without considering the plough back of the profit. Both the ratios are well above the regulatory requirements.

Our subsidiaries are also consistently performing well and continue to create significant value for all the stakeholders and most importantly for our customers. We will continue to nurture these subsidiaries and see them creating value for their own shareh olders as well as the shareholders and the customers of the Bank.

To conclude, I would like to thank you all once again for all your support to the Bank. The Bank while pursu ing its own progress, contribut es to the progress and growth of the economy. We remain committed to rewarding your trust in us with superior sustainable returns over the long term. My team and I are now open to taking your questions. Thank you.

– Mr. Sanjay Kapoor - General Manager (Performance, Planning and Review), State Bank of India

Thank you, Chairman Sir, for the presentation. We no w invite questions from the audience and for the benefit of all, we request you to kindly mention your name and company before asking the questions. To accommodate all questions, we request you to restrict your questions to a maximum of two at a time. Also , please restrict your questions to financial results only and no questions be asked about specific accounts please. In case you have additional questions, the same can be asked in the end. We will now proceed with the question -and-answer session. And the first question is …

- Mr. Manish Os twal – Fund Manager, Nirmal Bang Securities Pvt Ltd

Hello! This is Manish Os twal from Nir mal Bang Securities. Sir, my question is on the slippages during the quarter. So, we have seen some uptick , is it largely seasonal in nature or election or heat wave impacted retail collection during the quarter ?

- Mr. Dinesh Khara – Chairman, State Bank of India

As far as the slippage in the first quarter is concerned, I would actually split them into 2 - 3 reasons. One of course, these are the aging provisions on the standard assets, our book is growing, so that is one of the reasons. The second reason is, some kind of slippages which were seen in the unsecured personal and that was essentially on account of some delayed credit which you had seen in some of the states on account of the delayed credit of the salary. But when we look at the slippag e ratio in the previous years also of quarter one, in the year 2022, it was at 1.38 %, in quarter1 of 2023-24, it was at 0.94 % and now it is at 0.84 %. Actually, it is lower in terms of the percentage point and out of these ■ 7900 crores slippages also which has been seen as on 30 th June, almost ■ 1600 crores have already been pulled back. So, this is a kind of a scenario, and I actually don't really worry much about it. We are in a position to have a decent quality. There is nothing wrong with the underwriting. It's essentially seasonal I would say. A part of it is seen even in agriculture also but that is invariably seen in the first quarter .

- Mr. Manish Os twal – Fund Manager, Nirmal Bang Securities Pvt Ltd

The second question on the, given the current macro -economic scenario, so we have seen the 15% loan growth and 8 % deposit growth. How do you see the deposit increase in the bank for the rest of the current financial year and do you see the further cost of deposit to increase for the bank?

- Mr. Dinesh Khara – Chairman, State Bank of India

See, even now also we are at about 69% kind of a CD ratio. So, deposit growth in absolute number is one aspect. Cost at which it is raised is another aspect which we cannot ignore. Though our cost of deposit has gone up by about 45 b ps, but our

NIM compression has
happened only to the extent of 11 b ps. So that is a very clear reflection that it has been a very judicious strategy on the part of the Bank to be very mindful in terms of the cost at which the deposits are being raised. Having said that, I would also like to mention that we are very mindful about the depositors' interest and that is the reason in some of the buckets, we have increased the interest rates but that is essentially to ensure that the franchise value stays intact. So that is what our philosophy has been. 15 % growth in terms of loan book and 8 % growth in deposit, we don't have any liquidity challenge for the simple reason that we have an excess SLR to about ■ 3.7 trillion. Another aspect which I would like to highlight is that we are opening almost 60,000 odd savings bank accounts daily and out of th ese, about 34-40 thousand accounts are getting opened through YONO.

Another data point which I must share with you is , our savings account balance used to be about ■ 12 trillion in March '20 and it has moved to about ■ 17 trillion now. And incidentally, the outstanding balance in our savings bank accounts are three times the next highest, next largest bank. So, this is something which I want to highlight in terms of the franchise. Apart from that, for current accounts also, we are taking various initiatives. 60 odd transaction banking hubs we have already created and we are having 500 odd relationship managers only for mobilizing current account and that too from the trade & commerce industry, hospitals, nursing homes etc. and this will, this initiative which took about almost a year back, I am sure it will start yielding results. It may not be seen at the end of the month or end of the quarter but during the period, if at all we look at the daily average balance, we get to see much better outcome of this. So, we are quite cognizant of the kind of situation which is on ground and it's very natural on the part of the depositor s also to look at the multiple assets but even when they are investing into those assets also, the channelizing source remains bank only. So, I think with the kind of add -ons that we are offering, I don't envisage any challenge to our franchise.

- Mr. Manish Os twal – Fund Manager, Nirmal Bang Securities Pvt Ltd

Small clarification on, when you said that balance is 3 x of the next largest bank, you are talking about PSU largest bank or private...

- Mr. Dinesh Khara – Chairman, State Bank of India

Anybody …. private sector also.

- Mr. Manish Oswal – Fund Manager, Nirmal Bang Securities Pvt Ltd

Thank you.

- Mr. Dinesh Khara – Chairman, State Bank of India

When I say 'next largest'…

- Ms. Saloni Narayan - Deputy Managing Director (Finance), State Bank of India

Just one point I also would like to add on savings.

- Mr. Dinesh Khara – Chairman, State Bank of India

Yes, please.

- Ms. Saloni Narayan - Deputy Managing Director (Finance), State Bank of India

So, on the savings bank, our market share is 26.27 %. In 2004, it used to be 20.2 %, in 2014, it used to be 22.3 %. We have always gained market share while others have lost.

- Mr. Dinesh Khara – Chairman, State Bank of India

In fact, we are leveraging analytics to understand the behavior of the savings bank account also. So, a lot of work is being done and I am sure, it will ensure that we stay ahead of the curve.

- Ms. Mahrukh Adajania – Executive Director (Equity Research), Nuvama

Yes Sir, Hi! Sir, first of all congratulations on a very successful career at SBI.

- Mr. Dinesh Khara – Chairman, State Bank of India

Thank you..

- Ms. Mahrukh Adajania – Executive Director (Equity Research), Nuvama

We really will miss interacting with you from the next quarter and we

wish you all the best. Thank
you so much for all the learnings. Thank you so much Sir, thank you. Sir, I had a couple of questions. The first question is, just in terms of margins, what is your outlook , given that, first of all there is a deposit challenge for the sector and then if rates are cut, there will be some pressure though not as much for you because you have higher MCLR linkage. But in terms of guidance on margins and also if there was any one -off, I mean if there was any interest on tax refunds in this quarter or it was NIL?

- Mr. Dinesh Khara – Chairman, State Bank of India

Nothing, nothing. There was nothing on that account. So, this was actually a pure play interest.

- Ms. Mahrukh Adajania – Executive Director (Equity Research), Nuvama

Ok.

- Mr. Dinesh Khara – Chairman, State Bank of India

I think as far as the guidance on the NIM s are concerned, our effort and endeavour are to keep it at this level but yes of course, we all operate in the overall macro and yes, of course, effort and endeavour will certainly be there to maintain the NIM s even if it moves. So, I don’t think it

should have any significant change in the numbers. That’s what my read is and it has to be, as I mentioned that you know, when we have increased our term deposit rates which happened almost about 6 months back in the 1 - 2 year bucket which we have done . So, it has an overall impact in terms of the cost of deposits but never theless, we could pass on part of it, to a greater extent and that is the reason why the cost of deposits has gone up by about 45 b ps but the NIMs have only dropped by around 11 b ps. So, this is likely to be the trajectory in the days to come too.

- Ms. Mahrukh Adajania – Executive Director (Equity Research), Nuvama

Got it . And Sir, just in terms of CET -1, what is the contribution from the new investment norms to CET -1 for the quarter?

- Mr. Dinesh Khara – Chairman, State Bank of India

That was actually I think 460 0.

- Mr. C.S. Setty - Managing Director (International Banking, Global Markets & Technology), State Bank of India

The net impact on the reserves is 3673.

- Ms. Mahrukh Adajania – Executive Director (Equity Research), Nuvama

So basically, without profit, CET -1 has declined , right? Despite new norms, new investment norms.

- Mr. Dinesh Khara – Chairman, State Bank of India

No, that was done as on 1st April.

- Mr. C.S. Setty - Managing Director (International Banking, Global Markets & Technology), State Bank of India

As on 30 th June, the net impact is 3600 positive .

- Ms. Mahrukh Adajania – Executive Director (Equity Research), Nuvama

Ok Sir, thank you so much.

- Mr. Ashok Ajmera – Chairman, Ajcon Global

Sir, compliment from my side also. In spite of so many pressures and various changes by the RBI in the regulations, 2 - 3 such things have come in the last three to four months to six months, the bank has performed very well but still my question is on, because generally we compare with the immediate last quarter and of course the March quarter was better but still, in the other interest income, I think if we compare from the last quar ter, we have gone down by almost about by ■ 6000 crores.

- Mr. Dinesh Khara – Chairman, State Bank of India

See, in the last quarter, this revision in the investment norms, so whatever profit was there, it was not through the other income route, it was all through the balance sheet route, AFS reserves which has been created in the balance sheet, so that was about ■ 4600 odd crores. Isn’t it?

- Mr. C.S. Setty - Managing Director (International Banking, Global Markets & Technology), State Bank of India

3600.

- Mr. Dinesh Khara – Chairman, State Bank of India

It is a net off. There was s

ome other impact also. So that is something which is one of the
reasons but other than that .

- Mr. Ashok Ajmera – Chairman, Ajcon Global

Profit on sale of and reinvestment of the …

- Ms. Saloni Narayan - Deputy Managing Director (Finance), State Bank of India

This quarter we had less gain than last year first quarter. That is the main reason. Secondly, the provisions have inched up a little because of the increase in loan loss provision due to ageing and also taxes have also increased. That's the reason.

- Mr. Dinesh Khara – Chairman, State Bank of India

And non -interest income, actually at times there is an income tax refund also in the last quarter. All those things are not there. Actually, comparing with the yearend 1st quarter, year-end is not a comparison of apple to apple, that is what I would recommend.

- Mr. Ashok Ajmera – Chairman, Ajcon Global

I want to be reassured because first in this quarter, there were other problems also, the election duties and the usual transfers and other things. On every front like right from the loan processing fees to the commission to the government commission to th e cross selling, in everything there is a substantial decline. So now going forward, are we going to be on the track except that, because of the regulations, when the changes are there, that may not be there and secondly, some trading ga ins which are there, which many of the other banks have also made, that in any case has to come as the profit. Now, because of the change, instead of treasury income, now it comes in the NIM where it has not been reflected so much. So , overall, the treasury operations itself, whether it has been affected negatively, whether we are on the same path because we were making very handsome gains from the treasury.

- Mr. Dinesh Khara – Chairman, State Bank of India

Now all those gains will be through the balance sheet.

- Mr. C.S. Setty - Managing Director (International Banking, Global Markets & Technology), State Bank of India

I'll just respo nd to treasury gains . We do continue to have the trading profits as the yields go down and whatever is there in the HFT portfolio and a bit of AFS and 5 % of HT M also , so we can trade. The opportunity will continue to be there. But as far as MTM gains are concerned, I think they are not going to be reflected in the P/L. They will be directly going to the reserves. I think this is what we need to understand, but we have a good amount of opportunity in terms of trading gains, not only from the fixed income securities , I think , on the equity side also, we have been doing very well. I can assure you that the Treasury income will continue to be robust.

- Mr. Ashok Ajmera – Chairman, Ajcon Global

Sir, my second question is on, the guidance, I mean, the note which is going on from RBI on the deposit source d through the digital media and the increase in the provision rather double than this. Have we assessed the impact of that on our bank and how many b ps it will impact our capital adequacy as well as the loss because of the blockage of that funds?

- Mr. Dinesh Khara – Chairman, State Bank of India

This is actually premature to really share this in an open forum like this, but as of now, we have got our own observations on these provisions which we will be sharing with RBI now, and will also be reaching out to IBA and to the Government of India describing its overall impact. So at a material point of time, let us see whether this consultation paper actually get s converted into the regulation.

- Mr. Ashok Ajmera – Chairman, Ajcon Global

And the last one in this round, sir, is the gap is known between deposit and the credit growth which we are having, wherever the credit growth is intact and the deposit is a pressure everyw

here in all the entire banking circle.

- Mr. Dinesh Khara – Chairman, State Bank of India

No deposit also, deposit also could be 12%, no issues. But at what rate, that is more important.

- Mr. Ashok Ajmera – Chairman, Ajcon Global

Yeah, at the same time..

- Mr. Dinesh Khara – Chairman, State Bank of India

So that is the reason that when we have got liquidity available through alternate channels, it makes all of sense that we should use that as against raising deposit at high cost.

- Mr. Ashok Ajmera – Chairman, Ajcon Global

Anything on capital account, in future… you have raised already. But going forward now whether the time has come at this price that you think of really strengthening the entire CRAR?

- Mr. Dinesh Khara – Chairman, State Bank of India

We keep on reviewing the situations, but as of now, with the current capital and the kind of liquidity which we have, we can easily grow our book to the extent of about ■ 6.5 to 7 trillion.

- Ms. Saloni Narayan - Deputy Managing Director (Finance), State Bank of India

And today Board has approved it .

- Mr. Dinesh Khara – Chairman, State Bank of India

Yeah, b oard has already approved .

- Ms. Saloni Narayan - Deputy Managing Director (Finance), State Bank of India

Raising ■ 10,000 crores worth of Tier-1 and ■ 15,000 crores of Tier -2.

- Mr. Dinesh Khara – Chairman, State Bank of India

■ 25,000 crore s approval has already been given for Tier-1 and Tier-2.

- Mr. Ashok Ajmera – Chairman, Ajcon Global

Thank you, sir. I will again come back if time permits. Thank you.

- Mr. Manoj Alimchandani , Participant

Sir, my name is Manoj Alimchandani. At the outset, Chairman, I would like to congratulate you for setting the path to profitability for SBI during your career, one lakh crore, a mark, and you are very motivating speech to staff. Fantastic work by all the s taff in improving their productivity and efficiency, number one.

Number two, sharpest mind, our CFO, you are among the sharpest minds in finance, in the business in the country. We observed that in a last meeting also and here I am sure she would be making immense contribution on our board.
Number three, a couple of questions your deposits, everybody struggling for CASA and savings account CASA, even private sector bank they are struggling for one -one account of savings. It's not easy. Your foreign branches have today deposit growth is over 1 0%. It's not easy over 10% and heads off to all the team, in fact, and your foreign subsidiaries director. It's really wonderful, it's not easy.
And now, a couple of questions. I hope you are keeping your eyes on the ball as always, seeing the market cap of IDBI divestment decisions and lots of foreign interest, how it has multiplied. And we are stakeholders in Yes Bank today, which has huge potent ial and we look forward for insights from you, the further developments what is happening. I would like to share insight, today, Reliance Power and Infra AGM was there. They are going to make good payments out of their FCCB fundraise to J.C. Flowers and ul timately Yes Bank and SBI would also benefit. SBI was also directly, so a lot of performance will come further also. Sir, your insights on that how we can improve that and also on some of our subsidiaries, how it can create value, particularly SBI card. Yo ur general insurance is doing a fantastic job. Life is doing a fantastic job. Mutual fund, number one, ahead of everyone. So it's not easy to you across the ten lakh crores, right? So specifically you can mention about that and we look forward the maximum extension you can get so you can deliver all the targets and set the inspiring tone for the next Chairman and MD. But we get confidence of very good hands and further interaction with you and contribution to Viksit Bharat Amrit Kaal. Thanks.

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Mr. Dinesh Khara – Chairman, State Bank of India

Thank you very much. Well, as far as, Yes Bank, it's premature for me to comment. We are also watching very closely the developments which are happening over there. As far as our other subsidi aries are concerned, they have certainly created significant value for themselves, for

their shareholders and also by virtue of being the manufacturer of the product in their respective area, they have created value for our customers as well. So internally, we have got a philosophy how to leverage power of one and that's a new paradigm which we have set for ourselves. And I'm sure even this initiative will yield value and you will get to see even significant enhancement in value in the days to come from this initiative as well.

- Mr. Manoj Alimchandani , Participant

Sir, one more point, we mentioned about fund raise. You talked about resolution of Tier-1 and Tier-2, 10,000 plus 15 ,000 and today, premier channel is talking about ■ 1,000 and ■ 2,000 stock, when all the previous Chairmans were shouting at the top of their voice including Arundhati Bhattacharya, Raj nish on discount to book value and doing it. So, this is not easy, you have achieved it. So, based on what is the market perception which you and your team have created, even ■ 1,000 is undervalued. So, when you do your Tier-1 fund raise, it should not be because we need ■ 10,000 crores just to achieve the target. Our intrinsic value is much more. But do it during your time so we can get the much highest value. So, the current shareholders value doesn't get diluted, we get rewarded. And our clients are long term investors.

- Mr. Dinesh Khara – Chairman, State Bank of India

Yeah. We have ploughed back about ■ 1.14 trillion in last three years. So , that is something which is giving us the natural lever for growth. And I believe that this is best of the strategy when it comes to giving the muscles for growth to the Bank. And I'm quite confident that this strategy has proven its value. And I'm sure it will continue to be useful strategy and will continue to create value for the shareholders. ■ 1.14 trillion in 3 years is something which I think is never in the past.

- Mr. Manoj Alimchandani , Participant

No other chairman has done it.

- Mr. Dinesh Khara – Chairman, State Bank of India

I will not say that . It's a team which always works.

- Mr. Manoj Alimchandani , Participant

I know, Chairman need a team, that's why I said sharpest brains in the country. We are proud of you, madam, contributing to women power, Viksit Bharat. And thanks and all the best to your team. I hope many of your team members, they look at the broadcast, they give me feedback that you mentioned this, and they get inspired by higher levels of performance which you and…

- Mr. Dinesh Khara – Chairman, State Bank of India

We have been talking about this number in the boardroom, by the way.

- Mr. Jai Prak ash Mundhra – Vice President , ICICI Securities Limited

Yeah. Hi sir, this is Jai Mundhra from ICICI Securities. Sir, congratulations on a steady performance, 1.1% R oA. Sir, my question is, you know, on this CET -1, so the new norms, you mentioned that they have contributed around ■ 3,600 crores to the reserves, that is like 10 bps of the RWA, 10 bps CET-1. I think two quarters back we had sort of estimated that these new norms will give around 50 b ps of increment in the CET -1. I mean, this is what, you know, SBI had published two quarters back that, you know, the new norms should ideally give 50 b ps increment in the CET -1. So , have we, I mean, is that all done or maybe some of the value from Yes Bank or NSE, etc., that are yet to be, you know, finalized or this number is final? That is what…

- Mr. Dinesh Khara – Chairman, Sta

te Bank of India

No, I think , Yes Bank and NSE, etc., that has not been done. It has not come into this.

- Mr. C.S. Setty - Managing Director (International Banking, Global Markets & Technology), State Bank of India

So, just to supplement what Chairman is saying, this 50 b ps estimate is on, you know, how we are going to allocate the portfolio among the HTM, AFS and HFT. So, we have decided that to take the opportunities of adding some duration to the HTM portfolio, because HTM is unlimited now, so much of the SDLs which we ha ve procured, we put in the HTM. So that is the reason you do not see much of valuation gains going into the AFS reserve. So , the 50 bps is based on certain assumptions that you know how I am going to structure the portfolio. So, we would like to continue this current portfolio model which means that, you know, the AFS reserve gains as on 30th June, almost frozen. I can tell you that.

- Mr. Jai Prak ash Mundhra – Vice President, ICICI Securities Limited

Secondly, sir, on unsecured Xpress Credit, you know, it has done fabulously well all this year , despite COVID and everything. But this quarter the GNP A have risen by around 20 b ps, right ? 0.77 something. Is that a change in the direction of the GNP A because we have held this book so clean so far or you think this is just a temporary thing and you can pull back GNP A.

- Mr. Dinesh Khara – Chairman, State Bank of India

It's a temporary situation and I was explaining that, in some of the states, there was a delayed credit of salary. That is one of the reasons why it has happened. But we have been in position

to pull back a significant portion of that because as and when the salary got cre dited, we could pull it back. We are actually strengthening our digital offering in the Xpress Credit space also. We call it a RTXC now. So that is something which we are now shifting this. So, I think it is a transitory phase. We should be in a position to get out of this very soon.

- Mr. Jai Prak ash Mundhra – Vice President, ICICI Securities Limited

Lastly, if you can give some colour on this Xpress Credit now, it has become a very, you know, significantly big book. What is the, maybe, the average ticket size and maybe, you know, how much is, as you always mentioned, how much is, you know, government or maybe Category -1 employer?

- Mr. Dinesh Khara – Chairman, State Bank of India

In fact, as far as the composition of the Express credit is concerned, it has remained the same. There is no change in that. But yes, of course, we also are very mindful in terms of the RWA consumption in Xpress Credit. And that's why at a portfolio level, we are very mindful in terms of the area of growth, considering the RWAs which are being consumed. So, you would have observed that our RWA consumption is just about 53 b ps, 53% so that is something, we also, I mean, lot is being talked about R oA, but that R oA has to be seen in terms of our RWAs also. And, if at all, we will look at the average ticket size of the Xpress Credit , it is actually at 7.18 lakh. And also, our yield is perhaps, one thing which has to be seen in the context of the RWA. That is why we are really, looking at all opportunities where all we can grow and how best we can consume the RWAs. That is something which is on the top of our mind.

- Ms. Saloni Narayan - Deputy Managing Director (Finance), State Bank of India

And the penetration in these accounts is just 27.20%.

- Mr. Dinesh Khara – Chairman, State Bank of India

That I think as far as opportunity is concerned, there is no dearth of opportunity. There is ample opportunity which exists. We have to take a call, shall we or shall we not grow considering the RWA consumption.

- Mr. Jai Prak ash Mundhra – Vice President, ICICI Securities Limited

Lastly, sir, if you have the number handy

for the mix of loans by benchmark, you know, how much is Repo rate linked , MCLR , Fixed Rate , etc…

- Ms. Saloni Narayan - Deputy Managing Director (Finance), State Bank of India

Yes, yes. I'll give you.

- Mr. Dinesh Khara – Chairman, State Bank of India

I think this number is very much there. MCLR is about 36% and EBLR is about 27%.

- Ms. Saloni Narayan - Deputy Managing Director (Finance), State Bank of India

…27% and Fixed Rate is 20% and T -Bills plus others are 14%.

- Mr. Jai Prak ash Mundhra – Vice President, ICICI Securities Limited

Thanks a lot, sir, and all the very best for your future endeavours .

- Mr. Dinesh Khara – Chairman, State Bank of India

Thank you. Thank you very much.

- Mr. Sushil Choksey – Managing Director, Indus Equity

Sushil Choksey , Indus Equity. Congratulations for a stable result and best wishes to you and your future.

- Mr. Dinesh Khara – Chairman, State Bank of India

Thank you.

- Mr. Sushil Choksey – Managing Director, Indus Equity

Sir, hearing your opening remark and Fed and the current weak outlook from the global markets, I think specifically the money markets in India should have a bumper harvest in the next two quarters. What's the outlook at SBI and specific to our book?

- Mr. Dinesh Khara – Chairman, State Bank of India

Well, as far as that bumper harvest is concerned, we'll have to wait and watch how things really evolve at a macro level. There are multiple factors at play. It is not merely the interest rate at a Fed level. There are multiple other factors are also at pl ay. That is something which you will

have to wait and watch. So, I think, as far as SBI is concerned, we have seen a decent growth in the international book also about 14% kind of a growth. Lower interest rate in the US will certainly, but of late, you know, when it comes to the global econom ies also, there is a lot of decoupling which has happened. It is not that US Fed reduces interest rate, everybody else starts following . We have actually seen that Bank of England reduced first. Australia also reduced it. US Fed all this while was saying that they will not reduce and suddenly a commentary has come that they might reduce. Japan has increased. So, I mean the trends are very different, which very clearly means that each of the economy is probably evaluating their situations obtaining in their respective geographies and are accordingly operating. So, all the central banks are not in sync. That is one aspect. But nevertheless, since we are operating in 29 geographies and we are in a position to evaluate the opportunities in each of these geographies, we will be having our strategies tailormade to suit the respective geographies keeping the overall policy for the bank in mind.

- Mr. Sushil Choksey – Managing Director, Indus Equity

Sir, again, to your opening remark of India's growth story, there is no better person to give us a guide where private Capex and green shoots will it be visible in the next quarter or accelerated growth? What kind of information you are gathering and the discussion on borrowing the industry is having with you?

- Mr. Dinesh Khara – Chairman, State Bank of India

So, I would reflect it in the sense that if at all, we look at our proposals in pipeline, which is sanctions plus also the one which are awaiting disbursement, proposal pending for sanctions and including disbursements, it is about ■ 4.62 trillion, and a significant portion of that to the extent of about 66% would be from the private sector. The other indicator, which I can perhaps share with you is when it comes to the private sector commitment, it used to be somewhere around ■ 10 trillion odd, now it has moved to somewhere around ■ 37 trillion. So that is a very clear reflection of their positive perception of the economy and, on the top of it, the government has the major lead in terms of pushing the growth the kind of budgetary announcements which they have made I am sure it will a lso show up in terms of the growth trajectory of Indian economy. So, these are some of the indicators which I can share with you and we have already seen as far as our SME book is concerned, there is a 20% growth. In case of agriculture book also the growt h is to that, you know, about 16 -17%. And with this kind of numbers, it's very clear reflection of what is happening in the real economy. So, these are some of the encouraging numbers and corporate book, particularly mid -corporate. Mid -corporates are showing very promising trends and we have seen almost about 16% kind of a growth in the mid -corporate as well. So that's the sense which I can share with you as far as the economic opportunities in Indian economy are concerned.

- Mr. Sushil Choksey – Managing Director, Indus Equity

Sir, if you ignore the Q1 behavioural pattern of consumers specifically led by election and the heat wave, which many banks are identifying and may be reality partially also or the staff was

deployed for election, based on your own bank and subsidiaries because you have the largest consumer base. How are you seeing the pattern where growth in consumer retail business on the demand side as well as on the repayment schedules?

- Mr. Dinesh Khara – Chairman, State Bank of India

Well, when it comes to unsecured, particularly if at all, we have to see the unsecured book of SBI card. Yes, they had some pains in the past, but of late they have provided it adequately. So, I don't think so that considering the kind of balance sheet size they have, it is not a reflection of the economy overall. I would actually say that our book which is more reflection for the economy and they're the kind of quality which you have seen that kind of trajectory, which is available, I think, as far as the retail is concerned, we don't see any challenge. We expect that we have seen the retail book growing at the rate of 16% CAGR for past couple of years. We expect that it might tinker a bit, but that would be not e ssentially on account of the demand. It would be more in terms of our considered choice to grow into that, or not to grow into that, considering the RWA issues.

But nevertheless, there is adequate demand which we are seeing. When it comes to mortgage book, there is adequate demand. When it comes to car loans, there is adequate demand. We are growing very well. So, I think, on the consumer side, these are some of t he factors which you have to keep in mind. When it comes to personal loan, pension loan etc., there is adequate demand. So, I don't see any reason why it should slow down, going forward and particularly if at all economy has to grow at 7 - 7.50, retail will continue to be a major growth pillar.

- Mr. Sushil Choksey – Managing Director, Indus Equity

Sir, most of the banks are struggling where CASA and deposits are concerned. This is a hypothetical question whether you may answer or not. Let's assume that we get 6 .75 or 6 .80 on G-Sec and there is adequate demand at 9 - 9.50% where if not AAA, AA and infrastructure projects are concerned, will you monetize excess SLR towards deployment in infrastructure?

- Mr. Dinesh Khara – Chairman, State Bank of India

We have already done that , because our yield on investment was about 7.20 and when it comes to our yield on advances it is at 8.86. So, this movement which has happened in the corporate book has essentially come from that treasury. We have unwound our position and supported the corporate book.

- Mr. Sushil Choksey – Managing Director, Indus Equity

And last question, your infrastructure raise has been at a super fine rate and may even get better. Will that

support a credit growth from your perspective when you are able to borrow?

- Mr. Dinesh Khara – Chairman, State Bank of India

We are tapping all possible channels for supporting the growth. Our infrastructure bond is now at about ■ 60,000 crore s which is the highest in the industry. Our infrastructure book is at about ■ 3 trillion. So, we have got ample scope to really ramp up this particular source of funding. We have already opened our CD program which is at about ■ 50,000 crores. So, we are tapping all multiple channels to see that how best we can have the balance d portfolio of raising resources and funding the growth which you are envisaging to come.

- Mr. Sushil Choksey – Managing Director, Indus Equity

Sir, congratulations team SBI and best wishes to yourself and the team for future.

- Mr. Dinesh Khara – Chairman, State Bank of India

Thank you. Thank you very much.

- Mr. Manish Os twal – Fund Manager, Nirmal Bang Securities Pvt Ltd

Hello sir, I have a follow up question on the recent risk we have seen in the cyber side. So how we are taking the action, measures to improve our cyber risk in our banking operations and last three, four years how much you lost in a cyber risk perspective for the bank?

- Mr. Dinesh Khara – Chairman, State Bank of India

As far as loss is concerned, we have not lost anything. The other piece is that, how are we geared up? I would only say that, for ensuring that we should stay secure as far as cyber is concerned, we have to run on the treadmill every day and we are doing t hat. I assure you that. Some event which happened in case of CS, that was one of essentially because CS was more like a platform. They're offering themselves as a platform for multiple entities. And it was a standalone VLAN kind of issue which had not impacted the CS operations. But yes, of course, as a precautionary measure, as prescribed by NPCI and RBI everything was subject to greater scrutiny and independent scrutiny by an agency. And they have given a clean chit. So that very clearly means that the best of the practices are at play. But yes, of course, as I mentioned, to ensure that w e should stay secure from the cyber angle, we have to run on the treadmill every day and we must do at least 10,000 steps every day, we are doing that.

- Mr. Manish Os twal – Fund Manager, Nirmal Bang Securities Pvt Ltd

And the last question on the economy outlook, we have a 7% for the current year and credit growth in the system is looking very good. So, in banking, the general saying is that the good times create the new risk to the balance sheet. So , last time you had indicated that, some of the power project related lending, some players are not factoring the project risk while sanctioning

those loans and we saw the RBI action on that. So, if I ask you top three risks which you visualize for FY25 or over the medium term for the banking sector being a leader what will be those risks, will be great to hear from you.

- Mr. Dinesh Khara – Chairman, State Bank of Indi a

See, there would be as far as the risks are concerned, there is no end to the list of the risk, but the prudence lies in our ability to recognize them and put in place the mitigants, so that is something which we are doing and price risk in case of such kind of long -term projects is always there, but yes of course, we have got the sector consultant. When we are doing the sensitivity analysis, we factor in such kind of risk and also give the shock accordingly and see that what is the resilience of the project and also some of the learnings from the past in terms of execution is something which we have already factored in and when it comes to the product itself, we have factor ed in such learnings at a product level itself, so that we should not fall prey to a

ny of such
risk and on the top of it as far as the structure is concerned, we have strengthened our structure adequately to ensure that we should ward off any such risk.

- Mr. Manish Os twal – Fund Manager, Nirmal Bang Securities Pvt Ltd

And one small data point, is there any large repayment telecom exposure during the quarter?

- Mr. Dinesh Khara – Chairman, State Bank of India

Whatever has been done, it is to the secure st of the entities. Actually, there's a reduction.

- Ms. Mahrukh Adajania – Executive Director (Equity Research), Nuvama

Sir, I have a few follow -up questions. Firstly, that you had given a rough impact of ECL two years ago and now obviously the impact could be lower?

- Mr. Dinesh Khara – Chairman, State Bank of India

Unfortunately, it has remained a consultation paper. I was looking at it. It should become a regulation. At least we can plo ugh back some amount which we have been running with us.

- Ms. Mahrukh Adajania – Executive Director (Equity Research), Nuvama

Oh, but could you, because the Governor has mentioned right that he will finalize the guidelines soon and then?

- Mr. Dinesh Khara – Chairman, State Bank of India

No problem. We'll be better off.

- Ms. Mahrukh Adajania – Executive Director (Equity Research), Nuvama

Okay, but any rough impact, last time you had given an impact, so it's much less, yeah.

- Mr. Dinesh Khara – Chairman, State Bank of India

I think, no, see the point is that it is a PD and LGD and over the years we have seen that the asset quality has improved. The impact actually gets soften over the period. If at all it happens, it will be to our advantage.

- Ms. Mahrukh Adajania – Executive Director (Equity Research), Nuvama

Okay, means you will not have to make additional provisions or you're saying

- Mr. Dinesh Khara – Chairman, State Bank of India

No, we are continuing our old practices of making provisions. As a bank, we have always believed in ensuring that the balance sheet should stay absolutely healthy. There should not be any challenge. We actually go to our relationship manager to inquire what is your sense about the asset quality, if at all they have any discomfort, we rather make provision as against allowing them to have a discomfort.

- Ms. Mahrukh Adajania – Executive Director (Equity Research), Nuvama

So, if unless there's an asset quality event, basically your credit cost trajectory should remain like what you guided to now, on an incremental basis every year?

- Mr. Dinesh Khara – Chairman, State Bank of India

We are hopeful for that.

- Ms. Mahrukh Adajania – Executive Director (Equity Research), Nuvama

Okay, Sir. Thank you.

- Mr. Sanjay Kapoor - General Manager (Performance, Planning and Review), State Bank of India

We have one last question from here.

– Mr. Piran Engineer – Investment Analyst, CLSA India Private Limited

Thank you, Sir. Sir, RBI has been flagging that loan growth is exceeding deposit growth and I don't know why, but what is the solution that they are expecting from the bankers? Are they expecting to slow down loans and repay borrowings and make the ratio look mathematically better, are they expecting you all to move loans into investments, make the ratio, at the end of the day, assets and liabilities will balance, I don't really understand what they're expecting? So, if you could just share some insights , it'll be good .

- Mr. Dinesh Khara – Chairman, State Bank of India

No, what is their mind, I will not be in a position to read that mind, but nevertheless, whatever my assessment of the situation, I can certainly share with you , As a regulator, it is incumbent on them to ensure that all entities should stay afloat and do well, that is perha

ps one of the
areas and you would have observed that there are some entities which have got credit deposit ratios much more than 100%. So, naturally they have that in mind perhaps, and also it's likely contagion impact on the system, and that is the reason w hy they are really looking at it . But nevertheless, I think more than the regulator as a financial sector player, it is incumbent and particularly the board run entities, it is an incumbent on each one of us to ensure that we should practice prudent policies so that there are no shocks and this is something which we believe, we practice, and we will continue to practice.

– Mr. Piran Engineer – Investment Analyst, CLSA India Private Limited

Is there a glide path for the banking system or is it just?

- Mr. Dinesh Khara – Chairman, State Bank of India

I don't think so. I think it is it - it should be the self -control mechanism for each of the entity. They will have to decide whether they should have the loan growth, they should not have the loan growth. One of the entities has already offered to sell part of their asset book. All of you are aware I need not really elaborate. So, I think these are the kind of adjustments which people will be resorting to.

– Mr. Piran Engineer – Investment Analyst, CLSA India Private Limited

And secondly, just on Ma hrukh's question, it's a technical question. Can you reassign NPL provisions into standard assets when you move to IndAS ? Like some of the excess, if your LGD…

- Mr. Dinesh Khara – Chairman, State Bank of India

To my mind, we have got some of the non -NPA provisions which we are holding and also, we have got some kind of a allocated provisions where the provisions are not really required. So, we have got various categories, maybe it would be premature for us to really comment on it, but nevertheless, we'll have it evaluated. If at all we cannot reassign, we'll have to, in any case, at the end of the year, we'll have to appropriate it towards the balance sheet. We cannot take it beyond the 31st March.

– Mr. Piran Engineer – Investment Analyst, CLSA India Private Limited

Thank you.

- Mr. M B Mahesh – Executive Director, Kotak Securities

Sir, this is Mahesh from Kotak. Congratulations for where you have taken SBI under your watch. Two basic questions from my side. One on the slippages for the quarter, could you also give us a break -up how much of it has come from personal loans?

- Mr. Dinesh Khara – Chairman, State Bank of India

Maybe, I think I'll request Saloni to share with you.

- Mr. M B Mahesh – Executive Director, Kotak Securities

Sir, just to clarify, because when you said some state governments had delayed payments, the probability that it would move straight to 90 DPD is a bit harsh to understand. So, just trying to understand how can you see a slippage in one quarter?

- Mr. Dinesh Khara – Chairman, State Bank of India

Yeah, please.

- Ms. Saloni Narayan - Deputy Managing Director (Finance), State Bank of India

So, the slippages that we see this time around the P -segment, that means the home loans as well as all the other P segment loans like unsecured and all put together is ■ 3,000 crores and out of which we have already pulled back a substantial amount because actually payments have been released, our salaries also have been released, so that's not a concern. That's as on date that is the position that you.

- Mr. Dinesh Khara – Chairman, State Bank of India

No, I think I would say that if at all you have to read that situation, you compare our SMA 1, SMA 2 as on June '23 and what is SMA 1, SMA 2 as on June '24 from ■ 9,300 crore s, it has come down to ■ 7,900 crore s.

- Mr. M B Mahesh – Executive Director, Kotak Securities

Pe

rfect. Si r, the rest of the slippages, ma'am, if you could just give that as well?

- Ms. Saloni Narayan - Deputy Managing Director (Finance), State Bank of India

SME and you have agriculture and person al all put together .

- Mr. M B Mahesh – Executive Director, Kotak Securities

Can we get a break -up of that, ma'am?

- Ms. Saloni Narayan - Deputy Managing Director (Finance), State Bank of India

Yeah. SME is ■ 2,000 crores , Retail is ■ 3,000 crores roughly . Rest is agriculture, ■ 200 crores is CCG. I mean large value account.

- Mr. M B Mahesh – Executive Director, Kotak Securities

Second question on the credit cost again for this kind of slippages, you have reported a fairly high credit cost of about 0.48% .

- Mr. Dinesh Khara – Chairman, State Bank of India

There are some standard assets provisioning also, standard asset provisioning has also taken.

- Mr. M B Mahesh – Executive Director, Kotak Securities

That is separate, Sir.

- Mr. Dinesh Khara – Chairman, State Bank of India

Aging provisions.

- Ms. Saloni Narayan - Deputy Managing Director (Finance), State Bank of India

Sir, may I respond to this?

- Mr. Dinesh Khara – Chairman, State Bank of India

Yeah, please.

- Ms. Saloni Narayan - Deputy Managing Director (Finance), State Bank of India

So, basically provisions due to slippage is ■ 1,940 crores, which next quarter definitely should be much better. Provision due to aging is ■ 2,473 crores, which we have mentioned, and the third is provision due to agriculture where we keep extra provision for agriculture, where the limit is beyond 135%, although they are all standard, but as a prudent measure, we keep this provision which comes to ■ 106 crores. So, total provision for this quarter is ■ 4,518.07 crores.

- Mr. M B Mahesh – Executive Director, Kotak Securities

Perfect, ma'am. Thank you.

- Mr. Kunal Shah – Director, Citigroup Global Markets India P rivate Limited

Yeah. So, the question, firstly with respect to the express credit. So, when we look at it, one of your subsidiaries have highlighted a lot of over leveraging of the customer, so at any point in time, we are also seeing within our Xpress Credit customers any kind of over leveraging few more facilities, which they would have taken after we would have given them the PL?

- Mr. Dinesh Khara – Chairman, State Bank of India

No. See, the point is that when it comes to Xpress Credit and when it comes to the card, the target segments are very different. In the case of Xpress Credit, the target segment are the one who are availing salary, who are maintaining their salary accounts with us. When it comes to

cards , it's a very different universe. 50% of the cards are being sourced from the market. 50% of the cards are being offered to the SBI customers. So, the universe is very, very different and that is the reason why perhaps the kind of trajectory of the stre ss in both the books cannot be compared.

- Mr. Kunal Shah – Director, Citigroup Global Markets India P rivate Limited

But we have not seen any trend in terms of over leverage?

- Mr. Dinesh Khara – Chairman, State Bank of India

Nothing like that.

- Mr. C.S. Setty - Managing Director (International Banking, Global Markets & Technology), State Bank of India

Ticket size is also fairly large.

- Ms. Saloni Narayan - Deputy Managing Director (Finance), State Bank of India

Our ticket size is around ■ 7.1 – 7.18 lakhs .

- Mr. Kunal Shah – Director, Citigroup Global Markets India P rivate Limited

And secondly, when we look at it still, we are either in line with industry growth or lower than that and now we have seen many of the private banks, one of the leading bank growing much below the industr

y average. So, when do we see maybe catch up on the growth and now when we look at the rate differential in the deposits, that is also quite huge, almost like 40 b ps in the peak deposit rate, not in the shorter -term bucket. So, would we be looking at raising the deposits growing at a slightly better than industry average because there is a case which is being made that PSU bank should ideally now start gaining the m arket share and you being a leader, yeah

- Mr. Dinesh Khara – Chairman, State Bank of India

See, the point is – see the point is that I would be more than happy to grab the deposit provided that deposit is available at a cost which I would like to bear. If at all deposit is available at 8% and we have to do underwriting of the quality assets, no borrower would be willing to pay me 10%. That has to be kept in mind. So, if at all we have to underwrite the quality assets, we have to have a very sharp eye on the cost of our resources. We cannot take it away. When it comes to growth , growth has to be seen not only in terms of number, but the quality of number also. So, I very firmly believe in this and we have practiced this in this bank and the outcomes are all before you.

- Mr. Kunal Shah – Director, Citigroup Global Markets India P rivate Limited

Sir one last data point, stand alone, LCR?

- Ms. Saloni Narayan - Deputy Managing Director (Finance), State Bank of India

129

- Mr. Dinesh Khara – Chairman, State Bank of India

Standalone LCR , we are at 129 .

- Mr. Kunal Shah – Director, Citigroup Global Markets India P rivate Limited

Consol is 129 or standalone. Standalone is also 129?

- Mr. Dinesh Khara – Chairman, State Bank of India

Yeah. Bank is 129. We don't consolidate LCR for the other entities.

- Mr. Ashok Ajmera – Chairman, Ajcon Global

Sir, last one, some data point, Sir, we have been talking that yes, you are making provisions for standard asset right from the COVID and so many other and we are having lot of buffer provisions, can some ballpark some number that how much excess provision overall under all account beyond IRAC norms?

- Mr. Dinesh Khara – Chairman, State Bank of India

In fact, you know, in a bank like ours, our DMD Finance or CFO, they have got pockets which are not even known to the Chairman. So, I'm not in a position to share that number and I also encourage that she should have some - she or he should have such pock ets because we have to keep ourselves largest Bank of the country have to insulate itself from any of the rainy season. We don't want any challenge.

- Mr. Kunal Shah – Director, Citigroup Global Markets India P rivate Limited

Alright, Sir.

- Mr. Sanjay Kapoor - General Manager (Performance, Planning and Review), State Bank of India

We have few questions …

- Mr. Dinesh Khara – Chairman, State Bank of India

Yeah, I think, yeah just one second, please.

- Mr. Nitin Aggarwal – Senior Group Vice President, Motilal Oswal

Thanks for taking the question and big thanks to you Sir for outstanding leadership that you have provided in SBI in all these years you took charge in a very difficult year and you have ensured that SBI get its due recognition at least in terms of market value, in terms of size always it was there, but in terms of market value you have certainly played a very instrumental role. Big thanks to you Sir for that.

- Mr. Dinesh Khara – Chairman, State Bank of India

Thank you.

- Mr. Nitin Aggarwal – Senior Group Vice President, Motilal Oswal

And a few questions, Sir. Firstly, like on the credit growth, there has already been a lot of questions, but do you think that there can come a situation where in the credit demand in the system not from the SBI, SBI is already placed very well, CD ratio for SBI is less than 70, we know that the credit demand from the system may remain unm et because this quarter we have seen a lot of moderation from the other banks, the growth numbers have seen a cut and RBI has been pushing on the CD ratio is what we understand a lot more?

- Mr. Dinesh Khara – Chairman, State Bank of India

Well, I think my sense is that the market has got the control features and if at all there is a demand, the demand would be at a price and if at all people are willing to pay that price, the demand can be met also and fortunately today, the global markets are all integrated. So, I think I don't see a challenge if at all there is a demand, and if at all there is a risk appetite for that demand, my sense is that i t should not be a challenge.

- Mr. Nitin Aggarwal – Senior Group Vice President, Motilal Oswal

Okay Sir and second Sir is on the Op ex. Now, we have seen a very high Op ex in the past because of wage provisioning that was going on and this quarter is a very sharp decline. So, is

this a sustainable number because the number that we are seeing this quarter is lower than what we like probably expected so because even the cost income ratio has come below 50. So, how should we look at it going further?

- Mr. Dinesh Khara – Chairman, State Bank of India

I think when it was not 50, I was being push to ensure that it should be below 50. Now, I've brought it to below 50, now you are questioning why it is below 50 . Anyhow, I mean keep it aside, just in the lighter way . But the fact of the matter is that if you recall right from the very beginning, our focus was that our income should grow because we have got certain cost rigidities and we cannot get rid of those cost rigidities. So, I think that is a reality and last year, of course, we could not meet these numbers for the simple reason that we're required to make provisions for the wage increase. Now, all that is behind us and I actually would say that this is the new normal and we should be in a position to stick to this new normal. Rather, I would rather expect that it should incrementally we might see it coming down a bit also.

- Mr. Nitin Aggarwal – Senior Group Vice President, Motilal Oswal

Okay, great, Sir. Thank you so much and wish you all the best.

- Mr. Dinesh Khara – Chairman, State Bank of India

Thank you. Thank you. Thank you.

- Mr. Sanjay Kapoor - General Manager (Performance, Planning and Review), State Bank of India

Sir, few questions through online webcast.

- Mr. Dinesh Khara – Chairman, State Bank of India

Yeah. Yeah, I will just answer those questions also.

- Mr. Anish Raj has a question, how SBI is going to fight with the deposit crisis?

I would only like to reiterate some of the points which have already mentioned, but nevertheless, I will say that our focus on the digital, as I mentioned that about 40,000 odd Savings Bank accounts are being opened daily through YONO out of 60,000 Savings Bank total accounts opened daily. Focus on activation of our inoperative account is we are leveraging analytics, targeting sources of the quality salary package is something which we are already working on and also raising of the deposit interest rate and some of the select tenors there's something

which we are working. So, these are some of our initiatives and we are quite confident it will start yielding results also very soon.

- Next question is from, Mr. Kaitav Shah. Could you throw some light on the credit growth aspirations and the key components of the growth?

We are hoping for our credit to grow at 15%. I would expect broad -based growth in all the segments as far as the credit is concerned.

- Mr. Deepanshu Khatri, any plan of merger of RRBs with the RBI? Any plans of list of SBI subsidies company like SBI General?

As of now, there is no such plan and as far as the RRB s are concerned, there is a need for some regulation till such time it comes we really cannot go to the market for any listing and as far as subsidies are concerned, it is little premature as of now to list any of our subsidiaries which are eligible for lis ting.

- Mr. Praveen K Nagpal, given the 0.89% year -on-year growth in net profit and 4.55% increase in operating profit, what specific strategies or operational improvement contributed to this performance and how do we plan to sustain the growth moving forward?

Our sharp focus on the asset quality GNP A movement . GNP A has improved from 2.76 to 2.2 1, improvement in cost of income ratio by 95 basis point leveraging technology to become future ready organization and also focusing on improving income.

- Mr. Pervez has asked a question , guidance on NIM in the coming quarters and rate cut effects of NIM?

Our target is to maintain NIM at the current level. There may be a variation to the extent of not more than 10 b ps plus or minus.

- Dhawal Garda, what steps is the bank taking in Agri lending business to deliver much lower GNP in future?

A special drive and the time bound action plan for conducting regular recovery cum credit camps. Sandhya Shivar, at the branches cluster of branches have been initiated . All Agri intensive RUSU branches are geared up for KCC, ACC, and also for the renewal exercise and drive for actual recovery of NPA. We are also looking at the investment credit and our experience in the past is that higher value ticket size has got lower incidence of NPA and that is something which we are practicing on ground.

- Sanjana Fauzdar from Nuvama , comment on the lower growth in current account deposit this quarter?

It is a general trend of funds that inflow during the last quarter four of the financial year outflow during subsequent quarters of the next financial year resulting in quarter -on-quarter negative growth. Negative YoY growth is on part of the decline in the government account, funding in good time they are actually following just in time approach. In non -government accounts, it is a competition from the private sector bank, but, however, we are also meeting that competition by offering all add -ons, which are r equired.

- Doshi Dixit, our credit cost and slippages have gone up considerably after good performance in the last three quarters. Can you explain why, and will it remain elevated going forward? Do you expect stress in the book? Any update on stake sale in YES Bank?

So, many questions in one. Credit cost has increased sequentially from 0.29 to 0.48 on account of the increase in aging provision by almost ■ 907 crores and slippage provisions about ■ 340 crores. As on July ‘24, there is a pullback of around 20% against the slippages during Q1FY25 .

- Mr. C Joshi, what should be the level of sustainable credit cost going ahead? What was the interest on IT refunds this quarter?

There was nil as far as IT refund was concerned. We expect the credit cost to be around 0.50 going forward.

- Do we have a CD ratio target? And if yes, then what it is for this year and next year?

We expect CD ratio to be around 70% and it might go up to 72%.

So, with this I finish off answering all the online questions also.

- Mr. Sanjay Kapoor - General Manager (Performance, Planning and Review), State Bank of India

Thank you, Sir. I trust all the questions have now been addressed. We will be happy to respond to other questions in offline mode. Let me end the evening with thanking the Chairman Sir, the top management team, the analysts, ladies and gentlemen. We thank you all for taking time out of your schedule and j oining us for this event. To round off this evening, we request you all present

here to join us for high tea, which is arranged just outside this hall. Thank you very much.

- Mr. Dinesh Khara – Chairman, State Bank of India

Thank you very much, once again. All the very best to all of you. Thank you.

END OF TRANSCRIPT

Call: Nov 2024

CC/S&B/AND/202 4-25/668 16.11.2024

Madam / Sir,

Disclosure under Regulation 30 of SEBI (LODR) Regulations, 2015 :
Transcript of Analyst Meet

Pursuant to Regulation 30 read with Para A Part A of Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 , we submit the transcript of the Q 2FY25 post results Analyst Meet held on 08.11.2024.

Yours faithfully,

(Aruna N Dak)
DGM (Compliance & Company Secretary)
Encl: A/a

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Q2FY25
ANALYST MEET
TRANSCRIPT
08.11.2024

MANAGEMENT : MR. C S SETTY
CHAIRMAN , STATE BANK OF INDIA

MR. ASHWINI KUMAR TEWARI
MANAGING DIRECTOR (CORPORATE BANKING AND SUBSIDIARIES)

MR. VINAY M TONSE
MANAGING DIRECTOR (RETAIL BUSINESS & OPERATIONS)

MR. RANA ASHUTOSH KUMAR SINGH
MANAGING DIRECTOR (RISK COMPLIANCE & SARG)

MRS. SALONI NARAYAN
DEPUTY MANAGING DIRECTOR (FINANCE)

MR. PAWAN KUMAR KEDIA

CHIEF GENERAL MANAGER (FINANC IAL CONTROL)

MR. A RAVI SHANKAR
CHIEF GENERAL MANAGER (FINANC IAL CONTROL) - DESIGNATE

MR. PAWAN KUMAR
GENERAL MANAGER (PERFORMANCE , PLANNING & REVIEW)

- Mr. Pawan Kumar - General Manager (Performance, Planning and Review), State Bank of India

Good evening, ladies and gentlemen! I am Pawan Kumar, General Manager, Performance, Planning & Review Department of the bank. On behalf of State Bank of India, I am delighted to welcome the analysts, investors, colleagues and everyone present here today on the occasion of the declaration of the Q2FY25 results of the bank. I also extend a warm welcome to all the people who are accessing the event through our live webcast. We have with us on the stage, our Chairman, Shri C.S. Shetty at the centre, our Managing Director, C orporate Banking & Subsidiaries, Shri Ashwini Kumar Tewari, our Managing Director, Retail, Business & Operations, Shri Vinay M. Tonse, our Managing Director, Risk, Compliance & SARG, Shri Rana Ashutosh Kumar Singh, our Deputy Managing Director, Finance, S mt. Saloni Narayan, our Deputy managing Directors heading various verticals and Managing Directors of the subsidiaries are seated in front rows of this hall. We are also joined by Chief General Managers of different verticals , business groups. To carry forw ard the proceedings, I request our Chairman sir to give a brief summary of the bank’s Q2FY25 performance and the strategic initiatives undertaken. We shall thereafter straight away go to Q&A session. However, before I hand over to Chairman sir, I would like to read out the safe harbor statement.

Certain statements in today’s presentation maybe forward -looking statements. These statements are based on management’s current expectations and are subject to uncertainty and changes in circumstances. Actual outcomes may differ materially from those included in these statements due to a variety of factors. Thank you. Now I would request Chairman Sir to make his opening remarks. Chairman Sir , please!

- Mr. C.S. Setty – Chairman, State Bank of India

Thank you. Good evening, ladies and gentlemen! Thank you for taking the time to join this analyst meet today, post announcement of Q2FY25 results of the bank. The results for the Q2FY25 highlight continuity, consistency and SBI’s significant long-term strengths. At the outset, I would like to thank all our stakeholders for their support and helping us in creating a sustainable value not only for the bank but also for the economy as a whole. Over the years, SBI has remained focused on strengthening the key components that contributed to this sustainable value. We have prioritized our liability franchise, refined our processes, continue to improve our underwriting standards and aim to deliver value to all stakeholders , while positioning ourselves as a reliable financial services brand.

I will first start with the brief description of the present global and domestic economic scenario and then discuss bank’s performance. Global growth is expected to remain stable , though somewhat under -whelming with cementing of growth in the largest economy of the US being a silver line. The recent US election results could lead to lower taxes, favourable regulations along with tighter labour markets. They also present an opportunity for the Indian economy to further strengthen the domestic manufacturing base while

closely aligning with strategic allies. Further any positive development in the

geo-political situation in the areas of conflict could lead to easing of commodity prices. On the other hand, the EU Block appears still shrouded in uncertainties. The global growth forecast by IMF for 2025 remains at 3.2 % with India remaining the fastest growing large economy.

On the domestic front, India's GDP registered a growth of 6.75 % – 7% in Q1 driven by private consumption and investment. Looking ahead, agriculture sector is expected to perform well on the back of above normal rainfall and robust reservoir levels while manufacturing and services activities remain steady. On the demand sid e, healthy kharif sowing coupled with sustained momentum in consumer spending in the festival season auger well for private consumption. The average inflation for FY25 is expected to be 4.5% according to RBI estimates. Latest numbers show that scheduled commercial banks' deposit growth has now surpassed credit growth. Deposit credit differential has now turned positive, which was last seen in April 2022. We expect S CBs' deposits will grow 11 % - 12% and credit by 12 % - 13% in FY25. RBI has ensured that system liquidity remains comfortable by conducting two-way market operations.

Coming to the bank's performance, we have once again delivered a good set of numbers. At the end of Q2FY25, our credit growth was 14.93 % YoY, deposit growth was 9.13% YoY while the CD ratio domestic was 67.87 % and importantly, our slippage ratio was 0.51% with retail slippage ratio 0.31%. Credit cost was 0.38% and PCR was 75.66 %. The profit for the quarter was ■ 18,331 crores, up almost 28 % YoY. On the business front, deposits at the end of Q2FY25, deposits have crossed a milestone of 50 trillion rupees with more than 50 crore customers. We are humbled to serve one out of every three Indians. In some way, SBI touches every Indian family. The total deposits have grown by 9.1 3% YoY to ■ 51.17 trillion. Term deposits have grown by 12.51 % YoY. Our current account deposits have grown by 10 % YoY and CASA has grown by 4.24 %. We have maintained CASA ratio by more than 40 %. As far as credit growth is concerned, I am pleased to advise that the credit growth continues to remain robust across all segments. Our domestic advances have grown by 15.55 % YoY driven by 18 % growth in corporates, 17 % in Agri, 17% in SME and 12 % in retail segments. Our foreign office advances have grown by 11.56 % YoY. Our market share in savings bank deposits was 26.51 % at the end of June 2024. From Sep 2019 to Sep 2024, our savings franchise achieved a CAGR of 8.34 %. When it comes to advances, our market share was 19 % at the end of Sep 2024 with a 5-year CAGR of 11.76 %. Notably, our credit growth in Q2 was 14.93 % as compared to 13.03 % for the ASCBs. As far as asset quality is concerned, slippage ratio in Q2FY25 was, as I mentioned earlier , 0.51% and the credit cast stood at 0.38%. The net NPA ratio improved by 11 b ps YoY and stands at 0.53%. We have a well provided NPA book with PCR at 75.66 %, I think the first time we crossed 75 % cover. These indicators of asset quality highlight the robust quality of our loan portfolio. Our liquidity position is comfortable with a liquidity coverage ratio being about 129 % as on 30th Sep and the domestic CD ratio was at 67.87 % indicating significant potential to grow our credit portfolio. The bank remains well cap italized and we have sufficient headroom to take care of business growth requirements. Our capital adequacy ratio is 13.76 % without considering plough back of profits and is well above the regulatory requirement. If we include the profits for H1FY25, our CAR would be at 14.79 %.

I am happy to share the progress we are making in digital banking. More than 8 crore customers ha

ve been registered on YONO, driving digital agenda of the bank. 61 % of our regular saving bank accounts are opened through YONO in Q2FY25. Our subsidiaries are also consistently performing well and continue to create significant value for all the stakeholders. We will continue to nurture these subsidiaries and maintain leadership position in the respective businesses. We are glad to report that the bank continues t o report ROA and ROE greater than 1 % and 20 % respectively at the end of H1FY25. Previously we have highlighted that SBI stands out as one of the few financial institutions with unparalleled long-term advantages capable of delivering more than 1 % ROA at this scale. Scale is a crucial aspect to consider. SBI maintains a more than 1 % ROA with advances portfolio of ■ 39 lakh crores, an investment portfolio of ■ 16.66 lakh crores, a deposit base of ■ 51.17 lakh crore s and a total balance sheet size of ■ 63.41 lakh crores, which is risk weighted at 54 %. It is important to highlight the risk weights of SBI's balance sheet. A more insightful indicator of SBI's profitability is its industry leading RORWA of 2.0 7%. This is return on risk weighted assets. By combining our market shares in both asset and liability products with RORWA , it is evident that the bank has a dominant presence in all the large risk adjusted profitable lending and liability markets in India. So, while we are glad about the outcomes in Q2FY25, we are also mindful of the areas for further improvement. On the liability side, we continue to focus on increasing our share in current account while maintaining our leadership position in savings bank depo sits by further strengthening our customer outreach and branch network. Although the bank's cost base is substantial, it highlights our commitment to compliance and establishment expenses. The bank's ROE profile is currently higher than its credit growth implying CET1 accrual in the future. From this strong position, our goal is to consistently achieve an ROE over 15 % throughout business cycles.

To conclude, I want to thank you all once again for your support. The bank while pursuing its own progress contributes to the progress and growth of the economy. We remain committed to rewarding our stakeholders' trust in us with superior sustainable retur ns over the long term. My team and I are now open to taking your questions. Thank you very much.

- Mr. Pawan Kumar - General Manager (Performance, Planning and Review), State Bank of India

Thank you, Chairman Sir, for the presentation. We now invite questions from the audience. For the benefit of all, we request you to kindly mention your name and company before asking the questions. To accommodate all the questions, we request you to restrict your questions to max imum two at a time. Also kindly restrict your questions to financial results only and no question be asked about a specific account please. In case you have additional questions, the same can be asked at the end. We now proceed with the Q&A session.

- Ms. Mahrukh Adajania – Executive Director (Equity Research), Nuvama

Hello Sir! Good evening, Sir. Congratulations! Sir, my first question is just on credit and deposit growth. I guess you had quoted in the Business Standard Conclave saying that the pace of growth of deposit and credit should nearly coincide. So, our deposit growth has outpaced credit growth this quarter but on the YoY basis, there is still a gap. How are we viewing that gap? Can it continue?

- Mr. C.S. Setty – Chairman, State Bank of India

Thank you. I think our effort is, in fact there was some question, why you have low CDR ratio, why are you pursuing the deposits? So, I think deposit as a franchise, we continue to ensure that the deposit growth is maintained in terms of two aspects. One is, our market share of 23 %, under no circumsta

nces we are going to allow it to go down. I think 22% - 23% is something that we want to maintain. No. 2, while we have adequate liquidity and capitalization to support credit growth, we would like to ensure th at the incremental credit growth is supported by the incremental deposits. I think that part will continue to be there. So, with a huge deposit base, even if lower double -digit growth of 10% - 11% would give me that heft to meet the credit requirements. This is the idea in terms of saying, how we ensure that the incremental credit is supported by the incremental deposit growth.

- Ms. Mahrukh Adajania – Executive Director (Equity Research), Nuvama

We can continue to expect 14 % - 15% loan growth and maybe 10% - 11% deposit growth.

- Mr. C.S. Setty – Chairman, State Bank of India

Ya, definitely on the credit growth, I think we are sticking to our guidance of 14 % - 16%

will continue to be there. Deposits, yes, the effort is to cross the hurdle of 10 %. Today we are more than 9 % and lot of efforts which we have done in terms of mobilizing the deposits have resulted in some significant growth of 9.13 % as I mentioned that greater milestone of 50 lakh crores is a proud moment for us and we hope that the 10 % - 10.50% should be possible. And if you notice, we already are in the double digit, both in the current account and terms deposit. The next target would be, how do we increase our savings bank growth rate.

- Ms. Mahrukh Adajania – Executive Director (Equity Research), Nuvama

Got it sir and my next question is on Xpress Credit . So, what is the outlook there given that now we have fallen below 10 % YoY? So just a broad outlook there?

- Mr. C.S. Setty – Chairman, State Bank of India

We have seen the growth coming back into this unsecured product which we have had on secured personal loan. We felt that I think, it was more in terms of the demand than anything else. One thing what we must remember is that, this is a high churning product, in the sense that while we give for 5 – 6 years term, it gets paid off pretty fast, 14 months is average life of an Xpress Credit , which means that if there is a slight demand slack, you result in slowing growth. On an average we get 16 - 17 thousand crore repayment every month. So, we have to keep pace with that, it is not that we are not growing on that. Because the repayments outpace the disbursements, sometimes you know, the growth rate slows down. But we are seeing a good traction in the current month and hopefully this busy season will ensure that, if not that 30 % CAGR what we have witnessed in the past, I think we will come back to a reasonable growth rate there. Do you want to add anything Vinay?

- Mr. Vinay M . Tonse - Managing Director (Retail, Business & Operations), State Bank of India

I don’t want to be very forward looking but the month of October has been really good and the book style of slack season and the busy season is actually playing out for us including the Xpress Credit s. We have no concerns coming out of that.

- Ms. Mahrukh Adajania – Executive Director (Equity Research), Nuvama

Got it Sir, thank you.

- Mr. Vinay M . Tonse - Managing Director (Retail, Business & Operations), State Bank of India

Thank you, Mahrukh .

- Mr. Ashok Ajmera – Chairman, Ajcon Global

Hello Sir! Sir, I am Ashok Ajmera, Chairman , Ajcon Global. Sir, welcome to you. You are chairing the first analyst meet sir, as Chairman of the Bank, the largest bank of the country and compliments to you for the wonderful numbers. Good set of numbers, operating profit touching almost ■ 30,000 crores and I think this is one of the highest operating profits of the bank and all other parameters also, the bank has performed exceedingly well. I have a question which, I will just take it forward from Ma hrukh, about the nu

m bers of the credit growth of which you have given 14 % - 15% target. Now I think, as per these numbers what we have achieved is around 4.09 % in H1FY25. We have a long way to go to achieve the remaining 9.5 0% - 10% growth, which means almost about ■ 5 lakh crores of credit growth in the remaining 6 months. So, what is the roadmap there

Sir? How do we plan to achieve that kind of credit target in the remaining, you have only five and a half months? My first question is on that. Second one sir, a major part of the other profit has come from the other income this quarter. I mean if you look at it, the sale and the revaluation is ■ 4,641 crores against ■ 2,500 crore s in the last quarter. Forex income is ■ 1,111 crore s as against just ■ 361 crores in the last quarter and miscellaneous income is ■ 2,685 as against ■ 1,200 crore. So , whether thi s is a regular phenomenon going to be in the remaining two quarters of this kind of profitability, I mean other income, or some one-offs are there in these three items if you look at the profitability. And thirdly, on the provisions, we see that some other provisions of ■ 600 crores, we were asking madam also sometime back, what is that? Because we have been actually writing back the provisions, in the earlier two quarters if you look at it, this time there is a provision of ■ 600 crores on the other thing. And on the SMA front, Sir this SMA1 of course that one -off ■ 9,000 crores account which has taken the SMA1 to almost about ■ 12,000 crores, that is being already regularized, its note has been given but is it going to again slip and comeback or is it a permanent kind of a solution? And there was one another account of the government which we were discussing whether any provision provided for that? I think you can clarify on that and madam also, since the government has given some money, so what is the plan in that? Whether it is a temporary arrangement there also or we might have to provide for that? So, these are my couple of questions in this round. If time permits, I will come back again Sir. Thank you, sir.

- Mr. C.S. Setty – Chairman, State Bank of India

Go back to the credit growth slide. So, if you see here, other than retail personal, it has been a secular growth and we are seeing that, this secular growth, segmental growth is likely to continue. And on the corporate side, I will ask Ashwini also to supplement but we see that there is a good visibility of the pipeline both in terms of the proposals under sanction and proposals sanctioned but not disbursed. This is the data which we consistently keep giving you and these numbers are almost ■ 6 trillion. ■ 6 lakh crore s is something what these two things constitute. And the growth is also coming from YoY, the higher utilization of the working capital limit. So, the combination of this indicates that our corporate credit growth would remain in this higher double digit. Agriculture, this growth in the first half has come despite heavy rains and many things what is happening. And we also have diversified our agricultural portfolio. It is not only coming from the crop loans. We have various components of rural finance, which is built into this agricultural book and the rural finance includes Agri infrastructure financing, self -help group financing, Agri gold loans, crop loans. We have significantly enhanced our ability to assess this agricultural financing. We have set up Agri CPCs across the country and we have brought back our relationship manager for rural and urban, which they are processing the high value agricultural loans now. I think the combination of this also shows that, agriculture during the second half will continue to do well.

On the SME, some of the measures which we have taken, I think earlier also we have shared, the SME financing, we are trying to move heavily into data based, non -
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lateralized cash flow-based lending. We have introduced, what is called business rule engine, upto ■ 5 crore limit assessment and it is doing very well. I think we have done

from inception, almost ■ 30,000 crores loans under the BRE here. And BRE uses an extensive data set , both internal as well as external and one of the major complaints, against major public sector banks including SBI is that the turnaround time for issuing sanctions for SME loans is longer. Today, under the BRE, we are able to give in -principle sanction in 15 mins and if it is guaranteed by CGTMSE, the disbursement is done in two days. So, I think this operational efficiency improvements also I think would h elp us to continue to grow this SME book. Again, SME also has several components in this – dealer financing, vendor financing, balance sheet financing, I think almost all the components we are trying to improve the operations. Then the question of retail personal comes. Retail personal as we have been m entioning, we are seeing an uptake. Hopefully, that will be sustained during the second half. So, the credit growth is definitely we are confident that 14 % - 16% credit growth rate happen and home loan is one of our leading products. You see that 13.66 %, average 13 % - 14% CAGR is being ensured on this. And we see historical levels of sourcing of home loan applications in the first half, which resulted in a huge number of sanctions and disbursements in this category and almost all the other products are also doing well.

Coming to your other income, yes, we are definitely aided by the other income in this quarter. Other income components are you rightly mentioned Ajmera Saab is in terms of both trading gains, MTM gains and the recovery in the written -off accounts. So, recovery in written -off accounts, our assessment indicates that the current run rate will continue. I mean that is fairly easy to assess, that you know what is in store, where you have taken the measures of recovery, what is the stage in the NCLT , SARFAESI or DRT, have a fair idea about the recoveries, unless some last-minute things happen. But on the trading front of course is a function of yield movement. We have consciously worked in terms of acquiring some additional, added some duration to the book and we played on yield movement and the trading gains were there. Our estimations, our expectations are that the yield trajectory will be ranged from 6.6 - 6.9 in which case I think, we still have scope for trading gains. MTM, again is a function of yield movemen t.

The third piece on the Forex, we definitely got benefitted, the volatility always gives us some benefit, so we played on that. Mainly the proprietary derivative book which we have had, which contributed to the treasury gains, it is very difficult to confidently say that it is going to be the same level of profit, but we will try to maintain that, if not this part, then other sources of other income. We want to escalate our loan processing charges; we want to increase our other income by engaging more on the ecosystem banking. I think our renewed focus on non -interest income will continue and we are hopeful to get in. Do you want to say something on the other provisions?

- Ms. Saloni Narayan - Deputy Managing Director (Finance), State Bank of India

Last year, we had a write back of ■ 1,010 crores on account of NPA automation which was completed by the Bank and we were able to write it back. That is the main reason. So, this year we don’t have that write back. And apart from that, the normal provisions of course have gone up from ■ 283 crores to ■ 876 crores, which is ok. There is no particular segment to call out.

- Mr. Ashok Ajmera – Chairman, Ajcon Global

Other than the normal standard provisions and other things you are taking….

- Ms. Saloni Narayan - Deputy Managing Director (Finance), State Bank of India

The only factor is NPA automation reversal of ■ 1,010 and to your point of AUCA recovery, last year same quarter we had ■ 1,566 crores AUCA recovery. This year, we have ■ 2,336 crores and as Chairman Sir has said, that going forward, we are expecting this kind of recovery in the next two quarters.

- Mr. C.S. Setty – Chairman, State Bank of India

Ashwini, you want to supplement something on the corporate.

- Mr. Ashwini Kumar Tewari - Managing Director (Corporate Banking & Subsidiaries), State Bank of India

On the corporate side, you have seen good growth, but this growth has not come on its own. Actually, my team is sitting here. Last one and a half years, they have been planning for this, contacting corporates, understanding their business plans and actually trying to fit in where we can and therefore we approach them much before time and that’s how this book has been building up and as Chairman explained , ■ 3 lakh crores in pipeline, ■ 3 lakh crores to be disbursed and there is some more undisbursed term loans etc., so all of that is a huge number. Of course, not all of this will fructify but we keep engaging, keep getting more lead, keep getting more conversations. This is all about conversation and being in the right place. So, our corporate book continues to be strong. We expect to see a good growth in this. Of course we are selective, we don't want to compromise on asset quality at all. Hopefully, this will continue.

- Mr. Ashok Ajmera – Chairman, Ajcon Global

Sir, which are the major sectors or areas from where this credit growth is coming, the demand is coming and the book is building?

- Mr. Ashwini Kumar Tewari - Managing Director (Corporate Banking & Subsidiaries), State Bank of India

So, infrastructure continues to be strong, so that includes both renewable energy, roads, power and now we are seeing action in the thermal power space also which for some time we were not seeing but apart from renewable, thermal is also seeing action. And apart from infrastructure, in steel some demand is coming up.

- Ms. Saloni Narayan - Deputy Managing Director (Finance), State Bank of India

Petroleum and Petro -chemicals. Engineering, Aviation , Services.

- Mr. Ashwini Kumar Tewari - Managing Director (Corporate Banking & Subsidiaries), State Bank of India

Lot of these things, it's a broad -based demand, it's not restricted.

- Mr. Ashok Ajmera – Chairman, Ajcon Global

Sir, one observation in your feedback if you allow me. Sir, today, Jet Airways, yesterday Supreme Court of India's decision that, they ordered Jet Airways to be liquidated and we have a good share up there. I think out of almost about ■ 3000 or ■ 4000 crores, our share is one of the major shares in that and you have already got ■ 400 crore, ■ 250 crore s in cash and ■ 150 crores in bank guarantee. So, on that, any take? In this quarter, we will have some substantial recovery on that because you have a lot of collaterals also. Can you throw some light on that Sir, on that account? Because it has been published in the newspaper.

- Mr. C.S. Setty – Chairman, State Bank of India

That's ok. We generally don't talk about individual accounts and of course this is a popular account to comment on. Ajmera Saab, it's too early to say anything. We just received the order yesterday . We are studying. The lenders have to meet and strategize, how to go about it? We will just wait for some time on this.

- Ms. Saloni Narayan - Deputy Managing Director (Finance), State Bank of India

Ajmera Saab, let's talk about the results.

- Mr. C.S. Setty – Chairman, State Bank of India

That's ok, we will just wait for some time.

- Mr. Sushil Choksey – Managing Director, Indus Equity

Congratu

lations to Team SBI . Sushil Choksey, Indus Equity. Sir, you gave a highlight on credit growth where ■ 6 lakh crore is very visible where corporate is concerned. One is, how is the retail engine looking, not from SBI perspective but where India is concerned. Second is, you said that volatility in treasury is between 6.6 to 6.9 which would be a

health y yield for the bank and how do you see deposit market with our market share, where it is, whether the rates have peaked, banks could garner more deposit or there is something which is not functional well for the deposit market?

- Mr. C.S. Setty – Chairman, State Bank of India

Choksey Saab, on the retail personal, we always have been saying that our retail personal book is incredibly different from others. I still hold on to that view.

- Mr. Sushil Choksey – Managing Director, Indus Equity

My question is on overall retail business, I am not asking unsecured or secured….

- Mr. C.S. Setty – Chairman, State Bank of India

Even in the retail business, what are the retail components. Just come to that slide please of the retail book. So, these are the major segments of the retail – home loans continue to be a robust growth and we expect that 13 % - 14% growth rates in home loans continue. The auto loans, I think in the first quarter and second quarter were slower, but we are seeing a good growth coming back in the auto loans and personal gold loans, we have recorded historical levels of growth rate there. So, the whole segment of retail personal is doing well and if you see the asset quality, it continues to be robust. I think from that angle, SBI book if you want me to talk about it, I have no great concern, both in terms of growth as well as in terms of asset quality. As far as industry is concerned, I think there have been some concerns in terms of asset quality on the unsecured loan book, mainly in the small ticket loans. If you again see, while the 95% of our unsecured personal loan, the whole retail segme nt is salaried class, whether it is home loans or auto loans. Pre -dominantly it is salaried class, who maintain s salary accounts with us. But in case of industry, what we notice that the small value loans particularly 50,000 to 1 lakh rupees are the ones which had some major issues in terms of the asset quality. We are not there in that space , anyway.

And as far as deposits is concerned, yes, it is a concern for everyone because there has been a reallocation of asset portfolio by every individual. A part of their surplus they want to put in some other categories of investment instruments that has resulted in some of the deposits going into other sectors. But what we saw that deposit growth is also a function of how effectively you are following up with your customer. I will just give an example. I think we mentioned earlier also, we did extensive data an alytics on our portfolio of 50 crores customers. Even if you take out of this 50 crore , 17 crore basic savings bank deposit customers aside, what Jan Dhan accounts and all, 33 crores account customers we have intensively analysed and saw that there are promoters, there are stagnators, there are attritors and these are the categories of customers every one of them requires a different approach to reach out and then continue to have the stronger relationship with them. So, these are the strategies which are helping us to mobilize the deposits.

As far as rates are concerned, we believe that the rates have peaked. And if you see, there has not been much rate action in the last 2 - 3 months on the deposit side. While we floated some new schemes like we did one, AMRIT VRISHTI is one of the most popular deposit products which had mobilized a huge amount of fixed deposits for us. We adequately compensated the customers. I am not s

aying that we have compromised
on that. But broadly speaking, the interest rate on deposits has peaked.

- Ms. Saloni Narayan - Deputy Managing Director (Finance), State Bank of India

■ 1,40,000 on AMRIT VRISHTI, Sir.

- Mr. Vinay M . Tonse - Managing Director (Retail, Business & Operations), State Bank of India

Q3 and Q4 would be much better particularly, Choks ey Sahab, on the deposit s front, I would say. And we must also keep in mind that this also answers Ma hrukh's question, we have a base of 50 lakh crores now. So, even a 10% would mean 5 lakh crores but our franchise is definitely up to this challenge. We will cross easily into double figures.

- Mr. Sushil Choksey – Managing Director, Indus Equity

Sir, looking at your performance and guidance on credit and deposit market, what's new which is going to come out from SBI for FY2025 within the business at the bank and the subsidi aries which we should look forward to? I am not asking the numbers.

- Mr. C.S. Setty – Chairman, State Bank of India

No-no, I think, all of us have to look forward to consistency . We don't want to surprise either on the negative side or on the positive side. So, we just want to maintain the consistency. We will be happy, you know, to give the same rate of growth and same performance what we are doing both on the deposit side and advances side. I don't think there would be any big bank announcements or something like that. We don't want to do that.

- Mr. Sushil Choksey – Managing Director, Indus Equity

Sir, the credit market is indicating that you can underwrite much more bigger and larger loans than you are writing today and you can downsize too.

- Mr. C.S. Setty – Chairman, State Bank of India

No, this originate to distribute is something which we have been following up. I think we will continue to do that. Our ability, it is not only in terms of writing big cheque, it is ability to assess the large projects, complex projects. That is the ability which we built over years and we would like to capitalize on that and if there is a good market where we can distribute the loan which we have underwritten, we will definitely do that.

- Mr. Sushil Choksey – Managing Director, Indus Equity

What I mean is, if business and underwriting process both permits you to write higher credit seeing the current deposit market because you said you would like to maintain a deposit market too at a certain share, will we accelerate on the advances because t he sense is that infrastructure led by hydrogen, may be semiconductor, various opportunities which may be emerging, retail markets or whatever, will we accelerate or we'll try to maintain at…? I know that needle moving by 10 bps is also a bigger number compared to other banks, but can we accelerate by 1% - 2% or we won't?

- Mr. C.S. Setty – Chairman, State Bank of India

For the record, we would like to stick to our 14% -16% guidance.

- Mr. Sushil Choksey – Managing Director, Indus Equity

Thank you for answering all the questions.

- Mr. C.S. Setty – Chairman, State Bank of India

Thank you.

- Mr. Jai Prakash Mundhra – Vice President, ICICI Securities Limited

Hi, Sir. This is Ja i Mundra from ICICI Securities. Sir, first question is on margins, so if you look at from a broader cycle perspective, FY22 we had a domestic margin of around 3.3% and then rate hike cycle started. As of H1, we are again at 3.3% domestic margins whereas at l east the later part of the cycle is yet to play out in terms of repo rate cut, right? So, in this period, so far, we have, let's say, point to point we are similar at margins. And the cost of deposit, it looks like it has peaked and it will stabilize. But from going forward when policy rates turn, it would look like that we will possibly dip below where we started from. So, in pro

cess, of course, as you mentioned in your opening remarks
also, that you may have focused more on risk adjusted returns RORWA, s o how should we look at it, A, in the sense that why would margins, why at this point of time we do not

seem to have much tailwinds, you know, even at this point of cycle when the other banks have actually kept some of the margins when they started from whereas we are almost similar to where we started from?

And as you mentioned on RORWA, what is, I mean, if you can elaborate there in conjunction to margins?

- Mr. C.S. Setty – Chairman, State Bank of India

So, broadly, I think most of the points you yourself answered, Mundra. Nothing much for me to add. There would be impact of rate cuts on everybody's book for two reasons. One is the composition of the books have changed. We used to have predominantly MCLR books a couple of years ago or maybe 4 - 5 years ago and with the regulatory nudge, you know, some of the loan book has moved to Repo linked loans or external benchmark linked loans. Obviously, there will be some impact on that book. But in our case, what we believe is that more than 40% of our book is MCLR Linked. And even that other benchmark T-Bill linked loans are very short -term loans, which we have the capability to readjust the pricing there. The only thing what probably would be a little stickier in terms of adjusting is the Repo linked loans which are essentially the MSME loans and your home loans, etc. But 42% MCLR book with 2 - 3 rate hikes which we have had in the last two months would give us some protection in terms of the contraction of margin. That is what we are expecting.

And also, on the rate cut front if you are assuming that the first rate cut is likely to happen in February and not going to be a bulk rate cut and maybe a moderate rate cut of 25 - bps, so overall impact on margins are not going to be significant. This is our assessment.

- Ms. Saloni Narayan - Deputy Managing Director (Finance), State Bank of India

Sir, can I add one point? This MCLR increase that we have done, and that Chairman Sir was speaking about, that will play out after December.

- Ms. Saloni Narayan - Deputy Managing Director (Finance), State Bank of India

So, even if there is a rate cut, we already have that 20-bps cushion there. So, I think, net-net we should be stable in the year end.

- Mr. C.S. Setty – Chairman, State Bank of India

So, in terms of, of course, the ROA and RORWA comparison what I have given is just to drive home the point that the historical playbook what we followed is that how do you contain your risk and continue to have Operating Profit to Net Profit conversion as much robust as possible. And this is the point which we are trying to bring out when we talked

about Return on Risk Weighted Assets. Otherwise, we can accumulate more risk and give you a good ROA, but we are trying to calibrate, especially when you run a large bank, I think, this calibration is required. It may sound a little playing safe, but I think where the risk has to be taken, we have taken the risk but very calibrated risk. We have invested heavily into underwriting standards, no compromise on the quality and that has put us in good state. That is what we believe. And that is the rea son I said and I kept on talking about the consistency. No surprises, even if pleasant surprises are required.

- Mr. Jai Prakash Mundhra – Vice President, ICICI Securities Limited

And, lastly, Sir, if you can talk about the Xpress Credit , right. So, while I hear you that you mentioned that there is some demand softness that you saw and the repayment continues to remain high and hence there is a slower growth. So, on that, have you also changed any of your underwriting criteria which would have led to slightly slower disbursement or there is not too much change there? And when do you see this 7% YoY growth in Xpress Credit going back to maybe overall bank level growth? And if there is any noticeable change in the 30-day DPD or SMA 1,2 behaviour of that book?

- Mr. C.S. Setty – Chairman, State Bank of India

So, in terms of the process improvement, definitely we have undertaken in the last 12 months. What we have done is that the whole gamut of Xpress Credit assessment, disbursement, documentation, we wanted to automate as much as possible. In the process what happened, the adoption of that automation has taken some time. We also have re -engineered our process. We wanted to bring the similar Centralized Proce ssing Cell efficiency what we have achieved in Home Loans in the Xpress Credit also. So, that took some time. I am not saying that the slowdown is mainly attributable to that, but it is also contributed to a certain amount of lower offtake because these kinds of products are instant delivery product and any delay in delivering will definitely impact the offtake. But that part is addressed now. I don't think that has been a major issue but still whatever little irritants were there, we have addressed them.

I am sure, I think, we will have to see in the current half year how the demand is likely to come back. While we are hopeful, double digit Xpress Credit is definitely possible whether it happens in the current quarter or next quarter we will have to see.

- Mr. Jai Prakash Mundhra – Vice President, ICICI Securities Limited

Lastly sir if you can talk about the 30-day DPD or SMA -2 trends? If there is any change in the Xpress Credit ?

- Mr. C.S. Setty – Chairman, State Bank of India

No, there is not much SMA -2 change. SMA -0, it happens in most of these loans where salar y linkage is there because if even 2 to 3 days salary delay is there, they move to SMA -0. So, that kind of things happen but they don't move into the NPA category.

- Mr. Jai Prakash Mundhra – Vice President, ICICI Securities Limited

Thank you, Sir.

- Mr. C.S. Setty – Chairman, State Bank of India

Thank you.

- Mr. Ramesh Bhojwani - Mehta & Vakil

Sir, Ramesh Bhojwani from Mehta & Vakil. Sir, Q2 numbers have been delightful, to say the least. You have performed or you have outperformed on all the parameters.

- Mr. C.S. Setty – Chairman, State Bank of India

Thank you.

- Mr. Ramesh Bhojwani - Mehta & Vakil

Just one thought came to my mind, I was seeing in the provisions slide, you have made a PCR of 75.66%. But adjoining to that there is a non -NPA provision of ■ 31,054 crores. I would like to know this aspect.

- Mr. C.S. Setty – Chairman, State Bank of India

Go back to the provision slide, movement of provisions. This is the one which you are talking about, right?

- Mr. Ramesh Bhojwani - Mehta & Vakil

Slide 21.

- Ms. Saloni Narayan - Deputy Managing Director (Finance), State Bank of India

So, you want to know the breakup or what, Sir?

- Mr. C.S. Setty – Chairman, State Bank of India

So, this non -NPA provisions breakup is given below in the slide. You have the booklet, right?

- Mr. Ramesh Bhojwani - Mehta & Vakil

Yes-yes.

- Mr. C.S. Setty – Chairman, State Bank of India

Yes, in the booklet it is given provision on the standard assets is ■ 24,000 crore s, additional provision on the restructured standard account is ■ 4,831 crores . If you remember, we used to call it this COVID provision. That still continues to be there, we have not reversed it.

- Mr. Ramesh Bhojwani - Mehta & Vakil

Essentially, it is not worrisome.

- Ms. Saloni Narayan - Deputy Managing Director (Finance), State Bank of India

No-no. Actually, that’s a bu

ffer.

- Mr. C.S. Setty – Chairman, State Bank of India

It is actually the buffer which we have built.

- Mr. Ramesh Bhojwani - Mehta & Vakil

Wonderful! Wonderful!

- Mr. Vinay M . Tonse - Managing Director (Retail, Business & Operations), State Bank of India

It is the other side. It ’s a cushion .

- Ms. Saloni Narayan - Deputy Managing Director (Finance), State Bank of India

And this also includes the general provision on standard asset. So, ■ 13,802 crores are on account of that only.

- Mr. Ramesh Bhojwani - Mehta & Vakil

Okay, thank you.

- Mr. Himanshu – Analyst

Hi, Sir. This is Himanshu here. Just one question at my end. Since you have increased focus on garnering deposits and we have seen that, is there any change the way some of the cross sell of your subsid iary product, particularly life Insurance product? Because in SBI Life, particularly at the Banca channel level, we have seen a material slow down, what are your thoughts around it?

- Mr. C.S. Setty – Chairman, State Bank of India

Do you want to take it?

- Mr. Ashwini Kumar Tewari - Managing Director (Corporate Banking & Subsidiaries), State Bank of India

So, you are right that the Banca has shown a markedly reduced growth this time and the last couple of quarters but it's a kind of a transition which is happening. Because Banca used to be the predominant contributor, so the company has been focusing on age ncy for some time now because that is something which is more sustainable, the retention and the rates are higher. So, that is one part.

Second is, the company is also focusing on a lot on digital, not only directly but also through the bank's YONO channel because there were always some complaints about misselling, et c and this is something which is talked about, even though our numbers are the lowest in the industry. So, we feel that in case this is sold digitally with the customer's own initiation then nobody can say anything. It is customer's choice. So, that's the other thing which is being focused. And a couple of products which have be en recently launched, just about a month old, have seen very good traction.

So, our sense is that Banca is going to come back on the same lines it was. Percentage wise, maybe agency is going to pick up more and more as we go forward, but the numbers will start to look up in next couple of quarters. So, it's a kind of a transition happening at this point of time.

- Ms. Saloni Narayan - Deputy Managing Director (Finance), State Bank of India

Just to give a number, sir, in cross selling as against Q2FY24 where we earned ■ 969 crores, this quarter it is ■ 1,109 crores, which is a growth of 14.40%. And third quarter normally is the best quarter for SBI Life, so going forward the two quarters will more than make up. So, we are on track .

- Mr. Himanshu – Analyst

So, is that transition period over now?

- Mr. Ashwini Kumar Tewari - Managing Director (Corporate Banking & Subsidiaries), State Bank of India

No-no, it's still on because, as I said, the YONO products, I mean, couple of them have been launched just this one month back. So, we are seeing good traction. So, maybe it will take a couple of quarters by which time it will get back towards. Anyway, still the number one private Life Insurer and has a lot of other initiatives which are in the works.

- Mr. Himanshu – Analyst

And, secondly, Sir, is there any change with respect to the commissioning of the Life Insurance at the parent level?

- Mr. C.S. Setty – Chairman, State Bank of India

No.

- Mr. Ashwini Kumar Tewari - Managing Director, Corporate Banking & Subsidiaries, State Bank of India:

No, no. Parent has not changed anything, what is changing is the

regulatory way in
which it has to be reckoned in which it will be distributed across. I mean, it will be amortized rather than being booked immediately. Parent has not changed any rates or anything. We are charging more or less the same .

- Mr. Himanshu – Analyst

Sure, thanks.

- Mr. Saurabh - JP Morgan

Hi, Sir. This is Saurabh from JP Morgan. Sir, two questions. One is on current account. Could you highlight what's your average current account growth would have been? And what will explain this 10% growth that you see in your current accounts?

The second is, what is the magnitude of the unrecognized AFS reserve, if you can quantify that as of Sept quarter?

And, lastly, on your RWA s, historically SBI has gone to above 60%. You are in the low fifties right now; would you be okay if the market permits to go to those levels? These are the ones. Thank you.

- Mr. C.S. Setty – Chairman, State Bank of India

So, your first question on the current account. I think, we have tried everything what is possible in the current account, let me tell you. Quite a lot of initiatives which we have done. First thing what we have done is that we wanted to reduce the dependence on the current accounts of the government. While the government contribution is still significant for us and it has contributed this quarter also, we wanted to get back to the businesses and we have opened what is called 'Transaction Banking Hubs' across the count ry and that had helped us to garner more number of our current accounts. Number two, that we have set up what is called the 'Relationship Management Teams' for the current accounts who do not have any borrowing relationship with us, standalone current accounts. I think that has also helped us in a great amount of traction. We pursued current account, not as an individual deposit account but as a multi service -oriented product. For example, the cash management is required, POS machines are required, QR code is required. So, the kind of package which we designed, like it was there earlier also but I th ink the renewed focus through the transaction banking hubs also had definitely helped us. The idea of current account balances going up and gaining back the market share has been very seriously pursued. I hope that, you know, this will continue because current account is a very fickle kind of portfolio. So, how it moves is very difficult to predict but we are hopeful that this level of growth will continue there.

And as far as your AFS Reserve, anybody from AFS Reserve can give that information. Otherwise, we can give you later.

RWA, yes, there is some movement on the RWA. Can you just go to the RWA slide, please? AFS reserve, I think, movement to AFS reserve is about ■ 15,000 crores. RWA to Total Assets, I think broadly we would like to maintain this. That is the reason why in my opening remarks also I focused more on RORWA. So, we want to stick to this level of RWAs. Even this increase in RWAs, this quarter has mainly come from the MRWA

because we have acquired some CPs, CDs and equity portfolio has gone up which has resulted in the higher RWAs there.

- Mr. Saurabh - JP Morgan

Okay. Sir, just one more question, with your permission. Sir, on your Cards business, this Card subsidiary have seen elevated loss rates. Have you done any analysis on the Personal Xpress Credit , whether there is a cross sell to some of the customers which could have turned delinquent in the card subsidiary? Is there an exposure that SBI today has on some of the standard accounts there?

- Mr. C.S. Setty – Chairman, State Bank of India

So, this is an independent business model . I don't think our Xpress Credit model can be replicated on the card company.

- Mr. Saurabh - JP Morgan

No-no, my question was, sir, basically th

e account is delinquent in the cards business,
but the Xpress is still standard, have you done any analysis? Do you foresee any risk there?

- Mr. C.S. Setty – Chairman, State Bank of India

I don't think we have anything. Do you want to add to that? I don't think. I don't see any such…

- Mr. Ashwini Kumar Tewari - Managing Director (Corporate Banking & Subsidiaries), State Bank of India

So, generally, when we source a card from the bank for the card company, it's generally on the strength of the Liability account and its behaviour and sometimes with Housing loans, high value Housing loans, etc, we give cards to those people. So, we don't see that there's a personal loan here which might be impacted because the card is delinquent. We haven't seen any relationship like this. And the threshold is, generally, kept higher. So, it's anyway not likely that way.

- Mr. M B Mahesh – Executive Director, Kotak Securities

Hi. This is Mahesh from Kotak. Just a couple of questions. First is on as asset quality. This question was asked earlier on that SM A account, I don't think so you clarified the status as to how this will progress from here onwards.

- Mr. C.S. Setty – Chairman, State Bank of India

So, as you know, we don't talk about the individual accounts but let me tell you that there is a serious engagement, both with the company and the government, to have a sustainable solution for this.

- Mr. M B Mahesh – Executive Director, Kotak Securities

Okay. Sir, this question on Xpress Credit , again, we have seen this stabilizing at about 1% in terms of delinquency rate or the NPL rate, should we see this as a number from here onwards given that the portfolio has seen some level of maturity, or you see further increase possible in this ratio?

- Mr. C.S. Setty – Chairman, State Bank of India

In the Xpress Credit ?

- Mr. M B Mahesh – Executive Director, Kotak Securities

Yeah.

- Mr. C.S. Setty – Chairman, State Bank of India

We hope to bring it down.

- Mr. M B Mahesh – Executive Director, Kotak Securities

Okay. So, the third question is on the cost side. If you look at last year, the expectation was that the staff cost will be somewhere around ■ 75,000 odd crores to ■ 80,000 crores. Current run rate seems to be on the lower side today for the last couple of quarters. The rates declined but yet we don't seem to be seeing retirement related expenses being higher. So, if you just kind of reconcile some of these numbers?

- Mr. C.S. Setty – Chairman, State Bank of India

No, staff expenses, as we mentioned earlier also that the wage revision related even ing out has happened, right. That means that the run rate will continue at this level till the next wage revision is on the horizon.

- Mr. M B Mahesh – Executive Director, Kotak Securities

So, when interest rate declines you get gains and you get provisions on this side as well.

- Mr. C.S. Setty – Chairman, State Bank of India

Oh! On the provision for the pension?

- Mr. C.S. Setty – Chairman, State Bank of India

Yeah. So, I think, one is from an actuarial assessment point of view, our Pension liability is well provided for. Actually, we have a regular run rate of making the provision for pension. Sometimes the uptick will happen when the yield movement happens because the underlying planned book, what do you call, planned portfolio/planned securities, if any movement is there that happens. In this quarter, we actually had a gain there and we have written back some of the provision. So, that is the reason you see th e provision for employees coming down.

I hope I answered your question, but the run rate continues to be that ■ 3400 crores per quarter.

- Mr. M B Mahesh – Executive Director, Kotak Securi

ties

Okay, yeah. Ideally, in a declining interest rate this provision should have been higher, not lower.

- Mr. C.S. Setty – Chairman, State Bank of India

No, that is what I am saying that when the rate has come down, we should have made higher provision, but we had a positive MTM on the securities which got nullified.

- Ms. Saloni Narayan - Deputy Managing Director (Finance), State Bank of India

Gain on the fair value.

- Mr. C.S. Setty – Chairman, State Bank of India

Gain on the fair value of the securities.

- Mr. M B Mahesh – Executive Director, Kotak Securities

Okay -okay.

- Mr. Param Subramaniam – Nomura

Param Subramaniam from Nomura.

- Mr. C.S. Setty – Chairman, State Bank of India

Okay, please go ahead.

- Mr. Param Subramaniam – Nomura

Sir, first question is on the MCLR. So, in the first half you have seen an increase which is higher than what the other banks, large banks, have seen about 30 bps. So, is there any revisit in the formula there that's driving that on the MCLR?

- Mr. C.S. Setty – Chairman, State Bank of India

No, the MCLR is a function of cost of resources, basically. As the cost of deposit is going up, it will get reflected in the ability to pass on the MCLR. Sometimes we take a call to pass it on, sometimes we don't do that. But technically, this is a function of cost of resources.

- Ms. Saloni Narayan - Deputy Managing Director (Finance), State Bank of India

We still have a cushion of 35 bps.

- Mr. C.S. Setty – Chairman, State Bank of India

We still have 35 bp s to pass on. We will have to see when we can do that.

- Mr. Param Subramaniam – Nomura

Okay. There is no change in the formula or…

- Ms. Saloni Narayan - Deputy Managing Director (Finance), State Bank of India

No-no.

- Mr. C.S. Setty – Chairman, State Bank of India

No-no, there is no change in the formula.

- Mr. Param Subramaniam – Nomura

Okay -okay. Secondly, Sir, is there any impact of penal interest reclassification in the margins?

- Mr. C.S. Setty – Chairman, State Bank of India

None.

- Mr. Param Subramaniam – Nomura

None? Okay. And the other one, Sir, on the pipeline, you mentioned ■ 6 trillion of pipeline in the corporate loans. I just wanted to clarify that, you know, because the number you used to say in the previous quarters, what I recollect, is about ■ 4 - ■ 4.5 trillion, So, that number is like comparable with ■ 6 trillion, so it has gone up?

- Mr. C.S. Setty – Chairman, State Bank of India

Gone up.

- Ms. Saloni Narayan - Deputy Managing Director (Finance), State Bank of India

Yes, of course.

- Mr. Param Subramaniam – Nomura

That is the number?

- Mr. C.S. Setty – Chairman, State Bank of India

It has gone up.

- Mr. Param Subramaniam – Nomura

And one last question, if I may. So, the presentation still mentions open to raise growth capital if needed, so I just wanted your stance on that.

- Mr. C.S. Setty – Chairman, State Bank of India

Next presentation also we may have that. Till we raise the capital.

- Mr. Param Subramaniam – Nomura

Okay. Thanks a lot, sir. All the best.

- Mr. C.S. Setty – Chairman, State Bank of India

Thank you.

- Mr. Pawan Kumar - General Manager (Performance, Planning and Review), State Bank of India

So, we have a few questions coming in through online webcast. They will now be addressed by the Chairman Sir.

- Mr. C.S. Setty – Chairman, State Bank of India

- This is a question from Mayur Parkeria, Wealth Manager : Is the cost -to-income ratio sustainable at current levels?

I mentioned in my opening remarks also, the effort is to contain the cost -t

o-income ratio
below 50. Of course, cost -to-income ratio, we believe sustainable because no more provisioning on the wage revision, more focus on digitalization leading reduced expen ses. I think operational efficiencies combined with focus on increasing the Operating Income. That is going to be our focus. And we are also working on how we reduce the overheads as much as possible. Of course, our overheads growth is not very significan t and it is just taking care of the inflation and 2% - 3% more. More focus on improving income, particularly on the Other Income side. We are working very seriously on the ecosystem banking and the corporate relationship. In terms of cash management, we completely revamping our cash management product and we a re rejuvenating our YONO business where the one - stop-solution will be provided to the corporates. I think that is all going to help us in terms of maintaining the cost -to-income ratio.

- The next question is from Sanjay Jain : Can SBI maintain the current level of profitability, ROA of 1.17%?

I think, again, I said that the guidance which we are giving is the ROA of 1%. Anything extra is the bonus. We hope to maintain at least 1% ROA.

- Next question is from Mona Khaitan, Dolat Capital : What is the recovery from written -off account s this quarter?

Do you have the number, Ashutosh? Yeah, the recovery from written -off accounts during the quarter is ■ 2,336 crores.

- Question from Manoj Alimchandani : Please give impact of rate cuts globally on our domestic and overseas business and growth. Please share how deep the problems in unsecured loans, MFI business and Credit card business, any data points and solutions according to bank management and time for recovery stress, if any?

One is bank is an absolutely well insulated in both assets and liability side. Asset, there will be a marginal impact on the business and growth. But our overseas business model is that we rely heavily on the market borrowings. Obviously, any movement on the rat es will increase our borrowing cost. But our overseas book also has a flexibility of ramping up and ramping down. So, we will just take a call on the basis of the rate movement there. And as far as the unsecured loan, more than 95% of the total Perso nal loan portfolio has been extended to salary package customers. The credit card industry has continued to witness some stress as evidenced by elevated delinquency level. This trend is mirrored in the portfolio of SBI cards as well. So, SBI card, sources above 50% of its customers from open market and the rest from SBI. And as far as the MFI business, I think, we also mentioned in the press meet that our MFI portfolio is just about ■ 10,000 - ■ 11,000 crores. In the overall picture, it does not really add up to anything. And also, the book is behaving well. We don't see any untoward incidents happening in the MFI book.

- This question is from Demant Shah : Plans for monetizing your stake in YES Bank.

As of now, there is no such plan. We will deliberate at an opportune time.

- Aditya Kumar. What are bank’s initiative and efforts to increase market share?

I mentioned market share initiatives both on the deposits and the credit. Focus on adopting the region -specific strategies. I mentioned, the current account s, we have identified 100 potential growth centres for current account s and savings accounts and focusing on them. And also, we have identified the branches which have shown negative growth trends and focus on them. The granular manner of focusing on the branch as

well as even up to the individual officer level is helping us to mobilize the deposits. The targeting negative growth branches specifically by mentioning, you know, through the senior officials and mentoring them.

- CG Philip ,

Renaissance : Reason for jump in SMA -1 book sequentially.

That I have explained. We are seeing good traction in deposit s; do we expect this to continue? Hopefully, I think we'll continue. I think a lot of effort is going into deposit mobilization. We have galvanized our branch network and also some of these initiatives and premier banking, I think, are likely to help us to c ontinue the momentum.

- Kaitav Shah, Anand Rathi : Three questions. Loan growth outlook in context of slower economic growth.

I think we already have discussed enough on the loan growth.

- What is exposure to MFI and do we have it from the same?

I explained, again, earlier.

- Any guidance on slippages and credit costs?

Broad guidance on the credit costs we have given that, I think, 50 bps and that slippages hopefully will be contained. For Q2FY25, the slippages ratio stands at 0.51 % and credit cost at 0.38%. We believe that slippage ratio and credit cost to maintain below 60 b ps and 40 bps, respectively.

- This is Ranjit RP : Industry figures are now reporting deposit growth rate outpacing advance growth rate .

I think Ma hrukh has already asked this question. SBI, the trend is reversed, what measures are being taken for the convergence of deposit growth? As I said, our effort is to cover the incremental credit growth with the incremental deposits. That is what we will be focusing on.

- This is Akshat Agarwal, SMFS Limited : Wanted to check what is driving higher yield s and domestic advance s this quarter? As in Page 16 of presentation with cumulative domestic yield inching up 4 basis points per quarter, is it movement in higher yielding business mix or MCLR increase or some other repricing?

I think it's a combination. I think on the corporate book, we are trying to negotiate harder on the pricing. Some of the MCLR increase also has aided us in terms of gaining the

yield. SME advances have grown by 17.36% as against domestic advances, which is also resulting in the yield pickup.

- Mr. Pawan Kumar - General Manager (Performance, Planning and Review), State Bank of India

I trust all the questions have been addressed. We will be happy to respond to other questions in offline mode.

Let me end the evening with thanking the Chairman sir, the top management team, the analysts , ladies and gentlemen . We thank you all for taking time out of your schedule and joining us for this event. To round off this evening, we request you all present here to join us for high tea, which is arranged just outside this hall. Thank you. Thank you so much.

- Mr. C.S. Setty – Chairman, State Bank of India

Thank you, everyone.

END OF TRANSCRIPT

Call: Feb 2025

CC/S&B/AND/202 4-25/871 13.02.2025

Madam / Sir,

Disclosure under Regulation 30 of SEBI (LODR) Regulations, 2015
Transcript of Analyst Meet

Pursuant to Regulation 30 read with Para A Part A of Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 , we submit the transcript of the Q 3-FY25 post results Analyst Meet held on 06.02.2025 .

Yours faithfully,

(Aruna N Dak)
DGM (Compliance & Company Secretary)
Encl: A/a

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Q3FY25
ANALYST MEET
TRANSCRIPT
06.02.2025

MANAGEMENT : MR. C S SETTY
CHAIRMAN , STATE BANK OF INDIA

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MANAGING DIRECTOR (CORPORATE BANKING AND SUBSIDIARIES)

MR. VINAY M TONSE
MANAGING DIRECTOR (RETAIL BUSINESS & OPERATIONS)

MR. RANA ASHUTOSH KUMAR SINGH
MANAGING DIRECTOR (RISK, COMPLIANCE AND STRESSED ASSETS RESOLUTION GROUP)

MR. RAMA MOHAN RAO AMARA
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MRS. SALONI NARAYAN
DEPUTY MANAGING DIRECTOR (FINANCE)

MR. A RAVI SHANKAR
CHIEF GENERAL MANAGER (FINANC IAL CONTROL)

MR. PAWAN KUMAR
GENERAL MANAGER (PERFORMANCE , PLANNING & REVIEW)

– Mr. Pawan Kumar - General Manager (Performance, Planning and Review), State Bank of India

Good evening, ladies and gentlemen. I am Pawan Kumar, General Manager, Performance Planning and Review Department of the bank. On behalf of the State Bank of India, I'm delighted to welcome the analysts, investors, colleagues, and everyone present here today on the occasion of the declaration of the Q3FY'25 results of the bank. I also extend a very warm welcome to al l the people who are a ccessing the event through our live webcast. We have with us on the stage our Chairman Sir, Shri C.S. Shetty at the center . Our Managing Director, Corporate Banking and Subsidiaries, Shri Ashwini Kumar Tiwari . Our Managing Director, Retail Business and Operations, Shri Vinay M Tonse . Our Managing Director, Risk Compliance and SARG , Shri Rana Ashutosh Kumar Singh . Our Managing Director, International Banking Global Markets and Technology, Shri Ram Mohan Rao Amara . Our Deputy Managing Director , Finance, Smt. Saloni Narayan . Our Deputy Managing Directors heading various verticals and Managing Directors of our subsidiaries are seated in the front rows of this hall. We are also joined by Chief General Managers of different verticals, and business groups. To carry forward the proceedings, I request our Chairman Sir, to give a brief summary of the Bank's Q3FY25 performance and the strategic initiatives undertaken. We shall thereafter straightaway go to a Q & A session. However, before I hand it over to the Chairman Sir, I would like to read out the safe harbor statement.
Certain statements in today's presentation may be forward -looking statements. These statements are based on management's current expectations and are subject to uncertainty and changes in circumstances. Actual outcomes may differ materially from those included in these statements due to a variety of factors. Thank you. Now, I would request Chairman Sir, to make his opening remarks. Chairman Sir, please.
– Mr. C S Setty – Chairman, State Bank of India

Thank you, Pawan! Good evening, ladies and gentlemen. Thank you for taking the time to join this Analyst Meet today post announcement of the Q3FY25 results of the Bank. The results for the third quarter of FY25 highlight continuity, consistency , and SBI's significant long -term strengths.
At the outset, I would like to thank all our stakeholders for their support and for helping us in creating sustainable value not only for the Bank but also for the economy as a whole. Over the years, SBI has remained focused on strengthening the key components that contribute to this sustainable value. We have prioritized our liability franchise, refined our processes, continued to improve our underwriting standards , and aim to deliver value to all stakeholders while positioning ourselves as a reliable fina ncial services brand. I will first start with a brief description of the present global and domestic economic scenario and then discuss Banks's performance.
In 2025, the global economy is being driven by a strong US economy, offsetting the weak Euro area and China. As per its latest assessment, the IMF projects global growth at 3.3% both in 2025 and 2026, below the historical average of 3.7%. Global inflation has continued to soften and is expected to approach inflation targets for most of the central banks albeit with different speed s across geographies. However, on the downside, the impact of trade wars on global growth and in turn on inflation remains uncert ain at this stage. While the new US administration’s tariff decision is so far confined to North America and to some extent to China, the impression of full -scale tariff across all countries has so far not materialized.

At the domestic level, India’s economic growth is poised to rebound as domestic demand regains strength post the budget announcements even as global uncertainties remain. CPI inflation has also eased to a four -month low of 5.2% in December 2024 and will co ntinue to decline as per forecast. As per the latest data, bank credit grew YoY by 11.5% and deposits YoY by 10.8%. Coming to SBI, the results for the third quarter of FY25 demonstrate the Bank's ability to operate profitably at scale, due to our substanti al long -term strengths. These advantages stem from our institutionalized framework, which is guided by structured processes and a commitment to fairness for all stakeholders. The net profit for the quarter was Rs. 16,891 crores, up 84% YoY. At the end of Q 3FY25 , our whole bank credit growth was 13.49% YoY with domestic credit growth at 14.06%, while the CD ratio (domestic) was 68.94%.

Importantly we maintained stellar asset quality with a slippage ratio of 0.39%, retail personal slippage ratio at 0.32% , and credit cost at 0.24%. PCR maintained at a robust level at 74.66%.

The total deposits have grown by 9.81% YoY to Rs. 52.29 trillion, I think this is the first time we crossed 52 trillion. Term Deposits have grown by 13.47% YoY. Our Current Account deposits have grown by 14.22% YoY and CASA have grown by 4.46% YoY with a CASA ratio of 39.20%. Importantly, the current account growth has continued to remain strong for the Bank over the last two quarters, despite a competitive market environment.

I am glad to share that the credit growth continues to be robust across all segments, with all the major segments registering double -digit growth. Our domestic advances have grown by 14.06% YoY driven by more than 18% growth in SME, 15% in Agri, 1 5% in Corporate and 11.6 % in Retail personal segments. Our Foreign Offices advances have grown by 10.35% YoY. The domestic credit deposit ratio was at a healthy 68.94% at the end of Q3FY25, indicating sufficient headroom to address future growth requirements of the economy.

The Bank continues to demonstrate industry -leading asset quality at this scale The Slippage Ratio for Q3FY25 was 0.39% while the credit cost, as I mentioned earlier, stood at 0.24%. The Net NPA ratio improved by 11 bps YOY and stands at 0.53%. We have a well-provided NPA book with PCR at 75%. The asset quality of the Bank has continued to remain strong over the last five years, which demonstrates the quality of our loan portfolio, the robustness of our underwriting processes , and the leadership of the Bank across business lines.

Our Capital Adequacy Ratio is at 13.03%, without considering plough back of profits, and is well above the regulatory requirement. If we include the profits for 9 months, our CAR would be at 14.50%, while the CET -1 ratio will be 10.99%. Based on the curren t profitability and growth profile of the Bank, we believe we have sufficient headroom to take care of business growth requirements.

I am glad to share the progress we have made in digital banking, which is an ongoing journey. More than 8.5 crore customers have been registered on YONO with 64% of our regular savings bank accounts opened through YONO in Q3FY25.

Our subsidiaries are consistently performing well and continue to create significant value for all the stakeholders.

We will continue to nurture these subsidiaries and maintain leadership positions in the respective businesses .

We are glad to advise that the Bank continues to report RoA and RoE greater than 1% and 20% respectively at the end of 9M FY25. A key point regarding these metrics is our operation at a substantial scale, I think in the last quarter also we did mention this. We reported total assets worth Rs. 66.21 lac crores total advances at Rs. 40.68 lac crores and total deposits amounting to Rs. 52.29 lac crores. When we mention scale, it indicates the Bank's extensive investments in workforce, training, procedures, and compliance to maintain this level. Sustaining our growth rates implies that our Bank's infrastru cture and personnel are e quipped to support continued growth at this magnitude .SBI continues to be the leader in all the risk-adjusted profitable lending and liability pools in India. Consequently, SBI's RoA, above 1%, is derived from the scalable fundamentals of banking - a stable NIM, controlled operating expenses, and maintaining credit quality.

While we are happy about the outcomes in Q3FY25, we are also mindful of areas for further improvement. On the liability side, we continue to focus on increasing our share in the current account, while maintaining our leadership position in savings deposits by further strengthening our customer outreach and branch network. Although the Bank's cost base is substantial, it highlights our commitment to compliance and establishment expenses. The Bank's RoE profile is currently higher than its credit growth, impl ying CET -1 accrual in the future. From this strong position, our goal is to consistently achieve an RoE over 15% through the business cycles.

Wrapping up my initial comments, I express my gratitude for your ongoing support to the Bank. As the Bank advances its objectives, it also plays a role in driving the progress and economic development of the surrounding ecosystem. We are dedicated to upholding your confidence in us by deliv ering superior, sustainable returns over the long run. My team and I are now open to taking your questions . Thank you.

– Mr. Pawan Kumar - General Manager (Performance, Planning and Review), State Bank of India

Thank you, Chairman Sir, for the presentation. We now invite questions from the audience. For the benefit of all, we request you to kindly mention your name and company before asking the questions. To accommodate all the questions, we request you to restrict your questions to maximum of two at a time. Also, kindly restrict your question to the financial results only , and no questions be asked about specific accounts, please. In case you have additional questions, the same can be asked at the end. We now proceed with the Q&A ses sion.

- Mr. Ashok Ajmera – Chairman, Ajcon Global

Sir, compliments to you for the overall performance of the bank on the many of these factors and most of it is as per the guidance given by you. We are very comfortable compared to some of the other banks on the business growth also as well as the profitability. Having said that I have got a few basic points, our operating profit has tremendously I mean has gone down substantially from 29,294 crore in the last quarter to 23,551 crore which I believe is mainly because of the loss on trading or revaluation of investments. 4000 forex loss together with about 4,610 crore. Equally, we also tried to set off some of this reduction in the profit by lesser provision and taking advantage of some of the buffer provision also using it here of about 1,100 crore. So going forward, now we have one more quarter left in this year FY25.
What is your view and the plans and what can you say that yes, are we going to arrive at again

the same kind of 29 – 30 thousand of operating profit in the rema

ining one quarter? Secondly,
my second question is on the thought that we have done better than some of the other banks which are much smaller than our size. I mean, our bank is going to be s oon, when we meet the next time, of 1 lakh lakh crore bank, business bank. So yes, hopefully, we'll see that immediately in the next quarter only. But then still, I mean, if you look at the say even credit figures, our growth in the nine months is only 6.73% sorry, credit is 7.97% and deposit is 6.73%.
So that gap between the targeted numbers which are given of whatever 14% - 15% growth or even moderate 14% also, Are we in a position to do it in the remaining two and half months of the current quarter? How are we placed on that looking at our pipeline in the further sanctions, I mean, loans which are already sanctioned? And some of the proposals which are in the pipeline are we in a position to do it in March itself, February - March to achieve the targeted numbers ? Yeah. This is the first.

– Mr. C S Setty – Chairman, State Bank of India

Thank you . I think two, three questions are what you raised. Partly, I will answer, and I'll ask Ashwini to supplement me. One is a hundred lakh crore business. You said 1 lakh lakh crores. I would have been happy. Hundred lakh lakh crores.
– Mr. Ashok Ajmera – Chairman, Ajcon Global
No. No.
– Mr. C S Setty – Chairman, State Bank of India

No. I'm just in the lighter vein; I think this bank has the potential to reach that number also Ajmera sahab as I've already mentioned. Yeah, but I think we will now restrict it to hundred lakh crores. I think we're eminently poised to reach that level.
This is what the scale we keep talking about. But at the outset, before I answer your specific questions, I would like to, you know, convey to you that our guidance in terms of the credit growth of 14% to 16% stands good. We will explain to you where and h ow confident we are about it. Partly I will explain and partly, my other MDs will explain. That is about the credit growth and the deposit side we had originally given 11% to 12% guidance but last quarter we modified that guidance you know, going by what i s happening in the market.
We said that we would be happy if we reached 10%. I think we are almost there. And, as I mentioned, 52 lakh crores are something that we have crossed. So, we still are, you know, sticking to the guidance of credit growth and deposit growth of 10%. And this is eminently possible in the current quarter, also. And the rates which you mentioned are basically YTD rates, but the YoY rates, 14% to 10% will, 14% to 16%,10% will hold good. Operating profit, yes, I think it was impacted QoQ. YoY, I think we are okay. And, on a sequential basis, we got impacted by the MTM losses. And, it is also important to understand that the cost of resources has gone up.

We are trying to see how we moderate this cost of resources, but the behavioral shift of the depositors moving from the savings bank to fixed deposit. As I mentioned, our fixed deposit growth rate is more than 14%. So term deposits growing in the book, obviously, you know, alter the C ASA ratio and also, you know, push the cost up. But we have a very strong franchise and the deposits when people want to move from savings to fixed deposits. And at the branch level, we would encourage the customer to get that benefit.

At the same time, now we have increased our customer outreach in terms of opening high-quality savings bank accounts, particularly focusing on salary accounts. In the last nine months, we have acquired 9.5 lakh salary customer accounts, which means that, you know, the C ASA ratio would come back to 40%. That is our target, which would also bring down the cost of resources. And as far as visibility of corporate credit growth, I would ask, you know, Ashwini to supplement.

– Mr. Ashwini Kumar Tewari – Ma

naging Director (Corporate Banking &
Subsidiaries) , State Bank of India

So while the growth of corporate credit, YOY is quite good as you noticed, but the overall growth in terms of year to date has been, less.
But we have a very healthy pipeline, almost 4,83,000 crores consisting of 2,22,000 crores, which is sanctioned, almost 800 proposals, and 2,61,000 crores under process. And we hope that substantial part of this will get disbursed. Last year also, last quarter saw a lot of growth, much more than this year. And, the better part is that this year, we have been disbursing through the year. So, we've been able to get the full interest in come.
So, hopefully, the target which we had internally, of corporate credit, which is upwards of 10% - 12%, we'll be able to achieve that.

– Mr. Vinay M Tonse – Managing Director (Retail Business and Operations) , State Bank of India

Good evening, everyone. That covers the corporate part. But on the retail part, if you look at our PER, which includes REHBU, we have been growing fairly strong as actually, I must say that we are on track. Whatever we had in mind is getting, and I do not see any reason why we should, actually go down in this, in the next coming, two months also. We have seen fairly good growth. Agriculture has been around 15 odd percent YoY. Even QoQ is good. SME is around almost touching 19% YoY. Good. REHBU is also in the vicinity of 14 to 15.
I think we are on track.

- Mr. Ashok Ajmera – Chairman, Ajcon Global

Sir, when we are talking about SME, now recently in the budget, both the investment limit and turnover limit ha ve been either two and a half times and two times. So now there is a lot of opportunity in the MSME sector will increase. Because some of the mid-corps , I mean, they will come under MSME and will get the benefit of MSME. At the same time, non -collateral CGTMSE has also increased from two to five crore, now five to 10 crore . Yes. So, there you see some major growth coming in?

– Mr. Vinay M Tonse – Managing Director (Retail Business and Operations)

What would actually happen is rather than new growth coming in, that may also happen. But then there would be a reclassification of some of what we already have as exposures. Some of the larger ones may get covered under this, but then definitely, this wil l benefit not only our

clients but us also in a way in case we get the priority sector benefit out of this, that will be good for us.

– Mr. Ashwini Kumar Tewari – Managing Director (Corporate Banking &
Subsidiaries)

But this is likely next year, not so much in the last four months.

– Mr. Vinay M Tonse – Managing Director (Retail Business and Operations)

Yeah. It starts in FY26 onwards.

– Mr. C S Setty – Chairman, State Bank of India

But on the PSL front, what Vinay has mentioned, one is, the micro -enterprises definition is also modified. That means, you know, there is a subsector of microcredit that needs to be achieved and partly will be taken from there in our PSL category. And, as you mentioned, some of the mid corporations will move to medium enterprises, which have to be PSL.
But there are several other MSME levers which have been provided. One is the classification. The other is the CGTMSE cover increased. Export -oriented units investing 20 crores also will be covered by the CGTMSE guarantee. So, I think, this 18% growth rate and, just, I'll take two minutes on the SME front.
We have completely revamped the way the SME funding is done in the bank. We have introduced cash flow -based lending through our business rule engine today. We have extensively used our database, both internal as well as external, and, used the GST data, income tax data, balance sheet data, and the account data, and created this rule engine. Today, we are able to give a disbursement if it is guaranteed by CGTMSE in

three days to four days. I
think that turnaround time improvement has also contributed to imp roved performance on the SME.
This is what I want to do.
- Mr. Ashok Ajmera – Chairman, Ajcon Global

Sir, a small question on the SMA numbers. If you see last time SMA1 had increased to 11,891 crore and you said that at that time many of which have already recovered. So the SMA1 number is okay at 2,128 crore. I mean, it has come down substantially but the SMA2 numbers have gone up to 7,424 crore from 1,840 crore. Is it that some of those SMA1 have come to SMA2 ? Because though the overall figure is the same, SMA2 has increased substantially now.
– Mr. C S Setty – Chairman, State Bank of India

No. I'll answer that. SMA2, there was only one major account, which became SMA2 on 31st December. Has it been fully rectified? And if you adjust that number, it is coming to 3,700 or something, SMA2 numbers. And this account has been regularized, you know, in fully in the sense that, you know, proactively they paid the advance payment also going forward. So the risk of that account again falling into the SMA2 category is not there. So that way I think SMA2 is not a big concern at all.

- Mr. Ashok Ajmera – Chairman, Ajcon Global

Thank you very much, Sir. I'll come back again in the second round. Permit on the international account I wanted to ask something but will ask later. Thank you, Sir.

- Mr. Akshay – Autonomous

Hi Sir, this is Akshay from Autonomous. So, Sir, I have two questions. One on your margins. So, your margins have dropped by around 13 b ps sequentially. So , if you can, explain what is driving, these 13 bps. So your advances yield on advances have dropped by around 8 to 10 basis points. So, what's driving this? And on the cost of deposits front, on a calculated basis, it seems to have increased by around 7 - 8 bps, and around 20 bps in the last two quarters. So, while you have increased interest rates on the sh orter tenure, buckets over the last few quarters. So , like, where do you see the cost of deposits stabilizing going ahead?

– Mr. C S Setty – Chairman, State Bank of India

The yield on advances has not deteriorated . We held on to the yield on advances. If you see, I think, it is YoY, marginally, a basis point increase. So, we held on to the yield on advances. The cost of resources definitely has gone up but majorly contributed to the cost of deposits. And, the cost of deposits, YoY has increased as well as sequentially marginally increased. The margin compression was a combination of this cost of resources going up and also the treasury gains not being there as much as they were t here in the Q2. But our core focus on qualitative advances growth continues to be there. So, our guidance is that the NIM would be higher than

3%, and the ROE ROA will be 1% and more than 15% is the guidance we are sticking to.
So, I don't think, on the yield on advances, we are not compromising on that. In fact, in many cases, we are letting go of some of the loans where we feel that, you know, pricing is not acceptable. So let me tell you that. And, the SMEs generally are more profitable than the corporate advances, and our growth rate in SME s is likely to give some yield pick up on the average yield on advances.

- Mr. Akshay – Autonomous

Sir, your borrowings have increased sharply, QoQ. Is it refinance?

– Mr. C S Setty – Chairman, State Bank of India

The borrowings are basically market borrowings, and, that is, the liquidity adjustments, essentially, and the time mismatch of the cash flows. Normally, if you see, there is a huge amount of inflows into the banking system, particularly SBI, because the sa lary accounts with us have a large number in the last two days of the month and first two, three days of the month. And then you have a greater outflow, starting from the fifteenth of the mon

th because of the
advanced payment of taxes, GST payments.
So, these cash flow mismatches will lead to, you know, some market borrowing. And also, you see the investments also happening at the same time. So, this is basically a treasury function.

- Mr. Akshay – Autonomous

And, lastly, on asset quality. So, your credit costs have been abnormally low in the range of 0.2,0.3, 0.4%, pick a number. When do you see them normalizing upwards like other banks are seeing? And specifically on Xpress credits, so your Xpress credit, GNP S have increased from 0.77% on March 24 to around 1.11% as of today. So, what's driving that?
– Mr. C S Setty – Chairman, State Bank of India

So first, Xpress credit, I think, has a denominator effect, because the growth rate has come down in the Xpress credit. But there are no unusual, quality issues there. So, we are hopeful that this Xpress credit growth rate, which is now in the single digit s, will come back to double digits going forward, including this quarter we are expecting. So, the gross NPA percentage will definitely come down. There's no great concern in terms of the asset quality. The concern is in terms of, you know, we have moved c ompletely to a digital mode of lending. I think in the last quarter also, we did mention that we want to make this process more efficient in terms of the Xpress credit loan because it is a very substantial portfolio in retail personal loans other than home loans now. So that has now stabilized, and we hope to get the benefit of that stabilization of the digitalization that has happened in this segment. And there is definitely an impact of overall sentiment of the unsecured personal loan s in the system. We are no exception, but we have the ability to come back to double -digit growth hopefully in the current quarter. If not, in the current quarter, definitely in the next quarter. And that is where you see the uptake in the GNPA, but it's no t a great concern for us.
- Ms. Saloni Narayan - Deputy Managing Director (Finance), State Bank of India

The actual increase in terms of numbers is just 408 crores.

– Mr. C S Setty – Chairman, State Bank of India
Yeah.
- Mr. Akshay – Autonomous

And on, credit cost? Overall bank credit cost?

– Mr. C S Setty – Chairman, State Bank of India

Bank credit cost, yes. I think we are all riding a benevolent asset cycle now. Asset quality cycle. Hopefully, I think I'm a little confident that this asset quality will be maintained because we've focused heavily on process improvement. And as I said, some of the credit we do not underwrite. If you see one, this is not the first time we are talking about asset quality being good. In the last five years, we have consisten tly shown an improvement in asset quality. If you ask me if it is bottomed out, I thin k there's only so much we can bring down when you are operating at, 40 lakh crore advances level. But I feel that our guidance in credit cost of 50 bp s holds good through the cycles.

- Mr. Akshay – Autonomous

Understood. And, Sir, lastly, on other provisions, there is a negative number of 800 -900 crores. So, what's that?

– Mr. C S Setty – Chairman, State Bank of India

Which one?

- Mr. Akshay – Autonomous

Other provisions.

– Mr. C S Setty – Chairman, State Bank of India

Yes. Saloni.

- Ms. Saloni Narayan - Deputy Managing Director (Finance), State Bank of India

Other provisions, I think, just one second, sir.

– Mr. C S Setty – Chairman, State Bank of India

They will give you separate.

- Ms. Saloni Narayan - Deputy Managing Director (Finance), State Bank of India

Just one minute. I think that's one account if I remember.
– Mr. C S Setty – Chairman, State Bank of India

I think then I just want to give you a standard asset provision that w

as made, and it was not
required to be made now. So that has been reversed. But we'll give you the details later.
- Ms. Mahrukh Adajania – Executive Director (Equity Research), Nuvama

Sir, I had a couple of questions. Firstly, on your NIM outlook, you did give that, you know, you'll maintain NIMs at three. Now if rates are cut, of course, everyone's expecting a shallow rate cycle, but rate cut cycle. But if rates are cut for every 25 or, sa y, 50 bps rate cut, any sensitivity that you could give on your margins, say, on a whole year basis?
That's my first question. And then, I have a question on this forex income. It's a little low this time. Obviously, your fee income is very good, but your forex income is low.
So, is there any reclassification from forex to fees?

– Mr. C S Setty – Chairman, State Bank of India

No. No. On the forex, I think there's MTM losses. Do you mean the growth rate in the forex?

- Ms. Mahrukh Adajania – Executive Director (Equity Research), Nuvama

Yeah, the absolute amount of Forex income.
– Mr. C S Setty – Chairman, State Bank of India

Yes, Forex income is on account of MTM. Right?

- Mr. Rama Mohan Rao Amara - Managing Director (IB, Global Markets and

Technology), State Bank of India

Can I submit, Sir? Sir referred to the MTM losses in the Forex exposures. I think in The US Dollar reference rates, whe re the US interest rates are modified MIBOR, we have experienced a kind of adverse movement as compared to the kind of positions that we have in derivatives that has resulted in a mark to market kind of losses in Q3 as compared to Q2. But we have also seen w ith the corrections in the rates, we have seen again recouping of those losses as well. So, these are more like a transitory. But, of course, we are hopeful that this trend will continue so that the contribution of the treasury will be better in Q4.

- Ms. Mahrukh Adajania – Executive Director (Equity Research), Nuvama

Got it. And Sir, on the NIM thing?

– Mr. C S Setty – Chairman, State Bank of India

On the NIM, see, I think if it is a shallow rate cut as you are saying, Mahrukh, I don't think we will have a major impact because the repo link rates, loans are low in our book. I think it's about 28%. And, if it is a 25 bps rate cut, I think we will not have more than 2 -3 bps. And even assuming that, you know, some transmission will happen through the deposits also, which means that, you know, the impact on NIM is unlikely to be significant. So if there is any higher rate cut, I think, we may have to loo k at how we manage on the resources side. Yeah.

- Ms. Mahrukh Adajania – Executive Director (Equity Research), Nuvama

Got it. And sir on Opex, would you like to call out anything in terms of contribution to employees, because actuarial provisions have gone up, but that's just an interest rate function?

– Mr. C S Setty – Chairman, State Bank of India

Yes. It is. There's nothing significant on that.
- Ms. Mahrukh Adajania – Executive Director (Equity Research), Nuvama

And, Sir, just one last question on life insurance. So, Madam FM had, you know, raised some concerns at your conclave only about the way life insurance is sold. So, is your bancassurance is impacted by that, or you are already compliant and there will be no impact from that? This

time, of course, it's been good, the cross -sell revenues. But just what do you think on the outlook on bank assurance given the comments that FM has made recently?

– Mr. C S Setty – Chairman, State Bank of India

I think the emphasis is more on right selling. And I think we have done quite a lot of work in terms of ensuring that the products which are sold from banca channels, are, you know, appropriately sold. The measures include both at our level as well as the SBI life level. For in

stance, life insurance companies are not required to have an internal ombudsman, but we have constituted an internal ombudsman in SBI Life to look at any of such complaints or cancellations which are happening to go deeper into it. An d the free lookup period and, you know, cancellations, All these things are, looked into very seriously to see that are there any force selling or mis selling happening.
And, some of these complaints which come, our level of number of complaints is very limited in SBI, on the SBI life. And those complaints are also examined by the internal Ombudsman in SBI. So we put a lot of checks and balances to ensure that. And another thing I want to tell you, I think I must have told earlier also, every product, whether it is life insurance or any other JV product which is sold from SBI, that product ap propriateness is approved by none other than MD in the bank. No product can be sold at the counters of SBI without approval of the MD who's responsible for the retail banking.
So I think we are making a lot of efforts to see that the right selling happens there. And, obviously, the concern is in terms of, you know, how do we increase the right selling part.
– Mr. Ashwini Kumar Tewari – Managing Director (Corporate Banking & Subsidiaries), State Bank of India

I'll just add that the complaint numbers as given by IRDA for us are the lowest in the industry.

So therefore, while concerns are noted, but at the same time, I think we are doing what we can, both the company and us. And I don't see we have too much of a challenge in that sense.
- Ms. Mahrukh Adajania – Executive Director (Equity Research), Nuvama

Okay. Got it, sir. Just one last question. Basically, on loan growth, so you've given a corporate sanctions and dispersal pipeline. Would you have a very rough idea on how much of it is Capex and how much of it is general working capital?
– Mr. C S Setty – Chairman, State Bank of India

I think we can put fifty -fifty. And, the Capex, is significant. I think the most pipeline, what he has spoken is essentially coming from Capex.

- Ms. Mahrukh Adajania – Executive Director (Equity Research), Nuvama

The entire pipeline or most of the pipeline?
– Mr. C S Setty – Chairman, State Bank of India

Most of the pipeline is coming from the cap.

- Ms. Mahrukh Adajania – Executive Director (Equity Research), Nuvama

Okay, Sir. Thank you.

- Mr. Manoj Alimchandani, Participant

Yeah, Chairman, excellent performance on all parameters when we look at whether ROE or ROA or cost to income. Last quarter, we discussed about retail credit. Corporate credit, you have performed excellent. And, overall credit also near the lower end of the guidance, 14%. Retail, we have seen that there's a slight downtick 11.6%, mainly due to maybe lower growth in auto loans of 10%. Now there were certain reasons for that. Would like to know the strategy because, apparently, this Q4 should be the best quart er, for the auto loans where we can make up the growth in retail. Gold, you performed excellent. What is your strategy for that? And particularly, looking at, would like to have your observations on the multiplier of the post budget strategic, liquidity pu sh given by the Finance Minister. What would be the impact on demand growth and retail? So once retail credit goes up, our NIMs automatically can improve substantially and also the profitability. So this is one. The second observation was, our valuations, when you look at, your slides with the consolidated financials, 22% plus operating profit growth, excellent performance from our AMC SBI Caps and General. It actually needs to be highlighted much more. It is there in the slides. When you look at it, we hav e never seen any bank in, Q3 give such reported numbers in terms of all parameters. So your observations particularly on the demand multiplier, ho

w you see it kicking off in, overall credit demand whether
retail or corporate and also the retail lending pus h where, there was a slight uptick, a downtick in the overall credit growth of 11.67%. And what is the potential of going to 15 to 20% or home loans are on track, and there's a further push also on the budget for the housing sector in a big way. And with this, I'll wish you all the best. I'm Manoj Alimchandani.

– Mr. C S Setty – Chairman, State Bank of India

So let me just, disintegrate that and try to answer the individual questions. I think the first thing what you mentioned in terms of budget proposals definitely are value accretive to the banking industry, particularly for State Bank of India because much of these segments which are getting benefited out of, the budget announcement both on the tax cuts as well as on the, demand push, particularly on the SME and agriculture side, there are strong points. So we would definitely get benefit from that. And on t he savings potential, if we did, it is estimated that 20% of the deposits are held by the senior citizens. And if a TDS benefit is given to them, we hope that most of their savings would come to the banking system.
And we hold a majority of that market share in the senior citizen category. The second point which you mentioned in terms of consumption, our economic research department estimates that the consumption multiplier is three times. So if there is a saving su rplus because of the tax rebates or exemption of, tax up to certain income level, so definitely that would be having a consumption multiplier of three times, if any savings. A part of savings probably would go to consumption and some part will come to bank deposits. We'll get benefited out of that.

And a part, essentially, will go to the investment because the behaviour of the customers has changed. So, that is on the budget proposals both in terms of the credit side. The consumption demand is going to spur the personal loan segment. And our personal loan segment, today is at the lowest level, 2.84 credi t growth rate because as I mentioned, we wanted to make systemic improvements which we have done. And the second thing is that the overall system impact on the unsecured personal loans also had affected us.

But, this, consumption demand is definitely going to result in growth in the Xpress credit. That is our unsecured personal loans. Auto loans, I beg to differ from you. I think we have done extremely well. 10% YoY growth rate.

And, today, the 1.24 lakh loan portfolio is the market leadership in auto loans. And Q3 has been a phenomenally good quarter. It normally happens that October because of the marriage festivals and all, has been a good quarter. I only hope that it gets repe ated in the Q4 also because, as you said, Q4 is generally a good quarter, but we've had an excellent Q3 in the auto loans. Hopefully, we'll maintain that growth rate.

Home loans, yes, 14 to 15%, is a creditable one. And as we speak, we have reached a home loan portfolio of 8 trillion rupees. I think that is the largest home loan portfolio in the market. And, with the best asset quality, 76 bps is our NPA percentage here . And, which means that, you know, the segment is going to witness further growth, when the whole retail loans is based on what is called EMI to NMI ratio.

As the net monthly income grows, I think their ability to support higher EMI is there. And hopefully, the people borrow more, but more meaningfully. That is what we are trying to do. I think broadly I answered your questions, right?

- Mr. Manoj Alimchandani, Participant

Right. Thank you. Subsidiaries and intrinsic value. Yeah.

– Mr. C S Setty – Chairman, State Bank of India

Yeah. I think, most of the time, you have to tell us why we are not getting the value.

- Mr. Manoj Alimchandani, Participant

That's why I shared s

ome other ones. Yeah. Thank you.

– Mr. C S Setty – Chairman, State Bank of India

Yeah. Thank you.

– Mr. Pawan Kumar - General Manager (Performance, Planning and Review), State Bank of India

Thank you. We can move to the next, please.

– Mr. Piran Engineer – Investment Analyst, CLSA India Private Limited

Okay. If there's no one, can I ask one question? Just wanted to understand, does each department have its own P&L in the sense that when you're doing your corporate pricing, you'll be pricing in some credit costs. Now they're actually much lower than what you might have priced in. Would you use those benefits to maybe subsidize retail loans? Or corporate P&L is separate, retail is separate.

– Mr. C S Setty – Chairman, State Bank of India

I don't call it P&L, but we have certain broad contours or guardrails that, you know, under -pricing does not happen across the product segments. In corporate credit, we have what is called risk adjusted return on capital and that's a benchmark 20%. And they have to really justify if they are not getting 20% on any of the exposure. On a portfolio basis, we are able to maintain that, 20% risk adjusted return on capital on the corporate side. As far as, retail is concerned, it's a little more complicated because you can't look at the pricing on a stand alone basis. The home

loan customer brings me a C ASA. He will borrow, you know, in other products.
So we look at what is the product per consumer and whether it is creating value. While some of these retail products, some of them are high ROE products, like home loans, and some of them are high ROA products, like Xpress credit. So we need to balance the p ortfolio in terms of, you know, what is our best outcome. And, in case of first gold loan for instance is a high ROE because it had no capital allocation at all. So, while the product level P&L is not there, businesses always have a business mix at the ret ail side, corporate side that what is that risk adjusted return on capital they're looking at? In fact, we have risk adjusted return on capital for each product also. Yeah.
– Mr. Piran Engineer – Investment Analyst, CLSA India Private Limited

But what if you exceed that? Let's say corporate banking is making 25% RAROC, hypothetically. That extra 5%, would you invest in retail? That's my question.
– Mr. C S Setty – Chairman, State Bank of India

No, I think it's all a combination, but we are also trying to bring discipline among the business units by allocating what is called risk weighted assets. If they are exceeding that RWA, they have to take permission from one of the committees so that, you know, we have monitoring of the RWA allocation, and they have to justify why they are taking the RWA. And last time also, we made a presentation on return on risk weighted assets is something what we focus on the business unit level.

– Mr. Piran Engineer – Investment Analyst, CLSA India Private Limited

Fair enough. So, my second question is, just broadly for you all and PSU banks, have not really invested much in branch networks over the last 5 - 7 years. And over the last two years, you all have deployed excess liquidity to grow loans faster than deposi ts. Now LCRs are similar to private sector banks. Is there a case to be made that deposit growth for PSU banks can pick up to, let's say, 12 - 13% without a rate war?
– Mr. C S Setty – Chairman, State Bank of India

We are not getting into a rate war. I think, earlier also I said that we have a big franchise of deposits, and deposit mobilization for SBI is a franchise activity.
And, obviously, you know, customers expect to be compensated properly. And that is how the rates are aligned to the market. A lot of times people ask me when you have such a CD ratio, why do you want to mobilize deposits? I think it should be understood fr om t

hat context. So,
and, the branch network, you mentioned something about branch network.
I think today we have the largest branch network, but it is not stopping us to grow in terms of

the expansion. We have 500 to 600 branches every year to be opened, especially in areas where our presence is not there, particularly in the new colonies which are coming up, our new conglomerates, metro, agglomerations which are happening, but we don't ha ve the presence. We are coming up there. So our branch network has not stopped. And we are also, you know, enhancing the branch ability to service the customers, both in terms of, you know, wherever the potential is there, give additional staff there.
And also do use our, feet on street, outsource feet on street to strengthen their ability to service the customers. I think a lot of effort is going on in terms of customer outreach. Yeah.
– Mr. Piran Engineer – Investment Analyst, CLSA India Private Limited

Thank you so much.

– Mr. Vinay M Tonse – Managing Director (Retail Business and Operations), State Bank of India

I will supplement that. We already have reached a figure as of yesterday, 22,800 branches. That means in this, this financial year, we have opened 277 as of now. And the plan is to touch 400 for sure and maybe around 425 to 430. We do not want, to open hole in the wall sort of branches. So we take some time to get. All the surveys are done, potential has been appraised. Now the premises, and that's taking a little bit of time.
– Mr. Piran Engineer – Investment Analyst, CLSA India Private Limited

Okay. Thank you, sir.
– Mr. Pawan Kumar - General Manager (Performance, Planning and Review), State

Bank of India

Due to the paucity of time, we'll be able to take one more question followed by a few questions coming in through the online webcast, which will be addressed by the Chairman, Sir.
- Mr. Kunal Shah – Director, Citigroup Global Markets India Private Limited

Good evening, sir. So the question was particularly on MCLR. So last time we indicated that, there is some repricing which is still left of the MCLR loans. So how much are we done with? And you mentioned, like, there is still room to increase the MCLR if t here is a need to protect the margins. And we have seen that decline in margins coming through over the past, couple of quarters. So how much of repricing is left and any kind of a change in MCLR which we would look forward to? Definitely, there will be a rate cut, but still our stance on the overall MCLR rate.
– Mr. C S Setty – Chairman, State Bank of India

So 35 bps still there is a room for increasing the MCLR. But as you mentioned, if there's a rate cut optically, you know, we cannot increase the MCLR. We will definitely look at the competitive environment which is emerging. But I think the rate cut also w ould help us in terms of reducing the cost of resources. Particularly, you know, the mo vement of interest rates. If not immediately, there should be some monetary transmission happening going forward.
So the margins will stabilize, as I mentioned, 3% above. We still are sticking to that. And you asked something else also.

- Mr. Kunal Shah – Director, Citigroup Global Markets India Private Limited

So I said, like, MCLR repricing is done. Whatever, rate hike has been affected since, past six months. Are we done or this will be towards, like, post December.

- Ms. Saloni Narayan - Deputy Managing Director (Finance), State Bank of India

No, next quarter will be see the impact.

- Mr. Kunal Shah – Director, Citigroup Global Markets India Private Limited

Okay. So the repricing benefit will be reflected in the last quarter.
– Mr. C S Setty – Chairman, State Bank of India

Most of the repricing of loans happens on reset date. Reset dates are generally 6 months MCLR.

So that means, you know, every 6 months it gets. And also people come, there are 12 months resetting also in case of working capital limits when they come for re view. Yeah.

- Mr. Kunal Shah – Director, Citigroup Global Markets India Private Limited

Oh, got it. Thank you.

– Mr. C S Setty – Chairman, State Bank of India

So, I think we'll take a couple of questions quickly and then we'll go to the online questions.
- Mr. Sushil Choksey – Managing Director, Indus Equity

So, on the margins, I think we need more debate. Like particularly on the margins front, the QoQ sequential drop that we have seen, is it also to be seen from that there were lower interest on recovery during the current quarter or there was some penal int erest related impact which actually came through in the quarter or is it all explained by the higher cost of funds?
– Mr. C S Setty – Chairman, State Bank of India

It’s predominantly explained by the cost of resources.

- Mr. Sushil Choksey – Managing Director, Indus Equity

In that case, how do we see the next quarter's margin? Because the cost of funds is not going down anytime. And if basically there's a rate cut, obviously, at least on the 28% of the portfolio, we'll pass it on if there is a rate.

– Mr. C S Setty – Chairman, State Bank of India

So that 28% pass on will not really be impacting in a significant manner if it is a shallow rate cut. In terms of cost of resources, there is a conscious effort to increase the savings bank portfolio and increase the C ASA. And, probably the deposit mix will be undergoing change. We're making

a great effort in that direction. And, that is one way of bringing down the cost. You're right. I think, in terms of yield on advances, we are broadly maintaining this level. But we are also focusing on other income. See, if you see the margins also got im pacted because of the treasury losses, which we are not accounting for, you know, things will be better now. But as MD mentioned, some of those losses have been reversed in the current quarter. So the combination of, focus on the low cost deposits, come co mbination, backed by, you know, some treasury, reversals of, no losses. But more importantly, I think, we'll be focusing on if you see the just show the other income slide where I think every lever of other income other than the treasury gains. You are not showing there.
Right? Okay. So, yeah, I think it's in the book. Slide number slide number 17, if you see, every noninterest income lever has been utilized. We are going to focus on that, and Q4 generally is good in terms of the other income.
- Mr. Sushil Choksey – Managing Director, Indus Equity

So how will the treasury gains impact your margins? Like, is it possible for you to explain that?
– Mr. C S Setty – Chairman, State Bank of India

Yeah. Yeah. So, in terms of MTMs, you know, whatever we have booked in Q3, they are reversed. They're all in the FVTPL, HFT category. So they are all routed to the P&L only.

- Mr. Sushil Choksey – Managing Director, Indus Equity

No. No. I'm just talking about the margins. How is it basically ?
– Mr. C S Setty – Chairman, State Bank of India

No. Ultimately, if the P&L is not right. Net profit increases, So it will, I mean, in terms of NIMS, it will not. ROA definitely will improve.
- Mr. Sushil Choksey – Managing Director, Indus Equity

Yes. So second, my question is that on your Xpress credit. So there is a slowdown which basically has done. Is it all to do with the digital, shift that you're doing? Or is it that on the ground you are seeing some over leveraging concerns? Because a lot o f channel checks suggest that even in the government employees account, you know, in the Northern States and all, there is a lot of over leveraging which has happened. And that be the case, is that a conscious call to slow down a grow

th a little bit now, a ccelerate later on once these over leveraging concerns are out, the delinquency levels. Is it possible for you to share because you don't put that into the SMA 1 and 2 buckets? Any early signs of, you know, the SMA1 SMA2 pool actually going up into the ret ail segment?

– Mr. C S Setty – Chairman, State Bank of India

We are not seeing any significant lower leverage as we mentioned, you know.
At least in the, you know, information which is available, the over leverage is not seen. If you ask me, this slowdown is only an account of technology and digitalization. I mentioned that, you know, the overall softening of unsecured credit is also reflected in our books. But not definitely

in terms of the concerns on the over leverage of the customers. We might have taken some conscious decision that, if the whole system is not growing so fast, we didn't want to grow the way we were growing earlier, 30%, 33% CAGR is unlikely to return.
But we have the potential to make it double digit. I can definitely say that.
– Mr. Ashwini Kumar Tewari – Managing Director (Corporate Banking & Subsidiaries), State Bank of India

So in this, we were kind of pre-empting the market. This slowdown has started happening recently in the last two quarters. We were seeing some deviations coming in the scheme where

people were, like, salary somewhere around. And to check that, we kind of made it stricter. The deviations were to be approved by a higher authority. So a combination of those checks and other things slowed this down. And now as it shifts into digital, it will become much easier. That's why the chairman is saying it will be much better going forward.
- Mr. Sushil Choksey – Managing Director, Indus Equity

To pick it up, right? Because I mean, now that you have slowed down…
– Mr. C S Setty – Chairman, State Bank of India

It's already picking up.
- Mr. Sushil Choksey – Managing Director, Indus Equity

Okay. And thing on your risk intensity, if you look at the RWA, intensity is actually is going up. Despite you growing a corporate book this quarter, any thoughts on the capital raising? There is a change in management, so we just want to hear all of this.

– Mr. C S Setty – Chairman, State Bank of India

The change in management does not change the approach. So I think that is always on our radar. As I mentioned, a lot of people ask me, either you remove this line or raise the capital. So, the timing, we are still working in terms of, you know, we are engaging at various levels. So let us see. Yeah.
- Ms. Saloni Narayan - Deputy Managing Director (Finance), State Bank of India

So the risk weight actually has increased primarily because of the investments in that category.
– Mr. C S Setty – Chairman, State Bank of India

So the investment RWA has gone up, not the credit RWA. And investment is a conscious decision to, add, some growth in that segment and then take advantage of the moment.
- Mr. Sushil Choksey – Managing Director, Indus Equity

Yeah. Thanks a lot, sir. Best wishes.

– Mr. C S Setty – Chairman, State Bank of India

So we'll take questions that came on the web.
- There was one question from Mr. Rakesh Kumar, what was the reason for the sharp fall in forex -related income? I think we have answered that question. And what are the reasons for writing back of standard asset provision also? I think, was answered. But I'll just repeat.
The sharp fall in forex -related income is due to MTM loss and derivative transactions, which was mainly because of appreciation in USD - INR rates. Write back of standard asset provision is due to a large corporate COVID restructure account exiting from th e structured standard.
- And, question from Mr. Parvesh, what would be the Bank’s approach towards AI?
I think our appr

oach to AI is, essentially, we would like to have an enterprise level AI. There are quite a few use cases we have identified. And, these use cases range from personalization, hyper personalization to staff learning, staff knowledge base, an d the risk management. I think the whole range of use cases have been identified. In fact, the day before yesterday we just launched ask SBI, which is the repository of information for all the staff members using the gen AI. And this is going to improve, y ou know, their ability to answer the customer queries on the counter. And also this, ask SBI what we've introduced. We'll also give them step by step. We are trying to give them the standard operating procedure for any question the customer has or any cust omer needs. So, we have a very strong analytics team, which is working on other user use cases. And, a road map for the adoption of Gen AI has been created, and the broader AI road map of the bank is there. And we probably were the first bank to introduce a policy on responsible AI even before the regulators have spoken about.
- Question from Mr. Gaurav Kumar Panda, even after expected good Q3 for SBI, is the low growth rate of low -cost deposit and slowdown in overall deposit a concern for the future?
I still feel that the overall deposit growth rate has been robust. 9.8% on a base of 45 - 50 lakh crore deposits. We have done fairly well on that. It's only the deposit mix which I mentioned that we would be concentrating on increasing the low cost profil e of the deposits. And, so, just to

answer, I think, the customers' preference to move and lock in their higher rate of interest in the term deposits has changed the composition. But if you notice, our current account has grown 14%. I think we have not got the market share numbers but I think we are still on the pole position in terms of the current accounts. Our effort on CASA will continue.
- Mr. Jatin Parashar, deposit attracting initiatives and schemes.
I think we have definitely spoken a lot on the deposit mobilization efforts. But I just would like to ask Vinay in terms of, you know, the focused efforts in terms of the deposit mobilization.
A couple of things which we are looking at, particularly, let me talk about CASA in terms of CA as well as SA first. CA, we had taken a lot of initiatives in the last, one, one and a half years, which was started by Mr. Rana. And, these initiatives, partic ularly with the sort of sniper attack, we were looking at some of the institutions, basically, which could give us more and more balances apart from, you know, so we also have variance in these current accounts, which give us more balances. And if you real ly look at it, when the efficiency in the financial system goes up, the current account balances go down. Right? And this is what we observe otherwise even in the industry, and this is what we are trying to tackle. And you see the result of those efforts i n that 14% YoY. Now if you look at the savings bank, again, we would have allowed to be much higher in the YoY growth, but then it is actually not too bad if you look at the numbers which

have, and there is also a behavioural shift pattern that is seen because of the higher interest rates which the term deposits offer. And it is observed that whenever there is a gap between the savings bank interest rate and the term deposits because of the higher interest rate scenario, natur ally, there is a shift. There's a temptation for the balance holders to shift to the term deposits, and that is exactly what we're seeing. You also see that in the growth in the term deposits, right? So it's not actually the balances leaving the bank. It's actually shifting and across the industry. Apart from that, we are now also opening. The chairman recently had launched two products basically for the term deposits, but we want to increase the engagement wi

th the
existing clients and new clients, which w ould eventually get us more, savings bank and CASA deposits. I mean, I can list out a few more, but I think in the interest of time, I stop here.
- So next question is from Ms. Ruchi Jain, what is SBI doing to cater Gen Z?
I think one data point I would like to give you is that, contrary to what people believe, 36% of our customer base is less than 30 years old. And, apart from that, there's a lot of effort in terms of, hyper personalization which we are trying to do, and, i ncrease the digital offerings. And we have a large number of digitally onboarded customers now digital natives what we call. And, and, I think sometime during July we will be launching our martech, marketing technology which would further enhance our ability to gamify the products and, you know, hyper personalize the offerings. So I'm sure, the Gen Z will continue to be there with us. I think we are attracting enough, and we need to make them more i nteractive with us.
- Mr. Ashutosh Mishra , the reason for the forex income drop.
I think we have already explained this.
- Mr. Deepak Gupta, SME loan growth of 9% QoQ and current quarter has been very strong. Is this sustainable?
We have been doing quite a few things on the SME. I think I mentioned the BRE, Business Rule Engine. In the last nine months of its launch, we have done more than 35,000 crores worth of loans disbursed to the BRE. And our TAT has improved and, we are the a nnouncements which are made in the budget in terms of both export promotion, SME recategorization, and CGTMSE cover being increased. All these are, you know, we are confident that we'll be able to maintain this growth rate.
- Ms. Sunita Thakur, what are the reasons for the increase in credit costs and why YoY basis?
I think give us some break. Credit cost has increased for nine months on a basis from 0.25% to 0.37% in December 24, mainly on account of increase in aging provision. But I think the nine month credit cost 0.24% is one of the best in the industry.
- Mr. Ashok Ajmera – Chairman, Ajcon Global
Sir, some color on the international book. It's very big, almost the size of a smaller public sector bank. The international book itself.
– Mr. C S Setty – Chairman, State Bank of India

I'll give you some initial remarks and then you can supplement. One is that the international book, as you mentioned, reached a stage. We have crossed 6 trillion in the customer credit. It's a fairly large book and 15% contribution to, advances size. But t he portfolio is a very balanced portfolio. We have, equal proportion of, you know, local credit, ECBs and trade finance. And all these product segments which we operate in, we don't take very long term exposures in the

international book. In the trade finance, while we primarily focus on our relationship back home in India, we have participated in the global supply chains across the globe.
So the supply chains, we'll have to see the trade finance. We will take a call on how these tariffs are going to shift this supply chain financing, which is primarily concentrated in the US. So, we'll have to see how it is going to play out. But our intern ational operations are extremely flexible. If you have noticed in the last 4 - 5 quarters that if you want to ramp up, we are able to ramp up. If you want to reduce, we are able to reduce.
- Mr. Rama Mohan Rao Amara - Managing Director (IB, Global Markets and Technology), State Bank of India

Sir, just to supplement, chairman, sir. That is the ability of our international banking group to play a complementary role to the domestic. So that means we are aware of the margins, etc. It has improved. Generally, the margins in international banking gr oups also move in line with the trajectory, interest rate trajectory. But one advantage of IBG operations is like, just from the data, what was pre

sented in the day, while the yields have come down by 32 bps over a quarter,
the NIM has compressed only by 8 bps. So that basically shows our ability to raise resources at a competitive price, and also, we'll be locking into the margin. So only the lag effect can be there in future in terms of having a very marginal impact on the bottom line even when the rates come down, But it isn't it won't be very, very significant.
- Mr. Pawan Kumar - General Manager (Performance, Planning and Review), State Bank of India
I trust all the questions have been addressed. We'll be happy to respond to other questions in offline mode. Let me end the evening with thanking the Chairman Sir, MD Sirs, DMD Madam, top management team, analysts, investors, ladies and gentlemen.
We thank you all for taking time out of your schedule and joining us for this event. To round off this evening, we request you all present here to join us for high tea, which is arranged just outside this hall.
Thank you. Thank you so much.

END OF TRANSCRIPT

Call: May 2025

CC/S&B/AND/202 5-26/96 09.05.2025

Madam / Sir,

Disclosure under Regulation 30 of SEBI (LODR) Regulations, 2015
Transcript of Analyst Meet

Pursuant to Regulation 30 read with Para A Part A of Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 , we submit the transcript of the Q 4-FY25 post results Analyst Meet held on 03.05.2025 .

Yours faithfully,

(Aruna N Dak)
DGM (Compliance & Company Secretary)
Encl: A/a

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Q4FY25
ANALYST MEET
TRANSCRIPT
03.05.2025

MANAGEMENT : MR. C S SETTY
CHAIRMAN , STATE BANK OF INDIA

MR. ASHWINI KUMAR TEWARI
MANAGING DIRECTOR (CORPORATE BANKING AND SUBSIDIARIES)

MR. VINAY M TONSE
MANAGING DIRECTOR (RETAIL BUSINESS & OPERATIONS)

MR. RANA ASHUTOSH KUMAR SINGH
MANAGING DIRECTOR (RISK, COMPLIANCE AND STRESSED ASSETS RESOLUTION GROUP)

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MRS. SALONI NARAYAN
DEPUTY MANAGING DIRECTOR (FINANCE)

MR. A RAVI SHANKAR
CHIEF GENERAL MANAGER (FINANC IAL CONTROL)

MR. PAWAN KUMAR
GENERAL MANAGER (PERFORMANCE , PLANNING & REVIEW)

– Mr. Pawan Kumar - General Manager (Performance, Planning and Review), State Bank of India

Good evening, ladies and gentlemen. I am Pa wan Kumar, General Manager, performance, planning, and review department of the Bank. On behalf of the State Bank of India, I am delighted to welcome the analysts, investors, colleague s, and everyone present here today on the occasion of the declaration of the FY25 results of the Bank. I also extend a very warm welcome to all the people who are accessing the event through our live webcast. We have with us on th e stage our Chairman , Shri C S S etty at the center , our Managing Director - Corporate Banking and Subsidiaries , Shri Ashwini Kumar Tewari , our Managing Director - Retail Business and Operation, Shri Vinay M Tonse , our Managing Director - Risk Compliance and SARG, Shri Rana Ashutosh Kumar Singh , our Managing Director - International Banking, Global Market and Technology, Shri Rama Mohan Rao Amara , our Deputy Managing Director - Finance, S mt. Saloni Narayan , our Deputy Managing Directors heading various verticals and Managing Directors of our subsidiaries are seated in the front rows of this hall. We are also joined by Chief General Managers of different vertical and business groups.

To carry forward the proceeding, I request our Chairman sir, to give a brief summary of the Bank's FY25 performance and the strategic initiatives undertaken. We shall thereafter straight away go to Q&A session. However, before I hand over to the Chairman sir, I would like to read out the Safe Harbor statement.

Certain statements in today's presentation may be forward -looking statements. These statements are based on management's current expectations and are subject to uncertainty and changes in circumstances. Actual outcomes may differ materially from those included in these statements due to a variety of factors.

Thank you. Now, I would request Chairman sir to make his opening remarks. Chairman sir, please.

– Mr. C S Setty – Chairman, State Bank of India

So, good evening, ladies and gentlemen. We thank you all for taking some time out to join this analyst meet post announcement of FY25 results of the Bank. The financial results for FY25 highlight continuity, consistency, profitability, and SBI's significant long -term strengths .

At the outset, I would like to thank all of our stakeholders for their support and helping us in creating sustainable value not only for the bank, but also for the economy as a whole. Over the years, SBI has remained focused on strengthening the key compo nents that contribute to this sustainable value. We have prioritized our liability franchise, refined our processes, continued to improve our underwriting standards, and aim to deliver value to all stakeholders while positioning ourselves as a reliable financial services brand.

I will first start with a brief description of the present global and domestic economic scenario and then discuss bank performance.

Escalation of trade and tariff tensions and the resultant financial market volatility have raised concerns regarding the weakening of global growth in the near term. As per IMF, the estimated globa

l growth is projected to drop to 2.8% in 2025 and 3% in 2026 , much below the historical (2000 to 2019) average of 3.7%. As per the WTO, world merchandise trade volumes could expand marginally by around 1.7% in 2025.

The dampening global economic outlook could impact India's economic growth through weaker external demand even though the domestic growth engines, viz., consumption and investment , are relatively less susceptible to external headwinds. Prospects for the farm sector have been boosted by the forecast of an above normal southwest monsoon for 2025, which could augment farm incomes and keep food prices under check. Given the exacerbated uncertainties due to recent trade tariffs, RBI has reduced its real GDP growth projection for FY26 by 20 b ps to 6.3% in the April policy.

Separately, India's CPI headline inflation has now significantly moderated, and we believe average CPI headline forecast for FY26 could stay below 4% now.
During FY25, A SCBs credit growth declined to 11%, which was 20% last year and deposits to 10.3%, which was 13.5% last year. Term deposits ’ growth continued to outpace growth in savings deposits. Consequently, the share of term deposits in total deposits rose to about 62%. CASA declined to below 40%. Asset quality of S CBs improved further with their GNPA ratios declining to a 14-year low of 2.4% in December 2024. CRAR stood at 16.4% in December, which was much higher than the regulatory minimum ratio.
RBI has deployed a strategic mix of interventions , including open market operations, daily variable rate repo auctions, and dollar /rupee b uy-sell swap auctions. These proactive measures have helped stabilize market liquidity conditions , ensuring financial resilience in an unpredictable global environment.
Coming to SBI , once again, the results for FY25 demonstrate the Bank's ability to operate profitably at scale , due to our substantial long -term strength s. These advantages stem from our institutionalized framework, which is guided by structured processes and a commitment to fairness for all stakeholders.
The net profit for the year was ■70,901 crores, up 16.08% YoY. At the end of the year, our whole bank credit growth was 12% YoY with domestic credit growth at 11.56%. Deposit growth was 9.48% YoY, while the CD ratio (domestic) was 69.71%. We maintained stellar asset quality with slippage ratio of 0.55% , retail personal slippage ratio at 0.48% and credit cost at 0.38% . PCR was at 74.42%.
Some details about these numbers - The total deposits have grown by 9.48% YoY to ■53.82 trillion. As I mentioned, term deposits have witnessed robust growth. They have grown by 11.48% YoY. Our current account deposits have grown by 27 .02% YoY and CASA deposits have grown overall by 6.34% YoY, and CASA ratio was close to 40%. Importantly, the current account growth has continued to remain strong for the Bank during the year despite competitive market environment.
The credit growth continues to be good across all segments. Our domestic advances have grown by 11.56% YoY, driven by 16.86% growth in SME, 14.29% in agriculture, 9% in corporate, and 11.4% in retail personal segments.
Our foreign offices’ advances have grown by 14.84% YoY. The domestic credit deposit ratio is 69.71% , indicating sufficient headroom to address future growth requirements of the economy.
The bank continues to demonstrate industry -leading asset quality at this scale. The slippage ratio for FY25 , as I mentioned earlier , was 0.55% while the credit cost stood at 0.38%. The net NPA ratio improved by 10 b ps YoY . We have a well-provided NPA book with PCR at 74 .42%.
The asset quality of the Bank has continued to remain strong over the last five years, which demonstrates the quality of our loan portfolio, the robustness of our underwriting processes, effective collection efficiency, and the leader

ship of the Bank across business lines.

Our capital adequacy ratio is at 14.25% and the CET 1 ratio is at 10.81% and are well above the regulatory requirements. Based on the current profitability and growth profile of the Bank, we believe we have sufficient headroom to take care of business growth requirement s.
I am glad to share the progress we have made in digital banking, which is an ongoing journey. More than 8.77 crore customers have been registered on YONO with 64% of regular savings bank account s opened through Y ONO in FY25.
Our subsidiaries are consistently performing well and continue to create significant value for all the stakeholders. We will continue to nurture these subsidi aries and maintain leadership position in the respective businesses.
We are glad to advise that the Bank continues to report R oA and R oE greater than 1% and 19% respectively at the end of FY25. A key point regarding these metrics is our operation at a substantial scale. We reported total assets worth ■66.76 lakh crore s, total advance s at ■42.20 lakh crore s and total deposits amounting to ■53.82 lakh crores. When we mention scale, it indicates the Bank's extensive investment in workforce training , procedures , and compliance to maintain this level. Sustaining our growth rate s implies that our Bank’s infrastructure and personnel are equipped to support continued growth at this magnitude. SBI continues to be the leader in all the risk adjusted profitable lending and liability pools in India. Consequently, SBI's RoA above 1% is derived from the scalable fundamentals of banking - a stable NIM, controlled operating expenses, and maintaining credit quality.
While we are happy about the outcomes in FY25, we are also mindful of areas for further improvement and also challenges emerging from various developments taking place across the globe which may impact Indian economy. On the liability side, we continue to focus on increasing our share in current accounts , while maintaining our leadership position in savings deposits by further strengthening our customer service and branch network. Although the

Bank's cost base is substantial, it highlights our commitment to compliance and efficient operations. We intend to reduce our cost -to-income ratio by concentrating on increasing income. The Bank’s R oE profile is currently higher than its credit growth, implying CET 1 accrual in the future. From this strong position, our goal is to consistently achieve RoE over 15% through the business cycle s.

The board has granted approval to raise equity capital up to ■25,000 cores, with the authorization being valid for a period of 12 months. This is an enabling resolution . Although we are open to capital raising, such plans will be contingent upon the business needs and market conditions.

Wrapping up my initial comments, I express my gratitude for your ongoing support to the Bank. As the Bank advances its objectives, it also plays a role in driving the progress and economic development of the surrounding ecosystem. We are dedicated to upholding your confidence in us by delivering superior, sustainable returns over the long run.

My team and I are now open to taking your question. Thank you very much.

– Mr. Pawan Kumar - General Manager (Performance, Planning and Review), State Bank of India

Thank you, Chairman, Sir. We now invite questions from the audience. For the benefit of all, we request you to kindly mention your name and company before asking the question. To

accommodate all the questions, we request you to restrict your questions to maximum two at a time. Also kindly restrict your questions to the financial results only and no questions be asked about specific accounts please. In case you have additional questions, the same can be asked at the end. We now proceed w

ith the Q&A session, please.

- Mr. Ashok Ajmera – Chairman, Ajcon Global

Yeah, I am Ashok Ajmera. Sir, compliments to you . In one of the recent meetings, I said about our operating profit , we are capable of crossing ■1,10,000 crore . Now, exactly that same figure I said and you have achieved it, complements for that. Phenomenal number, good growth in spite of little difficult time in both deposit side and as well as credit side. Having said that sir, I have got a couple of questions, some observations, and some data points. One is that, on the credit growth, like we have been maintaining last year that our target was 15% -16% and I think a quarter back, I had only had raised this point that, we have achieved only 8% I think till December, 8.2 % or something. How are we going to achieve it and our confidence was that yes, we have got a strong pipeline, and definitely we will try and achieve the given target, but finally it came down to 12 point something. So, on that , I mean, what has gone wrong just in 2 - 3 months that as against our targeted numbers, which was very good, encouraging and good pipeline in spite of that also we couldn't achieve that number? My second question is that all the TV channels are streaming that net profit of State Bank is down by 10%. Now, they are just looking at Q4 of ■20,698 crores and now ■18,643 crores. If you look at it, the operating profit has gone up by almost 9%. So, but because of the higher provisioning in this quarter, this net profit and they got the chance to say that SBI profit has gone down, could we not have used some of that buffer provisio n which we have got more than ■30,300 or ■30,500 crores something out of that and what was the need of almost about this ■6000 crore s of provision in this quarter itself which has given the opportunity for others to say that the profits are down though it is not actually, in fact.

So, this is the second of my observation and your response on that. Thirdly, sir, if you look at the segment wise results, there is a very deep variation. There is a strong variation in segment numbers, the treasury numbers are haywire from ■891 crore s to few thousand crores and wholesale banking, retail banking, the numbers have gone down by huge few thousand crores. So, is there any change in classification because segment also gives some impression that how is the bank is moving in which direction and under which segment? So, if you look at it, there are quite large variation in that. So, on that also, if you can throw some light on that, that is there a change in the method of calculation and lastly, you only have said that now another 50 bps reduction may come. Some people are saying even 75 bps, and we have got a strong investment book. So, do we expect huge bumper profits on the treasury account this year in FY26, which may take up our bottom line also to a great extent. What do you say? I mean, what colour you would give to your treasury operations both in the trading profit as well as the profit because of the MTM , part of which comes to the profit, but AFS goes to the reserve, but still what we expect into FY26 because of that rate cut?

– Mr. C S Setty – Chairman, State Bank of India

Thank you, Mr. Ajmera for the compliments and also the critical questions which you have raised. Yes, we did give guidance last year, not guidance, we expected credit growth to be 14% to 16%. In the Q2 guidance, I have said this and in Q3, I moderated that to the lower end of 14% to 16%. So, obviously we expected the year to close at 14%. If you see, most of the segments in the presentation it is shown on slide 16, which shows that in many segments we have done well except in the corporate. Corporate is a bulky and chunky credit, and we have had an unusual prepayment in that segment. So, while we have had a good pipeline , which I men

tioned earlier also. Even now, we have around ■3.4 lakh crore pipeline in the corporate side, the unanticipated prepayment definitely had impacted us. It is nothing to do with any of the segments not doing well. Many of the large central PSU s have utilized their equity funding to deleverage, and that we could not cover in the short tenure of one quarter. So, that is the major reason. Otherwise, we still have the visibility on the corporate side and that is the reason while we are not saying that it would be 14% to 16%, but 12% to 13% is quite possible while the industry is growing less than 12%. This is on the credit growth side.
On the net profit, I think , the numbers have to be understood by everyone, but our focus is always to strengthen our balance sheet, and also create a consistency in our performance. It is not about one quarter we try to ensure, but our preference is that , if any costs are visualized, let us take them upfront. If you have seen it is not only this time, last year , ■7000 crores of pension provision we have taken in one quarter. We could have taken it in four quarters , I think that was permitted. So, front loading the cost has always been our strategy and you are right, I think the ideal way of looking at it is the 12 months performance and an aggregate bas is, and in many parameters, we have done extremely well .
In terms of R oE guidance, we still st ick to it. So, we didn't want to show that we can make the similar profit what we have made , when we know for sure these costs are likely to happen. So, some front -loading of provisions have happened definitely that has resulted in this.
Moderation in treasury yields definitely would help the markets to perform better and I think our treasury will do , while we are not willing to give any guidance on this . We believe that with the rate cut cycle kicking in, the yields will definitely moderate, providing an opportunity for us both on the MTM side as well as on the trading profit, but we will be a little more objective in terms of any guidance on the treasury side. Thank you. You ask ed something about segment wise volatility.

- Mr. Ashok Ajmera – Chairman, Ajcon Global

Yeah, because you see in treasury operations income from ■843 crores to ■8,891 crores, corporate okay 74 to 84, but retail banking from ■17,311 to ■9,325. So, either we remove giving segment wise numbers only , if they are not relevant or we do some working which is consistent.

– Mr. C S Setty – Chairman, State Bank of India

We will ensure that.

- Ms. Saloni Narayan - Deputy Managing Director (Finance), State Bank of India

We will have a look Mr. Ajmera .

- Mr. Ashok Ajmera – Chairman, Ajcon Global

Yeah, please. Alright. Thank you. Thank you, Sir.

- Ms. Mahrukh Adajania – Executive Director (Equity Research), Nuvama

So, Sir, I had a couple of questions. Firstly, on the provisioning, if you see the breakdown of provisions, then there is other provision of ■16 billion or so. So, what is that about because it looks too big for that line item, so maybe there is some one-off there? That's my first question. And then on asset quality, so when I go through your movement of NPLs, there are some banks that have seen recovery from a very big account, right and it's visible in their recovery line. So, maybe it was written -off for you, I don't know, but we don't see any recovery from the movement of NPL s of a large account, and that large account, the lenders are public. So, you are one of the largest lenders there. So, it was not a recovery, it is transferred to NARCL. So, I am talking about that account where would that have been booked because other banks have disclosed where it's booked and you know roughly how much has been booked from there and where?
So, that's my second question.
And my third question is on employee expenses . I a

m not talking about the pension provisions,
I am not talking about the provisioning of benefit part, but in employee expenses, the actual wage cost also looks higher sequentially this time. So, how do we budget or how do we like forecast wage cost for next year, YoY of course for the full year it's 6% growth, but just in the fourth quarter the wage cost?
So, those are my questions.

- Mr. C S Setty – Chairman, State Bank of India

Let me first answer the wage cost. I think Q4 we take a lot of provisions. The PLI and many things which are added to the staff expense are not in the earlier quarters. It will appear only in the fourth quarter.

- Ms. Mahrukh Adajania – Executive Director (Equity Research), Nuvama

6% growth is next year also, right?

- Mr. C S Setty – Chairman, State Bank of India

Yes.
On the account which you mentioned, though, we don't talk about specific accounts, but I think the accounting can be mentioned by us.

- Mr. Rana Ashutosh Kumar Singh – Managin g Director (Risk , Compliance and Stressed Assets Resolution Group) , State Bank of India
So, without naming the account you mentioned that everybody knows , roughly ■3,300 was the component we got, and ■500 crores plus roughly went t o NPA reduction , you can see it will come in the recovery , remaining 85% essentially is the treasury income, as RBI circular which came on 29th March.

- Ms. Mahrukh Adajania – Executive Director (Equity Research), Nuvama
Sorry, sorry?

- Mr. Rana Ashutosh Kumar Singh – Managin g Director (Risk , Compliance and Stressed Assets Resolution Group) , State Bank of India
So, 500 crores, roughly, 15% will come into NPA reduction , recovery you can see that number in the NPA reduction. The remaining will be on the SR revaluation w hich circular came in the last week of March, that will go in the treasury side.

- Ms. Mahrukh Adajania – Executive Director (Equity Research), Nuvama
On the other income side and has anything been booked into the NI I, no?

- Mr. Rana Ashutosh Kumar Singh – Managin g Director (Risk , Compliance and Stressed Assets Resolution Group) , State Bank of India
No, 500 crores will not go into NII. It will go into the reduction.

- Ms. Mahrukh Adajania – Executive Director (Equity Research), Nuvama
Got it. Got it.

- Mr. C S Setty – Chairman, State Bank of India
Because it was a fully provided account. So, it will impact the provisions and the SRs we used to hold that ■1. So, subsequently, on 29th March, RBI has given a clarification that if you have SRs which are governed guaranteed by the government guarantee, I mean backed by the government guarantee, we can revalue . So, you see in our global market, I mean our treasury profit, the revaluation profit also is shown there. Some of the recovery related to what your account you are talking about also is appearing there.

- Ms. Mahrukh Adajania – Executive Director (Equity Research), Nuvama
Got it, and how much would that be ballpark?

- Mr. C S Setty – Chairman, State Bank of India
We will give you that.

- Ms. Mahrukh Adajania – Executive Director (Equity Research), Nuvama
Okay , okay. And sir, the ■16 billion of other provision s?

- Mr. C S Setty – Chairman, State Bank of India
Where is that ■16 billion in the provision?

- Ms. Mahrukh Adajania – Executive Director (Equity Research), Nuvama
There is other provision, maybe I'm getting the figure wrong but yeah. So, if you look at the breakdown of provision, you have loan loss and then you have standard and then you have other provisions as well. So, is it related to just loans or something else?

- Mr. C S Setty – Chairman, State Bank of India
Yeah, this is the ■1,636 crores, right in the Q4.

- Ms. Mahrukh Adajania – Executiv

e Director (Equity Research), Nuvama
Yes, yes.

- Mr. C S Setty – Chairman, State Bank of India
Yeah, th ese are other provisions. Any clarity on that?

- Ms. Saloni Narayan - Deputy Managing Director (Finance), State Bank of India
Other provisions, basically they have increased because provision for other receivables and contingent liabilities include ■700 cores of CDS based PLI.

- Mr. C S Setty – Chairman, State Bank of India
This is again PLI related. For the employee provisions.

- Ms. Saloni Narayan - Deputy Managing Director (Finance), State Bank of India
Yeah. It has nothing to do with loans .

- Ms. Mahrukh Adajania – Executive Director (Equity Research), Nuvama
Okay, okay. That helps . Thank you very much.

- Mr. Manoj Alimchandani, Participant
Yeah . Thanks for the opportunity , couple of questions . Before that , excellent results, excellent ■1,10,000 crores operating profit, excellent asset quality , growth, the whole board deserves a great, great party, yes, and not only from the analyst, but also from the capital market, stock market. Now, co uple of questions, one is the clarification now that I'll come to later. First is the foreign branches growth is much higher than domestic by a couple of percentage points. Now, how sustainable is it? And because we often link the growth with the GDP and CapEx cycle now, which are the countries where the foreign branches growth is higher than domestic growth because we have a widest network of foreign branches operation if you can highlight that and also the outlook in the year ahead because there is a transformation in the economy on foreign economy, particularly?
Second is our valuation. We have often talked about valuation and of course we are among the very, very undervalued bank and compared to the run up in the Bank Nifty at the highest and

others are going much higher, we deserve maybe a valuation of ■1200, i f not ■1 ,000

immediately based on operating profit and the numbers. Now one clarification, most of the analysts and databases , they look at valuation basically not in terms of P /E ratio, but in terms of P/B right. Now, when we look at our slide here, slide 10, the valuation per book value per share and the book value per share in money control which claims to be among the top 10 capital market websites in the world in terms of unique visitors and viewers, there is a big discrepancy and we feel money control as far number is correct they talk about price to book of 1.57, and here slide 10, book value per share. It shows historic book value based on last year. Today, we are 2. Of course, it needs to be updated with the current one. I would like to know how you calculate because when people compare all the banks, they go for money control book value per share. We can just see from mobile on the way itself I was reading it a nd seeing it just for chance how can the book value be below 400 for FY24? So, I would like you to clarify here and now, because bank analyst will just prepare the report today evening or maybe tomorrow morning and I wonder how different ones will calculate and they need not take from this slide it is very, very important. Next is, we mentioned about this resolution for ■30,000 crores. I wonder it is enabling or all the banks now are raising money, huge money is coming private banks and public sector banks, almost all public sector banks are raising money. Even the private ones they are going for accelerated raising of Q IPs and all. So, what is the thought process on it? Are we going to raise the money equity seriously, because we don't require, as per our capital ad equa cy and often this has impact on valuations also and it should be at the right price. So, your thought process is it only enabling or we are looking at it seriously, and of course the bank, what steps the bank will take to ensure

it's at the right valuation, and with this
all the best. I hope particularly as some point was discussed this year what is coming now comes o ften we say once in 10 years treasury income there will be a lot of opportunities for treasury team and I hope they are agile as usual, and to see that we will break records in terms of net profit also, I wonder if we will cross ■1,00,000 crore net profits only f rom contribution by the treasury team. Thanks, and wish you all the best for the coming year. Look forward to the detailed reply to the question which you always do as usual. Thanks.

- Mr. C S Setty – Chairman, State Bank of India
Thank you. Thank you very much.

- Mr. Manoj Alimchandani, Participant
My name is Manoj Alim Chandani.

- Mr. C S Setty – Chairman, State Bank of India
Yeah, of course I know. Thank you. So, three questions and one observation. Of course, treasury gains, we hope that treasury continues to perform well, and the foreign branches I request Mr. Rama Mohan to respond on your question and I will supplement a fter his response. Similarly, price to book value I request our team who is sitting in the audience to clarify that position.
I will start with my response related to this resolution , it's not ■30,000 c rores, it is ■25,000 c rores, enabling resolution , for equity raising. This resolution, of course, as you notice that every year, we take this, and our effort is to balance our growth requirements and also the need for augmenting the CET 1 capital. You are right, today we don't need growth capital. We mentioned

that with 14.2% capital adequacy, we have enough firepower to cover ■8 lakh crore credit growth. So, we don't need immediately in terms of the CRAR requirement for credit growth. But we still feel that if there is an opportunity to raise the equity capital, we will definitely access the market. The timing is uncertain. As you said, we need to get the right value. While we cannot time the market absolutely, but we will look for an opportune moment and we always , in the beginning of the year, take enabling resolution so that we have an ample time to plan our equity raising if needed, and the foreign offices , Rama you can respond.

- Mr. Rama Mohan Rao Amara - Managing Director (IB, Global Markets and Technology), State Bank of India
On the IBG side, I think your observation is correct , we grew faster . Traditionally , we have that ability to play a complementary role to domestic. So, whenever we feel like domestic growth is slightly lower, we can always ramp up the IBG growth or the International Banking growth because we use the three levers evenly like we have exposure to trade finance , we have

exposure to the local corporate, whether in US or UK, etc., well rated corporate s most of them are listed entit ies and their debt is also available in the market. We can always pick up and of course we also cater to the larger Indian companies which want to raise ECBs . In fact, if you see, like while traditionally all the three components are equally balanced 33% -34%, we had a slight uptick in India linked loan where in second -half of last year we have seen a higher demand from the Indian corporate for r aising ECBs because of the cost arbitrage even on a fully hedged basis their cost was slightly better rated companies they had a cost advantage compared to rupee lending. So, this is very , I mean , we always look at the opportunity. Whenever there is a need, we can ramp up or whenever we don't need, we can ramp down. That is the ability of the IBG portfolio.

- Mr. C S Setty – Chairman, State Bank of India
Yeah. So, in terms of the local credit, what you see here, it is predominantly coming from the markets in US, and a little bit from Bahrain. Bahrain, of course, is not local credit, but across the UAE and other jurisdiction. But local credit that is Ind

ia related , is essentially ECB, External
Commercial Borrowings. We park those assets in the branches where the advantage of cost of funds is there.
We are , also, extensively using the Gift City now to because of the tax benefits as well as Gift City's ability to raise the resources also has improved. So, predominantly the local loans are in the US and the ECB s are in the Gift City, Hong Kong, and DIFC Dubai. These are the jurisdictions where we are parking . Anything else we left out? Book value is most important. Price to book, right?

- Ms. Saloni Narayan - Deputy Managing Director (Finance), State Bank of India
How we have calculated is, first of all it is for the standalone banking business and the net worth divided by number of shares, that's how we calculate . The net worth is ■3,89,071 crore and the number of shares is ■892.46 crore, that is how we arrived at this 435.95. Also, this is also adjusted for the revaluation reserves. That is the methodology that we have.

- Mr. Manoj Alimchandani, Participant
And we mentioned standalone and consol and also see how money control does it because the customer or the viewer take stakeholder looks at the this database like money control, there are many others which we are not mentioning.

- Ms. Saloni Narayan - Deputy Managing Director (Finance), State Bank of India
But this result is for SBI, c onsol is only on the last page, rest is all about SBI.

- Mr. Manoj Alimchandani, Participant
Yes. So, that book value is not there. I calculated it myself, which is much higher and even the money control needs to be updated.

- Ms. Saloni Narayan - Deputy Managing Director (Finance), State Bank of India
We can do that.

- Mr. C S Setty – Chairman, State Bank of India
We will engage with them, yeah. Thank you.

- Mr. Nitin Aggarwal - Motilal Oswal Securities Ltd
Yeah. Hi Sir. This is Nitin Ag garwal here from Motilal.

- Mr. C S Setty – Chairman, State Bank of India
Yeah, Nitin.

- Mr. Nitin Aggarwal - Motilal Oswal Securities Ltd
Sir, I have a few questions. One is again on the Op ex part wherein if you look at the overheads also this quarter, we talked about the staff costs, but even the overheads, if you look at the miscellaneous number that has more than doubled YoY. So, anything specific that has caused this increase and related to this, now that the bond yields have come off, do you think that there is a risk on the pension provisioning that we may need to make to beef up the plan ned assets ?

- Mr. C S Setty – Chairman, State Bank of India
So, on the overheads, see there are three performance -linked payouts which we make to th e staff. The primary performance linked initiative is , the industry agreed upon incentive i.e. 15 days of pay once we reach certain levels of operating profit. So, that is generally shown in the staff expenses. There are two other PLIs, one is where 1% of our profit we allocate to the performance linked incentive based on the grid related in the sense AAA, AA and all these things. That also is shown in the staff expenses. The third element which has come now from this year, would be a PLI scheme introduced from the scale IV and above, chief manager and above , which is not 15 days' pay as agreed on industry basis. It is specific to the chief manager and above grade. That PLI is payable on approval of the government. That expenditure we have shown under the overheads. It could have been shown in the staff provisions, but since it is not to be booked, and we have shown. I think, please correct me if I am wrong, yeah. So, that is also appearing in the overhead which is showing the jump in the overheads otherwise this element of PLI we could have taken in the first quarter also, but since we know broadly that what could be the expenditure, and o

ur assessment shows that the bank is qualifying for the
PLI even as per the Government of India scheme. That is how the overheads hav e got elevated.

- Mr. Nitin Aggarwal - Motilal Oswal Securities Ltd
Right, okay, and second question, sir, is on the Bhushan Power and Steel . Now, in light of the Supreme Court judgment, how are we looking at the impact on the banks and what is the impact on SBI from that? Any color around that will be helpful, sir.

- Mr. C S Setty – Chairman, State Bank of India
Nitin, you know our stance, we don't comment on the individual accounts. So, I refrain in terms of the impact, but I can tell you that we are studying the order. Obviously, the councils for the vendors and councils for the company, councils for the RP, we all will sit together and see the impact of this order, and what could be the potential options available to us . Beyond that, we will not be able to comment on this. Thank you.

- Mr. Nitin Aggarwal - Motilal Oswal Securities Ltd
Okay, sure sir, and the third question, is on the NARCL sale, because now that the RBI has allowed the SR provisioning write back and we have availed some of that in this quarter. So, are we looking at a more like higher number of sale this year and what could be the potential write back that you may see in FY26?

- Mr. C S Setty – Chairman, State Bank of India
Our transfer to NARCL was never guided by, you know, what is happening on the provisions. I think RBI clarification is more in terms of the differentiated approach towards the SR guaranteed

by the Government of India. Otherwise, any SRs which we get where asset is fully provided, we normally carry th ose SRs at the ■1 value, but here the situation was different because SRs are guaranteed by Government of India and RBI has taken a decision that if it is backed by government guarantee, you can have a differentiated approach, and if you if you are showing at ■1 value, please you have an option of revaluing those SRs, so that is how the revaluation has happened and you can see that the gains also in the treasury side. So, I don't think either it will depress, or it will increase the movement to the NARCL. The transfer to the NARCL so far ha s been significant. It is more than ■1,50,000 crores worth loans have been transferred to NARCL already. So, which means that this enabling provision was not there despite that the transfers have happened. It will be purely based on what is the right strategy for resolving an account. If w e think that aggregating the bad debt into NARCL for a better resolution, I think the asset will move there.

- Mr. Nitin Aggarwal - Motilal Oswal Securities Ltd
Right, Sir, and lastly on the R oA wherein you have like in the earlier quarters mentioned that SBI will look to maintain 1% plus R oA, now that the RBI is cutting rates and there is a possibility of more repo rate cuts which may impact margins, how confident do we feel to maintain 1% plus RoA? Any risk do you see emerging on that front?

- Mr. C S Setty – Chairman, State Bank of India
I think we still will be able to maintain 1% R oA. How quickly the further rate cuts will happen will determine on the net interest margins. There would be some realignment of the rates on the deposits because without that effective monetary transmission will not happen, particularly because significant loans which are linked to the MCLR, correct. So, MCLR readjustment will

happen only when the incremental cost of deposits will come down. So, we will ensure that the readj ustment of interest rates and the deposits are aligned at least broadly, with the reported cards, so that the margin protection is there, but I am unable to tell you when will it happen, how deep will be the rate cuts. So, broadly, on annual basis, we may have some quarters where there will be much more pressure on the NIMs and impact on t

he R oA, but broadly we are
sticking to our guidance o f 1%.

- Mr. Nitin Aggarwal - Motilal Oswal Securities Ltd
Sure, Sir. Thank you so much. Wish you all the best.

- Mr. C S Setty – Chairman, State Bank of India
Thank you.

- Mr. Bhavik - Participant
Hi Sir. Th is is Bhavik . Sir, I have three questions. First on saving deposit rate. Sir, we saw large private bank cut 25 b ps. So, what would be your stance in the immediate near term and maybe if RBI were to cut repo rate to 100 bps, then would we still maintain the 25 b ps delta versus large private banks in our rate cut? Second question, sir, we saw very good recovery from written -off income this year. It was ■80 billion , last year was ■70 billion odd. Sir, how confident are we that it will sustain for the next year and onwards and how many chun ky accounts are left in a recovery from the pool? Third question sir, staff cost on a YoY basis was very good this year, partly because we had taken like stepped up provision last year on wage revision so on so forth next year, year AS 15 provisions will also come. Sir, can we expect like mid-teen growth in staff costs next year or that will be too far a reach? So yeah, I'll stop there.

- Mr. C S Setty – Chairman, State Bank of India
From the savings bank interest rate, there is no plan to cut any further . I think we will maintain at this rate while the ALCO will take a call on that, but broadly I think we believe that the rate is stabilized at this level. Other banks have had higher rate, so they had the room to cut that savings bank, but as I mentioned, there will be some readjustment on the fixed deposit going forward. Recovery in written -off accounts, we don't have any chunky accounts where the recoveries are coming from. It is broadly coming from these smaller accounts, and we have strengthened our recovery processes. In fact, we brought back our stress ed assets management regional offices. We used to have Framroze, you know, to monitor the low value recoveries and when the large -scale NPAs had to be, you know resolved we have slightly reduced the focus on the regional office s. We have actually removed the regional offices. In the last few years, we brought back the regional offices. So, there is a renewed focus in terms of these small value recoveries. That is what you are seeing. I mean these 2000 run rate per quarter is essentially coming from the retail loans and small value loans both in the st ressed asset group as well as in the retail banking group. So, hopefully I think , that run rate is expected to continue. Staff cost, any input from you Saloni?

- Ms. Saloni Narayan - Deputy Managing Director (Finance), State Bank of India
Sir, the staff expense has gone down from ■71,237 crore s to ■64,352 crores . Basically, the provision for employees has come down by 36.86% , which is because of the provisions that we made last year for the bilateral wage settlement and coming to salaries on a YoY basis, the salary has increased just by 5% and that to the profit the PLI has been taken into consideration, despite that the increase is just 5.79%.
Provision for pensions also came down because of the MTM gains we made on account of the yield movement. Gratuity has gone up by 40%, but the amount is very minuscule. Other than that, I think there is no other number to call out, so from ■25,860 crore this year, it has come to ■16,301 crore as far as salary is concerned.

- Mr. Bhavik - Participant
Thank you, ma’am. Last two questions. First, so we are still paying higher in the shorter duration of bucket in the term deposit s. Sir, when would we kind of realign with the other banks and now

the system liquidity is good. So, why are we still paying higher in the shorter term of buckets? Second, sir, our C ET 1 ratio is

10.8%, so out of that and then how much would be AFS of? So,
in the revised investment guidelines, MTM gains on AFS is part of C ET 1. So, that's it, sir? And thank you so much for giving the opportunity.

- Mr. C S Setty – Chairman, State Bank of India
So, the interest rate will be relooked in the coming ALCO this month. So, we will definitely look at all the channels. You are right, I think most of the short tenure higher rates are generally given in the last quarter just to ensure that the liquidity is available, and also when interest rates are coming down, none of us want to lock in at a long tenure interest rate, bu t we will review all of them in the ALCO, and what is the other one, yeah.

- Ms. Saloni Narayan - Deputy Managing Director (Finance), State Bank of India
AFS reserves sir, can I respond? It is ■6,600 crores.

- Mr. Ja i Mund hra – Analyst, ICICI Securities
Hi sir. This is Ja i Mund hra from ICICI Securities. Sir, question on your Xpress credit growth . So, the YoY growth has come down to almost less than 1%. The GNP A number that you show in that book is actually it has come down from 1.11% to 1.07%. So, how would you look at the growth in this book? I think one or two quarters back, you had said that we are looking for maybe early double -digit kind of growth there . How do you look at that book growth?

- Mr. C S Setty – Chairman, State Bank of India
No, we are definitely seeing some uptick on the Xpress credit. In fact, Q4 we have had a net growth of ■5,600 crores. This growth rate on the YoY looks smaller because the earlier quarters have been not so good on the Xpress credit. There are two reasons , one is that , as I mentioned in the last quarter also , we completely revamped the whole process of extending the Xpress credit. We also looked at some of the lower segments of customers, though they are salaried class, the lever is going up there . But we are confident that the growth will come back for two reasons , one is the NMI EMI profile of many of these lower end customers in the salaried class would definitely improve with the revised tax structure. So, hopefully their credit profile will improve, and some of them whom we are either not lending or they are not borrowing, will come back to the Xpress credit, and the asset quality front, asset quality in the Xpress credit has never been an issue. I think it's just movement of a few b asis points. Otherwise, it is holding up very well.

It is something what we are focusing now, and another potential area is that among the corporate salary package customers, the new customer acquisition in the last financial year was 6.5 lakh customers we have acquired under the corporate salary package, and as you know, most of the Xpress credit is extended to corporate salary package customers who have salary accounts with us. So, this 6.5 lakh new customer addition to the CSP also gives some amount of pipeline for the Xpress credit.

- Mr. Ja i Mund hra – Analyst, ICICI Securities
Right, and sir, lastly on domestic NIMs, right. So, if I look at full, I mean this quarter the NIMs have been stable. While I can see that the cost of deposit is still going up, at least that is what is being shown in the presentation. But on a full year basis, I mean, if I look at the beginning of the rate cycle, FY22 from there, we have lost around 13 -14 bps margin on the domestic book, right. So, now the rate cuts, I think the first rate cut was in the early Feb and only let's say half of the quarter impact would have been there in fourth quarter. Now going ahead, I mean the remaining half will come and then the second rate cut that was announced that will come, how do you look at the overall NIM trajectory, Sir?

- Mr. C S Setty – Chairman, State Bank of India
No. First of all, I think there definitely will be pressure on the NIM. There is no denial

of the
fact. The pressure will be relatively less on us because as we mentioned that our repo linked loans are only 29%. Our book is either predominantly MCLR linked or fixed rate loans, almost 50% of that is MCLR plus fixed rate loans , which means that the impact of any further rate cut would take some time for us, but as I mentioned, there will be an imperative need to readjust the rate on the deposit. Obviously, the monetary transmission and MCLR impact will not be visible unless we readjust that. So, the effort would be to protect the NIM at 3% level, but there

would be some quarters where we will have some pressure on the NIM. I am not able to quantify immediately because we don't know about the rate cycle , while broadly we believe that there would be another 50 bps rate c ut. How quickly and how much is unknown at this point of time, but the fact that the NIM will be under pressure is something which we recognize, and we'll see what kind of effort s can be made in terms of adjusting the rate, both on the deposits and the loans.

- Mr. Ja i Mund hra – Analyst, ICICI Securities
So, sir, just lastly, I mean if the NIMs are under pressure, credit cost remain very excellent right from 38 b ps full year, you know they are as good as standard provisioning only, right. So, what will be sort of a cushion for RoA at 1%?

- Mr. C S Setty – Chairman, State Bank of India
Treas ury gain . So, Mr. Ajmera said that treasury should perform well. No, I'm not looking at , you know , the treasury , as to heavy lift, but I think our focus is always on the core activities, how efficiently we run the core activities, but treasury is also a core activity for us because we run

the largest treasury in the country. So, obviously we have the potential as well as the downside risk on the treasury and we will have to play on that.

- Mr. Ja i Mund hra – Analyst, ICICI Securities
Sure. Thank you, Sir.

- Mr. Pawan Kumar - General Manager (Performance, Planning and Review), State Bank of India
Yeah, due to pa ucity of time, we will now take up a few questions coming in through the online webcast, which will be addressed by the Chairman sir.

- Mr. C S Setty – Chairman, State Bank of India
Yeah, for other questions, we are available offline. You can always reach out.
So, the online question s,

- Abhishek Kumar Jain : What would be the impact of repo rate cut in NIM?
I think I have broadly explained in detail, so I am not going to repeat on this.

- Mayur from Wealth Managers : What is the outlook on cost to income?
When will we start seeing benefits of operating leverage, plus digitization year -after-year, cost to income continue to raise? I think for a change we have shown better numbers on the cost -to-income ratio. Yes, I do agree that we obviously have to take th e leverage of digitalization which has happened. Just for data point, our alternate channels are performing extremely well today, 98% of the transactions are conducted through the alternate channels. Some channels are expensive, like ATM s and customer service points, but digital channels are cheaper. So, we are trying to see how the digital adoption will progress and bring the cost efficiencies. Our focus would be mainly on how do we increase the income while the cost rigidity is partic ularly on the employee side will remain. Staff expenses also moderated as we mentioned here and pension provisions are also decreased, but these are some of the costs which from time -to-time will get elevated. So, our focus would be on increasing the ope rating income. So, the guidance broadly is to keep it below 50% to 51% level.

- Punit Shukla : What is the current status of bank customers?
As on date, where we stand in customer base? We have more than 52.33 crore customers as on March 25.

- B

unty Chawla from IDBI Capital : Xpress credit segment has seen decline in growth, outlook on the same ?
I think we have acquired a good number of CSP customers providing a visibility on the Xpress credit and also we have seen a good growth in the Q4. So, we hope to continue that.
- Kunal Shah : When do we expect to conclude equity fund raise and what would the

preferred route? Other provision reversal of ■1,600 crores, does this include any specific chunk y corporate account provisioning , ■3,900 cores and government guarantees are reflected in profit and revaluation investments? Forex income appears very volatile and has almost doubled. What is the normalized level?
See, I think I answered the first thing. What is the normalized level of this income is very difficult to predict because the Forex markets also play on the volatility. Forex income obviously was helped by the volatility in the market. Government guaran teed SR reflected in the profit. Yes, ■3,900 crores, but at the PAT level it is about ■2,800 crores. Fund raise ■25,000 crores, I told you that it is an enabling provision what we have taken. We will see what is the appropriate time to access the market.

- Abhinav Gundluru : Given the rapid evolution of AI technologies globally, can you share SBI strategic road map for AI adoption, particularly in areas like credit risk assessment, fraud detection, etc.? And whether SBI envisions AI playing an operational role in operational efficiency and growth?
We strongly believe that if SBI has a growth rate of 10% to 11% on the balance sheet basis which means that SBI gets doubled. I think this is my favorite story. I keep telling everyone that SBI gets doubled every six to seven years, we have doubled from 2018 to 2024 in our size. We were ■30 lakh crores in 2018, we became ■60 lakh crores in 2024, and we have not doubled our branches, we have not doubled our headcount, but we brought the efficiencies t hrough the digitalization and we strongly believe that the new age technologies like AI, we were the early adopters in banking sector in the predictive AI modeling. Our pre -approved personal loan, PAPL was a big hit, which is based on the predictive AI, so we are also using the Gen AI and the new emerging technologies.
Broadly, initially , we have used Gen AI based chatbot for d eceased claim settlement. This was one of the most irritating problem s for the customers. When somebody dies in the family, how do you settle that account and we have used the AI tools to expedite and simplify this process. We also have Gen AI powered ask SBI, this we thought that is the use good use case to give the tool. This is the repository of all the information circulars, SOPs, policies in one go which is available to the employees and the Gen AI tools are deployed, we call it now Spark where the employee not only searches for information, he is able to get the standa rd operating step -by-step procedures to handle a query. We are further fine tuning this. I think the knowledge -based activities, and fraud risk management CRM tools are also being fine -tuned using the AI. I think a lot of use cases we are experimenting with , hopefully will result in the productivity gains.

- Akshay Jain : Can you explain the large sequential movement in miscellaneous non - interest income and miscellaneous expenses?
On QoQ basis , miscellaneous income has increased by 80% mainly due to increase in dividend income of ■1,645 crores. Expenses have increased by 110%. Major item is , as I mentioned , grade PLI provision of ■1,300 cores for scale IV and above. This is as per the Government of India PLI Scheme.

- Rohan Mandora : Cumulative yield on advances for domestic business has increased in Q4 as per slide 23, we want to understand where we have taken yield hikes given that there was repo cut?
On QoQ basis, 4 b ps increas

e in the yield on advances is mainly on account of average
advances level going up. There has been some uptick of benefit of the previous MCLR increases, which took some time to gain that and that has resulted in the 4 bps increase on the yield on advances.
- Provision for NPA's has been higher in Q4?
As we mentioned, I think is broadly because of the aging provision, fresh slippages provision is very modest.

- Kahul Koshi : What was the reason for large provisioning this quarter?
I have already explained.
- Where is the government backed SR provision reversal reflecting in P&L?
The gross amount is getting reflected in the operating profit ■3,875 crores and net profit increases ■2,900 crores after adjustment of tax of ■975 crores.

- Rakim : Our net interest income margin is squeezing because of raising deposit costs , what Bank is thinking?
I think , I've spent considerable time in explaining how the NIMs will be protected.
I hope you are able to follow that and thank you very much for all of you.

- Mr. Pawan Kumar - General Manager (Performance, Planning and Review), State Bank of India
Thank you, Chairman Sir.

- Mr. Nitin Gandhi – Participant
Nitin Gandhi here. Within the diversified loan portfolio, if I see other industry classification is almost ■5.4 trillion that has the highest growth of 22% as compared to any other industry. Something is unusual, some color can you share on this??

- Mr. C S Setty – Chairman, State Bank of India
22%?

- Mr. Nitin Gandhi – Participant
22% growth in other industries.

- Mr. C S Setty – Chairman, State Bank of India
Other industries, okay.

- Mr. Nitin Gandhi – Participant
It is ■5.4 trillion of the portfolio.

- Mr. C S Setty – Chairman, State Bank of India
So, lot of things which are not classified here, they all get into th ose other industries, but this is mainly coming from like industries like data centers and all could not be put in anywhere. It doesn't fit in the real estate, so some of those items move in there, but it's very diversified one. Maybe you know 5 -6 major industries, Saloni , you can give later to him , constitute in other industries.

- Mr. Nitin Gandhi – Participant
I will take it offline, and the second question is, can you share some thoughts on sanction loan book, how is it behaving post March ?

- Mr. C S Setty – Chairman, State Bank of India
Sorry, come again.

- Mr. Nitin Gandhi – Participant
Sanctioned corporate loan book, you said that towards March, Central PSUs and everybody reduced, but now how are they behaving, what is your expected disbursement coming over the next 2 -3 quarters? If you can share some thoughts on that.

- Mr. C S Setty – Chairman, State Bank of India
So, we have good visibility on the corporate side, ■1.7 lakh crores, which is sanctioned, but not disbursed. Much of that growth will come from that segment. So , there is a visibility. We only hope that nobody again decides to deleverage and pre -pay the loan, but broadly, we are sticking to our 12% growth rate on the corporate side also.

- Mr. Nitin Gandhi – Participant
Thank you. All the best.

- Mr. C S Setty – Chairman, State Bank of India
You want to say anything?

- Mr. Ashwini Kumar Tewari – Managing Director (Corporate Banking & Subsidiaries) , State Bank of India
I think , one thing which has been explained , in the last quarter, many of the central PSUs got lot of money from government, and with the clear instructions to pay all the lenders which happened in our case , Very, very large accounts were prepaid.
So, that brought down the corporate book, otherwise till Q3, the growth rate was pretty good, and we are not seeing this happen now because now the disbursements and the overall pipeline as Chairman has already said ■3.4 tr

illion, out of which half of it is sanctioned already. So, we
should see consistent growth in this corporate book including the projects in hand. We are not seeing any other behavior which was seen in the Q4 last year , at this point of time.

- Mr. Nitin Gandhi – Participant

Thank you.

- Mr. C S Setty – Chairman, State Bank of India

Thank you. Thank you very much.

- Mr. Pawan Kumar - General Manager (Performance, Planning and Review), State Bank of India

I trust all the questions have been addressed. We will be happy to respond to other questions in offline mode. Let me end the evening with thanking Chairman Sir, MD Sir s, DMD Madam, top management team, analyst, and investors.

Ladies and gentlemen, we thank you all for taking time out of your schedule and joining us for this event. To round off this evening, we request you all present here to join us for high tea, which is arranged just outside this hall.

Thank you. Thank you so much.

END OF TRANSCRIPT

Call: Aug 2025

CC/S&B/AND/202 5-26/349 16.08.2025

Madam / Sir,

Disclosure under Regulation 30 of SEBI (LODR) Regulations, 2015
Transcript of Analyst Meet

Pursuant to Regulation 30 read with Para A Part A of Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 , we submit the transcript of the Q 1-FY26 post results Analyst Meet held on 08.08.2025 .

Yours faithfully,

(Aruna N Dak)
DGM (Compliance & Company Secretary)
Encl: A/a

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Q1FY26
ANALYST MEET
TRANSCRIPT
08.08.2025

MANAGEMENT : MR. C S SETTY
CHAIRMAN , STATE BANK OF INDIA

MR. ASHWINI KUMAR TEWA RI
MANAGING DIRECTOR (CORPORATE BANKING AND SUBSIDIARIES)

MR. VINAY M TONSE
MANAGING DIRECTOR (RETAIL BUSINESS & OPERATIONS)

MR. RANA ASHUTOSH KUMAR SINGH
MANAGING DIRECTOR (RISK, COMPLIANCE AND STRESSED ASSETS RESOLUTION GROUP)

MR. RAMA MOHAN RAO AMARA
MANAGING DIRECTOR (INTERNATIONAL BANKING , GLOBAL MARKETS & TECHNOLOGY)

MRS. SALONI NARAYAN
DEPUTY MANAGING DIRECTOR (FINANCE)

MR. A RAVI SHANKAR
CHIEF GENERAL MANAGER (FINANC IAL CONTROL)

MR. PAWAN KUMAR
GENERAL MANAGER (PERFORMANCE , PLANNING & REVIEW)

– Mr. Pawan Kumar - General Manager (Performance, Planning and Review), State Bank of India

Good evening, ladies and gentlemen.
I am Pawan Kumar, General Manager - Performance Planning and Review department of the Bank. On behalf of the State Bank of India, I am delighted to welcome the analysts, investors, colleagues and everyone present here today on the occasion of the declaration of the Q1FY26 results of the Bank. I also extend a very warm welcome to all the people who are accessing the event through our live webcast.
We have with us on the stage our Chairman, Shri C S Setty at the center, our Managing Director - Corporate Banking and Subsidiaries, Shri Ashwini Kumar Tewari, our Managing Director - Retail Business and Operation, Shri Vinay M Tonse, our Managing Director - Risk Compliance and SARG, Shri Rana Ashutosh Kumar Singh, our Managing Director - International Banking, Global Market s and Technology, Shri Rama Mohan Rao Amara, our Deputy Managing Director - Finance, Smt. Saloni Narayan, our Deputy Managing Directors heading various verticals and Managing Directors of our subsidiaries are seated in the front rows of this hall. We are also joined by Chief General Managers of different vertical and business groups.
To carry forward the proceedings, I request our Chairman Sir to give a summary of the Bank's Q1FY26 performance and the strategic initiatives undertaken. We shall thereafter straight away go to Q&A session . However, before I hand over to the Chairman Sir, I would like to read out the Safe Harbor statement .
Certain statements in today's presentation may be forward -looking statements. These statements are based on management's current expectations and are subject to uncertainty and changes in circumstances. Actual outcomes may differ materially from those inc luded in these statements due to a variety of factors.
Thank you. Now, I would request Chairman sir to make his opening remarks. Chairman sir, please.

– Mr. C S Setty – Chairman, State Bank of India

It gives me great pleasure to present the results for the Q1FY26, another milestone in State Bank of India's journey as the nation's largest and most trusted financial institution. The global macroeconomic environment has remained fluid since June till now amidst geopolitical tensions and tariff policy uncertainties that have increased. Central banks in many advanced economies kept policy rates unchanged as the last mile of disinflation turned out to be stickier than expected, while also awaiting clarity on the trade tariff front and its implications for inflation. Domestic economic activity held up in June with the high frequency indicators pointing to mixed signals of improving prospects of Kharif agricultural season and continuation of strong momentum in the services sector on one hand, and deceleration of tax col lections, industrial activity and vehicle sales on the other. RBI estimates GDP for FY26 at 6.5% and inflation at around 3.1%. The MPC in its latest meeting, as you all are aware, has kept the Repo rate unchanged at 5.5% and maintained a neutral stance.
We closed the quarter with a 22.17% share of domestic deposits and 19.24% share o

f system -
wide advances, reinforcing our position at the heart of India's banking system. Even more encouraging, we added 14 bps of incremental loan market share YoY, led primarily by high return on risk weighted asset segments such as retail mortgages and secured small business credit.

So why are customers choosing us in greater numbers when choice has never been wider? The answer lies in a virtuous combination of value, brand, reach and fairness. Low to zero fee structures on everyday products, transparent pricing of floating rate loans and the reassurance

of our blue-chip balance sheet continue to attract new depositors, while deepening existing relationships. Our omni -channel reach with 22,981 branches and 90 million users on our digital platform YONO puts the bank in the pocket of cus tomers, wherever they are. Above all, we have maintained an uncompromising stance on charging what is fair, never what the market can be pushed to bear. In an era of rising rate volatility, customers recognize and reward that stance.
Second, our performance is powered by people. Attrition remained below 1% during Q1FY26. Banking here is viewed quite literally as a career for life , supported by clear growth paths and the sector's most extensive learning ecosystem. Our ambition is not merely to grow, but to grow profitably and sustainably. We reaffirm our structural targets of RoE above 15% and RoA of 1% through the cycle. The 1st quarter delivered an ROE of 19.7% and ROA of 1.14% underscoring the resilience of our franchise, even as fund ing costs normalize.
Coming to the results for Q1FY26:
• The net profit for Q1FY26 stands at ■19,160 crores, up by 12.48% YoY.
• At the end of first quarter, our whole bank credit growth was 11.61% YoY, with the domestic credit growth at 11.06%.
• Deposit growth at 11.66% YoY, while the CD ratio domestic was 68.88%.
• Operating expenses has decreased by 21.92% during the quarter with containment in overheads which decreased by 37.98%.
• Our net NPA ratio has also declined by 10 bp s YoY and stands at 0.47%.
• Slippage ratio has improved by 9 basis point YoY and stands at 0.75%.
• PCR was 74.49%.
The results for Q1FY26 demonstrate the bank's ability to operate profitably at scale due to our substantial core strengths. These advantages stem from our institutionalized framework which is guided by continuous improvement in processes and a commitment t o fairness for all stakeholders as I mentioned earlier.
To keep our Bank future ready and be ahead of the curve in partnering India's journey of Viksit Bharat and to realize the vision of reimagining the entire gamut of operational processes, preparation of a time -bound roadmap and facilitating the smooth trans formation, an initiative has been launched under SBI's operations process re -engineering project called SARAL. It is a transformative step to reshape the retail operational processes across the Bank; the way SBI serves its customers enhance employee satisf action, productivity and resources optimization.
The objective of project SARAL is to simplify, automate, centralize and outsource various operational activities of the Bank, encompassing retail operations, centralized processing centre supporting retail o perations, liabilities, third -party relationships and retail loan collections, aided by modern technological tools like AI to improve productivity and resilience, while ensuring best -in-class customer service and employee enablement.
Looking ahead we expect credit expansion to outpace both nominal GDP and industry growth driven by calibrated exposure to consumption linked retail loans, government CapEx pipeline and green energy projects. A disciplined risk -adjusted lens on every increm ental rupee of credit combined with our unrivalled low -cost deposit base gives us confidence in maintaining healthy spreads without sacrificing asse

t quality.
In closing , allow me to reiterate what defines State Bank of India. We combine skill with agility, innovation with prudence and growth with inclusivity. Our dominant market share is the by -product, not the driver, of an operating philosophy that places the customer f irst, the employee at the centre, the shareholder as a partner and the nation as a beneficiary. As we advance into FY26, we remain steadfast in our promise to deliver superior returns, best -in-class service and

uncompromising governance. Together, with your continued trust we will keep creating value for every stakeholder in the SBI ecosystem.
My team and I are now open to taking your questions. Thank you.

– Mr. Pawan Kumar - General Manager (Performance, Planning and Review), State Bank of Indi a

Thank you, Chairman sir, for the presentation. We now invite questions from the audience. For the benefit of all , we request you to kindly mention your name and company before asking the questions. To accommodate all the questions, we request you to restrict your questions to maximum two at a time. Also, kindly restrict your questions to the financial results only an d no questions be asked about specific accounts please. In case you have additional questions, the same can be asked at the end. We now proceed with the Q&A session.

- Mr. Ashok Ajmera – Chairman, Ajcon Global

Sir, the main silver lining in these results is maintaining or improving the net profit in spite of a very difficult quarter, overall, for all the banks, where it has gone up substantially. And overall group profit also has gone to ■21,201 crores, as against ■19,325 crores in the last quarter, which is commendable. It means all other group companies are also contributing something to the profits of the Bank.

Having said that sir, we had a sanctioned pipeline of, I think, ■3.4 lakh crores as per the last figure given. But in this quarter, we have grown only by 0.80% in the credit. So while I understand that, yes, there was slackness, transfers, but still could we not have done little better on the credit front with this kind of sanctioned pipeline? Are we reviewing those conditions of sanctions that people are not in a position to adhere to or fulfil those conditions, or they actually don't want to draw the mone y? So this is… I am not talking about the fresh sanctions.
Another point sir is on the fresh slippages which has gone up to ■7,945 crores as against ■4,222 crores, and that is why affecting our gross NPA, net NPA, I mean, all other numbers also in this quarter are a bit negative, making them little negative. And of course finally, the other income dropped by substantial almost about ■6,500 -6,700 crores though off -set by reduced operating expenses also by about ■6,500 -7,000 crores. So, what are the major factors in both this other income coming down and at the same time the expenditure also substantial ly coming down?
I see one item sir in the miscellaneous income, other income as a miscellaneous income which has gone down to ■1,711 crores as against ■4,575 crores. And similarly in the expenses also, miscellaneous expenses which have come down to ■1,711 crores as against ■4,575 crores, and ultimately resulted in little lower NIM, I mean below 3, now 2.9. So, sir your view on that.
And again, any fresh guidance for the overall FY26 on all these major parameters, credit, deposit and the business growth also. If you can, a little bit of cover in the recovery from written -off account s, because our recovery otherwise also in this quarter from the main NPA account is also little lower. Treasury also , of course must be doing well contributing but has not contributed as much as we were expecting in the profitability of the Bank.
And last one, if you can just give little colour on that buffer provision of, I think about ■30,000 - 31,000 crores which we had, h

ave you used anything out of that in this quarter? These are the few questions in this round sir.

– Mr. C S Setty – Chairman, State Bank of India

Thank you Mr. Ajmera for your compliments. But after your questions, nothing is left for the other analysts to ask. I think you broadly covered every question. But I will try to answer a few and then leave something for the others also to ask.
I think fundamentally you are coming from QoQ , the ideal way is to look at YoY. Because this QoQ comparison particularly from Q4 to Q1, it does not give any indication because Q4 generally is a good quarter across the banks, and SBI is no exception to that. Particularly the items which you mentioned in terms of miscellaneous income, other income, recovery, almost all these elements show upt ick in Q4. I think, ideal way is to compare with Q1.
But still your question in relation to the credit growth QoQ being low, I would like to answer that question. But if you see, most of the segments in the retail we have done well, barring Xpress credit we could have done better, but we hope to do well going forward in the Xpress credit. But home loans we have done extremely well, 15% growth rate YoY, and overall, in the quarter also we have done well on this segment. What has been the challenges on the corporate credit side? It is not in terms of what you said, whether terms are being renegotiated, we have not seen that. But what we have seen is that lot of prepayment has happened in any declining inte rest rate cycle, particularly on the loans which are fully disbursed, one or two years old, the cash flows are stabilized, everybody wants to refinance and negotiate for repricing. There, some of the exposures we let go. We almost had around ■12,000 crores prepayments because we did not want to go to that level of pricing considering the risk pricing in view. So , around ■12,000 crores is something what impacted the corporate in the current quarter by way of prepayments.
We also had a few large corporates accessing the CP market because CP rates have become extremely competitive and we would not have offered to give that rates. So , that also led to almost ■16,000 -18,000 crores movement towards CP market by the corporates. So, this in my view, is a recurring phenomenon whenever the rates of interest are on the downward movement.
So, pipeline, yes, we still have a robust pipeline. We almost have ■7.2 lakh crore pipeline both, on the sanctions but not disbursed, as well as proposals in pipeline, which gives us confidence that we will be able to get back to a double -digit corporate credit growth next quarter onwards.
Slippages again, the comparison should be with Q1 of the previous year. If you see that, there’s very marginal movement. But let me also assure you that there is no concern on the asset

quality in any of the segments; we have seen. And even among those sli ppages which we have witnessed in the Q1, as it happens every Q1, there has been a significant pull back as we speak in the last 30 or 45 days. So, there is no great concern on the slippages in any of the sector.
Recovery, yes, we had given a guidance of around ■7,000 - 8,000 crores in recovery from AUCA, which means that ■2,000 crores every quarter, but it is not uniformly distributed. Again, if you see my Q1 of previous year, it is almost similar to what we have had now. But we are confident that we will be able to achieve the guidance what we have given on the recovery fr ont.
And the buffer provision, we have not touched the buffer provision at all.
Miscellaneous income again in Q4, Mr. Ajmera, again you mentioned Q4 comparison. We have lot of miscellaneous income coming by way of inspection charges, folio charges; there are so many miscellaneous incomes which are recovered at the year end, which is not available in the Q1.
Anything else which I missed out?

- Mr. Ashok Ajmera – Chairman, Ajcon Global

… the SMA numbers also.

– Mr. C S Setty – Chairman, State Bank of India

SMA numbers also have moderated. Again, you have to see Q1 comparison; there is no untoward development.

- Mr. Ashok Ajmera – Chairman, Ajcon Global

And we are not making much profit in treasury. I mean we could have offset it or increase the operating profit instead of decrease in this quarter.

– Mr. C S Setty – Chairman, State Bank of India

No, again Q4 you are comparing, very marginal decline.

- Mr. Ashok Ajmera – Chairman, Ajcon Global

What happens is lot of water gets flown. In this quarter our figures, numbers, base, everything changes.

– Mr. C S Setty – Chairman, State Bank of India

Yes.

- Mr. Ashok Ajmera – Chairman, Ajcon Global

So, we cannot also at the same time compare with Q1 of the last year.

– Mr. C S Setty – Chairman, State Bank of India

No, there are variations. I just would like you to request to Q1 because there are variations in income booking and expenditure booking. Lot of expenditure gets booked.

- Mr. Ashok Ajmera – Chairman, Ajcon Global

So, what I actually wanted is nothing unusual or nothing one -off or nothing of that kind?

– Mr. C S Setty – Chairman, State Bank of India

No.

- Mr. Ram Mohan Rao Amara - Managing Director (International Banking, Global Markets and Technology), State Bank of India

So, just one point I will add, if you permit. Treasury, even if you compare with Q4, I think in the area of profit earned on account of sale of securities, we are more or less the same in Q4. Only in terms of forex, we always say it is a combination of trading income versus the derivative MTM movement. So, this quarter we did not experience the same posi tive movement as Q4, which is beyond the Bank's control, as well as the market factor movement. So, that is the only reason. Otherwise, the core income is c ontinuing to contribute.

- Mr. Ashok Ajmera – Chairman, Ajcon Global

All right, sir. Thank you.

- Ms. Mahrukh Adajania – Executive Director (Equity Research), Nuvama

Hello sir , congratulations. I had a couple of questions, firstly on Xpress credit. Sir, it has not been growing and we have a lot of government employees. So, they should not be really affected by the macro movements. Plus, we also have a lot of repeat business in Xpress credit. So, why have people stopped taking that repeat business? It appears to be the case that even the repeat business would have been lower because Xpress credit has not grown for a few quarters. So, why have people stopped taking repeat business on Xpress credit as well? So, that is my first question.
Second is, what is the margin outlook from here on? Basically, they have declined 10 basis points. That is possibly a little better than expected… than what we had expected. But how does it pan out from here?

– Mr. C S Setty – Chairman, State Bank of India

Thank you. Xpress credit, we have had some systemic improvements when we saw that some of the low net monthly income group, even among the government employees, which are predominantly our customer base, we have seen some over leverage happening there. So, such segments , temporarily, we have had a relook at it, that is in the last year. In the Q1, we have seen that NMI, EMI profile of our customers, even at the lower end of the income segment has improved. So, we are again reactivating some of these segments, which we hav e not considered earlier to be brought back. So, you are right, I think Xpress credit is basically a rollover product, where people take, close and then take. And many a time their income levels also go up and they take more loan. So, that is happening. Ot herwise, the portfolio would not have remained at ■3.5 lakh crores. And the amo

unt of repayment which happens every quarter is phenomenal in
this. Because while it is given for 6 to 7 years, the average tenure of the loan is 2 to 3 years only. That means, faster repayment happens here.

With these improvements, what we have done is, we've completely reoriented the process. In the last quarter also, I did mention that we have made it completely a digital process. And this also had taken some time to stabilize. People still have to come to the branch and sign the paper, because in some of the areas, digital documentation has not been rolled out. But we are seeing a good comeback in the current quarter. Q1 was slightly disappointing for us also. We have expected the growth to come back. In fa ct, I said that we may reach double digit growth in Xpress credit. It is taking a slightly longer time to get back to that growth rate. But in this quarter, I am seeing a good development there in Xpress credit.
And there are also some practical difficulties. For example, in the defence area, that is our major segment of customers. During these disturbances, many of these defence areas were not available for access. Neither they could come to the branch, nor could the branch people go. That also had some impact. I am not saying it is a major impact, but all of them have collectively resulted in lower growth in Q1 than what we anticipated. But I am seeing a good growth coming back there.
As far as margin outlook, we are still standing by our 3% guidance on NIM. As I mentioned earlier, I think the NIM trajectory will be U -shaped. It probably will come down in Q2. While we are not hazarding a guess how much it will come down, but I think it will definitely improve from Q3 to Q4 for 2 -3 reasons , one is the deposits get repriced, predominantly the fixed deposits get repriced. We will also have the full benefit of savings bank account rate reduction, and the NIM contribution which will come from the CRR cut. So we are sticking to our 3% guidance. Thank you.

- Mr. Manoj Alimchandani, Participant

Excellent response to QIP, great management and a very good fair price also. It is really phenomenal the way every member of the Board managed. You got a good price, phenomenal response. Largest QIP ever, over ■ 1 lakh. So, hats off to you and good numbers. And also, good quarterly numbers, credit growth, ROE of 19.7%, good results by the funds business and insurance business; they have giv en a boost.

A couple of things come to the mind on particular questions where you can update us. One is the slide no. 23. Now what we see, a little number we can see with a little scepticism that 7.88% growth in operating expenses which is very good, and which gives u s a cost to income ratio of below 0.5. Now when we go on identifying the items, below 8% is a little sceptical that is what I said. I would like to know on an annual run rate basis, what can we expect. Of course, the size of business will also grow. So, can we expect the cost to income at 0.49 or below? The ground level numbers you would know.

Second question is, there is a huge challenging uncertainty which you addressed in the press conference also. Now this has resulted in temporary supply chain disruption in trade; manufacturers who are dependent to a good extent on exports, whether in India and abroad. Now this supply chain disruptions, cancellation of orders, maybe even a 1 billion order cancellation by the Walmart's and the like can disrupt and have a spiralling impact on the business - working capital, receivables, inventory, and the spir alling is more worrisome to all of us. Now being a premier bank, would like to know at the ground level, you would be knowing last few days the cancellation of orders. So, shipments getting held up and that can have a huge impact, maybe disruption could be a few months. Would like to share whether we need to worry about it, o

r the ground level numbers and growth numbers seem apparently good? And, how do we look at it on a sustainable basis?

– Mr. C S Setty – Chairman, State Bank of India

Thank you. First of all , I was waiting for someone to compliment on the QIP. Show the QIP slide, I'll just spend some couple of minutes. Of course, it's well known what we have spoken widely about that, but I must thank all of you for the confidence that you have. I think, some of you have definitely helped us to reach out to the investors. Some of you have become part of the deal, some of you have not become part of the deal, but your engagement with SBI and your engagement to help us to reach out to the investors, I must acknow ledge through this forum for those people who are present here and also on the call. I must thank, and also maybe I will request my team to acknowledge by way of an applause for all the investors.

(applause)

So, it is not only I think the largest QIP ever or largest equity issuance, but what was heartening is that more than 60% of the investors are cross -border investors, foreign investors who had bid for that. And we were happy to see some of the investors fo r the first time looking at our stock, which shows the confidence in the institution and also the confidence in the Indian economy. So, that is one.

The other one is in terms of cost to income ratio, I think what you have observed is right. I think this historically low operating expenses YoY are difficult to replicate. There could be some increase in the operating expenses going forward, but in the Q4 there have been some front loading of the expenses. That also is one of the reasons why you see a lesser growth in the operating expenses. But our effort, what I mentioned in my speech also, the project SARAL what we keep talking about is aimed at increas ing the productivity. While we still are sticking to our guidance that the cost to income ratio, our effort is to keep below 50. I am not giving any number whether it is 47, 45. The effort is through the cycle, we would like to maintain the cost to income ratio below 50. I think that is something what I wanted to convey.

As far as supply chain disruption and tariff order, I think I did mention in press conference and I would like to reiterate, there are two elements of this tariff narrative. One is, the direct impact on the sectors. There are 4, 5 sectors we are all famili ar which probably have more impact. But these sectors, from a banking system perspective, do not pose any systemic risk, because the re are not very large exposures on this sector. Definitely, for SBI, very, very minor exposures on these sectors, number one . So, so you need not worry about the institutional credit quality point of view. But from a larger perspective, I think more than the direct impact, the uncertainty surrounding the tariffs, both in terms of investment decision, in terms of the trade disru ptions, offtake, is something what we should have… definitely we have a concern, and I am sure the Government of India is working very hard to ensure that the issue of tariff related negotiations are concluded at the earliest and the clarity emerges there, while keeping the nation's interest

paramount. I think we fully respect and support that approach.
And from the ground level, we do hear anecdotally that there are some people who want the shipments to be held on, but we have not heard so much to cause concern at this juncture. So, this is what I can respond immediately, but let us wait and watch how it is going to evolve. Thank you.

- Mr. Manoj Alimchandani, Participant

Sir, second thing is on the monetization of assets, particularly Yes Bank, which we always discuss as intrinsically higher value. Now, once part of a deal was signed for a small portion (not a full portion), now that portion the money does not come for a l ong time, then t

he price
announced 21.5 and the market has also gone up significantly, should not we expect upward revision in the price, clearly?

- Mr. C S Setty – Chairman, State Bank of India

Sir, these are binding offers.

- Mr. Manoj Alimchandani, Participant
But the time of payment is also important, no?

- Mr. C S Setty – Chairman, State Bank of India

No, no, the binding offer is valid for certain period of time, that period has not elapsed.

- Mr. Manoj Alimchandani, Participant
Okay, so it will remain. Maybe in the next tranche would be higher price.

– Mr. C S Setty – Chairman, State Bank of India

No, next tranche has no control… I mean, no limitations on our either pricing ability or when do we exit; there are no such restrictions. So we are free to look at that opportunity.

- Mr. Manoj Alimchandani, Participant
Lastly, another compliment to you, your Bank is doing well in case of large fraud accounts and maintaining your highest level of ethics and follow -up action. Whoever is a borrower, large accounts, you have done well on fraud accounts. Keep it up, we are al l behind you Hope you get some recoveries. All the best.

- Mr. Nitin Aggarwal - Motilal Oswal Securities Ltd
Sir, one question around asset quality. While you indicated that things are all going good and there is no risk lurking around, but given how the credit environment is shaping up and we are seeing very high delinquencies in unsecured segment with many othe r lenders, do you see any risk of spillover of the same to SME, MSME which traditionally have been more vulnerable segments?

– Mr. C S Setty – Chairman, State Bank of India

In our SME book, barring the micro loans which are essentially below 20 lakhs, the government -oriented schemes and all, most of the lending either is secured lending or it is backed by the CGTMSE guarantee. From that angle, I think we need to say that we ar e well protected there.

But in terms of the asset quality, we have not seen any great concern on the SME book so far. And the underwriting of SME also has improved tremendously. As I mentioned last time also, the Business Rule Engine which we have adopted, now we almost have cros sed more than ■65,000 crores worth loans which are processed using the Business Rule Engine where the data sets are much more robust. We have GST data, income tax data, our own account statement and historical default data. And we were able to develop a ru le engine where the assessment, in my view, and underwriting, has tremendously improved. So, while SME definitely is more vulnerable than any other segment, but we are confident that the kind of loans

which we are underwriting today, may not pose any major problems.
As far as unsecured personal loans are concerned, as we keep saying, our Xpress credit is more secured than the secured.

- Mr. Nitin Aggarwal - Motilal Oswal Securities Ltd
Right. Sir, the other observation is around the cost of deposits. So we have reported a small rise in cost of deposits this quarter, while we have seen stagnation or improvement by many other banks. So how to look into it? Are we expecting this to inch up further before it stabilises and comes down? And therefore, the margins, outlook, any colour? When will we see the bottom, 2Q or can it get delayed to 3Q also?

– Mr. C S Setty – Chairman, State Bank of India

I think the cost of funds uptick is essentially a significant movement towards fixed deposits. If you see our FD growth rate is almost 14%, and very large FD book at that. But some of the rate cuts on the fixed deposit that we have done, we will get the be nefit in the quarters going forward. And our fixed deposit book also will get repriced predominantly in the next 8 -12 months. Every month, of course, there is a repricing which happens on maturity. And

the reduction in CASA
YoY also and particularly from Q4 to Q1, that also has impacted the cost of deposits. But I am sure that I think it will moderate.

- Mr. Nitin Aggarwal - Motilal Oswal Securities Ltd

Right. And sir, lastly on the R oA wherein you have suggested to maintain R oA above 1 %. Now this quarter we are at 1.14 %, while of course it has come in on the back of significant treasury gains. But does this imply that the 2H R oA will be lower than 1H?

– Mr. C S Setty – Chairman, State Bank of India

I think there will be some contribution coming from the CRR cut and many other things which are in the offering. That will also improve the earnings; NIM will be improved . Yeah, some impact will be seen if the treasury gains are not as robust as we are today. But I believe that is the reason our guidance is 1 % and above. We are not giving what level of above that 1 %, but we are sticking to our 1% guidance on the ROA.

- Mr. Nitin Aggarwal - Motilal Oswal Securities Ltd

Thank you, sir and wish you all the best.

– Mr. Bhavik Shah – InCred Capital
Sir, as you rightly started, there is lot of pricing competition on corporate and NBFC loans. We have cut SA rates, we have cut term deposit rates almost by 65 -70 bp s. So, do you incrementally take the lead and plan to cut term deposit rates further?

– Mr. C S Setty – Chairman, State Bank of India

We will see. I think how it is playing out is not appropriate to comment at this juncture. But we will look at… See, earlier also I mentioned that deposit for us is a franchise activity. And as I mentioned in my inaugural remarks, though it sounded a littl e philosophical, I think we want to take care of all our constituents. So, we never want to short change our depositors and we want to provide… And we have a large base of savers and also senior citizens. So we need to take care. While I am not ruling out, but I think we will be mindful of those elements also before we take the rate cut on the deposits.

– Mr. Bhavik Shah – InCred Capital

Sir, two more questions. So, the interest earned is split into 3 -4 buckets. So, interest, what we have earned on RBI and interbank borrowings that has gone up from ■1,000 crores to ■1,800 crores.

– Mr. C S Setty – Chairman, State Bank of India

Which item is that?

– Mr. Bhavik Shah – InCred Capital

It is within the interest earned. And similarly, we have seen a sharp drop in the interest expense. Again, that is from whatever we pay to interbank and RBI. What kind of operations were there? As in, any colour would be helpful.

– Mr. C S Setty – Chairman, State Bank of India

We do not give that kind of granular data. See, both our borrowing, market borrowing and market lending depend on the liquidity management. I think it is not in terms of supporting any credit growth. We do not borrow to support the credit growth. It is ess entially the liquidity operations. So, not any great variation in that. But the cost will come down because most of the TREPs and CROM s rate have significantly come down there.

– Mr. Bhavik Shah – InCred Capital

And sir, last question. NSE stake; what methodology we use to value the stake in NSE Ltd?

– Mr. C S Setty – Chairman, State Bank of India

Is it appropriate to talk about an individual investment on that? When the NSE gets listed, you will come to know what methodology we are adopting.

– Mr. Bhavik Shah – InCred Capital

Okay, sir. I just wanted to understand what value…

– Mr. C S Setty – Chairman, State Bank of India

I think that is not appropriate .

– Mr. Sushil Choksey – Indus Equity Advisors
Congratulations on a very successful QIP. The first question is, in your press meet you did indicate that you have 7 lakh crores of pipeline sanctioned and what is visible to you or w

hich is
under assessment. Seeing the current condition led by US tariff, g lobal challenges, India may accelerate domestic development of infrastructure or other schemes led by Central Government or State Government, keeping in view that our negotiations do not go through. Do we sense that government has already started about roa ds in the press, but power plants are happening because of demand led by data centre or various other factors including manufacturing, PLI schemes. So, lot of manufacturing is coming in India and domestic consumption is also increasing. Any sense on this i nfrastructure spend would show different colour starting second half?

– Mr. C S Setty – Chairman, State Bank of India

I will just give some brief and then I will ask Mr. Tewari to supplement me. See the government capital expenditure, there is a good visibility of government capital expenditure, but, I think, to the extent what they have committed so far. We will have to see as we progress whether they are going to further enhance that ■11.5 lakh crore commitment what they have given on the capital expenditure front.
As far as infrastructure is concerned, we are seeing good enquiries on the infrastructure. In fact, some of the power related, other than the simple renewable energy like solar, wind, we are also seeing the green hydrogen and many other new emerging areas people are discussing with us, we are looking at those opportunities also. But as far as the pipeline is concerned, I will ask Mr. Tewa ri to supplement.

- Mr. Ashwini Kumar Tewari – Managing Director (Corporate Banking &

Subsidiaries), State Bank of India

So, to your specific point whether in response to the uncertainty by tariffs, is there a government plan to speed up or enhance the investments? I think we have not seen that. It is too early. I think they were still finalising what they want to do. But as rightly pointed out by Chairman, that ■11.5 lakh crores, plus the enquiries we are having in terms of not only the power on the renewable side etc., but also thermal. Because clearly the base load issue has not gone away and that is why the power sector i s a big place where lot of investments are planned and also already sanctioned. And these will be disbursed. So, there is no question of these not being disbursed at all.
Similarly in other areas for example the commercial real estate, both for the malls and the real commercial LRD kind of loans, and also residential on the premium side, this again is seeing a lot of upt ick. Mumbai city itself has so many inquiries for the slum redevelopment schemes and other similar activities. So, we are seeing good opportunities there. Still lot of this is in planning stage, discussion stage etc. One very large redevelopment which is happening near the airport, you are aware of that. So, all of this is happening.
Having said this there are some players who are kind of putting things on hold which they planned earlier and may be wanting to know more in certain sectors, and some are seeing more consolidation. Cement for example is seeing more consolidation. Steel, ag ain, there are some plans, but again they are coloured by some developments which you are aware of. So therefore, it is overall a slightly mixed picture. But as rightly said by the Chairman, that overall, we still think that we might have this year still a t around 10 -11% in corporate growth. Right now, it seems very, very low. But ultimately, I think the kind of project pipeline we have, and we are the strongest player in the project finance space, so we do hope that 10 -11% is what we will end up achieving. Thank you.

– Mr. Sushil Choks ey – Indus Equity Advisors

Most of the banks in RAM sector have shown 17 -18% growth. Do you think the second half specifically, after the festive season or starting the festive, that RAM will get accelerated or you t

hink the numbers are at peak?

– Mr. C S Setty – Chairman, State Bank of India

In our book I think home loans we have done 15% on a base of 8 lakh crores. I think that is a phenomenal growth. But I definitely visualise that the unsecured personal loan segment and auto loan segment… Auto is not all that doing well in terms of the sale s and it is also getting reflected in the auto loan segment. These two will pick up in the second half, that is what our assumption is, and that will have some spin -off effect on the SME also. SME, my view is that 19-21% growth rate is very robust. I do no t think it will further get into a higher mode. Even if we are g rowing at 19 -20%, it is a good growth rate to have.

– Mr. Sushil Choksey – Indus Equity Advisors

Sir, second is you are enabling with lot of initiatives with digitisation processes. So, I am sure you are doing an accelerated development, whether new products or AI or transformation

journey in the current phase. So will your digital expenditure substantially increase, or the stable number would continue?

– Mr. C S Setty – Chairman, State Bank of India

No, we have been investing in technology and digitalisation significantly. And many of these initiatives what we spoke about are not very costly events. It is not that we have to spend a lot. It is more in terms of the re -engineering. That means, you look at the process and see what are those redundant steps which we have not looked at for quite some time? Another element is, if you really ask me what would be the major investment coming forward, it would be a build -up of our own AI stack which we are under taking, but that does not require any great amount of capital expenditure.

– Mr. Sushil Choksey – Indus Equity Advisors

Second thing. Any plans on listing of any other subsidiaries?

– Mr. C S Setty – Chairman, State Bank of India

No, as we mentioned that we definitely have a couple of candidates for listing, but the timing is not very… there is no sense of urgency there, I believe. And you all have helped us to raise ■25,000 crores now.

– Mr. Sushil Choksey – Indus Equity Advisors

I think the markets are in good shape despite the global challenges. Only thing is the right choice.

– Mr. C S Setty – Chairman, State Bank of India

Yes.

– Mr. Sushil Choksey – Indus Equity Advisors

Because you started with ARCIL and offer for sale little bit, but there will be multiple other choices.

– Mr. C S Setty – Chairman, State Bank of India

No, there are lot of things which we have been participants in, ARCIL, NSDL. So wherever the opportunities are there we will definitely look at.

– Mr. Sushil Choksey – Indus Equity Advisors

Thank you for answering all my questions. Good luck for the year.

– Mr. Jai Mundhra – ICICI Securities

Hi, sir. This is Jai Mundhra from ICICI Securities. Sir first, on your margins you said 3% for the full year. This is global or domestic?

– Mr. C S Setty – Chairman, State Bank of India

Domestic.

– Mr. Jai Mundhra – ICICI Securities

Okay. And secondly sir, if you can call out the amount of bulk deposits that we have, that probably will reprice at a much faster pace. If you have that number?

– Mr. C S Setty – Chairman, State Bank of India

We do not disclose that.

– Mr. Jai Mundhra – ICICI Securities

Sure. Secondly on SME, we have been doing very well for the last 9, 10 quarters, 15% plus growth on a consistent basis. Would you have any visibility on the self -funding ratio? So usually, a lot of other banks when they go reasonably well in SME, they get to own the float also in that business because these typically may have only one or at max two banks. Would you have some visibility that what is the kind of self -funding that we are getting from these SME pool now

?

– Mr. C S Setty – Chairman, State Bank of India

See, most of these SME loans are sole banking loans. Very few have consortium arrangement. Which means that the whole cash flow is routed through our cash credit account. If that is what you are looking at, yes, we have a good visibility of the cash flow. And we actually insist that the whole cash has to be routed through us and that is one of the preconditions.

– Mr. Jai Mundhra – ICICI Securities

And sir on breakup only, if you have the slippages break up for this quarter, especially in agri and retail and maybe Xpress credit .

– Mr. C S Setty – Chairman, State Bank of India

You have that? Yeah.

– Mr. Jai Mundhra – ICICI Securities

And sir , Xpress credit and other retail, what are the key products there apart from home loan, auto loan and gold loan ?

– Mr. C S Setty – Chairman, State Bank of India

Other p -segment loans are educational loans mainly and pension loans. We also have pension loans. And loan against fixed deposits; that is also a very popular product in our book.

– Mr. Jai Mundhra – ICICI Securities

If you have the quantum there or the LAP? Sir, do you do LAP?

– Mr. C S Setty – Chairman, State Bank of India

We do not do much LAP. We do LAP, but it is not very significant. But even if it is there, it will appear in the home loans category.

– Mr. Jai Mundhra – ICICI Securities

Sure, sir. If you can just quantify the number of education loan?

– Mr. C S Setty – Chairman, State Bank of India

That’s not a big number, anyway. Education, we will be able to give the breakup. There is absolutely no problem.

- Ms. Saloni Narayan - Deputy Managing Director (Finance), State Bank of India

Sir, can I respond to the slippages part? So, in SME, the slippage is 2,680. Agriculture is 2,464. Personal is 2,602. Total is 7,746 and there is some small slippage in CCG 196 crores, the total is 7,942, out of which 1,585 has already been pulled back.

– Mr. Jai Mundhra – ICICI Securities

Thank you, sir. All the best.

– Mr. Piran Engineer – CLSA

Sir, just a couple of questions. Firstly, on the power sector, we are seeing that NBFCs are growing faster than banks last few years since this power sector CapEx has taken up. our book is flat YoY. Can you just give us some commentary of why this is happe ning? Are the risks still high in this segment? Because the yields are pretty good, north of 10%. Why aren't banks participating in this business?

– Mr. C S Setty – Chairman, State Bank of India

We are extremely oriented towards the renewable energy which is coming up. Even on the thermal capacity addition, which is happening, I think SBI is there. But some of the NBFCs what you are mentioning, are focused on some of these renewables, for example. So obviously their book will be much larger than what bank books are. So, the three NBFCs what we all know are actively involved because their mandate is to finance the power sector. So obviously, their book will be always larger. And they are also divers ifying their book from the conventional DISCOM and GENCO funding to renewable financing in the private space. That is where you see the growth coming for them. But we are not staying away, we are very actively involved in this space.

– Mr. Piran Engineer – CLSA

Sir, but then our growth is like 1% YoY.

– Mr. C S Setty – Chairman, State Bank of India

No, see the challenge in the renewable is the typical short -term execution there; execution is just less than 12 months. The moment the project is up and running, either they will go for refinancing or most of them are moving into InvITs also. So that gets refinanced and the churning happens faster in the renewable space.

– Mr. Piran Engineer – CLSA

Understood, thank you. So secondly when we

talk about our NIM trajectory and aspiration to reach the exit FY26 NIM at par with exit FY25, what assumptions are we making on further… like someone asked this question, on further rate cuts? Are we assuming tha t we will cut rates further to reach that NIM, or is it simply just repricing of term deposits which will help us get there? And are we assuming CASA ratios to also decline like they have been declining for the banking sector?

– Mr. C S Setty – Chairman, State Bank of India

Our assumptions are broadly the following. One is, you are right, I think more than further rate cuts, we are building our model based on the repricing. As the book gets repriced, that benefit will be available both on the savings bank and as well as fixed deposits. The second thing also

considers the CRR cut; almost ■52,000 crores get released which is not currently earning anything. So , that will also add to the NIM. And we believe that the policy decision of not cutting further rates have established that in the retail segment, the rates will be stabilising on the asset side. So, all these elements give us confidence that the NIM trajectory is what we have assumed.

– Mr. Piran Engineer – CLSA

Understood. Thank you, sir and wish you all the best.

– Mr. Anand Dama – Emkay Global

Sir, you said that there will be a release of about ■52,000 from CRR, we have ■25,000 odd crores coming from capital side. Do you believe that the 12% growth that we have now at this point of time can become 13%? Hopefully mortgages also should see a pickup in the second half of the year with the rates coming off. Do we not see at this point of time any signs? What is your view on the overall growth and particularly the mortgage growth, if you can share?

– Mr. C S Setty – Chairman, State Bank of India

So, the liquidity and capital has never been a constraint. See, even earlier also we had adequate CRAR to support the credit growth. While this 25,000 definitely has augmented our capital, as we mentioned earlier also, it was mainly for confidence capital or improving our CET -1. So, it need not be linked to our ability to fund growth; the growth capability was always there.
In terms of the liquidity, again we had one of the lowest CD ratios and excess SLR of almost ■3.5 lakh crores. So, these are not going to really move the needle. This is not about supply issue ever for us, it was always in terms of what demand is coming in the market. That's the reason we are still sticking to 12%. And as the uncertainties get clea red, probably there is a potential upside of 13%.

– Mr. Anand Dama – Emkay Global

And on mortgages, if you can just share some info, because we are not seeing any pickup on the ground as of now, despite the rate cuts which have happened.

– Mr. C S Setty – Chairman, State Bank of India

You see a 15% growth rate in home loan.

– Mr. Anand Dama – Emkay Global

That is for us, but otherwise when we speak to lot of other players, they are saying that…

– Mr. C S Setty – Chairman, State Bank of India

I don't know. At least we are seeing that good amount of sourcing of applications, sanctions, disbursements, and we probably have historically high level of sourcing going on now as we speak.

– Mr. Anand Dama – Emkay Global

And secondly, do you expect that the ECL norms will come this year now?

– Mr. C S Setty – Chairman, State Bank of India

ECL? No idea on that. Thank you.

– Mr. Anand Dama – Emkay Global

Thank you, sir.

– Mr. Kunal Shah – Citigroup

Firstly, on Xpress credit, we have been very comfortable with less than 1% NPA over there. Now it has gone up to almost 1.2% and that too on a flat book. So where do we see eventually GNPAs in Xpress credit stabilising? Do we see further inch up the way it has been like last 4 -5 quart

ers, or most of it is now recognised?

– Mr. C S Setty – Chairman, State Bank of India

So, the absolute number has not moved much. It is only the base effect because it is almost stagnant; the book is at the same level. That is actually resulting in the uptick. We don't see major concern in terms of the asset quality in Xpress credit. We may still have some pull back happening on that.

– Mr. Kunal Shah – Citigroup

Okay. And if you can share AFS reserves number, so that would help.

– Ms. Saloni Narayan - Deputy Managing Director (Finance), State Bank of India
■7,700 crores .

– Mr. Kunal Shah – Citigroup:
Last time it was ■6,600 crores .

– Mr. C S Setty – Chairman, State Bank of India

Some accretion is there.

– Mr. Kunal Shah – Citigroup

Okay, thanks.

– Mr. Pawan Kumar - General Manager (Performance, Planning and Review), State Bank of India

We have a few questions coming in through the online webcast now. These will be addressed by the Chairman sir now.

– Mr. C S Setty – Chairman, State Bank of India

- The first question is from M.B. Mahesh from Kotak. If you could give us the income from written -off accounts .

Q1 FY26 - ■1,229 crores , I think it is mentioned in the presentation. Q1 FY25, it was ■1,008 crores.

- Kiran Shah - Can you please give the breakup percentage of your loan mix in terms of based on external benchmark like repo, others and fixed rates?

Our MCLR book is 30.69 %, EBLR is 30.24 %, fixed rate is 22.58 % and others which includes T -bill link pricing of 15.93 %.

- Saurabh Kumar - What is quantum of IT refund in last Q4 FY25 and this quarter?

This quarter we did not have any IT refund. IT refund in Q4 was ■1,319 crores and IT refund in the corresponding period last year was also nil.

- Armaan Nahar from Blue Sky FinTech - Do you think pain in unsecured segment MFI has come to an end?

I think we never had any issues in our unsecured book, as well as our MFI exposure, which is miniscule. But we believe that from a system point of view, there is definitely an improvement in the asset quality in unsecured loan and MFI segment. While lot of

upfronting in terms of cleaning up the book by MFI is also one of the reasons why we believe that situation is better now.

- Deepanshu - How QIP funds will be used in future?

As I mentioned, it is not in terms of growth capital. It is definitely to augment our CET -1. So, today after this capital raise, the available buffer is 233 bps over minimum regulatory capital. So, we believe that this supports adequately our growth plans.

- Vishal Gutka from Ask Investment Manager - What is driving such sharp increase in current account balances given other peer banks are grappling to correct current account balances?

So, the current account growth has come from both government and non -government accounts. We definitely focused on many initiatives such as creation of specialized hubs and deployment of dedicated workforce. Relationship managers for current account also are there to look specifically into it. But more than the quarter end balances what we are witnessing to our pleasant surprise is, the QoQ improvement in the daily average balances in the current account.

- Chintan Joshi - Can you give us colour on what you weighted average saving deposit cost?

The average weighted deposit cost in savings bank deposits as on June 2025 is 2.68%.

- Radhika Kantikar from HDFC Ergo - What is the outlook for slippages?

We had slippages of ■7,945 crore in Q1 FY26, out of which there has been some pullback. So, we are still sticking to our slippage ratio , to contain the slippages below 0.6%.

- Rohan Mandora from Equirus - Why did your cost of deposits increase during the quarter? Also, what is the share of b

ulk deposits?

I already explained that the CASA ratio decline, as well as TD significantly increasing, has contributed to the cost increase, but we expect it to moderate. And normally, we do not disclose the bulk deposit -related data.

- Rohan Mandora - What is driving growth in the SME segment? Is it largely working capital demand? Any signs of initial stress that we may be seeing in the SME portfolio? And our asset quality in Xpress credit has held up well, but we have slowed down the growth in that segment. Is there a lack of good quality demand?

I think both these questions I have answered , I do not want to repeat again.

- Sukrit D Patel - As SBI continues to scale its digital banking footprint, how are you envisioning the integration of AI -led underwriting and behavioural risk scoring across the YONO and SME platforms in the next quarter?

As we continue enabling our digital document execution for the BRE and non -BRE journeys under LLMS, that is, Loan Lifecycle Management System, we also have an auto-renewal journey on the BRE loans. We have integration of a vendor verification module, and many things where we are using AI will also be there. As I mentioned, the AI stack is something we are setting up. So, this w ould help us. Underwriting BRE is essentially using the machine learning models and we probably visualize AI to set the patterns. To day, we are using predictive AI models. We also intend to use the Gen-AI models going forward. And with customer migration to the alternate channel, end -to-end digital channel products will be launched.

- I think this broadly covers the questions from the calls. Thank you very much.

– Mr. Pawan Kumar - General Manager (Performance, Planning and Review), State Bank of India

I trust all the questions have been addressed. We will be happy to respond to other questions in offline mode.

Let me end the evening by thanking Chairman Sir, MD Sirs, DMD Madam, the top management team, analysts, investors, ladies and gentlemen. We thank you all for taking time out of your schedule and joining us for this event.

To round off this evening, we request you all present here to join us for high tea, which is arranged just outside this hall. Thank you. Thank you so much.

END OF TRANSCRIPT

Call: Nov 2025

CC/S&B/ SD/202 5-26/599 12.11.202 5

Madam / Sir,

Disclosure under Regulation 30 of SEBI (LODR) Regulations, 2015
Transcript of the Analyst Meet

Pursuant to Regulation 30 read with Para A Part A of Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 , we submit the transcript of the Q 2FY2 6 post results Analyst Meet held on 04.11.2025 .

Yours faithfully,

(Shima Devi)
AGM (Company Secretary)
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Q2FY26
ANALYST MEET
TRANSCRIPT
04.11.2025

MANAGEMENT MR. C S SETTY
CHAIRMAN , STATE BANK OF INDIA

MR. ASHWINI KUMAR TEWA RI
MANAGING DIRECTOR (CORPORATE BANKING AND SUBSIDIARIES)

MR. VINAY M TONSE
MANAGING DIRECTOR (RETAIL BUSINESS & OPERATIONS)

MR. RANA ASHUTOSH KUMAR SINGH
MANAGING DIRECTOR (RISK, COMPLIANCE AND STRESSED ASSETS RESOLUTION GROUP)

MR. RAMA MOHAN RAO AMARA
MANAGING DIRECTOR (INTERNATIONAL BANKING , GLOBAL MARKETS & TECHNOLOGY)

MRS. SALONI NARAYAN
DEPUTY MANAGING DIRECTOR (FINANCE)

MR. A RAVI SHANKAR
CHIEF GENERAL MANAGER (FINANC IAL CONTROL)

– Mr. Pawan Kumar - General Manager (Performance, Planning and Review), State Bank of India

Good evening, ladies and gentlemen.

I am Pawan Kumar, General Manager, Performance Planning and Review Department of the Bank. On behalf of the State Bank of India, I am delighted to welcome the analysts, investors, colleagues and everyone present here today on the occasion of the declaratio n of the Q2 FY26 results of the bank.

I also extend a very warm welcome to all the people who are a ccessing the event through our live webcast.

We have with us on the stage, our Chairman Shri C.S. Setty at the centre, our Managing Director, Corporate Banking and Subsidiaries, Shri Ashwini Kumar Tewari, our Managing Director, Retail Banking and Operations, Shri Vinay M. Tonse, our Managing Director , Risk Compliance and SARG, Shri Rana Ashutosh Kumar Singh, our Managing Director, International Banking, Global Markets and Technology, Shri Rama Mohan Rao Amara, our Deputy Managing Director, Finance, Shrimati Saloni Narayan, our Deputy Managing Director s, heading various verticals and Managing Directors of our subsidiaries are seated in the front rows of this hall. We are also joined by Chief General Managers of different verticals /business groups.

To carry forward the proceedings, I request our Chairman Sir to give a summary of the bank's Q2 FY26 performance and the strategic initiatives undertaken. We shall thereafter straightaway go to question -and-answer session. However, before I hand over to Ch airman Sir, I would like to read out the safe harbour statement.

Certain statements in today's presentation may be forward looking statements. These statements are based on management's current expectations and are subject to uncertainty and changes in circumstances. Actual outcomes may differ materially from those incl uded in these statements due to a variety of factors.

Thank you. Now, I would request Chairman Sir to make his opening remarks. Chairman sir, please.

– Mr. C.S. Setty – Chairman, State Bank of India

Thank you, Pawan.

Go

od evening, ladies and gentlemen. Thanks for your interest in SBI.

I would like to start by thanking the support of all our stakeholders including our customers, shareholders, employees and the broader ecosystem for supporting us all through our journey. Fairness to all our stakeholders remains at the crux of the bank's c ulture, which in turn has helped us in creating sustainable value and contributing to nation's success.

Global and Domestic Economic Scenario

Let me first start with a brief description of the present global and domestic economic scenario.

The global economic outlook for 2025 presents a picture of modest but uneven recovery. The IMF's World Economic Outlook October 2025 projects world GDP growth at 3.2% in 2025 and 3.1% in 2026, reflecting steady but subdued momentum amid persistent structural challenges.

Regarding inflation, though it has broadly moderated across most economies, the pace of disinflation remains slow.

Against this global backdrop, India's macroeconomic outlook remains one of cautious optimism underpinned by robust domestic demand and easing inflationary pressures. The RBI projects real GDP growth at around 6.8% for FY26 and 6.6% for FY27. Growth is being supported by strong investment activity, recovery in rural consumption and buoyancy in services and manufacturing. The GST 2.0 reforms are expected to boost private consumption and domestic demand.

On banking front, scheduled commercial banks' credit growth is slowly picking up and grew by 11.5% year -on-year. Last year it was at the same level of 11.5%, for the fortnight ended 17th October 2025. While deposit growth remains sluggish at 9.5%, which was 11.7% last year. Going forward, we expect demand for credit to continue in the second half. By looking at the trend, deposits and credit growth of scheduled commercial banks may remain in the range of 11-12% during FY26. However, risks persist from volat ile global commodity markets and potential spillovers from the trade disruptions. Overall, India's near -term outlook is strong, with macroeconomic stability providing space for sustained medium -term growth.

In the above economic backdrop, let me now highlight a few key aspects of the bank's performance in the half -year and second quarter of FY26.

Performance in the half year and second quarter of FY26

Our Q2 FY26 results, and of several quarters before this, underscore a simple point. State Bank of India is compounding on durable structural advantages, scale with discipline, growth with quality, returns with resilience.

The current quarter demonstrates industry -leading credit growth at SBI scale, market share gains in chosen segments such as current account, home loans, auto loans, stable asset quality and disciplined pricing. Our domestic NIMs for the quarter improved by 7 basis points quarter -on-quarter to 3.09%, driven by repricing of deposits. Operating leverage from technology, distribution and procurement.

The flywheel is clear. Our strength in low -cost liability is derived from our brand, customers' trust in SBI and our extensive reach. These advantages allow us to expand liabilities significantly, which are then utilized to finance strategic growth with ca reful pricing discipline. This focus on pricing and robust risk management supports our leading return on risk -weighted assets (RORWA). A well -capitalized balance sheet enables us to achieve top -tier return on equity, which in turn helps in compounding our book value while maintaining stable capital ratios.

In this quarter, we also raised Rs 25,000 crores of equity capital by way of qualified institutional placement with a demand book of more than Rs. 1.1 trillion. This was the largest ever QIP offering in India. We thank our investors for supporting us in th e capital ra ise. The issue was oversubscribed four and a half time

s with significant interest from both domestic and foreign
institutional investors.

What are our strategic anchors ? They are

i) The brand trust and customer value SBI is the reference brand in Indian banking. We earn trust by creating value for customers through transparent, efficient service and optimal pricing across deposits and lending. Relationship depth drives balance stability and lowers risk through cycles.

ii) Institutionalization at scale SBI runs on codified processes in credit, risk, collections, treasury, technology and procurement while allowing innovation at all levels. Execution is consistent and repeatable across businesses and regions.

iii) Fair outcomes for all stakeholders is the third anchor We balance customers, employees, investors and society. Capital is allocated where risk -adjusted returns are sound. We price risk fairly, invest in people and systems and support the real economy while protecting depositors and shareholders.

iv) Fourth anchor is liability franchise strength I think I mentioned earlier also. Our total deposits of 56 lakh crores, CASA deposits of more than Rs. 21 lakh crores with CASA ratio at 39.63% while CASA market share 23% versus overall deposit market share of more than 22%. This granular low -cost funding is a structural advantage and the engine for disciplined growth.

v) And finally, the anchor which I want to mention is leadership where RORWA is attractive We lead by a wide margin in lending and liability products with superior risk -weighted returns. We choose segments where unit economics are strong and price up are de -emphasized where capital is not adequately compensated. We believe SBI is positioned to g row faster than the industry at this scale and to deliver higher ROE than the industry. We will attempt to deepen the liability engine and sustained CASA outperfor mance, allocate capital to high RORWA businesses and maintain pricing discipline, use technology to lower cost to serve and lift service quality and further improve capital terms.

Keeping in view a customer -centric approach, bank has launched project SARAL, I think I did mention it last time also, on the 31st July 2025 , aligning with this year of simplification . n ambitious vision of a complete revamp and redesign of operational processes in our retail banking territory. The aim is not only to re -engineer the existing processes but also to make the bank future ready for the evolving financial landscape and changi ng market dynamics.

So, as we augment and enhance our digital capabilities further, the bank will shortly launch the next version of YONO platform - YONO 2.0, which is not just an upgrade to the previous version but a leap forward in digital banking. With state -of-the-art jou rney designs and supporting tech architecture, our customers can bank with confidence and in a more seamless manner.

Although the current valuations of SBI are a conundrum, considering our return on equity and growth metrics, we are confident that they will eventually align with our fundamental and operational metrics, the institutionalized nature of our business and our market leadership in the coming years.

SBI's path is clear. We will defend and extend the liability franchise, grow faster than industry where RORWA is superior, institutionalize execution and deliver fair outcomes for all stakeholders.

To conclude, I thank you all for your continuous support to the bank. We remain committed to rewarding your trust in us with sustainable returns over the long term. I wish everyone here the best of health and happiness. My team and I are now open to taking your questions.

Thank you very much.

– Mr. Pawan Kumar - General Manager (Performance, Planning and Review), State Bank of India

Thank you, Chairman sir.

We now invite questions from the audience. For the benefit of all, we request you to kindly mention your name and company before asking the questions. To accommodate all the questions , we request you to restrict your questions to maximum two at a time. Also, kindly restrict your questions to the financial results only and no question be asked about specific accounts, please. In case you have additional questions, the same can be asked at the end. We now proceed with the question -and-answer session.

– Mr. Ashok Ajmera – Chairman, Ajcon Global

Congratulations, sir, for your good set of numbers. And I pick up your point which you said our valuation. Here I would like to give some comparison. Our business is now 100 trillion. It's a 100 trillion bank for the first time and congratulations for the same.

– Mr. C S Setty – Chairman, State Bank of India

Thank you.

– Mr. Ashok Ajmera – Chairman, Ajcon Global

As against the banks which we compare of about 57 trillion. But our market cap is only 8.82 lakh crores against the market cap of that bank of 15.14 lakh crores. So even GNPA now almost 1.7 to 1.2, net NPA is only 0.4 - 0.4. The only difference is now in I think ROA. But for that, whether we should be so undervalued as compared to with a price to earning of almost 22 and here 11 – 11.5. So definitely we deserve much higher valuations on our working and the way you said on the fundamental structures, our dig ital existence in the road map, definitely we deserve much higher valuations. And compliments to you and your entire team for the same.

Having said that, sir, in this quarter particularly, I think but for that exceptional item of I think Yes Bank sale of shares of 4593 crores, we are down in our operating profit and net profit substantially. Now one item which I have noticed is that while the exceptional income in the standalone is 4593 crores, in the consolidated it is only 3000 crores. So, it means one of the subsidiaries also booked a loss of, exceptional loss or some or the subsidiaries or may be associate businesses. So, I would like t o know about that, what is that?

And sir, profitability, of course, you already said, replied.

Then, there was a report and recommendations which I read in the newspaper, even your own statement also that you all appeal to the RBI for making funding available for the corporates, at least listed corporates for M&A activities and the capital. So, on t hat any progress, further progress, are we moving in that direction? And is there any immediate positive result going to be there because of that?

Then also this quarter we have little bit fallen short in the recovery and upgradation numbers also which are almost 55 or 60% lower, I mean 40 -45% lower than the last quarter. So, some colour on the recoveries.

And one last is that the treasury has been a biggest, which, of course, in some of the other banks also, so if you look at the segment wise results, our treasury profit has gone down by almost 50% from 8082 crores to 4011 crores. So, going forward for the next two quarters for FY26, how do we look at it? With, of course, second half is expected to be little better and maybe 20 bps more rate cut might come in.

So, these are my few questions and some observations.

You are very comfortable on SMA, NIM is good. So, there is nothing much on that.

And last as generally I ask is that in the first six months our credit growth is only 3.88%. Though annualized basis you can say it is 12%. But to get that 12%, we will have to disburse the loan of 3,07,000 crores in the remaining five and a half months or maybe six months, if you take it. So how do we plan to achieve those target numbers, targeted numbers? What is the sanction pipeline or some activity which might have been done in last one month?

So, these are the first round of my questions and obs

ervation.

– Mr. C S Setty – Chairman, State Bank of India

First round, is it? Okay. Thank you, Ajmera saab, for your compliments. On the consolidation number, I think they will clarify that number.

The net profit on the transaction is not 4593, it is lower than that - post tax. But they will clarify in terms of what are these consolidation numbers.

As far as the M&A activity is concerned, more than the opportunity in the M&A transactions, it is a confidence which the regulators have reposed in us as Indian banking system. Indian banks were not allowed to fund the local M&A transactions for so long. A nd the current guidelines are a matter of trust in the banking system. And as far as what SBI, obviously SBI has been doing outbound M&A activity financing for quite some time, this is not new to us. And we will definitely take up the suitable transactions . But current guidelines are basically draft guidelines, we have to get the final guidelines and to take up any transaction. But in the meantime, we are setting up our teams to ensure that they are ready when the guidelines are released.

As far as recovery numbers are concerned, I think recovery in written -off accounts, I think we have done fairly well in this quarter. You want to add anything?

– Mr. Rana Ashutosh Kumar Singh – Managing Director (Risk , Compliance and SARG), State Bank of India

Yes sir. So, upgradation and recovery, so its figure is combined. So, if you see the slippage itself in the previous quarter is much higher. So, if you compare it, this number is better.

And AUCA recovery, Chairman's guidance was 2000 crores per quarter, we have done 2400 crores and the guidance continues.

– Mr. C S Setty – Chairman, State Bank of India

And the treasury gains, Ram, you can.

– Mr. Rama Mohan Rao Amara – Managing Director (International Banking, Global Markets & Technology), State Bank of India

Yes, I think your observation is correct. If we exclude the exceptional item, I think Q2, the trading profit is almost 50% of Q1. But we need to be reminded that Q1 has that OMO operations from RBI and switch operations were also there, which is available to the entire industry and we have made use of, which was not available in Q2. So, that was the reason why I think that the same performance we could not repeat.

But there are several, I think strategically we are doing several things. We are taking larger positions in trading portfolio and we do have certain investments, which are like depending on the opportunity, depending on the price that is available, we will continue to offload. So, that way, we are reasonably confident that a large portion of this, whatever we have performed in Q2, we will be able to repeat in Q3 as well. We do not have any losses. Rather, our AFS reserve has increased actually quarter on qu arter. There is no MTM loss.

– Mr. C S Setty – Chairman, State Bank of India

But one thing I would like all of you to look beyond the net profit number. Obviously, the Yes Bank transaction aided us to post a good number in a difficult treasury quarter.

I think what we have focused on, that how do we balance your resource cost. If you have seen the cost of borrowings as well as cost of deposits have come down and we not only have focused on reducing the reliance on the wholesale deposits, where the market was going berserk in terms of pricing those deposits, we stayed away from there.

Number two that we focused on the daily average balance improvement in the current account and savings bank account. And that has contributed to the reduction in the cost of deposits and cost of resources. So, your NIM uptick is basically on account of tha t, despite that 100 basis point reduction in the interest rates and asset side.

Just to answer your credit growth, the pipeline I think Mr. Tewari will answer. The credit growth is secular, if you see from the Q1 itself, we have had almost 1 to 2 percentage point increase across the business segment, whether you take retail perso nal, agriculture, SME, corporate for the first quarter after March '25, we have reversed the trend and have posted a good 7.1% credit growth and with the pipeline what we have the visibility of at least reaching 10% corporate credit growth in the next two qu arters.

Would you like to supplement something?

– Mr. Ashwini Kumar Tewari – Managing Director (Corporate Banking and Subsidiaries), State Bank of India

Yes. So, the pipeline is 7 lakh crores, 7 trillion, which is a consistent number across quarters, half of it is already sanctioned and awaiting disbursement and half is in the discussions.

And the other point which has to be made is in Quarter 1 and also in Quarter 2, we had a lot of payments which were a result of either a large IPO being raised or equity raised which was used to repay loans or sometimes converted to bonds as well, couple o f airports were like that. And then there were also the large payments done by some of the government entities which got cash up front. So, these were the reasons, but as Sir has said that we would expect a much better performance in Quarter 3, the negativ e growth has been reversed. So, we look forward to a better performance.

– Ms. Mahrukh Adajania – Executive Director (Equity Research), Nuvama
Hello, Sir. Congratulations.

Sir, I just had a few questions, firstly on margins. So, what has been the interest on tax refunds this time for the quarter? That is the first question.

And the second question is that usually there is a seasonality in your miscellaneous operating expenses in the second quarter. This time it looks higher maybe because of a low base. So, if

you can give the breakdown of those miscellaneous operating expenses for this quarter and the previous quarter. So, Q2 -26, Q1 -26 and Q2 -25, so that will really set everything clear.

And just the last one in terms of CASA, if you could give the average CASA growth, you said your average daily balances have been good. So, any growth numbers you could share.

– Mr. C S Setty – Chairman, State Bank of India

So, in terms of margins, interest on tax refund is miniscule, some 2 00-300 crores or something, that is not a big - 340 crores. So, that is not contributing significantly to the margins. And on the seasonality, miscellaneous operational expenses, you can.

– Ms. Saloni Narayan – Deputy Managing Director (Finance), State Bank of India

The major head here is actually GST on expenses, which was 662 crores in Q2 of FY25. It is 1180 this year, this quarter. Last quarter also it was 588. So, there is a large difference there.

Apart from that, actually software expenses for software.

– Mr. C S Setty – Chairman, State Bank of India

Not many items.

– Ms. Saloni Narayan – Deputy Managing Director (Finance), State Bank of India

These are very small. Of course, they aggregate to a large number, but actually individually they do not add up so much. Main thing is this.

And the next is the mobile banking.

– Ms. Mahrukh Adajania – Executive Director (Equity Research), Nuvama

But GST, why such a big drive?

– Ms. Saloni Narayan – Deputy Managing Director (Finance), State Bank of India

GST on expense, that we have, we recover and pay, that is taken on both sides.

– Mr. C S Setty – Chairman, State Bank of India

Yes, you get input tax credit also.

– Ms. Mahrukh Adajania – Executive Director (Equity Research), Nuvama

Got it .

– Mr. C S Setty – Chairman, State Bank of India

Daily average balance we will give separately.

– Ms. Mahrukh Adajania – Executive Director (Equity Research), Nuvama
Thank you, sir.

– Unkn

own Participant

Hi, sir. Sir, thanks for the opportunity. Sir, congrats on very good numbers.

Firstly, we did a very good job in recovery from written -off in this quarter. It was almost double quarter on quarter. So, how much of that would be parked into interest income , this quarter versus last quarter? So, there is some apportionment which happens, right?

– Mr. C S Setty – Chairman, State Bank of India

Not much.

– Unknown Participant

Not much, okay.

– Mr. C S Setty – Chairman, State Bank of India

Most of that is gone into the P&L directly.

– Unknown Participant

Understood, sir. And sir, on ECL, as in, sir, your initial assessment would help and given SMA 1 and 2 would be charged at 5% odd as per the proposed guidelines. So, would we see an inch up in credit cost on a sustainable basis after the implementation of ECL guidelines?

– Mr. C S Setty – Chairman, State Bank of India

So, I think on the ECL front, we need to be a little patient. I did mention earlier that the impact on our balance sheet would be limited for two reasons. One is the long road map which is given while we have to assess overall expected credit loss requirem ent on the 1st of April '27, we will have time up to 31st March '31 to take that, and we want to utilize that road map which is going to be given to us. So, which means that the impact is going to be not significant. And we will wait for the final guidelin es, to come to you what would be the impact and how we would like to handle it. As I mentioned, whatever is the impact, we are going to take that 4 -year road map which is given to us and to ensure that the balance sheet is not impacted in one go.

And the second thing is, yes, the major impact would come from the SMA 1 and 2 which are not significantly provided now. We do have some buffers as shown here on the excess provisioning on the standard assets. What we believe that the impact can be reduced by strengthening our collection mechanism. Today, the rollbacks in SMA 1 and 2 are significant for us. They are temporarily SMA 1 and SMA 2. So, while we are presenting to the regulator that in terms of the rollback, frequent rollbacks of this category do es not require such high flow rates on the ECL, but there are so many other things which we need to present to them. So, I do not want to comment at this juncture, but structurally what we are focusing is strengthen our collection mechanism.

Today, in our retail side, 70% of the collections happen automatically. It is just sweeping from savings account to the loan account. Over the years, we have focused on this rest of the 30% where the delays happen. The delay is not necessarily that the cus tomer is delaying, it is also because salaries get delayed. We are trying to see how do we address this category.

Structurally, we will be strengthening our collection mechanism intensely so that you know we will not have SMA 1 and 2 situations. They are not bad assets except that they just roll forward and roll backward frequently. We need to address that issue.

So, ECL I think is too premature to talk about the impact at this juncture.

– Mr. C S Setty – Chairman, State Bank of India

I gave a little longer answer so that again this question on ECL does not come.

– Unknown Participant

Thank you so much. Sir, just one last question.

Sir, your borrowings as of 12% quarter on quarter and there has been a very sharp improvement in interest expense on borrowings, it has come down from 6,000 to 4,000 over the last year. Sir, any insights there would be helpful. And, was this 60,000 crores of incremental borrowings back ended, any color there? Thank you, sir.

– Mr. C S Setty – Chairman, State Bank of India

The second part I did not understand but the interest on borrowings is a market function. As the liquidity improved and the rates

have moderated, I think the costs have come down.

What was your second question?

– Unknown Participant

Sir, the borrowings we show like 12% quarter on quarter inch up. I just wanted to understand if it was back ended or just through the quarter.

– Mr. C S Setty – Chairman, State Bank of India

Borrowings, overall borrowings?

– Unknown Participant

Yes.

– Mr. C S Setty – Chairman, State Bank of India

Anything, Ravi, you want to say?

– Mr. Ravi Ranjan – Deputy Managing Director (Global Markets), State Bank of India

Throughout the quarter, the liquidity was in surplus. So, borrowings were very few. Only in the last week of September we had to do some borrowing. That is why the price is low.

– Ms. Saloni Narayan – Deputy Managing Director (Finance), State Bank of India

And interest on borrowing has also gone down by 26% this year. While we have borrowed less, the cost has also gone down.

– Mr. Jai Mundhra – ICICI Securities

Hi, sir. This is Jai Mundhra from ICICI Securities. Sir, question on your NIM trajectory. So, this quarter was supposed to be tough for NIM because you had the residual impact of 50 basis point rate cut. But you have done phenomenally well. The margins are up. Now going ahead, sir, you would have some tailwind from continued repricing on borrowing, maybe CRR benefit, of course. And then on the opposite side, you may have some MCLR deceleration.

So, on balance, sir, would you believe that MCLR deceleration would be more than offset by TD repricing and maybe CRR benefit? And NIM should inch up from here at least the same way what we have seen in Q2 or they can be slightly even better. What would be your sense, assuming there is no further rate cut.

– Mr. C S Setty – Chairman, State Bank of India

Yes, that is the last one which you mentioned. The caveat is that if there is no rate cut in December, we believe that. I did mention about the U -shaped curve of the recovery of NIM and slightly front loaded on the Q2 because of our liability management, bett er liability management, both on cost of deposits coming down and cost of borrowings come down. Yes, there are some definite tailwinds, how much it plays out, we will have to see. Obviously, the CRR full cut benefit will be available by the end of November . So, that will give some pickup on the net interest margin side.

We will continue to focus on the CASA. CASA is very critical component in terms of bringing down the cost.

Fixed deposit repricing generally takes about 12 to 14 months. That means, you know, we are, we have completed 6 to 8 months, another one or two quarters. The repricing will continue to be there on the stock. The flow is not getting too much repriced becau se I do not think any of us would be relooking at adjusting the fixed deposit rate of interest unless there is a rate action by the RBI. So, our guidance still stands good that we will be above 3% in Q3 and Q4.

– Mr. Jai Mundhra – ICICI Securities

And, sir, on your core fee, so this has been up 25% and there is a decent 30 -31% growth in remittance and processing fee. Is this volume only or you have, you know, done some fee structure change also because for the last 3 -4 years.

– Mr. C S Setty – Chairman, State Bank of India

It is purely volume. I think it is mainly coming from the debit card spends and interchange fee which we got on the debit cards, very significant amount. Uptick, I do not know whether it is sustainable or not.

One is the cards issuance itself has gone up. But that is a function of how many savings accounts we open. But I think the spends have gone up and the interchange fee on the debit cards has gone up. It is not about fee structure being changed. It is just v olumes have contributed.

– Mr. Jai Mundhra – ICICI Securities

Last question, Sir, on YES Bank transaction, so o

ther banks which have sold the stake, they had very small stake but they have routed it through reserves, right. We have shown in P&L, so any insights that you can offer? Plus, the residual stake which is th ere, so as per my, I mean,

the plain reading of RBI circular stated that MTM you can actually route either through reserves or through P&L. So, you have done the P&L for the realized amount, this is my understanding, but the unrealized understanding could you have done or that is st ill pending?

– Mr. C S Setty – Chairman, State Bank of India

Unrealized, we will not do because we have a significant control by having a board seat there, which means that we do not have to. We are not using the MTM on the residual portion. So, on the other transaction, would you like to explain in terms of YES Ban k transaction? Or even CFO can explain.

– Mr. Kameshwar Rao Kodavanti - CFO, State Bank of India

We were holding this as an investment in associate, Sir, and stake sale which was sold is Mark - to-market. As per RBI guidelines we have done.

– Mr. C S Setty – Chairman, State Bank of India

So, we followed the same regulatory process. The one which is actually realized is routed through the P&L and unrealized we continue to not to a Mark -to-market because of our control which is still there by way of board seat.

– Mr. Jai Mundhra – ICICI Securities

Sir, on the same logic, I mean, does this new guidelines actually creates less quality in P&L? Because if there is an MTM loss on bond it will not be part of P&L, right, but if you realize then, of course, it will come in P&L. So, in a way, these new guide lines makes P&L less volatile, especially at the time of hardening of yields. Is that a right understanding?

– Mr. C S Setty – Chairman, State Bank of India

I do not in terms of the corporate bonds?

– Mr. Jai Mundhra – ICICI Securities

Yes, Sir. G Secs Bond.

– Mr. C S Setty – Chairman, State Bank of India

G Secs , yes.

– Mr. Jai Mundhra – ICICI Securities

Okay. Thank you and all the very best, Sir.

– Mr. C S Setty – Chairman, State Bank of India

That was the purpose of that, Yes.

– Mr. Anand Dama - Emkay Global

Sir, this is Anand Dama from MK Global. Sir, my question was related to your Xpress credit. So, last quarter you said that incrementally we will see growth coming back in that, so are we on to it? Now, we will see further acceleration in the second half of the year? Are you getting more comfortable in terms of the asset quality over there? If you can comment on that.

Plus, the mortgages. So, obviously, we are growing at a relatively faster pace versus the peers, can we see further acceleration on that front and that basically should fuel the growth target basically which we have increased now from 11% to 13% or 12% to 14%?

– Mr. C S Setty – Chairman, State Bank of India

So, the 12% to 14% guidance is across the segments, not necessarily Home Loans. Home loans 15% is a good growth, while we may have potential. See, in case of Home Loans, our catchment is fairly large. We have set up more than 425 Home Loan centres across the country processing only the specialized sales only for Home Loan processing. And our acquiring the customer is also robust. So, that is contributing to the Home loan growth, But I think 15% -16% growth, I would place that, as the portfolio grows, 14% -15% stability will be achieved there.

And Xpress credit is one segment we would like to further grow. Currently, we expected this Xpress credit to reach double digit. We were wishing for that but the Gold loans, I think, some movement is there from Xpress credit kind of customers. Unsecured Personal loan is moving to secured Gold loan because the amount of Gold loan is higher now be

cause of the value and
the lower rate of interest, I think contributing to that. As the gold prices moderate, we hope that Xpress credit will grow. But our sanctions and disbursements have been very significant in the Xpress credit. It is a high churning product, you need to constantly acquire the customer.

– Mr. Anand Dama - Emkay Global

Sure. Sir, the customer segment is similar particularly when you look at your Xpress credit and Gold loans because otherwise why would that shift happen?

– Mr. C S Setty – Chairman, State Bank of India

Some overlap is there. Some of those non-CSP customers, that is Corporate Salary Package customers only will take the Xpress credit. Non -CSP customers could be the Gold loan customers but fair amount of customer base of Gold loans may not be the common customer base.

– Mr. Anand Dama - Emkay Global

Sir, secondly on your overseas credit, so that book also is now growing pretty fast. You said that you are more focused on the RoRWA based lending.

– Mr. C S Setty – Chairman, State Bank of India

Yes.

– Mr. Anand Dama - Emkay Global

How does the overseas corporate book lending places, particularly in terms of the RoRWA, versus domestic credit? Is it not dilutive in terms of the RoRWA?

– Mr. C S Setty – Chairman, State Bank of India

Foreign book growth rate in dollar terms is just about 8.7%. What you see 15% growth rate because of the rupee depreciation, when we convert into rupees. So, our IBG, our International book growth, is opportunistic. If we see the good value, we will do that. Otherwise, we'll just ramp down . In the past also we have demonstrated. In quarters where we feel that pricing is not attractive, we just ramp down that. So, we will be comfortable. I think the IBG book constitutes about 15% of our credit portfolio, I think that is the level which we wo uld like to maintain.

– Mr. Anand Dama - Emkay Global

Thank you, Sir.

– Mr. Sushil Choksey – Indus Equity Advisors

Sir, Sushil Choksi from Indus Equity. Congratulations on all your milestones. Sir, first question, recent event of the newspaper you highlighted that you have ■5,500 crore of human resource spent for training. And, second thing you highlighted, you would n ot spell out or SBI doesn't talk on digital spend what they do on the CapEx side on annualized basis. Can you elaborate on that ■5,500 crore which is?

– Mr. C S Setty – Chairman, State Bank of India

■550 crore.

– Mr. Sushil Choksey – Indus Equity Advisors

■550 crore. How does it enable our bank, the performance speaks for itself. So, the steps what you have taken for today and with cybersecurity and many other measures which are required, how are we going to be future enabled with all these measures?

– Mr. C S Setty – Chairman, State Bank of India

So, this spend on training is significant for us because most of the people who join SBI are not bankers to start with. We take mainly from the people who are writing exam and joining the bank, whether it is a clerical position or officer position, but the ir career path are defined and we prepare them for various assignments, as you are familiar with. And this training system today has two components –

• We have one of the largest physical training systems in the country. Almost 55 training colleges and centres are available.
• The second important element which we have done, while this physical training are important to bring people together, exchange of ideas happen, we have launched what is called SPARK . This is a digital platform and not only provides online training for across the section, they can choose their training package. We have international agencies providing the inputs along with our own input.

But, more importantly, we are creating a skill inventory and based on the skill inventory the job profile is defined and

where people want to go and every training modules are available in this SPARK , the knowledge base, which we have created and we are using AI extensively to offer what they are looking for and they can build their own training module. So, a combination of physical training, on the job training and online training aided by the AI is going to be the way forward. And, as you mentioned, I thi nk we are also having a specialized training, job families, so that the specialized areas of treasury, technology are constantly improved.

We have for the first time had undertaken the largest technical recruitment of 1500 people and these are the people who have not come from the market, they are from colleges and people who first time are entering the technical jobs and we have completely c reated a training module for them internally and these are some of the investments which we are making so that we have the industry best attrition rate. I think we have less than 0.5 % attrition rate because of our investment in human resources.

– Mr. Sushil Choksey – Indus Equity Advisors

You churn out a lot of CEOs and top management people from many other entities. So, you answered for new recruits but the top layer of SBI management, you've specified in that event about IIMs, Harvard and MIT various other things.

– Mr. C S Setty – Chairman, State Bank of India

Yes.
– Mr. Sushil Choksey – Indus Equity Advisors

So, these initiatives, what you spend is immaterial, but what makes the bank capable for future ready like AI? You may not spell out the digital CapEx number or annual digital number, how are we transforming from current? Like you said YONO 2 is going to c ome up, now you have set up a global capability centre or you can say back office in Delhi where your agriculture and other products and lot of other things, initiative whether your retail credit processing and this back…So, you have a 24/7 working bank, i t is not necessary you have to only do within the bank and the cost will be far lesser and productivity may be large there. So, the initiative which you are enabling today because your profit numbers can support any kind of future projections which you wan t to make.

– Mr. C S Setty – Chairman, State Bank of India

Absolutely. I think, today we made a big beginning. I do not know whether I have mentioned to you, we had 17 trade finance processing centres in the country, 17 of them. We have moved to 2 global trade finance centres , one in Calcutta and Hyderabad, which is completely digital. And across the country the global trade finance is handled by these centres . This is a beginning of our centralization aspect. And the project SARAL, which I mentioned in my speech, the simplification project has 4 elements –

1. One is you identify a process and simplify it.
2. After simplification if it is possible, automate it.
3. And if possible centralize it and
4. Fourth element is that if it can be outsourced, you outsource it.

This is the new paradigm. When you are looking for doubling your balance sheet every 6 years, the scale what we have, this scale requires out -of-the box thinking and this is what we are going to do through the project SARAL. And if Project SARAL believes that a centralization by way of global capability centre is the need, we will definitely look at it.

– Mr. Sushil Choksey – Indus Equity Advisors

Sir, SBI as a parent has achieved many milestones and will continue to figure with much higher milestones in years to come. We have very formidable subsidiaries, so I am not critical of the performance, but when will you find those milestones visible where SBI Mutual Fund is the largest, I understand, SBI Cards is concerned, lot of concerns and ups and downs keeps coming, SBI Trusteeship, SBI Capital Markets, Insurance, it is under penetrated market. Now,

the amount of CASA customers you have, I am sure your fees can be 5 times then where it is today. So, to improve all these areas, what enabling steps or how are we going to improve upon that? Consolidated number, some of the members are saying we are not p erforming up to the private bank, possibly we are not listed on ADR , maybe one answer, maybe you are holding now, you have given a QIP done but these underlying assets have much more strength than what we are showing today, how does it take to the next lev el?

– Mr. C S Setty – Chairman, State Bank of India

So, in case of subsidiaries, as you see, SBI Life Insurance today is the largest private insurance company. And in case of SBI Card, as a standalone card company, the performance is always under the focus. We are working on that in terms of addressing the asset quality issues, in terms of the spends, in terms of the new card issuance. I think many things are being done in the SBI Card. AMC, as you mentioned, is the largest AMC in the country. And General Insurance is moving up the ladder and has a great pot ential in terms of the Non -Life Insurance Company. Merchant Banking Unit of SBI Caps is a different ball game altogether, I do not think we should be looking at the valuation there.

But among these four major subsidiaries, we definitely would be looking at, as I mentioned several times, SBI AMC and SBI General are right candidates for listing in our stable. It also provides some value unlocking and, more importantly, value recognition for the industry. We would soon be working on that.

It is also important that SBI conglomerate is leveraging One SBI value, One SBI in the sense that if any customer walking into SBI branch, he is provided the gamut of services which manufactured by the conglomerate itself. And that has been successful, yes . If you see our cross sell income but more important than income, we are trying to provide one -stop-solution for our customers. So, we will continue to do that. Yes, we can do better, we can do more and we will definitely work on them.

– Mr. Sushil Choksey – Indus Equity Advisors

So, does it mean that CASA customers we are able to sell 5 products, 3 products, 4 products?

– Mr. C S Setty – Chairman, State Bank of India

So, our PPC at this juncture is about 3.5.

– Mr. Sushil Choksey – Indus Equity Advisors

Can we be at 5?

– Mr. C S Setty – Chairman, State Bank of India

We can definitely move to 5.

– Mr. Sushil Choksey – Indus Equity Advisors

Okay. Sir, moving back to, today RBI is indicating that deposit rates have stabilized, so how do you see the environment at least for the current year? Second thing, Rupee is little volatile and G-Sec is also volatile, so what is your outlook on the next 6 month s on that?

– Mr. C S Setty – Chairman, State Bank of India

What did you ask in deposits?

– Mr. Sushil Choksey – Indus Equity Advisors

Deposits have stabilized, the rates have stabilized?

– Mr. C S Setty – Chairman, State Bank of India

Yes.

– Mr. Sushil Choksey – Indus Equity Advisors

That's what about RBI article said.

– Mr. C S Setty – Chairman, State Bank of India

I think the deposit rates have stabilized. Further deposit repricing or recalibration will only happen if there is any monetary, I mean, Repo rate action. Otherwise, I think more or less the deposit rates are stabilized. As far as Treasury related, you can just comment.

– Mr. Rama Mohan Rao Amara - Managing Director (International Banking, Global Markets and Technology), State Bank of India

I think your question is around the G -Sec, where it is going to be in 10 years.

– Mr. C S Setty – Chairman, State Bank of India

G-Sec and Rupee both are…

– Mr. Rama Mohan Rao Amara - Managing Director (International Banking, Global Markets and Technology)

, State Bank of India

I think we have seen lot of volatility and also specific actions from RBI where they convey to market that they are not comfortable at certain yields. So, that messaging happened by way of cancelling some auctions. So, that was taken out by the market on t hat particular day when the yields came down by around 4 -5 basis points. I think it is now range bound. We feel like the range can be 6.2 -6.65 kind of range for the 10 -year G -Sec. It is just an internal house view.

– Mr. Sushil Choksey – Indus Equity Advisors

Yes, the last question. Again, government may have to push up bigger ticket CapEx way infrastructure because you are seeing some noise being made about nuclear tie -up, hydrogen and many others and SBI CAPS have come out with lot of reports on solar, hydrogen. So, solar integration more on backward going up to polysilicon. So, these larger ticket sizes are moving up. There is no more 1000, 2000, these are 10,000 -20,000 proposals. Are we getting any sense for next year, if not for this year, of some kind of a discussion on a pipeline coming up?

– Mr. C S Setty – Chairman, State Bank of India

From the government side?

– Mr. Sushil Choksey – Indus Equity Advisors

Government and private side.

– Mr. C S Setty – Chairman, State Bank of India

Private side I think we have a very robust pipeline. Our aggregate corporate credit pipeline is around ■7 lakh crores. So, this is a mix of working capital underutilized and term loans under disbursement. The new projects which are being discussed, so both in the public sector and private sector, but predominantly private sector. So, that pipeline is very strong.'

And this pipeline, a part of it will get converted into reality this year and there will be a spillover to the next year in some of the projects.

– Mr. Sushil Choksey – Indus Equity Advisors

You indicate that there is positivity on private CapEx.

– Mr. C S Setty – Chairman, State Bank of India

Yes. Not necessarily across the sectors but most of the sectors, yes.

– Mr. Sushil Choksey – Indus Equity Advisors

This new policy about capital market funding and M&A, the yields on capital markets are much higher than Home loan and Car loans and any other loans which you might be disbursing today, at least from the other banks, and the M&A activity, can we build a ■4 0,000 -■50,000 crore book overnight on this?

– Mr. C S Setty – Chairman, State Bank of India

I think the draft guidelines put some cap on that, 10% of capital.

– Mr. Sushil Choksey – Indus Equity Advisors

Capital market is possible to support.

– Mr. C S Setty – Chairman, State Bank of India

Capital market, yes. I think we have done one product, which is a loan against mutual funds. We have never been active on loan against shares. While we have adequate room on the capital market exposure, there is underutilized , room available there. We will see. I think we need to assess our own risk appetite for this kind of activities. And also, I think most of these activities also have to be end -to-end digital. Unless we get that right, we will not be moving there.

On the Capital Market broker side, I think we have significantly scaled up that.

– Mr. Sushil Choksey – Indus Equity Advisors

Sir, Share advance can be 10% yield on current conditions. And, second thing, YONO 2 can plug in.

– Mr. C S Setty – Chairman, State Bank of India

Yes. So, we will develop that product mostly on the self -consuming platform.

– Mr. Sushil Choksey – Indus Equity Advisors

Good luck for many milestones for the year to come. Thank you.

– Mr. Pawan Kumar - General Manager (Performance, Planning and Review), State Bank of India

Due to paucity of time, we will take up two more questions followed by a few questi

ons coming
in through online webcast, which will be addressed by the Chairman Sir.

– Mr. Kunal Shah , Citigroup

Yes. Hi, Sir. This is Kunal Shah from Citigroup.

So, firstly, with respect to standard asset provisioning, almost ■1,200 odd crores and this is after some release from the restructured account of ■1,100 odd crores against ■1,65,000 crores of increase in the loan book. So, is there any accelerated provisi oning which has been done towards the standard assets during the quarter?

– Mr. C S Setty – Chairman, State Bank of India

There is no accelerated provisioning.

– Mr. Kunal Shah - Citigroup

Some additional standard asset provisioning, it seems to be a slightly higher quantum.

– Ms. Saloni Narayan - Deputy Managing Director, Finance, State Bank of India

Yes, for 2 accounts, actually, we have done some DCCO extension.

– Mr. C S Setty – Chairman, State Bank of India

This is basically whenever there is an extension of Date of Commercial Production, there is a requirement of making provision. And some of the reversals what you see also were related to the DCCO.

– Ms. Saloni Narayan - Deputy Managing Director, Finance, State Bank of India

That also has happened .

– Mr. C S Setty – Chairman, State Bank of India

The moment DCCO is achieved, the provision gets written back. So, there has been some write back and there is an additional provision which is made where the DCCO dates are extended.

– Mr. Kunal Shah - Citigroup

And that quantum was on couple of accounts?

– Mr. C S Setty – Chairman, State Bank of India

I think ■750 crores or something, additional provision.

– Ms. Saloni Narayan - Deputy Managing Director, Finance, State Bank of India

■200 crores was write back, Sir. So, ■500 odd crores.

– Mr. Kunal Shah - Citigroup

Net was ■550 odd crores?

– Mr. C S Setty – Chairman, State Bank of India

■550 crores.

– Ms. Saloni Narayan - Deputy Managing Director, Finance, State Bank of India

Yes.

– Mr. Kunal Shah - Citigroup

And the second question is on subsidiaries. So, monetization, as you indicated, SBI Mutual Fund and SBI General, so what would actually trigger that decision? The capital market environment is conducive, market sentiments are good, so should we expect it s ooner? Or maybe we have just done the fundraise very recently, so we would want to wait for some time and then explore that option?

– Mr. C S Setty – Chairman, State Bank of India

We are not waiting because we have done the QIP. I think we need to just look at, see, one is, as I mentioned earlier also, that these two companies do not require capital at this juncture. Neither the parent requires because we just raised ■25,000 crores. But we are serious about listing them and respective boards will take a call in terms of the timing, quantum. The reasons whatever you mentioned, all of them are applicable.

– Mr. Kunal Shah - Citigroup

Thank you, Sir.

– Mr. Piran Engineer – CLSA

Can I go ahead or…?

– Mr. Pawan Kumar - General Manager (Performance, Planning and Review), State Bank of India

One last question, please.

– Mr. Piran Engineer – CLSA

Okay, I will squeeze in 2. Sir, this is Piran Engineer from CLSA. On Project SARAL, how do we like measure what the outcomes will be and what the timelines would be? That is point number one. Point number two, in our current account ratio we have seen like a steady improvement for the last 4 -5 quarters. It is growing faster than the overall deposits. Just some flavour on what is going on there. Are we gaining market share in terms of accounts or higher wallet share of

existing customers, more retail SME push? What is going on there? That is it and congrats on the good quarter.

– Mr. C S Setty – Chairman, State Bank of

India

Yes. The second one, I think, I did mention in terms of what we are doing on the CASA side. One is, you are all very familiar that when we open Savings Bank account we do not have minimum balance requirement. That is USP of SBI and we were the first bank not to charge on the minimum balance not being maintained, which also means that the customers who have the ability to fund the account also many a time do not fund. So, we have started a large -scale campaign to educate our staff who are opening the account that you politely ask the customer that whether you can fund the account. Today, the simple nudge has ensured that 70% -75% of such account get funded within 45 days, which means that your balances are going up. Otherwise, which would have remained unfunded for a long time. That is on the Savings Bank side.

And on the Current Account side, I think our focus on Business Current Account and focus on ensuring that you give the different variants of Current Account to business customers based on the balance maintained, which is the usual stuff everybody does, but we have intensified our effort in terms of providing services which are linked to the balances which are maintained. And this has helped us and we have opened lot of, you know, a few transaction banking hubs which were primary owners of opening the Curren t Accounts and ensuring that a solution is given not merely opening an account. That is also contributing to CASA daily average balances going up.

And we did acquire market share in the current account.

– Ms. Saloni Narayan - Deputy Managing Director (Finance), State Bank of India

185 bps.

– Mr. C S Setty – Chairman, State Bank of India

Yes. So, it is a significant market share acquisition there. And mind you, that the largest Current

Account balances are with us and growing on that is important. And the Savings Bank account, another thing I would like to say, in the overall deposit const ruct what we have told all our Regional Managers, we have more than 730 districts in the country and in many districts SBI, you will be surprised, have market share more than 60% in deposits. But we said that despite whatever dominant market share you have , the focus is at least get 1% additional market share. Get additional, acquire market share of 1% irrespective of what is our market share in that district. That is also contributing to the Savings Bank growth rate.

I think these are a few things. There are many strategies which we are adopting but there are two things which I wanted to call out.

And on the Project SARAL, I think the primary aim of Project SARAL is to reduce the drudgery at our branches. Whatever we talk about technology, digitalization, this is a bank which we would like to position as Digital First, Consumer First or Customer Fir st, which means that we would like to leverage our large physical presence and large employee base to provide that human touch. But many a time the branches are overcrowded, you know, people are not able to spend enough time with the customers. We would li ke to focus on reducing that drudgery. So, the outcomes could be taking some time. Ultimately, of course, it has to be measured in terms of whether it is adding to my productivity, reducing my cost. Definite outcomes are defined there but we will not be di scussing them at this juncture. Probably, the first drop from this Project

SARAL is 1st of April'2026, I think April quarter we would talk more about what are those benefits we are getting out of this project.

– Mr. Piran Engineer – CLSA

Thank you, Sir.

– Mr. Pawan Kumar - General Manager (Performance, Planning and Review), State Bank of India

We have a few questions coming in through the online webcast, now these will be addressed by the Chairman Sir.

– Mr. C S Setty – Chairman, State Bank of India

Yes, first questi

on from Kiran Shah - Written off account and recoveries from accumulated written off. Recoveries from written off accounts, as we have presented here, ■2,483 crores. This question on the, you know, what is that technically written off portfolio is likely to give recovery rate , I think we discussed earlier also. We place it around 6% -8%. We started saying about 10% but as the security value is coming down, you know, based on the security value and accumulated written off accounts our recovery rates are likely to be around 8%.

Tapabrata Dutta - On slippages and portfolio quality in Xpress credit. The GNP A is showing a sharp rise, any signs of concern there? It is not showing any sharp rise. I think quarter to quarter it has come down, if I remember correctly. So, as the denominator, the portfolio increases. In absolute terms, there is no major concern in t erms of the Xpress credit.

Abhishek Kumar - Gross NPA and AUCA book position, Gross NPA as on 30th September is ■76,000 crores and AUCA is ■1,63,000 crores.

Ujwal Kumar - SBI should implement Tab Banking for onboarding of customer, either individual or non -individual. Why is SBI not taking such initiative? I am glad to announce that Tab Banking we have launched last quarter. And this Tab Banking is launched initially for t he Corporate Salary Package customer onboarding and as we fine -tune that , and a good number of customer accounts are being opened on the Tab Banking. So, the first phase we launched on the 1st of July, 2025. This onboarding journey takes just about 5 -7 min utes because most of the customer data is collected from various sources. Similarly, in the Current Account also we have already started Tab Banking.

Ankit Ladhani from IndusInd, Nippon Life - Any guidance on NIM? I think we have talked enough on the NIM. And we still are holding that our guidance, long term NIM above 3% through the cycle.

Ashish - Can you provide a share of MCLR, EBLR and other loans in Advances? As on 30th September EBLR is 31%, MCLR is 29%, fixed rate is 22% and T -Bill linked is 15%.

Tarun Lala - What amount has been earmarked for pension provision? The pension provision for HY26 is ■6,672 crores, for the quarter it was ■3,525 crores.

Prashant - Which sector industry has maximum proposals in pipeline? This is a little diversified. I think pipeline is both in terms of capital expenditure and as well as NBFC portfolio. So, from a capital expenditure point of view, power, renewable energy, commercia l real estate and a bit of iron and steel.

Vishal Gutka from ASK Investment - Any plans to monetize your subsidies in near term? I think we have had enough discussion on this but just to answer your question, these are the 2 companies we will be seriously considering and the timeline and when we are likely to go will be decided by the respective boards.

How much is the LCR of the bank? LCR of the bank is 143.8%, up from 139% as on 30th June.

What is the impact of YES Bank stake sale on your Return on Assets? If we do not consider profit in YES Bank, the ROA is still above 1. It would be around 1.04.

Thank you very much.

– Mr. Pawan Kumar - General Manager (Performance, Planning and Review), State Bank of India

Thank you, Chairman Sir. I trust all the questions have been addressed.

– Mr. C S Setty – Chairman, State Bank of India

No, if anybody wants to ask question, we still can give 5 more minutes, otherwise we can close.

– Mr. Pawan Kumar - General Manager (Performance, Planning and Review), State Bank of India

Okay.

– Mr. C S Setty – Chairman, State Bank of India

But just see that, you know, you're not repeating the same question.

– Unknown Participant

I just had a data keeping question here. The extraordinary gains because of YES Bank stake sale, gross of tax was around ■4,500 crores, what is this amount net of

tax?

– Mr. C S Setty – Chairman, State Bank of India

■3,386 crores.

– Unknown Participant

Thank you.

– Mr. Prakash Sharma – Jefferies

Thank you. Sir, Prakash Sharma here from Jefferies. Just wanted to check, you know, your fee growth in this quarter has been phenomenal. You haven't seen 20% plus numbers for a long time on a big number. Can you just elaborate what has helped and what do you think, you know, is this start of a new run rate? Maybe not 20% but double digit, etcetera. So, if you could just help.

– Mr. C S Setty – Chairman, State Bank of India

So, most of the lines of other income seem to be good ones like either in the government business or cross sell. I believe they are stable, even loan processing charges. Much of the loan processing charges is not one -off or bulky one, they're all widesprea d across the retail segments. The only thing which I mentioned is on the debit card interchange fee. I don't know how it is going to play out. But, otherwise, I think other income streams are seem to be stable.

– Mr. Prakash Sharma – Jefferies

Thank you.

– Mr. C S Setty – Chairman, State Bank of India

We can close.

– Mr. Pawan Kumar - General Manager (Performance, Planning and Review), State Bank of India

I trust all the questions have been addressed. We'll be happy to respond to other questions in offline mode.

Let me end the evening with thanking Chairman Sir, MD Sirs, DMD Madam, top management team, analyst, investors, ladies and gentlemen. We thank you all for taking time out of your schedule and joining us for this event. To round off this evening, we request you all present here to join us for high tea, which is arranged just outside this hall. Thank you so much.

END OF TRANSCRIPT

Call: Feb 2026

CC/S&B/ AND /2025-26/853 13.02.2026

Madam / Sir,

Disclosure under Regulation 30 of SEBI (LODR) Regulations, 2015
Transcript of Analyst Meet

Pursuant to Regulation 30 read with Para A Part A of Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 , we submit the transcript of the Q 3FY26 post results Analyst Meet held on 07.02.2026 .

Yours faithfully,

(Aruna N Dak)
DGM (Compliance & Company Secretary)
Encl: A/a

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Q3FY26
ANALYST MEET
TRANSCRIPT
07.02 .2026

MANAGEMENT MR. C S SETTY
CHAIRMAN , STATE BANK OF INDIA

MR. ASHWINI KUMAR TEWA RI
MANAGING DIRECTOR (CORPORATE BANKING AND SUBSIDIARIES)

MR. RANA ASHUTOSH KUMAR SINGH
MANAGING DIRECTOR (INTERNATIONAL BANKING , GLOBAL MARKETS & TECHNOLOGY)

MR. RAMA MOHAN RAO AMARA
MANAGING DIRECTOR (RETAIL BUSINESS & OPERATIONS)

MR. RAVI RANJAN
MANAGING DIRECTOR (RISK, COMPLIANCE AND STRESSED ASSETS RESOLUTION GROUP)

MR. ANINDYA SUNDER PAUL
DEPUTY MANAGING DIRECTOR (FINANCE)

MR. A RAVI SHANKAR
CHIEF GENERAL MANAGER (FINANC IAL CONTROL)

MR. PAWAN KUMAR
GENERAL MANAGER (PERFORMANCE , PLANNING & REVIEW)

Mr. Pawan Kumar - General Manager (Performance, Planning and Review), State Bank of India

Good evening, ladies and gentlemen.

I am Pawan Kumar - General Manager, Performance Planning and Review Department of the Bank. On behalf of the State Bank of India, I am delighted to welcome the analysts, investors, colleagues and everyone present here today on the occasion of the declarati on of the Q3 FY26 results of the Bank.

I also extend a very warm welcome to all the people who are accessing the event through our live webcast.

We have with us, on the stage , our Chairman Sir - Shri C.S. Setty, our Managing Director, Corporate Banking and Subsidiaries - Shri Ashwini Kumar T ewari, our Managing Director, International Banking, Global Markets and Technology - Shri Rana Ashutosh Kumar Singh, our Managing Director, Retail Business and Operations - Shri Rama Mohan Rao Amara, our Managing Director, Risk Compliance and SARG - Shri Ravi Ranjan, our Deputy Managing Director, Finance - Shri Anindya Sunder Paul, Deputy Managing Directors headi ng various verticals and Managing Directors of our subsidi aries are seated in the front rows of this hall. We are also joined by Chief General Managers of different verticals /business groups , General Managers and other senior officials of the circles and various offices are connected through our live webcast.

To carry forward the proceedings, I request our Chairman Sir to give a summary of the Bank's Q3 FY26 performance and the strategic initiatives undertaken. We shall thereafter straight away go to the Question & Answer session. However, before I request Chairman Sir, I would like to read out the Safe Harbour Statement.

Certain statements in today's presentation may be forward -looking statements. These statements are based on management's current expectations and are subject to uncertainty and changes in circumstances. Actual outcomes may differ materially from those incl uded in these statements due to a variety of factors.

Thank you. Now, I would request Chairman Sir for his opening remarks. Chairman Sir, please.

Mr. C.S. Setty – Chairman, State Bank of India

Thank you.
Good evening, ladies and gentlemen. Thank you for joining us for today's Analyst Meet following the announcement of the Bank's Q3 FY26 results.
At SBI, we have remained consistently focused on strengthening the fundamentals that create sustainable value for all stakeholders. Our performance in the Q3 FY26 reflects continuity, consistency and the enduring strength of our franchise. I will begin with a brief overview of the global and domestic economic environment, followed by an update on the Bank's performance.

Despite heightened geopolitical tensions and elevated global uncertainty, the Indian economy remains well -positioned, supported by strong macroeconomic fundamentals and a benign inflation environment. Global growth is projected at around 3.3% in 2025 - 26, w hile India continues to outperform, with real GDP growth expected at about 7.4% in FY26. India's potential growth remains close to 7%, with FY27 growth projected in the range of 6.8% to 7

.2%. Growth is expected to remain resilient in FY27.

The Union budget reinforces the government's commitment to inclusive and accelerated growth under the vision of Viksit Bharat 2047, with a proposed capital expenditure of Rs 12.2 trillion, providing strong support to infrastructure and investment. On the e xternal front, services exports are expected to remain resilient, while the merchandise exports should benefit from the recently concluded and prospective trade agreements, although geopolitical risk and global market volatility remain key downside risks. The Indian financial system continues to remain strong and resilient, with robust capital, liquidity, asset quality and profitability across banks and NBFCs.

Alongside the numbers, we are strengthening the structural drivers of sustainable profitability, productivity, capital efficiency and risk -adjusted growth commensurate with SBI's scale. Our long -term ambition is aligned with Viksit Bharat 2047, and our str ategy is anchored around a long -term horizon with continuous investments in people, processes, products and technology.

The new YONO represents a fundamental redesign of our digital operating model through YONOisation of the bank. Beyond acquisition, the focus is on lowering cost to serve , enhancing customer value and improving lifetime value. Scaling Y ONO from 10 crore registered users to 20 crores over the next 2 to 3 years is expected to support operating leverage and ROA sustainability.

CHAKRA, our Centre of Excellence for Sunrise Sectors, institutionalises our ability to support prudent capital allocation in emerging segments. We have initiated, as I mentioned last time, a process simplification and a phased deployment of nearly 10,000 Seva Sarathis, our floor coordinators at high -footfall branches, for migrating routine transactions through digital channels. Collectively, these initiatives support consistent performance across cycles with growth that is profitable, well -capitalised and p rudently risk managed .

On the performance front, I am happy to share that the bank has declared the highest - ever quarterly net profit of Rs. 21,028 crore and total business have crossed Rs. 103 trillion, reflecting customers' continued trust in us. The net profit is up by 24.49% year - on-year, driven by higher operating profitability and lower credit costs at 0.29%. The operating profit is Rs. 32,862 crores , up 39.54% year -on-year. The net interest income is Rs. 45,190 crores, up 9% year -on-year, while the domestic NIM stands at 3 .12% for the quarter.

Bank's total deposit growth has remained healthy with 9.02% year -on-year, along with current account registering growth in double digits at 10.32%, with CASA ratio at 39.13% despite very competitive market environment. Retail term deposits have grown by a robust 14.54%. Deposits of our foreign offices have also grown well at 8.32% year -on-year.

The credit growth was up 15.14% year -on-year as of December ‘25, which was driven by all the segments registering growth. The domestic credit deposit ratio was at 72.98% at the end of Q3, an improvement of 404 basis points year -on-year. All the components of RAM – Retail, Agriculture and SME, have witness ed robust growth. The corporate credit has seen a rebound and has grown by 13.37%. The asset quality continues to be industry -leading, with gross NPAs at 1.57%, improving by 50 basis points, and net NPA at 0.39%, improving by 14 basis points. Notably, the PCR was up 88 basis points year - on-year to 75.54%. The NPAs continue to be at its lowest level in over two decades, which demonstrates the quality of our loan portfolio, disciplined credit practices, underw riting capability and sustained recoveries.

The bank remains well capitalised, and the capital adequacy ratio has improved by 101 basis points year -on-year and stands at 14.04%, whic

h is well above the regulatory
minimum requirements. Further, our subsidiaries continue to demonstrate consistent performance and strengthen value for a ll our stakeholders with their expansion of digital channels, innovative products and enhanced customer experience.

On the digital front, we have continued to make steady and meaningful progress. We see digital transformation as a continuous journey of evolution, and YONO remains central to this journey, with over 9.65 crore registered customers and registrations for our new YONO crossing the 3 crore mark within a short period of one month since its launch, reflecting strong and sustained adoption. Digital channels are now firmly embedded in our customers' behaviour.

While we are encouraged by our performance in Q3, we remain mindful of structural shifts in the financial system, particularly the increasing financialization of household savings. Over time, this trend will gradually reshape bank balance sheets towards mo re diversified and market -based funding, supported by greater innovation and deeper integration of digital platforms. At SBI, we are proactively adapting by strengthening our liability franchise, increasing our share of current accounts, and leveraging YON O to enhance customer acquisition and retention. Our strategy is forward -looking, focused on technology and analytics to remain competitive and future -ready. We remain sharply focused on efficiency and return metrics, with our ROA consistently greater than 1% and ROE at 20.68% at the end of Q3.

SBI is among the very few global financial institutions capable of sustaining a ROA of over 1% at this scale, with an advances book of approximately Rs 47 trillion. Investments of about Rs 17 trillion, deposits of around Rs 57 trillion and a balance sheet size of nearly Rs 72 trillion. Our strong asset quality reflects disciplined, risk -adjusted lending and portfolio resilience, while robust internal capital generation supports future CET1 accretion and long -term growth. Our people remain central to this jo urney, supported through focused training, continuous upskilling and an inclusive work culture, ensuring a skilled and motivated workforce in a rapidly evolving banking landscape.

To conclude, I would like to thank all of you once again for your continued support and engagement with the bank. Our priorities remain firmly aligned with supporting India's economic growth, while creating long -term sustainable value for all stakeholders. My team and I will now be happy to take your questions. Thank you.

Mr. Pawan Kumar - General Manager (Performance, Planning and Review), State Bank of India

Thank you, Chairman Sir.

We now invite questions from the audience. For the benefit of all, we request you to kindly mention your name and company before asking the questions . To accommodate all the questions, we request you to restrict your questions to maximum two at a time. Also, kindly restrict your questions to the financial results only and no questions be asked about specific accounts, please. In case you have additional questions, the same can be asked at the end. We now proceed with the Question & Answer session .

Mr. Ashok Ajmera – Chairman, Ajcon Global

Compliments to you, Sir, for yet another good quarter, rather one of the best quarter, profitability point of view, even asset quality point of view and even business growth point of view, which in the earlier 1st and 2nd Quarter was, I mean, not subdued but better than that in this quarter compliments for the same.

Having said that, on profitability, in the last quarter we had that exceptional profit of the sale of Yes Bank shares. But in spite of that, this quarter's profit is matching the last quarter's profit. The main component which I see here is that on investment profit and revaluation . Baseline income has gone up by

Rs. 5,154 crores against Rs. 2,897 crores,
and also the forex and derivatives. So, about Rs. 2,500 to Rs. 3,000 is that component. So, what has contributed to this profit, because, but for that Rs. 4,500 crores of Yes Bank, the profit should have been lower in this quarter as compared to last quarter of

about Rs. 3,000 crores. This is first.

Mr. C S Setty – Chairman, State Bank of India

First question. I am just waiting for the next question, Ajmera saab. Please, go ahead. You want me to answer this first and then we will move on?

Mr. Ashok Ajmera – Chairman, Ajcon Global

If he permits me, shall I?

Mr. Pawan Kumar - General Manager (Performance, Planning and Review), State Bank of India

One more question, please.

Mr. Ashok Ajmera – Chairman, Ajcon Global

Okay. Another one, that in the last quarter, the business growth was very good, especially the credit growth. And now having achieved that, would you revise your targets for the credit especially so as to have the proper estimate of the profitability for the whole of FY26 going forward when the bank is doing well?

One or two more things, that our loan book has grown phenomenally at a very high speed, as well as the personal loans have also grown. So, can you give some color going forward on the overall credit growth segment -wise?

And one observation is that this non -NPA provision of about Rs. 30,642 crores, this is basically beyond the requirement as per the IRAC. So, is it to take care of the ECL or to take care of any chunky account which you are looking, or is it a floating provision you want to continue and rather increase it in future?

Mr. C S Setty – Chairman, State Bank of India

Thank you, Ajmer a saab for the good words which you mentioned. The profitability in Q3 has come from many levers. I did mention in Q1 and Q2 that both on the growth side as well as on the profitability side, SBI has many levers and we will continue to use them. If you see our fee -based income, I think most of these segments have shown good growth i.e. cross -sell, up -sell, government busines s, LC business also is remaining, and fee -based income in terms of processing charges, and recovering written off accounts, and more importantly the credit growth across the segments. Apart from that, we also have focused on moderating the cost of resources, which has given the uptick in the net interest income. Net interest income growth o f 9% is a combination of both, containing the cost of resources as well as the credit growth which has happened.

If I have to talk about one -off, I think the one item which is a special dividend we have received, around Rs. 2,200 crores from SBI Mutual Fund. Even to net off this one -off, I think we have done fairly well in every area. And also, the modest credit costs contribute to the uptick in the profitability.

We also focused on moderating the operating expenses. While our staff costs are broadly rigid, we try to reduce the cost of overheads and that also has been one of the reasons why you see the good profitability.

And the credit growth advice, we had given 12% to 14% credit guidance earlier, we are revising that upwards to 13% to 15% for the current quarter. We will give a full year guidance when we meet again in Q1. But for the current year, this current quarter we are revising our credit growth estimate to 13% to 15% based on the trend which we have seen in the current quarter so far.

Segment -wise credit growth, I think the growth has been secular , if you see th e slides. Particularly, we had given the guidance that we would be having a double -digit corporate credit growth in Q3 and we hope to continue that double -digit growth in the corporate side in Q4 also, which means that RAM would significantly be contributing to the g rowth .

We also see that corporate book growing in double -digit

s, which means that our
guidance of 13% to 15% is coming from all the segments.

Non-NPA provisions, the COVID provision, Rs. 3,500 crores is continuing, and there are some proactive provisions which we have done account specific, but this broadly is also standard asset provision. So, the idea of presenting this is that we have the ability to take care of any untoward incidents and the way w e want to manage the balance sheet. It's not that this is being built for the ECL , that's not the idea.

Mr. Ashok Ajmera – Chairman, Ajcon Global

Just one more point. Sir, we have given the break -up of the AUCA account of Rs. 1,62,464 crores. Beyond 10 years is Rs.23,000 odd crores. Five years, Rs. 87,000 crores, and below five years, Rs. 51,000 crores. So, in order to get the proper colour for the recovery from the written off accounts, what kind of strategy and efforts which we are having? Like beyond 10 years, what is the possibility? What kind of those accounts are between 5 and 10 ? And below 5, why not we have a higher percentage of recovery? Because if you see the underwriting quality in during last 5 years, I think your entire current 5 years loan book to NPA, just a guess work, maybe even less than 0.75 or 1%. I mean, the way I look at the current thing. So, from recovery point of view, 5 years from the date of NPA to that beyond 5 years. But still more recovery or better chances. So, how do we look at it?

Mr. C.S. Setty – Chairman, State Bank of India

In the recent slippages, you would definitely have better recoveries. In fact, much of the run rate what we are witnessing around Rs. 2,000 crores per quarter, is also coming from the recent slippages i.e. recent write offs, which means around 2 to 3 year old. You're right, I think less than 5 year written off accounts will have a better recovery. But the most appropriate way is to look at the portfolio level. And what we have given earlier guidance also, we are still seeking 6 to 8% recovery, which is possible in this portfolio, not beyond that. While the age -wise there could be some higher recovery and low recovery or there could not be any recovery at all in some of the accounts, it is better to assume that we are looking at 6 to 8% recovery overall. So, I think we still stick to that guidance, Ajmera saab.

Mr. Ashok Ajmera – Chairman, Ajcon Global

Thank you, sir.

Ms. Mahrukh Adajania – Executive Director (Equity Research), Nuvama

Hello sir , congratulations. Sir, I had a couple of questions. Firstly, in terms of your NIM outlook, longer term and even for the 4th Quarter, earlier I think there was a guidance that NIM would be about 3 % in the 4th Quarter. So, does that still hold? And is there scope for cost of funds to come down further? That's part of the same question. So, NIM outlook for 4th Quarter and longer term with focus on cost of funds.

And secondly, in fees, the CVE income has grown very sharply. So, any comments you wanted to make on that? Because it's a sharp growth QoQ and YoY.

And just one more question, what would have been the interest on income tax refunds for this quarter and for last quarter?

Mr. C.S. Setty – Chairman, State Bank of India

On the NIM front, we're still sticking , without calling it a short term, long term NIM . We have said that the exit NIM for the current year would be about 3% , and our long -term

guidance is 3% through the cycles. I think we'll stick to that. There could be some upside here and there, but it is fair to assume that about 3% guidance holds good, both for the Q4, that means FY 26 exit NIM and FY 27-28 NIM also. We are sticking to that 3% guidance.

On the CVE income, there has been good growth in terms of Life Insurance. The GST benefit we have seen . The number of policies sold has also increased , which has con

tributed. And also, the trail income from the mutual fund has gone up. So, there is a secular movement in terms of the CVE. CVE is basically the cross -sale income . That has been a good growth story. We also enhanced the number of products which are made available through our counters and on the YONO channel. That also has contributed to the grow th in the CVE income.

Interest on the IT refund, you have the numbers ready, please.

Mr. A . S. Paul – Deputy Managing Director (Finance), State Bank of India

Quarter 3, interest on income tax refund was Rs. 769 crores and the similar amount last quarter was Rs. 372 crores.

Ms. Mahrukh Adajania – Executive Director (Equity Research), Nuvama

Okay, sir. And cost of funds? Scope for deposit cost to come down further?

Mr. C.S. Setty – Chairman, State Bank of India

I think, what we have done strategically is that we focus more on the retail deposits, we have not moved to the wholesale deposits. Even in the wholesale deposits, we moved more into bulk card rate deposits . That means they are almost equivalent to the retail term deposit rates. We have seen a good growth on the card rate, we have not gone aggressive on the differential interest rate or high -cost deposits. That has also helped us in terms of containing the cost s. But we should also remember that 39% CASA at this level is also contributing to bringing down the costs. We got the full benefit of Savings Bank reduction in interest rate to 2.5. Current account 10% growth rate is also helping us to contain the cost of funds. Broadly, the cost of funds will remain at this level for the Q4 also. We do not want to go beyond Q4, I think we will take a call in the Q1.

We may have to see how the credit growth is going to play out because all these trade deals are extremely positive. So, there would be definitely an improved credit climate. While Q1 of any financial year is generally a slow quarter, we will take a call in terms of how our deposit strategy will play out, while we have adequate liquidity and as well as capital buffers to support the credit growth.

Ms. Mahrukh Adajania – Executive Director (Equity Research), Nuvama

Thank you, sir.

Mr. Jai Mundhra – ICICI Securities

Sir, just continuing on the previous question , you said that COF (cost of funds) may remain stable, right? Is it because the bulk deposit rates in the system, they have actually shot up in the last 2 -3 months? Is that one of the reasons, because otherwise, your retail deposits should keep repricing, rig ht? Because, what you had done in June - July months, that should continue to flow through . So, why would the cost of funds be stable until and unless there are some moving parts, some portion of the deposits w here the rates are a bit higher?

Mr. C.S. Setty – Chairman, State Bank of India

No, the retail term deposits are also high even after repricing. See, broadly, the book has got repriced. Only last reduction in interest rate will be available for another 6 to 8 months, probably the repricing will happen. What I am seeing is that the sta bilization of the interest rates on the retail term deposits also , there is nothing much we will be able to reduce. And that shows again, what kind of deposit mobilization we need to do going forward if the credit growth comes. So, Q4, I think broadly the numbers remain s. There could be some repricing going forward, because what we have done in the last quarter, the interest rate reduction, will play out for some time. But I broadly believe that the reduction in the cost of funds is unlikely. We will be maintaining at thi s level, maybe if we are able to mobilize a little more current accounts, generally which happens in the Q4, it may help us to moderate the cost of funds.

Mr. Jai Mundhra – ICICI Securities

And Sir, on Xpress credit, now the portfolio has grown at

3 -4% QoQ. We have been maintaining that there is a decent good pickup in the disbursement. Sir, actually what would help is, if you can give the absolute rupees crore number in disbursement, because that will gi ve the trend line. Because the portfolio behaviour may be slowly to see the growth, but if you can share the disbursement number in Xpress credit, that will give more clarity.

Mr. C.S. Setty – Chairman, State Bank of India

We do not disclose what kind of disbursements we do on each product. I think that is not appropriate. What we are seeking is that we were hoping to have a double -digit growth in Xpress credit. There seems to be some movement towards gold loan, may not be significant , some of these corporate salary packages, as these products are available only for the salary account holders. We are seeing that part of that salary holder segment has availed gold loan, which they would have otherwise taken the Xpress credit. I t is for two reasons: One is the value of gold has gone up, so the amount of gold loan which they can get has increased, and the rate differential is significant. So, that has probably not resulted in the expected growth rate. But the very fact that we are able to manage this portfolio at this level, which means that our sanctions/disbursements are robust.

Mr. Jai Mundhra – ICICI Securities

And lastly on gold loan, I think there is a 95% YoY increase in the portfolio. Is this entire organic or there is some reclassification from Agri-gold to retail gold? And what are the

risk mitigants here in the sense that what is the origination LTV and maybe the book LTV, because prices have been rising one way only?

Mr. C.S. Setty – Chairman, State Bank of India

We do a deep dive on this portfolio every day. We monitor the LTVs. There was some shift from Agri-gold loan to personal gold loan, but it shifted back after RBI clarified on the Agri-gold loan. I think that shift is not happening too much. So, I think that is not a major worry.

And the personal gold loan LTVs, it’s not only about the portfolio LTV. Sometimes portfolio LTV could be misleading, because some two years ago somebody has taken the gold loan when the price was low, then the outstanding versus the value would be signific antly lower. But we bucket them, both on the vintage as well as in terms of the amount. We see that the LTVs are extremely modest and we have sufficient room in terms of the LTVs. For instance, I think in Agri-gold loan, the average LTV is 54.89% , and in c ase of personal gold loan, it is 51%. Even if you take the latest vintage also, we don’t go overboard on the LTVs , there is an adequate margin available on them.

Another data point which I would like to give to you is that the number of gold loans auctioned is just about 20 -30 in a huge portfolio of gold loans what we have. That means even if the price fluctuation is there or the margin , if you have to ask someone the margin call, we do not call it margin call, but we found that nobody allows this account to become NPA. They just ensure that they pay off the loan. So, this portfolio is holding up very well. There is no concern on this.

Mr. Jai Mundhra – ICICI Securities

Sir, what is the Agri-gold loan book, sir, if you may have? Retail we have given.

Mr. C.S. Setty – Chairman, State Bank of India

Agri-gold loan as on December is Rs. 1 .44 Lakh crores .

Mr. Jai Mundhra – ICICI Securities

Thank you and all the very best, sir.

Mr. Sushil Choksey – Indus Equity Advisors

First of all , congratulations to team SBI for a great performance. Sir, you had rightly called that the RBI reduction cycle has bottomed out. It may not look anything negative, and the interest rates can be flat upwards now. Current volatility is led by global factors mainly. GST has been a benefit, budget has been a benefit, the EU and the

US trade
would benefit. How are you seeing the scenario balancing on the rate cycle and the credit outlook based on all these parameters in the current year?

Mr. C.S. Setty – Chairman, State Bank of India

On the credit side, I think it's extremely positive. One is, the system itself will get benefited with the positivity, which is created on the trade deals, on the GST, on the income tax, on the monetary measures what have been announced. More importantly, SBI is well positioned in capitalizing on all these positive developments. That is also one of the reasons why I have given the revised guidance on the credit growth. So, if you see even budgetary announcements on the infrastructure side, and we are also looking at what kind of infrastructure guarantee which will come. MSME, for instance, the CHAKRA what I mentioned in te rms of the sunrise sectors, many sectors have been mentioned in the budget itself. That means, our thought process is completely aligned with what the government initiatives are. So, to that extent, I think SBI is well positioned.

We also are a very large player in MSME with 15 to 16% market share and growing. I believe that SBI will get benefited in supporting MSME growth, on the champion MSMEs. Even before the government announced champion MSMEs, internally, we have started categor izing, which are these MSMEs which have huge growth potential. We try to categorize them into platinum, gold, and support them proactively in terms of their growth technology and the market linkages. So, many things what we are trying to do with MSME, ali gns well with the positive developments which have happened.

So, I believe that we are on the right path in terms of the credit growth, and we are on the right path in terms of , both in India as well as cross -border opportunities which will emerge on account of these trade deals.

Mr. Sushil Choksey – Indus Equity Advisors

Second question sir , led by all the factors, are you sensing , government has given positive policy on data centre, which means renewable will be required on a larger number. Nuclear is being talked about. Shipbuilding is being spoken about. Are we getting any green shoots early, whether it's SBI capital markets asses sing or internally on credit? That ticket size which used to be Rs. 2,000 – Rs. 5,000 crore project would be Rs. 30,000 – Rs. 50,000 crore kind of projects?

Mr. C.S. Setty – Chairman, State Bank of India

We are active in data centre financing. The mega data centres which are announced, still have to come with a business plan. But I think wherever data centre capacities are being created, we are part of that journey.

In terms of the other sectors, you are right, I think there will be a good amount of demand for green energy for these data centres. Renewable energy is one of the important segments which we are focusing on. Incidentally, our green portfolio has reached Rs. 1 lakh crores, which constitutes renewable energy predominantly. Which means that these growth opportunities are definitely being considered by us.

Mr. Sushil Choksey – Indus Equity Advisors

Sir, your subsidiaries' contribution to the balance sheet is on uptick, specifically led by dividend, you said, of SBI mutual fund. Is this number on a higher growth trajectory or it will remain flat?

Mr. C.S. Setty – Chairman, State Bank of India

Higher growth trajectory?

Mr. Sushil Choksey – Indus Equity Advisors

It will show higher contribution or…?

Mr. C.S. Setty – Chairman, State Bank of India

We definitely hope that . You know, the subsidies are doing very well. And they are also investing heavily into digitalization, customer -oriented initiatives. I don't know how much SBI Life talks to the investors, I would like to point out one major activity SBI Life does

beyond the profits i.e. Prime Minister's Jeevan Jyoti Bima Yojaga. The PMJJBY, which is the micro -insurance which is provided to financial inclusion customers through the banking channel SBI, we have 47% market share in the PMJJBY and fully anchored by SBI Life. And there is absolutely no complaints in terms of settlement. They are at the top of the category in terms of providing customer service. Service at scale, is something what SBI Life is able to achieve, and Banca is going to play an important role in this.

We are also seeing the same trend continuing in non -life, mutual funds, credit card business. The combination of their digitalisation, their underwriting processes, their customer orientation is helping us to increase our CVE income also.

Mr. Sushil Choksey – Indus Equity Advisors

Sir, can this income double in 3 years?

Mr. C.S. Setty – Chairman, State Bank of India

Our idea is that we set a target of billion dollars for CVE income. If the rupee stays where it is, I think we should be able to reach that $1 billion CV E income soon.

Mr. Sushil Choksey – Indus Equity Advisors

Thank you for answering all my questions.

Mr. Chintan Joshi – Autonomous

Sir, can we remain on that topic of growth? With the trade deal, you know, there's a scope for corporate led expansion, and you have the capacity on your balance sheet to grow. Where could you take your LDR ratio if there's credit demand coming, be it trade deals or improving economy? And within that, if you do grow corporate loans, do they act as a drag on your NIM s? Or are you able to link it with CASA growth and get it back some other way? Because traditionally, corporate loans would be a drag on your NI Ms. That would be helpful colour on that topic.

Mr. C.S. Setty – Chairman, State Bank of India

If you see in the Q3 performance, we have had almost more than 15% corporate credit growth. We have not compromised on the margins. We have ensured that the NIM guidance what we have given is maintained despite 1 3% credit growth coming from the corporate side, which means that, philosophy of pricing the risk properly will continue. I think we never deviate from that. We also have ensured that the ecosystem banking in the corporate side is strengthened further.

Today, I just want to tell you an inside story that any corporate underwriting today, we have a checklist of 22 items which we monitor, whether we have clear engagement on these 22 non -funding areas . Whether it is cash management, whether it is salary accounts, whether it is letters of credit or foreign exchange. So, the awareness on the operating level has moved from corporate lending to corporate banking , in a very significant manner. And the sensitivity towards this engagement is intense now. Which gives us confidence that even if we have to compromise on some pricing on a corporate, it would be purely based on what is the value which we are generating from the corporate. So, I do not think we should have any concern in terms of margin compression with th e corporate growth book coming back in a very significant manner, as we approved in Q3 also. We are very sensitive to the value creation from our corporate relationship.

And I am very glad to say that corporates are also responding in a similar fashion. Some of the products which they were never using from SBI, we have improved the product profile, product delivery, and then they are too happy to take the products from us. It is a long journey, but I think we are there in the right direction.

On the LDRs, I mean the credit deposit ratio, I think we do not want to give a guidance. Obviously, it is an evolving situation. In the short term, we are very confident that the credit growth, whatever we are envisaging 13% - 15% will be comfortably be met by our liquidity as well as capital ratios.

Mr. Chintan Jo

shi – Autonomous

Sir, the reason I asked the question was because there was a 3.2% increase in LDR ratio this quarter and NIM s are broadly flat. Now, I understand your international NIM s are down, but a 3.2% increase in LDR should be associated with better NIMS. That is why I asked that question.

Mr. C.S. Setty – Chairman, State Bank of India

3.2% LDR is also coming from the working capital drawdown. Typically, working capital loans do not give the yield pickup as much as you expect. It is not coming from the term loans alone. So, the working capital loans are reasonably priced, and these are high quality exposures, which is also one of the reasons .

And one more important thing which I keep talking about is, you look at our RW As. Despite this growth, we have not significantly enhanced our RW As. That is also one of the reasons why you do not see the commensurate pickup in our margins.We play very cautiously on the risk side also.

Mr. Chintan Joshi – Autonomous Research:

Sir, second question was on the question from Jai on cost of funds. Wouldn't it be a failure of transmission if the Q4 deposits from last year did not reprice this year and gave a benefit on cost of funds? Because we have seen a December rate cut that is struggling to pass -through on the liability side, not just from what you are indicating, but also for the system, which leads to margin contraction because the EBLR book reprices. So, how do you see that puzzle? There should be transmission from that fourth quarter last year to the fourth quarter this year, would be my guess.

Mr. C.S. Setty – Chairman, State Bank of India

December rate cut has not resulted in any repricing of deposits.

Mr. Chintan Joshi – Autonomous

No, it has not.

Mr. C.S. Setty – Chairman, State Bank of India

So, technically that transmission did not happen on the deposit side. Well, it had happened on the asset side. So, the overall transmission if you see, I think the Governor has also mentioned on the stock it is only 45 basis point. And on the incremental deposits, I think the passing on of the interest rate on the deposits would be around 90 - 95 basis points is something what happened. The full transmission is unlikely to happen on the deposit side. So, the repricing which benefited, I think 75 to 80% repric ing has already happened.

Mr. Chintan Joshi – Autonomous

Sir, exactly the point, 45 going to 80 should reflect in your balance sheet next quarter as well.

Mr. C.S. Setty – Chairman, State Bank of India

It will reflect in this quarter definitely. But it may not be very significant, that is what I was trying to say.

Mr. Chintan Joshi – Autonomous Research:

Thank you.

Mr. Manoj Alimchandani

Excellent Q3 numbers, just magic. Hats off to the management team and all the employees. Really wonderful.

Now, couple of questions. One is , would like to know your thoughts, particularly for the branch expansion globally in the United States and EU with the kind of sentiments totally turning around, it seems we should have a greater share of the global pie in business. Apparently banking we a re at the top, and you also are number one consumer banker globally, right. We talked about that.

So, your thoughts, we would expect it should be, may not be too early, just your thoughts ultimately you have to execute it. There could be a good scope for substantial increase in number of branches/regions globally. It can I think maybe a scope for more than doubling in the next three years .

Next thing is our leadership, has been contributing to banking sector in a great way, particularly recent couple of last month's announcements, our MDs are heading - Arijit Basu, Chairman of IndusInd Bank, number five bank in India, and Vijay also the CEO of Yes Bank.

Mr. C.S. S

etty – Chairman, State Bank of India

Vinay.

Mr. Manoj Alimchandani

So, two great contributions number five and number six contributed by SBI. But surprisingly, we were all wondering what happened that we need a CFO from outside? Advertisement for a contract arrangement came, it came out of the blue. When we have the topmost leaders, we need to contribute CFOs to the top 10 banks globally. So, if you can just share your thoughts on that.

And next is our SEBI Chairman talked about a good thing, intent on corporate bond market. It has been a struggle we have seen for last 25 years. But he in fact said there is huge scope for multiplying the bond market. Now, here what could be the thing we can gain significantly by way of investment in corporate bonds, because we get about 50 to 150 basis points better rates in investment in corporate bonds than in lending. Of course, it would also have an impact on the fund raise but in deposit raise we are again much ahead of the curve. So, if you can share your thoughts on this.

And of course, there is another latest news which came in mutual fund. Yesterday, the global head of BlackRock was here, we are talking about multiplying the mutual fund industry by two in five years. So, that could be opportunity for us also because we ar e running the largest mutual fund. In fact, if we delay the IPO and come after five years, we can get three times the market cap, based on these kinds of things. Your thought process on this.

Mr. C.S. Setty – Chairman, State Bank of India

Thank you, very much. I think on the expansion, overseas expansion, most of the geographies barring New Zealand, where the FTAs or trade deals are signed, we have a good presence and very large presence. For example, US - New York branch is the largest ope rations for us. In these jurisdictions, we are broadly the wholesale bankers. I believe that trade deals are going to help us mostly in the corporate and MSME funding, which is an opportunity which is available locally here. We would like to definitely tak e that opportunity. Any of these corporates accessing the overseas market, we have presence across geographies here. Our ability to fund those transactions either by way of trade finance or by way of ECB s is very large. I do not think we need to look at branch expansion.

In the EU area, we have two fairly large branches, one in Frankfurt and in Antwerp. These branches are taking care of the overall requirements. In the US, if you see, we have wholesale banks, both in New York and Chicago, and Los Angeles, and we have retail presence in the whole of California. That is where I feel that some expansion in the retail side is potentially possible. We are expanding, for instance, we will soon be opening a branch of SBI -California in Dallas, because they can open multi -state branches. So, I think we will be selective in terms of physical expansion.

We also would like to use our YONO Global, which is a digital app across the geographies, almost in11 to 12 geographies, we have already launched YONO Global. We would like to build retail presence through YONO Global, not by opening the physical branches. So, on the overseas expansion, I do not think we will be aggressive, I want to be clear on that. I f opportunities arise in the new geographies, we will definitely look at it.

The corporate bond market, I fully agree with you on that. We have been talking about corporate bond market deepening for so many years. There are many reasons. But it is time now the corporate bond market has to become vibrant. Our participation in corporate bond market is based on what is our credit growth. If th ere is a loan growth requirement, our priority is to fund that loan growth. But we also have a mix. If you see all our large corporates have loan limits as well as investment limits, which facilitate us to put the

corporate NCD subscriptions.

But one more development what probably would help in terms of further strengthening is the partial credit enhancement, which is now allowed by the RBI. The partial credit enhancement will enable slightly lower rated corporates to access the bond market. Today, it is typically dominated by AAA companies. So, how do we bring A rated or AA rated companies into bond market, through partial credit enhancement is something what we are working on.

And the CFO, I am sure that you made that comment on the lighter note. The CFO, there are the typical qualifications which RBI has fixed. We would definitely be creating the pipeline. In the interim, we needed a market resource. But it is also open to our internal candidates. If somebody is available, we will definitely consider that.

Mutual fund, we are not fully exiting. So, we still have potential to monetize further when market improves. I see a great opportunity for mutual fund growth and SBI mutual fund will be playing a very, very large role in this. Thank you.

Mr. Manoj Alimchandani

Sir, one more recognition I would like to highlight for benefit of all, particularly . Congrats to you and our DMD Finance for getting Corporate Excellence in Financial Reporting by the Regulator Award.

Mr. C.S. Setty – Chairman, State Bank of India

Third time.

Mr. Manoj Alimchandani

Again, last year we got it. I was involved in the process and this year SBI has got it and Yes Bank has also got it. So, accolades to you and the team. Congrats once again.

Mr. Ankit Bihani - Nomura

So, I wanted to ask about the outlook on the treasury income. So, given that the yields have hardened, and we assume it remains status quo, so how do you see ?

Mr. C.S. Setty – Chairman, State Bank of India

Where are you?

Mr. Ankit Bihani - Nomura

Here. So, should we see a treasury income moderating sharply from hereon or we do have, we can sell AFS securities or participate in OMO through HTM to manage treasury income? My first question is on that.

The second question is on LCR. So, what is our average LCR for the quarter and what would be the impact of the new norms when they get implemented on 1st April?

And the third question is on your fee income breakup you give miscellaneous fee income as a part as well. So, we have seen decent pick up there in the last two quarters. What is driving that and what is that fee basically?

Thank you.

Mr. C.S. Setty – Chairman, State Bank of India

You want to take it?

Mr. Rana Ashutosh Kumar Singh – Managing Director (International Banking, Global Markets & Technology), State Bank of India

So, treasury income side we are not envisaging any significant decline what you are saying. This number should continue like this, not more, there will not be any reduction overall. We are talking about treasury, Global Market is forex income, treasury income, equity investment, private equit y.

Mr. Ankit Bihani - Nomura

If I exclude the forex income, I am just talking about your F VTPL book. So, if the yields harden , so you have to mark -to-market on that book, right?

Mr. Rana Ashutosh Kumar Singh – Managing Director (International Banking, Global Markets & Technology), State Bank of India

That is right.

Mr. Ankit Bihani - Nomura

Then how do you manage the treasury income? Is it we sell AFS security?

Mr. Rana Ashutosh Kumar Singh – Managing Director (International Banking, Global Markets & Technology), State Bank of India

But there are opportunities also then. So, there are opportunities also when something like this happens, yield goes up and we have the MTM hits. So, this quarter also, we have seen this happening that because of the MTM, but we have maybe covered somewher e else. So, largely this will…

Mr. Ankit Bihani - Nomura

So, do you think this is something structural, it can continue for a longer time or?

Mr. Rana Ashutosh Kumar Singh – Managing Director (International Banking, Global Markets & Technology), State Bank of India

No, we have opportunities for making some other income somewhere else.

Mr. C.S. Setty – Chairman, State Bank of India

Yes, I think just to clarify what he is trying to say is that, if your question is in terms of how do we manage the yield movement. So, our internal view is that the yields probably will range from 6.55 to 6.75. In this range, there is no concern on the MTM hi t. In any case, the Q3 numbers have not been built on the MTM gains, we have seen. We believe that there may not be great contribution coming from the positive MTM on the book. The negative MTM impact would be less because FVTPL, HFT book is small. Eve n if that there is a movement of the yields, I do not think there is going to be any significant impact on the MTM.

And we also have as Ashutosh is mentioning, an opportunity to o as you mentioned participate in the OMOs, participate in the buybacks. And we even do the trading. If you see, the trading profits have been robust for the last two quarters. So, that will continue, that process will continue.

Anything unanswered remain?

Mr. Ankit Bihani - Nomura:

No, it is understood. On LCR?

Mr. Rana Ashutosh Kumar Singh – Managing Director (International Banking, Global Markets & Technology), State Bank of India

The number is 125.

Mr. Ankit Bihani - Nomura:

125?

Mr. Rana Ashutosh Kumar Singh – Managing Director (International Banking, Global Markets & Technology), State Bank of India

Yes.

Mr. Ankit Bihani - Nomura

And the third question was on the miscellaneous fee income line item.

Mr. C.S. Setty – Chairman, State Bank of India

Miscellaneous fee income is a very diversified income stream. But if you really have to put, I think some of the major ones is cash management services what we provide, and also, the mobile banking charges which we collect, account maintenance charges for non-savings bank custome rs, annual inspection charges and host of other charges. These are all diversified income stream. We also adjust it for the GST payment which happens. So, that is a net figure which is shown here.

Mr. Ankit Bihani - Nomura

Thank you for the answer to my question.

Mr. Kunal Shah, Citigroup

Hi, sir. Kunal over here from Citigroup. So, firstly, when you look at it overall in terms of the growth traction, how are we seeing the catch up on the PSL side, particularly on SMF as well as weaker section? Because at this pace of growth, do we see some shortfall coming through towards the end of the year and that might have a drag in terms of investments on our IDF? And what are the initiatives being taken if we grow at like 14-15%, is that pace catching up?

Secondly, on CA, when you look at it particularly, there has been a decline during the quarter on a sequential basis. No doubt we are at a double digit, we were growing at 18 odd percent as well. So, is it more of a quarter -end phenomena and maybe how do w e see because I think for most of the players, we have seen CA picking up on the private side. So, is there some loss in market share which is happening on the CA front? So, and last…

Mr. C.S. Setty – Chairman, State Bank of India

We'll take these two questions and come back. Because they are very two important questions which you asked, I want to answer them.

The Current Account, we are predominantly seeing on the private side, despite actually the significant decline on the government business, is virtually drying up on the government current account. So, in the last one to two years, we focused completely on the private s ide business accounts and that has given us current

account uptick.

And Current Account also is not a quarter end or month end phenomenon, we monitor in terms of the daily average balance to a quarter end number and it is very robust. It is

more than 80 -85% which means that your daily average balances are holding up. So, there will be a month end and quarter end movement which is unavoidable, but we are very comfortable in terms of this ratio that you know your daily average balance to quart er end balance.

The other one is in terms of PSL. PSL, as you grow the book, PSL pressure will come. We have been addressing that in various forms. One is the organic growth PSL targets are given to every business segment including the corporates. We know that we do lot of on lending to lot of NBFCs where they qualify for PSL and we are clear monitoring. In fact, what we suggested that if an NBFC/MFI is there or NBFC is there which has got a PSL only funding which is from us, we are willing to give some discount on our rat e which means that we would like to prevent the bleeding on the PSLC side and we broadly are able to do that.

The subsegments which you mentioned definitely are the concerns for everyone, the small and marginal farmers , because the whole portfolio is very small and our requirement is 7.5% of the overall portfolio. I think it is creating an imbalance, and we also do not want to aggressively push up the PSLC purchases. So, that you know year end PSLCs will push up the premium. What we have done is that we have front loaded our PSLC purchases in the Q2 itself. We virtually have not moved to PSLC market i n Q3 at all. S o, we do lot of things in terms of reducing the PSL burden. Hopefully, I think the new guidelines, there are some positives . We are just evaluating how the PSL movement will happen in our book.

Mr. Kunal Shah, Citigroup

The reason was as you mentioned like when Chintan was also checking on overall LDR expansion but not improvement in margins which you mentioned is because of working capital drawdown as well as corporate which is low yielding. Then is it like maybe do we factor in the cost of PSL which is there at the time of doing that business because both these segments have grown quite robustly like SME is up 10% quarter on quarter, corporate is up like 8 % quarter on quarter.

Mr. C.S. Setty – Chairman, State Bank of India

Much of the SME growth is in the qualifying PSL category. So, MSME growth is not a worry. But I think on the corporate credit growth we definitely consider various cost factors. While we do primarily look at the risk involved and how do we price the risk, w e also look at our cost of funds and what is the alternate mechanism of investing those funds. We have a simple mechanism called risk adjusted return on capital. I think we did mention earlier. The capital optimization is also core to our pricing strategy . The PSL cost many a time is worked out on the portfolio basis not on an individual account basis. Those costs are definitely accounted for.

Mr. Kunal Shah, Citigroup

And one last question, no plans to tweak MCLR from the current level now? So, we will hold on to our MCLR rates?

Mr. C.S. Setty – Chairman, State Bank of India

No, MCLR is an arithmetical calculation as long as the cost of deposits remain at that level. I do not think MCLR .

Mr. Kunal Shah, Citigroup

Yes, so given that incrementally we are not tweaking cost of deposits in any bucket.

Mr. C.S. Setty – Chairman, State Bank of India

We are not.

Mr. Kunal Shah, Citigroup

So, then we should consider like MCLR will remain at same level.

Mr. C.S. Setty – Chairman, State Bank of India

So, at this juncture neither we are considering any tweaking on the deposits, ALCO will take the call, but I do not think any MCLR movement is likely to happen in near term.

Mr. Kunal Shah, Citigroup

Thank you sir.

Mr. Jeet Suchak – Ambit Capital

I have a couple of questions. On the employees' provision, it is 25% and 32% lower Q -o-Q and Y -o-Y. So, what is reason on that? Any calculations on new labour code that will be affecting us?

Mr. C.S. Setty – Chairman, State Bank of India

We did the assessment of the new labour code. There is no noticeable impact because our wage structure is broadly aligned with the labour codes. That means no impact except that there is a requirement of providing for gratuity of contractual employees who have completed 1 year. Earlier it was 5 years, it has been reduced to 1 year. The net impact is only 16 crores provision which we had to make. So, I think we are broadly in alignment with labour codes, but we are also looking for the rules/regulations to c ome and if any assessment is required to be done, we will do. But I do not think there is going to be any impact on the labour codes.

The first thing you asked in terms of provisions, essentially the provisions have come down on the staff expenses, provision for pension. These provisions are based purely on the actuarial assessment, and the discount rates have moved up which means that the requirement of provision has come down.

Mr. Jeet Suchak – Ambit Capital

So, run rate will be in the similar lines of Q3.

Mr. C.S. Setty – Chairman, State Bank of India

Q4, I think run rate should be similar.

Mr. Jeet Suchak – Ambit Capital

And going forward also this should be the run rate?

Mr. C.S. Setty – Chairman, State Bank of India

Next year we will assess because this actuarial assessment happens every quarter.

Mr. Jeet Suchak – Ambit Capital

But it is not a one -off?

Mr. C.S. Setty – Chairman, State Bank of India

There is nothing unusual movement in that provisioning.

Mr. Jeet Suchak – Ambit Capital

And the second, so how much of the 100 basis point rate cut that previously have happened has been translated in the yields, how much is left on that side. What is the current MCLR book. How do you see the repricing of latest 25 basis points that will happen in our yields?

Mr. C.S. Setty – Chairman, State Bank of India

You asked so many things together, please. So, MCLR book, we have if you divide the whole book, we have 50% MCLR and fixed rate and 50% EBLR and other benchmark rates. That means around 45 to 48% book is floating, the rest is not really floating MCLR or fixed rate.

Mr. Jeet Suchak – Ambit Capital

So, full repricing of the 100 basis points is done, we can assume that - last 100 basis points and the latest December?

Mr. C.S. Setty – Chairman, State Bank of India

No EBLR book anyway the complete 125 basis points has been passed on.

Mr. Jeet Suchak – Ambit Capital:

On MCLR is there any….

Mr. C.S. Setty – Chairman, State Bank of India

MCLR could be, I do not know, I do not have the number, we will give you that number.

Mr. Jeet Suchak – Ambit Capital

And latest, the 25 basis points rate cut, how do you see yields affecting going forward Q4 and FY27?

Mr. C.S. Setty – Chairman, State Bank of India

The previous rate cut?

Mr. Jeet Suchak – Ambit Capital

Yeah, 25 December .

Mr. C.S. Setty – Chairman, State Bank of India

December rate cut, I think it will take some time to transmit in the deposits, but we have not cut the deposit rates.

Mr. Jeet Suchak – Ambit Capital

No, I mean on the yield side only.

Mr. C.S. Setty – Chairman, State Bank of India

Sorry.

Mr. Jeet Suchak – Ambit Capital

On the yield side only yield on asset.

Mr. C.S. Setty – Chairman, State Bank of India

Yield side I think it is about 800 crores or something and the overall full year basis. Margins I think 1 basis point or something w

hat we have worked out.

Mr. Jeet Suchak – Ambit Capital

Okay, so trajectory anything of 25 basis points.

Mr. C.S. Setty – Chairman, State Bank of India

Sorry.

Mr. Jeet Suchak – Ambit Capital

Trajectory of the passing on the yields of the 25 basis points - if you can share any thoughts.

Mr. C.S. Setty – Chairman, State Bank of India

Sorry, I did not get your question.

Mr. Jeet Suchak – Ambit Capital

Okay, I will get back.

Mr. C.S. Setty – Chairman, State Bank of India

Okay.

Mr. Nitin Agarwal – Motilal Oswal

Hi, sir, Nitin Agarwal from Motilal.

Mr. C.S. Setty – Chairman, State Bank of India

Yes, Nitin.

Mr. Nitin Agarwal – Motilal Oswal

Congrats on a strong quarter.

Sir, my question is again around the cost. If you look at like last two quarters, we have been reporting very controlled costs growth. The OPEX this quarter is like a slight decline. And we are now talking to further raise the loan growth guidance. So how do you see the cost income ratio to play out over the next 2 -3 years?

Mr. C.S. Setty – Chairman, State Bank of India

So, the credit growth is not substantially going to enhance the costs, the operating costs at least. Maybe, you know, we would like to manage the interest costs, as I mentioned, in terms of moderating the cost of deposits, focusing on the CASA. Our objective is to keep the cost to income ratio below 50 bps. I think that guidance we had earlier given, we are sticking to that guidance.

Mr. Nitin Agarwal – Motilal Oswal

Right, sir. And second is on the ROA, wherein we have talked about to maintain 1% ROA guidance. Now that if I look at nine months, we are tracking higher than that. So, will you want to review that? And any further levers if you want to highlight which can take ROA higher in the coming years?

Mr. C.S. Setty – Chairman, State Bank of India

I think we still stick to that 1% guidance. I do not want to jump the gun at this juncture. It is playing out well. And we also are mindful of our RWA density. I think this is something which we are very conscious about that, which means that you cannot ha ve a jump in the ROA. We want to be consistent on the ROA front. I think the guidance will remain at 1%.

What is the other one you asked?

Mr. Nitin Agarwal – Motilal Oswal

Just any levers ?

Mr. C.S. Setty – Chairman, State Bank of India

There are quite a few levers. But I think the levers point out that, we will maintain this 1% guidance through the cycles. I think that is very important too. We are not giving the guidance only for one quarter or one year. We said our guidance is 1% ROA t hrough the cycles.

Mr. Nitin Agarwal – Motilal Oswal

Thank you so much.

Mr. Pritesh – DAM Capital

Hi, sir. One question on private capex. Last time you had made a comment that it is improving and with some of the corporate growth revival, do you think it will further pick up and what is our pipeline in terms of corporate book ahead?

Mr. C.S. Setty – Chairman, State Bank of India

I will ask Ashwini to respond.

Mr. Ashwini Kumar Tewari – Managing Director (Corporate Banking and Subsidiaries), State Bank of India

So, the pipeline is Rs. 7.86 lakh crores with sanction but not disbursed about Rs. 4.4 lakh crores and the pure without sanction pipeline Rs. 3.45, that is the total undisbursed plus pipeline. Pure pipeline is Rs. 3.45 lakh crores.

In terms of growth in the corporate side, yes, you are right, we are seeing pick up and two new things which will help us next year one is the announcement by RBI on REITs, that is a market so far we were not allowed to, that’s a large market and growing f ast. We hope to develop something there. And also, M&A guidelines finally when they come , we hope to do that as well. Those t

wo will help us to give more basis to increase the
corporate book and with better margins because both these segments are better pa ying than some of the other segments. We are also seeing other pick -up happening in the corporate side especially in power including renewables, metals and also infrastructure.

Mr. Pawan Kumar - General Manager (Performance, Planning and Review), State Bank of India

Due to paucity of time, we will now take up a few questions coming in through the online webcast which will be addressed by the Chairman sir.

Mr. C.S. Setty – Chairman, State Bank of India

First question is Bunty Chawla : Loan growth guidance for FY27 - FY27, we said that we'll give the guidance somewhere in Q1. But for the current quarter, we have revised our credit growth guidance from 12 to 14% to 13 to 15%.

Kanika : Do you see credit growth sustaining with such wide credit deposit growth gap? - I think we have had a long discussion on the credit growth. And we do not see, as I mentioned, any challenge. And we have adequate liquidity buffers as well as capital buffers in our book.

Akhilesh Gupta: Credit growth outlook - The credit growth for the bank for Q3, 15.14%. And as I mentioned, we have revised the earlier guidance from 12 to 14% to 13 to 15%. Outlook on NIM, I think is broadly addressed. We are still sticking to our exit NIM of 3% for the year and 3% through the cycles.

Karthik : What would be the guidance for ROA? - I think that again, we have answered 1% through the cycles.

In which area of business do we have earned more? - I believe we have earned everywhere, I suppose. But I think some of the lines of business are more profitable, like Xpress Credit, the portfolio of 3.5 lakh crores definitely gives us a yield pickup. But I also mentioned in terms of the ecosystem improvement in the corporate banking side, which is also contributing to the income levels. And one of which we did mention is in terms of the dividend payout from the SBI Mutual Fund.

Sangeeta : Could you give colour on the other income? Which element showed growth and is sustainable? - I think other income, fee income, treasury, forex, all have showed growth. CVE income, that is customer value enhancement income also had shown significant growth, and we believe that it is sustainable.

Laveesh : What are the components in miscellaneous income? - I think we have answered this miscellaneous income segment, but you are talking about 5,000 crores. I think in this, there's Rs. 2,200 crores from the Mutual Fund and recovery from written - off accounts about Rs. 2,600 crores. These are the two major elements in the miscellaneous income.

What was the interest on IT refund in the quarter? - I think that was answered by DMD Finance. It is Rs. 769 crores Q3 and Rs. 372 crores in the previous quarter.

Kiran Shah : What is the yield on gold loan portfolio? Is ticket size average? LTV at origination and at December '25? - Yield on personal gold loan portfolio as on 31st December is 8.61% with average ticket size of 2.64 lakhs. LTV, I did mention that it is 56.57% in December '24, which has come down to 51.18% in December '25.

Vishal Gupta : GNPA and NNPA ratios have improved further this quarter. Which segments are driving this improvement? - I think overall improvement in all the segments is driven. Of course, corporate has no asset quality issues. Corporate NPA has gone down by 1 ,888 crores. So, foreign offices also have shown decline in the NPAs.

Param : Can you give a breakup of AUC A pool between retail, agriculture, and MSME? SME is 34,000, agriculture is seven. Retail is 7,000 and corporate is 1.10 lakh crores.

Rohit : What has been the impact of the new labour codes? - I think we did make a mention on the labour code impact. It is not significant at al

l. It's just about 16 crores
provision we had to make to comply with the norms.

MB Mahesh : Could you walk us through what is the total gold loans in retail, SME, and agriculture? SME, we have not much of a portfolio. Agri -gold loan is 1.44 lakh crores and personal gold loan is 86,000 crores. Thank you.

Mr. Pawan Kumar - General Manager (Performance, Planning and Review), State Bank of India

I trust all the questions have been addressed. We'll be happy to respond to other questions in offline mode. Let me end the evening with thanking Chairman sir, MD sirs, DMD sir, top management team, senior officials of the circles, and various offices conn ected through webcast, analysts, investors, ladies and gentlemen.

We thank you all for taking time out of your schedule and joining us for the event. To round off this evening, we request you all present here to join us for high tea, which is arranged just outside this hall. Thank you.

END OF TRANSCRIPT

Call: May 2026

CC/S&B/ AND /2026-27/154 15.05.2026

Madam / Sir,

Disclosure under Regulation 30 of SEBI (LODR) Regulations, 2015
Transcript of Analyst Meet

Pursuant to Regulation 30 read with Para A Part A of Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 , we submit the transcript of the Q 4FY26 post results Analyst Meet held on 08.05.2026 .

Yours faithfully,

(Aruna N Dak)
DGM (Compliance & Company Secretary)
Encl: A/a

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Q4FY26
ANALYST MEET
TRANSCRIPT
08.05.2026

MANAGEMENT MR. C S SETTY
CHAIRMAN , STATE BANK OF INDIA

MR. ASHWINI KUMAR TEWA RI
MANAGING DIRECTOR (CORPORATE BANKING AND SUBSIDIARIES)

MR. RANA ASHUTOSH KUMAR SINGH
MANAGING DIRECTOR (INTERNATIONAL BANKING , GLOBAL MARKETS & TECHNOLOGY)

MR. RAMA MOHAN RAO AMARA
MANAGING DIRECTOR (RETAIL BUSINESS & OPERATIONS)

MR. RAVI RANJAN
MANAGING DIRECTOR (RISK, COMPLIANCE AND STRESSED ASSETS RESOLUTION GROUP)

MR. ANINDYA SUNDER PAUL
DEPUTY MANAGING DIRECTOR (FINANCE)

MR. A RAVI SHANKAR
CHIEF GENERAL MANAGER (FINANC IAL CONTROL)

MR. PAWAN KUMAR
GENERAL MANAGER (PERFORMANCE , PLANNING & REVIEW)

Mr. Pawan Kumar - General Manager (Performance, Planning and Review), State Bank of India

Good evening, ladies and gentlemen. I am Pawan Kumar, General Manager, Performance Planning and Review Department of the Bank. On behalf of State Bank of India, I am delighted to welcome the analysts, investors, colleagues and everyone present here today o n the occasion of declaration of the Financial Year 26 results of the Bank. I also extend a very warm welcome to all the people who are a ccessing the event through our live webcast. We have with us on the stage our Chairman sir, Shri C. S. Setty, our Manag ing Director Corporate Banking and Subsidiaries, Shri Ashwini Kumar Tewari, our Managing Director, International Banking, Global Markets and Technology, Shri Rana Ashutosh Kumar Singh, our Managing Director, Retail Business and Operations, Shri Ram a Mohan Rao Amara, our Managing Director, Risk Compliance and Strategy, Shri Ravi Ranjan, our Deputy Managing Director, Finance, Shri Anind ya Sund er Paul, our Deputy Managing Director s, heading various verticals and Managing Directors of our subsidiaries are seate d in the front rows of this hall. We are also joined by Chief General Managers of different verticals, business groups, Chief General Managers and other senior officials of the circles and various officers are connected through our live webcast.

To carry forward the proceedings, I request our Chairman sir to give a summary of the bank's Financial Year 26 performance and the strategic initiatives undertaken. We shall thereafter straight away go to questions and answer session. However, before I request Chairman sir, I would like to read out the safe harbour statement.

Certain statements in today's presentation may be forward looking statements. These statements are based on management's current expectations and are subject to uncertainty and changes in circumstances. Actual outcomes may differ materially from those incl uded in these statements due to a variety of factors. Thank you. Now, I would request Chairman sir for his opening remarks. Chairman sir, please.

Mr. C.S. Setty – Chairman, State Bank of India

Good evening, ladies and gentlemen. Thank you for joining us for today's Analysts' Meet following our Q4 and FY26 results. At the outset, I would like to state that our FY26 performance reflects a consistency born out of a calibrated multi -year shift in ho w we run the bank. We have focused on strengthening our core fundamentals of asset quality, capital, operating efficiency and franchise depth. The result is a balance sheet that is performing robust and resilient.

Let me briefly touch upon the environment we are operating in. The global economy remains in a phase of elevated uncertainty with growth projected by the IMF at 3.1% in 2026 and 3.2% in 2027. India, however, continues to outperform with FY27 growth projected at 6.9% by the RBI supported by domestic demand and macro stability. That said, geopolitical developments and climate related disruptions remain key risks. Inflation is expected at 3.8% in the near term w ith a full year estimate of 4.6% with some upward bias on account of energy price movements and we

ather -related uncertainties.

From a banking system perspective, credit growth for the scheduled commercial banks accelerated to 16% in FY26 while deposits grew at 13.6%. The momentum is continuing in the current financial year, and we expect credit growth at 13% to 14% and deposits at 11% to 12% for FY27 for the system. Asset quality continues to remain strong and capital buffer is comfortable. However, beyond these metrics, the operating landscape is being reshaped by deeper st ructural shifts. Technology risk is now becoming a systemi c risk. The emergence of advanced AI models capable of identifying and exploiting vulnerabilities at scale has fundamentally changed the cybersecurity paradigm. The industry is therefore moving towards coordinated, system -wide resilience frameworks in part nership with the regulators, the government and other key stakeholders. At the same time, the regulatory approach to risk is becoming more forward looking. The transition to expected credit loss based provisioning from April 2027 is a significant step in that direction and we are confident of a smooth transition.

In this environment, our approach is focused not merely on growth but on improving the quality of our growth by making it more durable, capital efficient and more resilient across cycles. This is being executed through a set of aligned actions. We are simp lifying the bank at scale through Project Saral which I mentioned earlier with you, our operations process re -engineering initiative. The larger objective is to simplify the customer journey and release capacity within the system to focus more on relations hip building and business growth.

Second, we are building a more digital native intelligence -led organization through analytics 2.0. Data and AI are becoming central to decision -making across credit, risk and customer engagement.

Third, we are strengthening our liability franchise. As savings increasingly shift towards market -linked instruments, we are deepening customer engagement through YONO, expanding ecosystem partnerships and creating relevant offerings for diverse segments. Our balance sheet strategy is moving from volume -led expansion to a value - accretive growth with a sharper focus on granularity, product competitiveness and risk - adjusted returns. We are also expanding into new growth areas including startups, alternative i nvestments, ecosystems and global trade to keep our portfolio diversified and future ready.

Against this backdrop, let me now highlight the bank's Q4 FY26 performance. Driven by strong operating profitability and improved asset quality, I am glad to share that the bank has surpassed key milestones this financial year. Net profit reached a record high at Rs 80,032 crores, up 12.88% year -on-year, supported by 11.25% year -on-year growth in operating profit with a domestic NIM at 3.03%, supporting our guidance to maintain NIM above 3%. As total business crosses the Rs 109 trillion mark, this performan ce showcases our strengthening market position and sustained customer trust. Our domestic business has grown by more than Rs 11 trillion on year -on-year basis. Our balance sheet size has crossed Rs 76 trillion. We achieved resilient deposit growth of 11.03 % year -on-year by about Rs 6 trillion driven by strong inflows in retail term deposits which grew by 14.77% and a double -digit savings account growth at 10.6%. Despite competitive environment, a 39.46% CASA ratio, which is an improvement of 33 basis points quarter -on-quarter, sustains our low -cost funding advantage, reinforced by 12.7% growth in foreign deposits. The credit growth has been robust and was up 16.87% year - on-year as on March 26, which was driven by all the segments registering double -digit

growth. The domestic credit deposit ratio was 73.08% at the end of FY26,

an
improvement of 337 basis points year -on-year. All the components of RAM have witnessed sound growth.

The corporate credit growth momentum continues and grew by 14.83%. Our foreign offices have continued to perform well with growth in advances at 20% year -on-year. In dollar terms, it is 8%. The asset quality continues to be industry leading with gross NPAs at 1.49%, improving by 33 basis points and net NPA at 0.39%, further improving by 8 basis points on year -on-year basis. The PCR was at 74.36%. The sustained two -decade low in NPAs validates our rigorous underwriting capability, disciplined credit practice s and effective credit risk management. Strengthening our capital position, our C AR has improved by 115 basis points year -on-year and stands at 15.4%, which is well above the regulatory requirements. The bank has enough headroom to address future credit growth requirements. Further, our subsidiaries are demonstrating consistent performa nce and are driving stakeholder value through digital expansion, product innovation and improved customer experience. We will continue to nurture these subsidiaries and see t hem creating value for their own shareholders as well as the shareholders of SBI.

At SBI, digital transformation remains a continuous journey where YONO is central to our strategy. The strong adoption of a new YONO, crossing 4 crore registration within three months of launch and bringing total users above 10 crores confirms that digital - first banking is now deeply embedded in customer behaviour . 66% of new savings accounts originating on YONO platform in FY26 demonstrates our successful transition to a digital -first institution.

Our FY26 performance reflects both a strong foundation and the strategic repositioning. In an environment of intensifying liability competition, evolving customer expectations and rapid technological change, we are reshaping our balance sheet, strengthenin g liabilities, embedding AI and analytics into our operating model and diversifying funding sources and growth ecosystems.

Our focus remains firmly on delivering consistent risk -adjusted returns supported by disciplined underwriting, strong asset quality and robust internal capital generation. Our emphasis has always been on efficiency and return matrix, with ROA consistently greater than 1% and ROE at 18.5% at the end of Q4 FY26. Our ability to maintain an ROA greater than 1% at scale puts us in a top league of global financial institutions with an advance book of more than Rs. 49 trillion, investments about Rs. 18 trillion, d eposits of more than Rs. 59 trillion and a balance sheet size of nearly Rs. 76 trillion.

Most importantly, we are empowering our people with continuous training and inclusive culture to build a motivated, future -ready workforce in this dynamic environment.

To conclude, we see SBI's journey as closely aligned with India's long -term economic transformation. As the country progresses towards the vision of Viksit Bharat 2047, we believe SBI has a unique role to play as a key enabler.

Thank you once again for your continued engagement and support. My team and I will now be happy to take your questions.

Mr. Pawan Kumar - General Manager (Performance, Planning and Review), State Bank of India

Thank you Chairman Sir. We now invite questions from the audience. For the benefit of all, we request you to kindly mention your name and company before asking the questions. To accommodate all the questions, we request you to restrict your questions to maximum two at a time. A lso kindly restrict your questions to the financial results only and no questions be asked about specific accounts, please. In case you have additional questions, the same can be asked at the end. We now proceed with the question and answer session, please.

Mr. Ashok Ajmera – Chairman, Ajcon Global
Sir, definitely comp

liments to you, for such a robust business growth, very good asset quality and if you see on year on year, the highest operating profit and the net profit, net profit going beyond Rs. 80,000 crores. There is only a few concerns looking at the result on the face of it, of this quarter, where our operating profit also has gone down and the net profit also has gone down as compared to the last quarter and mainly dragged the profitability, dragged by the treasury operation, the loss in the t rading, may be a trading loss or a loss on the valuations of the treasury book. I think which is about Rs. 3,500 crores and little bit increase in the overhead expenses in this quarter, which may be because of the last quarter, it has gone up by about Rs. 1,500, Rs. 1,700 crores, the overheads. So having said that, our slippage has also gone up little bit in this quarter, may be Rs. 1,000, Rs. 1,200 crores up in this quarter.

So, in this scenario, now with the treasury outlook looking little better in the coming quarters and overhead may be one time , because of the last quarter of the financial year. Can we have some idea of going forward, where do we stand on the profitability front? While the loan book is growing very well, but you yourself said that we can look at still about 14 -16% growth in the credit book. So looking at this scenario, now coming forward, can we have the comfort of having, if not good income from treasury, at least the losses are not there, so that the overall profitability increases and coupled with that, now with the ECL guidelines getting finalized, how are we prepared with that ? Is the impact is going to be taken up in the coming quarters, whether the numbers have been drawn and what is our plans to take care of those provisions ? Whether we now, as far as the business growth is concerned, with the emergency line of credit guarantee scheme 5 coming up with Rs. 2,50,000 crores, Rs. 5,000 is for airlines sep arately. So even business growth, you yourself have said in some of the interviews that Rs. 70,000, Rs. 80,000 crores of prospects are there only through this line of credit, looking at your customer base.

So, in all, can you just give your views on the few points which I have raised, sir, in this case.

Mr. C.S. Setty – Chairman, State Bank of India

Ajmera Saab, you said few points, is it? But very comprehensive assessment what you have done. First of all, I think a few questions which are in your mind, let me first answer them. There seems to be some amount of, maybe we were not communicated enough

in our Q3 . I believe , I have gone through my transcript again in Q3 analyst call. We made it very clear that our exit NIM is going to be 3% and we also mentioned that in the Q3, December 15 repo rate cut will be having full impact in the Q4 , these things are something what we stated up front.

What has not been known to all of us is the yield movement which had definitely impacted the treasury income. But even then, what we realized that, despite the sharp movement in the bond yields, because of our very low exposure to fair value portfolio, our hit has not been very significant. But you are comparing with the Q4 of the previous year, for instance, we have had Rs. 3,800 crores one -time gain on the security receipts. Apart from that, we had positive treasury gains in that quarter. I think overall, we all believe that we have given a good set of numbers for Q4 as well as full year. We stuck to our guidance in terms of 1% ROA and 3% exit NIM. I do not think there was any surprise to us , but I think there is some assessment in terms of what analysts like you have done on the NII part.

There are two reasons why the net interest income has got impacted. As I mentioned, one is, the impact of 25 basis point rate cut which is reflected in the EBLR portfolio and 5 basis point cut which we have done in the MC

LR is fully factored in the Q4. EBL R
book also has gone up. In fact, the composition of the floating rate loans slightly has increased. That also is a combination of factors which we had known and that is the reason we always gave a guidance that when we talk about NIM, we are not talking about the quarterly NIM numbers. It is a full year exit NIM which we have given the guidance, and I hope that we broadly fulfilled that. I think this is something what I wanted to clarify.

And as for the treasury going forward, I think 3 -4 questions which you asked, let me answer in the seriatim. One is slippages. Q4 slippages is not a matter of concern and from these slippages, we have pulled back almost 850 crores as we speak. That means there is no structural issue in terms of asset quality. Let me assure you on that.

Mr. Ashok Ajmera – Chairman, Ajcon Global
West Asian problem…..

Mr. C.S. Setty – Chairman, State Bank of India

So, there is no impact of West Asia so far and these slippages have nothing to do with any stress in the system. It is seasonal. Most of the slippages have come from agriculture and some from SME. I will give further guidance as we speak in terms of slippages , but we are sticking to our credit cost guidance of 50 basis points even despite whatever happens on the West Asian conflict. We are confident that the asset quality is holding up unless of course there is something dramatically happens in the system and macros will further get disturbed. As things stand now, we are sticking to our credit cost guidance of 50 basis points, our credit growth guidance of 13 -15%. You mentioned about treasury income, and we believe that the yields will not create much pain going forward, even if assuming that the yield movement will be there. Our internal guidance which has gone wrong earlier, we felt that the bond yields probably would be moving up to 6.75. There has been a sharp movement, but now also our treasury holds a view that

it would be in the range of 6.75 to 6.9, not beyond that, unless the West Asian conflict or any other fiscal imbalances create a problem.

Before ECL guidelines, let me also talk about ECLGS which is a proactive and pre - emptive measure in my view. A lot of people ask me, are there any customers who are coming and asking for ECLGS, not yet. It will take about 8 -10 days for us to operationalize these guidelines and we are reaching out to customers, in case of any need they have this facility available. My assessment of 70,000 to 80,000 crores is the full limit which is available to MSMEs and other non -MSME customers. Our assessment also indicate s that not more than 30 %, in the worst case 30 -40% people will be utilizing it. It could be more as the conflict goes further, but it is an excellent step from the Government of India side to make this available in a proactive measure. ECL guidelines, we have made the models read y based on the draft guidelines. We have made further tweaking the models based on the final guidelines. It would not be appropriate for me to give a number at this juncture. I think probably after the end of June -Quarter we will have much clarity in terms of, what is the stock which is required to be taken care of.

Mr. Ashok Ajmera – Chairman, Ajcon Global
You have about 29,000 -30,000 crore buffer….

Mr. C.S. Setty – Chairman, State Bank of India

Ajmera Saab, I don't want to hazard a guess at this juncture, let us stick to that. We are not going to give any number at this time. But one thing I want to make it very clear as I made earlier also, that this transition is going to be smooth. It is not g oing to impact our ability to fund credit growth. It will not be impacting our capital ratios as much and I hope we will be smoothly transitioning in the next four years in terms of the ECL guidelines implementation. I hope I answered all your questions.

Mr. Ashok Ajmera – Chairman, Ajcon Global
Yes, sir. Thank you, sir.

Ms. Mahrukh Adajania – Tara Capital
Hello, sir. Good evening! I have a couple of questions. Firstly, just one clarification in NII. We do not have any impact whatsoever of any forex translation or any forex laws because I remember, years ago in a COVID quarter, we had some NII issues relating to forex as well. Just wanted to clarify.

Mr. C.S. Setty – Chairman, State Bank of India

No, it is a core NII except that the usual interest on tax refund which has come around 1000 crores which is added in NII. But it is partially offset because some of the penal interest which used to be booked in part of interest has moved to penal charges. But that is just about 600 crores. It is purely the impact of EBLR and some of the floating rate loans on the corporate side.

Ms. Mahrukh Adajania – Tara Capital

So basically the interest on tax refund is 10 billion versus around 7 billion last quarter.

Mr. C.S. Setty – Chairman, State Bank of India

I think it was 800 crores.

Ms. Mahrukh Adajania – Tara Capital
Yes, 7.7 billion.

Mr. A. S. Paul - Deputy Managing Director (Finance), State Bank of India

760…

Mr. C.S. Setty – Chairman, State Bank of India

Correct.

Ms. Mahrukh Adajania – Tara Capital
Sir, just in terms of margins, what is your outlook on margins near term and longer term as well? Because this quarter we did see that NIMs, global NIM in the quarter declined around 18 bps. So, what is the outlook going ahead? Maybe first half and then longer term also.

Mr. C.S. Setty – Chairman, State Bank of India

But I would like to give guidance for the full year, Mahrukh , and as I promised, I said that I will give first quarter itself the full year guidance. We do not want to create confusion in terms of quarterly guidance . Because the quarterly, in a large book like ours, there is a seasonality, there is a momentum of credit growth. It is very difficult to give a guidance on the quarterly basis. We are still giving a guidance on an annual basis. We are sticking to our NIM of more than 3% for the full year, for the full year.

Ms. Mahrukh Adajania – Tara Capital
For FY27.

Mr. C.S. Setty – Chairman, State Bank of India

For the full year.

Ms. Mahrukh Adajania – Tara Capital
Okay, sir. And if you could give the breakup of gross slippage for Q4 -26 and Q3 -26. So that is one question. And the other question I had is that what is your total Middle East portfolio? What is the India linked Middle East portfolio? Like some Indians working abroad may have taken home loans, etc. So, both, if you could give some sense of that.

Mr. C.S. Setty – Chairman, State Bank of India

So, I will answer the second question first. I think that is on many people's minds, you know, what is happening on the Middle East. The Middle East, we have two large offices, Bahrain and DIFC, Dubai. But the other operations are very small Bahrain retail operations and Dubai, we do not have any retail operations at all. So primarily, it is a wholesale book. And out of this, it is predomi nantly either a bank exposure or a sovereign exposure. In both these cases, we do not see any concern on that. We don't have any much direct exposure either to the medium enterprises or even corporates. So, I don't see a great impact coming from the corporate side, wholesale book side. And the retail side where the people working in the GCC taking the housing loans, it is predominantly in Kerala. The rest of the country is not concentrated. But we have not seen any impact on the asset quality, particularly on the housing loans. They normally take housing loan. A lot of people, what we have realized that , they have not come back to Kerala. They are still staying put in the place where th ey are working , and the

re is no
asset quality concern at this juncture , because most of the GCC countries are coming to a normalcy . We had moved our people from the GCC countries to India to work from Mumbai. But all of them have gone back now, barring a few, one or two. So, which means that the things are stabilizing. It will take some time. But I don't think it will lead to any concerns on the asset quality. The first question on the ?

Ms. Mahrukh Adajania – Tara Capital
Sir, I wanted the slippage breakdown, gross slippages.

Mr. C.S. Setty – Chairman, State Bank of India

Gross slippages anyway we don't ever give. It is always first quarter which gives gross slippages and subsequently dissolved net slippages. But there is absolutely no predominant movement of any concern in the slippages.

Ms. Mahrukh Adajania – Tara Capital
And sir, what will be that India linked proportion of portfolio, the Kerala home loans?

Mr. C.S. Setty – Chairman, State Bank of India

Very small.

Ms. Mahrukh Adajania – Tara Capital
Thank you, sir. Thanks a lot.

Mr. C.S. Setty – Chairman, State Bank of India

You want to add anything Ashutosh ?

Mr. Rana Ashutosh Kumar Singh , Managing Director (International Banking, Global Markets & Technology) , State Bank of India:

What you said is right. So absolutely no concern as of now for us. The branches we have in Dubai and Bahrain, like the Chairman said, is wholesale banking business mostly we do. And Tel Aviv is mostly non -funded business, guarantee to be issued for Indian, essentially the defence kind of. So, the corporate book, what we have is 98% plus, is either sovereign , banks or sovereign -related exposures. We are not concerned about any corporate exposure in Middle East for these three branches. Globally also in exposure we have, India's total exposure will be 10 -12 billion, including trade finance and all. But we are not seeing any co ncern on that side.

Mr. Jai Mundhra – ICICI Securities
Sir, hi. Ja i Mundra from ICICI Securities. Sir, on your FY27, 3% plus NIM guidance, that is domestic or the global one, just to clarify.

Mr. C.S. Setty – Chairman, State Bank of India

So, our guidance is generally domestic. We are not giving wholesale, full bank NIM ever. Because the overseas book is a different creature altogether. We are talking about domestic NIMs.

Mr. Jai Mundhra – ICICI Securities
And sir, within this, so let's say there are two parts. One is yield and one is cost of funding or cost of deposit. If I calculate this quarter, yield on interest on advances, they have been flat , 0.4% increase, whereas advances have grown by 5% QoQ. In last quarter also they were 5%. So average basis also they should be around 5%. So, what explains the decline if I calculate this way, the yield on advances, they have declined by around 30 basis points. One is of course the repo rate movement. But apart fro m that, is there anything else which could linger? Because hopefully the repo rate movement ends here, right?

Mr. C.S. Setty – Chairman, State Bank of India

Correct.

Mr. Jai Mundhra – ICICI Securities
So, what is your thought process on yield on advances going ahead? Would they be similar, stable.

Mr. C.S. Setty – Chairman, State Bank of India

Yield on advances probably would have some uptick. What happened in the Q4, apart from the EBLR movement, see your EBLR plus floating rate loans other than MCLR in corporate book was 43% previous year. It has moved to 49%. That movement also actually creat es. So, assuming that, our house view is that the repo rate cut is unlikely

this year. Repo rate movement is going to be stable, which means that whatever we see on the spreads will remain.

And on the corporate side, we are seeing how we can change the asset mix and reduce the floating link to T -bill essenti

ally and bring back the yields to normalcy. Much of the
loans, we have already started moving to MCLR in the corporate side. All loans which are getting repriced or refinanced are renewed today are predominantly moving to MCLR and reduce the floating T -bill rate linked loans. That gives us confidence. One is the repo rate being stable. That is no movement on the EBLR and the corporate book, which moved significantly towards T -bill, probably will be brought back to MCLR. Even without considering them also, we are confident that we will be achieving the 3% NIM because of the stability of whatever currently achieved.

Mr. Jai Mundhra – ICICI Securities
MCLR will not reprice downward, right ?

Mr. C.S. Setty – Chairman, State Bank of India

It will not be repriced, because we are not adjusting the interest rates on the deposits, either repriced lower or repriced higher is unlikely.

Mr. Jai Mundhra – ICICI Securities
So, Sir, assuming there is no change in the card rate of the deposits, the cost of deposit should still decline right, in at least in the near term.

Mr. C.S. Setty – Chairman, State Bank of India

So, there are two reasons why they will decline. One is, I think, we are focusing more on the CASA. CASA component will contribute to the reduction. If you see, even in Q4, we have contained the cost of resources. The other thing is that we, we have cut down significantly on our wholesale deposits, which are expensive. We will further be cutting down on the wholesale deposits, which gives us some relief on the cost of resources.

Mr. Jai Mundhra – ICICI Securities
Right! and secondly sir, on LCR, if you can highlight what was the LCR during the quarter, Q4 and, you know, after these guidelines, which have come in from April 1st, how does that changes?

Mr. C.S. Setty – Chairman, State Bank of India

What is the LCR number you have?

Mr. A. S. Paul - Deputy Managing Director (Finance), State Bank of India

For the quarter, it was 124 point something, 124 approximately.

Mr. C.S. Setty – Chairman, State Bank of India

That was average ?

Mr. A. S. Paul - Deputy Managing Director (Finance), State Bank of India

That was the average for the quarter.

Mr. Jai Mundhra – ICICI Securities
Because last quarter it was, I think it was one thirty …

Mr. A. S. Paul - Deputy Managing Director (Finance), State Bank of India

One thirty fivish ..

Mr. C.S. Setty – Chairman, State Bank of India

That the liquidity is being consumed , you are growing at 17%. But the current guidelines will give us around 3 to 4% improvement in LCR.

Mr. Jai Mundhra – ICICI Securities
And what would I mean this , let's say 120, 124 becomes 127, 128. What would be your, floor and maybe the upper limit for LCR to operate in?

Mr. C.S. Setty – Chairman, State Bank of India

See, for a bank of our size, we would like to have at least 10 % to 15% over the regulatory minimum. Regulatory minimum is 100% so, 115%, I think, is a good ratio to have. Today we have, as we entered the year, around 125%. And in this quarter, again, it will move up further. If the credit growth continues, some moderation will happen in the LCR. We would be comfortable around 115 to 120%.

Mr. Jai Mundhra – ICICI Securities
Sure. And lastly, sir, if you have the number for AFS reserves, I mean, what was the movement in this quarter? What was in Q3 December and what is it at the March end?

Mr. C.S. Setty – Chairman, State Bank of India

You have the numbers? We will give you that number separately.

Mr. Jai Mundhra – ICICI Securities
Thank you sir.

Mr. Pritesh Bumb – DAM Capital:

Hi sir. Pritesh here from DAM Capital. Just few questions.

Mr. C.S. Setty – Chairman, State Bank of India

Yes.

Mr. Pritesh Bumb – DAM Capital:

Sir, one is on the loan

processing fees. It has been quite strong this quarter, almost double, I think . What has been the reason for that because loan growth has been strong throughout the year. But suddenly this quarter we saw that growth.

Mr. C.S. Setty – Chairman, State Bank of India

What's your name, you said?

Mr. Pritesh Bumb – DAM Capital:

Pritesh from DAM Capital.

Mr. C.S. Setty – Chairman, State Bank of India

Pritesh, thank you very much for asking this question. I was just waiting for someone to ask this. Everybody is worried about NII. See, I think, I mean, rightfully, I'm not undermining that . The overall construct , which we mentioned right in the beginning, I don't know, it sounded more English to you, but we really mean every word, what we mentioned there. We are focusing on the relationship value. For instance, this processing fee is not only coming from retail o perations. Retail operations, of course, have given a significant uptick in the processing fee. We have seen both in the large corporate, small corporate, MSMEs, everywhere we have readjusted our processing fee. It is not only readjusting the processing fee, not by way of increasing but reducing the concessions. We have promised them the good quality service, and we started charging processing for that process efficiency. And today, we have almost in the retail operations, we have had a growth of 50% in processing fee and the corporate book, almost 30 -35%. So, I think, we are increasing our field staff to be more proactive in terms of negotiating on that.

Mr. Pritesh Bumb – DAM Capital:

Sure. Second question was on basically the G -sec yields have moved up, but our investment yields are slightly lower. One would have expected that the yields for us also would have tandemly moved up in the quarter. Is that we have moved some of the securities and booked some gains? And that's why the losses are slightly lower or any other?

Mr. C.S. Setty – Chairman, State Bank of India

Yes, some trading has been done. If you see our trading profits have been good this this quarter also. So that means, that some of the switches we have participated in that, which also had portfolio yield moderation.

Mr. Pritesh Bumb – DAM Capital:

So basically, the profitable securities have been sold.

Mr. C.S. Setty – Chairman, State Bank of India

Yes.

Mr. Pritesh Bumb – DAM Capital:

And that's why……

Mr. C.S. Setty – Chairman, State Bank of India

I mean, it depends on what securities are asked by the RBI. Right.? S amsher , anything you want to add?

Mr. Shamsher Singh - DMD (Global Markets) , State Bank of India

Yes sir. Of course we did sell some amount, over and above 5% allowed. So, if you want, we can give the figures.

Mr. Pritesh Bumb – DAM Capital

Sure, so last question was on this. Basically, there were news articles that, RBI has asked oil companies to move, they're buying dollar buying and selling through our bank and also, you know, related FX related transactions to our bank. What is, how is that going to benefit us? Any outlook on that?

Mr. C.S. Setty – Chairman, State Bank of India

I'm not aware of this.

Mr. Pritesh Bumb – DAM Capital

Okay. Thanks.

Mr. Manoj Alimchandani

Excellent annual numbers and record numbers and excellent very high payment of income tax over 25000 crores. You are doing great service to the nation.

Mr. C.S. Setty – Chairman, State Bank of India

It's a backhand compliment, is it?

Mr. Manoj Alimchandani

It's a challenging year and despite of that, over 25,000 crores in this type of environment is really wonderful , and a couple of important points. Now everybody is looking at value unlocking, and we have over 10% in National Stock Exchange. SEBI chairman has said it should get listed soon. So, what's the thought process on value unlocking? I see page number 55 which talks about total reserve and surplus INR 5,95,000 crores. Now we'll get valua tion, fair market valuation on the balance sheet. Apparently, thi s number will also go up. But in terms of business generation, I would like to know what is the thought process if we can use some of the capital or value generated in core banking business, in short term or long term ideally? So that would be very nice if you can share in detail.

Second point is on market share of SBI. Today we are talking about 20 to 22.5%. There has been some thought process and talks going on if one can increase market share gradually. So, what is the thought process of the Bank's board of increasing market share? Whether through rural banking or through district banking or branches and aligning with the government's objective , if in how many years we can come to 25% market share? And what is our core strategy on that also including globalization? I think it could be a great opportunity.

That's it , I found the results better than expected because I have been present and looking at the transcript, saw it as a knee jerk reaction but with your clarification and lot of value unlocking hopefully your direction towards that should help in creating greater value year to year. All the best to the board and the team.

Mr. C.S. Setty – Chairman, State Bank of India

Thank you for the compliments.

Mr. Manoj Alimchandani

My name is Manoj Alimchandani.

Mr. C.S. Setty – Chairman, State Bank of India

Yes, of course, I know you. But I wish I own 10% of NSE, unfortunately we don't. Within the group we have around 7.3% holding. But Bank itself would be keen on participating in the OFS. We have given our in -principal consent to them. What kind of participation will happen , the board will determine. But as you mentioned, I think the moment NSE gets listed, the whole shareholding by SBI will be available as reserve to us to mark to market. Currently, it is not marked to market in our books. Yes, I think several times you yourself have mentioned the hidden reserves what SBI has in terms of strategic investments and this year I think if NSE gets listed, that unlocking will happen. We are also seriously, as you are aware, we have embarked on listing SBI AMC and hopefully in this financial year we will be able to complete, which will result in capital augmentation, CET -1. That's what I think it gives us confidence that going forward two things which are required for supporting the credit growth , in terms of capital we are fully convinced that we have the capability. Even with the current position we can fund almost 12 trillion credit growth. Further augmentation will help us going forward and enough liquidity in the system . And a large bank which has got 59 lakh crores, which will probably in this month be crossing 60 lakh crore deposits, growing at 11% to 12%.

As I mentioned in my inaugural speech, it is a bank which is adding 11 lakh crore business every year, which is equivalent to several other banks. But we want to do it efficiently. The scale is kind of given, when you have 109 lakh crore business, the norm al growth rate itself will add to your scale. So, we want to use this capital efficiently, efficiently where it is required and efficiently in terms of giving the return to the investors, shareholders. So, we are sticking to our guidance. Through the cycl es we would like to ensure 15% return on equity to our investor's minimum.

So, your second question, I think is a very important question, that when you have such scale and such dominant market share, how do you grow further? And this is something what we deliberate very seriously in the board. We have now embarked, I think I must have mentioned last quarter also, that we want to increase the market share in every district. Today, fortu

nately, the market share data is available at the district level. So,
our strategy is that even if in a district you have a dominant market share o f 60%, there are districts where SBI has a market share of 60%, but our guidance is that 1% increase in market share, whichever is that, whether you have 10% market share or 60% market share. Every district we would like to grow 1%. I am very glad whenever I travel in the field, the lowest officer in the bank also is aware of market share. So, we are trying to improve the market share in each district. I think this is a great strategic shift which is happening . 25% is a little farther, but we would like to move 1% every year, that means 4 to 5 years. As I mentioned several times, we would like to be 25% in terms of the GDP of the country.

Mr. Manoj Alimchandani

Thanks for an elaborate answer. If you can permit me, particularly on segments, I found gold loans, it was a focus area. Now we have precise 100% growth, we have a good critical mass of over 1 lakh crores. Xpress Credit also now , initiative since a few years, we have a good base now. Auto sector, we found growth a little muted at 8.5%, but hopefully with this peace -making efforts, mediation , prices coming down, oil prices, hopefully you can tell us the growth can improve. So can we look at also gold loans, why don't we use the opportunity to increase our NIM s through that , because other gold loan players, NBFCs are really having usurious rates and we seem to be doing a service, but with the entry made, if we can increase market share and increase NIM s. And also your thoughts on this increasing the growth rate in advances further through this verticals which we mentioned and your priority areas. That would be nice.

Mr. C.S. Setty – Chairman, State Bank of India

You want to respond before I respond?

Mr. Rana Ashutosh Kumar Singh , Managing Director (International Banking, Global Markets & Technology) , State Bank of India:

Yes. So AFS Reserve, somebody has asked, this 31st March number is 5,136 crores, AFS Reserve.

Mr. C.S. Setty – Chairman, State Bank of India

They want to see the movement.

Mr. Rana Ashutosh Kumar Singh , Managing Director (International Banking, Global Markets & Technology) , State Bank of India:

Movement in December quarter is 8,151, so roughly 3,000 crore decline.

Mr. C.S. Setty – Chairman, State Bank of India

Reserve has gone down.

Mr. Rana Ashutosh Kumar Singh , Managing Director (International Banking, Global Markets & Technology) , State Bank of India:

Yes.

Mr. C.S. Setty – Chairman, State Bank of India

But it did not have much impact on the CET -1 ratio. Your question in terms of the gold loans , the gold loan market is highly diversified. The ticket size what we look, for example, average ticket size of gold loan in our books is about 2.5 lakhs. These are price sensitive segment. They are not Rs. 20,000, Rs. 30,000 loan amount people who are willing to pay anything, any rate of interest. These are price sensitive and gold loan also you must realize there is a very efficient equity product, ROE product because there is zero risk weight on that. So, we would lik e to have a very strong growth but wit h very qualitative growth.

For instance, our overall LTV is 52%. That means you have very safe lending there and yield is also not bad. I think 8.5 to 8.75 is something what we get on this. 9% is a good yield for a product which does not require any capital allocation at all and wit h almost zero NPA.

Mr. Manoj Alimchandani

Thanks.

Mr. Piran Engineer - CLSA:

Hi sir. This is Piran Engineer from CLSA. Just firstly, sorry to harp on the NIM question again, but we exited with NIMs of 2.9%. Our road map to 3% NIM would be driven by deposits.

Mr. C.S. Setty – Chairman, State Bank of India

No, we exited 3% domestic

NIM and our guidance always has been on the domestic NIM.

Mr. Piran Engineer - CLSA:

Okay, 3 was the full year NIM ?

Mr. C.S. Setty – Chairman, State Bank of India

Yes, full year NIM.

Mr. Piran Engineer - CLSA:

The last quarter's NIM was 2.93.

Mr. C.S. Setty – Chairman, State Bank of India

No.

Mr. Piran Engineer - CLSA:

It’s in your PPT, 2 .93.

Mr. C.S. Setty – Chairman, State Bank of India

Yes, 2.93. Domestic NIM is 2.93.

Mr. Piran Engineer - CLSA:

So, for that to improve, is it going to be a yield -driven thing or a cost -of-deposits -driven thing?

Mr. C.S. Setty – Chairman, State Bank of India

So, as I mentioned, you have 60% of fixed deposits and fixed deposit growth is significant for us, 14%, 15% on the retail term deposit. We would like to have both levers used. One is reduce further cost of resources , it may not be very significant, but reduction of cost of resources will happen in two ways.

• One is whether we can further augment our CASA in terms of absolute amount.
• And number two, reduce the wholesale deposits, which are expensive.

But that movement will be very limited. I do not think there will be any significant pickup on that. You are right. I think it will be more in terms of the yield and advances management, we would be looking at asset mix and also increasing spreads wherever it is feasible, both on the corporate side as well as retail sides.

Mr. Piran Engineer - CLSA:

Thank you, sir. Just secondly, what percentage of our MCLR book is yet to reprice?

Mr. C.S. Setty – Chairman, State Bank of India

MCLR book, I think the 5 -basis point, which is done in December is reduced, right. That will take about 3 to 4 months, but that is not much great impact.

Mr. Piran Engineer - CLSA:

But the ones done in October, a lot of them would still be left, right because since 1 year.

Mr. C.S. Setty – Chairman, State Bank of India

Yes, you see, 6 months MCLR is predominant. So, we have about 40%, which is one - year MCLR. Some part of that probably is left out, otherwise mostly it is priced.

Mr. Piran Engineer - CLSA:

Understood. And sir lastly, just on current account deposit growth, we were doing pretty well growing 20 -25% until two, three quarters back, now it has come down to single digits. Anything to read into it or is it just a period end number?

Mr. C.S. Setty – Chairman, State Bank of India

No, period end number of the previous year, which has impacted. We had a period end movement in FY25, March 25. We had a significant current account movement because of the government funds release. Those things were not there. And it was a very large amount, almost 50,000 crores, which has come in the last few days of March '25. Despite that fund not being available, I think we have done phenomenally well in the current account.

And as I mentioned somewhere earlier, we have had 21% decline in the government current account deposits in the last year, whereas we completely pivoted towards non - governmental current account, where we had 23% growth rate in the current account. That is , the number which you see, the yearend number for March '26, in my view is the best number ever could achieve by SBI, because we had a double impact of the last minute flows which were not available this year. And the overall current account deposits from the government have fallen about 21%. Despite that, because of our strategies and current account business account being open, 23% growth rate was there in the non-governmental account. I think this is a very good current account story for us.

Mr. Rana Ashutosh Kumar Singh , Managing Director (International Banking, Global Markets & Technology) , State Bank of India:

Just to add, sir, with your permission. One is the current new cust

omer acquisition and
more balances in current account. Apart from this, retail current account customer or business current account customer, they are also giving us opportunity to sell other transactional banking products to them . Maybe you are a prospective SME borrower also. So, this is the value which is essentially hidden. You can say we have yet to unlock or in the process of unlocking. So, this is giving us deposit on the one side, fo cusing on retail or business customer for current account and also creating opportunity for other fee income plus maybe lending also in future.

Mr. Piran Engineer - CLSA:

Understood. Thank you. And sir, just lastly, one suggestion. Your slide 15 is pretty useful. Can you also include quarterly data points, maybe put a slide 16 with the same information but quarterly? It will be really useful for all analysts. That’s it.

Mr. C.S. Setty – Chairman, State Bank of India

We will see. We didn't want to change the slides mid -year.

Mr. Piran Engineer - CLSA:

Yes, so now that we are entering a fresh new year .

Mr. C.S. Setty – Chairman, State Bank of India

Q1 onwards we will try to improve on.

Mr. Piran Engineer - CLSA:

It will be very useful.

Mr. C.S. Setty – Chairman, State Bank of India

Yes.

Mr. Piran Engineer - CLSA:

Thank you.

Mr. Anand Dama - Emkay Global

Sir, Anand from Emkay. Sir, other Op ex seems to be on a higher side on a quarter -on-quarter basis. There is a lot of bunching up of other Op ex which happens in the 4th quarter. This happened last year as well. Is there a way apart from any business acquisition cost to spread out the Op ex one?

And how do you see the cost -income ratio shaping up in FY27? Any efforts that you are taking to improve that because that is certainly on a higher side given that we have a sizable corporate book but still our cost -income ratio at about more than 50% is sl ightly on a higher side. What are the efforts that you are going to take on that front?

Mr. C.S. Setty – Chairman, State Bank of India

See, our effort is to keep cost -to-income ratio contained below 50. I think this is the guidance which we have given. And we would have had probably ended the year with 48-47%, but for the treasury income not supportive. Otherwise, the costs have been contained both in terms, bunching happens because of the payment cycle which comes through. It is not intentional, but I think by design much of the overheads are booked during the last quarter. So, most of the expenses and income for Q4 has to be compared

with Q4 only. Any other comparison will not work . But we will definitely have a look whether any of the expenses can be spread over the 4 quarters so that we will not have that bunching issue.

Mr. Anand Dama - Emkay Global
Sir, on the forex open positions , which were basically asked to unwind, so that impact we have largely taken in the fourth quarter itself or that will happen in first quarter?

Mr. C.S. Setty – Chairman, State Bank of India

Yes. I did mention I think, we said that the Q4 MTM impact what you see is about 100 crores and complete unwinding had happened on the 10th of April which resulted in a net loss of 57 crores.

Mr. Anand Dama - Emkay Global

Okay, that is very small. And you have guided for a credit growth of about 13 -15% for FY27.

Mr. C.S. Setty – Chairman, State Bank of India

Yes.

Mr. Anand Dama - Emkay Global

That is on a lower side versus what we had in this year.

Mr. C.S. Setty – Chairman, State Bank of India

Yes.

Mr. Anand Dama - Emkay Global

So, 13 -15% chances probability of that we hitting the higher end of the guidance still is going to be strong?

Mr. C.S. Setty – Chairman, State Bank of India

I think as it stands, it looks good. Except that how this West Asia conf

lict, how much it
lingers and if we do not factor in that at this moment, I think 13 -15% seems to be a feasible option. See, at the same time, as I keep mentioning, the credit growth i s a function of macros. We don't want to grow significantly higher than what macros can support. So, if we have 6.5 -6.9% GDP growth with 4% inflation and nominal GDP of around 10.5 -11%, we built around 3% over that, 3 -4% max. If any of these numbers don't realize, then we do not want to grow as much.

Mr. Anand Dama - Emkay Global

Sir, what is the broader outlook on the MSME space because that is the one which has been impacted the most because of the West Asia conflict? Any stress pool that we have identified, do we know that basically we are going to do lot of ECLGS but that again will be construed as that we are supporting that customer. So, any stress pool that we have identified, any incremental provisions they are going to make and that is why you are guiding fo r a 50 basis point credit cost in FY27?

Mr. C.S. Setty – Chairman, State Bank of India

No, 50 basis point credit cost is something what we have been guiding for the last three years. We continue to do that. It is nothing to do with the West Asian conflict but even if some movement is there, we still are sticking to that guidance. Broad -based stress is not visible yet. There are clusters which are impacted definitely. For example, Morbi cluster which is being talked about because gas is not being affordable by them, so they are not producing. Small and Medium enterprises, they are affected. We are working with them, what kind of support they need. In fact, last month we have asked them to take annual maintenance. That period is also over now. They have to come back to production, but they have not come yet. But overall credit exposure to the whole cluster is very minimal. They definitely need some support going forward. We will have to see what support we can give. Other than that, hydrocarbons, obviously the oil companies are impacted but they are all very strong balance sheets. I think there a re no credit related issues with them. They may have their own P&L issues, but it will not translate to a credit issue.

Mr. Rama Mohan Rao Amara , Managing Director (Retail Business & Operations) , State Bank of India
I would like to just add a couple of points just around, the way we have been mitigating the risk in the MSME portfolio. We have launched BRE, I think we announced in several quarters back as well. This is giving good results. In fact, when we look at the delinquencies in the BRE versus non -BRE portfolio, in the BRE portfolio the delinquencies are lower. That means underwriting models are much more robust.

Second data point is in terms of CGTMSE eligible loans, like which can be covered under CGTMSE. In the absence of that, partly it used to be collateralized. We have shifted to predominantly CGTMSE. So, coverage is almost 58% of the universe which is eligible for CGTMSE. Obviously our mitigation is much higher and recourse to the CGTMSE is much higher. I think these are helping us to get a better handle on the quality of the portfolio.

Mr. Param Subramanian – Investec

Hi, sir. Param here from Investec. Sir, question on your term deposit repricing. Term deposit repricing lower. Is it largely done or is there any ?

Mr. C.S. Setty – Chairman, State Bank of India

Some residual tail end, that's all, but mostly done.

Mr. Param Subramanian – Investec

Okay. Sir, secondly on your salary cost in this quarter, generally Q3 to Q4 we see an uptick, there is the PLI related payout, but this time it's not there. Is there som e?

Mr. C.S. Setty – Chairman, State Bank of India

Yes, there is, I think, classification change because the PLI which is to be given on the basis of the gov

ernment PLI, it is still being debated. So, we have not booked in the staff expenses what you see in your presentation. It is in other provisions. So, if you add, I think it's broadly in the similar way.

Mr. Param Subramanian – Investec

So, it's accounted for.

Mr. C.S. Setty – Chairman, State Bank of India

Accounted for.

Mr. Param Subramanian – Investec

Okay. And, sir, lastly, you will be saving on DICGC premium next year, right?

Mr. C.S. Setty – Chairman, State Bank of India

Don't ask me the number. I will lose my job.

Mr. Param Subramanian - Investec

What you paid this year, we can calculate the rest.

Mr. C.S. Setty – Chairman, State Bank of India

Sorry, as per the regulation, we are not supposed to disclose that. We will get benefited definitely, but this is not a disclosable item.

Mr. Param Subramanian - Investec

Okay, fair enough. Thank you so much, sir.

Mr. Sushil Choksey – Indus Equity Advisors
Sir, congratulations to team SBI for multiple milestones.

Mr. C.S. Setty – Chairman, State Bank of India

Thank you.

Mr. Sushil Choksey – Indus Equity Advisors
Global transformation is a necessity for India led by war. Maybe business mixes are changing. I personally sense there is going to be a big Capex boom in India led by energy. So, we need renewable, we need nuclear, Data centre needs lot of energy. The Middle East attacks on Amazon may divert lot of data centres to India. The transmission line expansion needs big growth. Any kind of indication or lead time which you are already sensing because these ticket sizes will not touch base with a bank which is not of a size. And they will have to participate along with S BI to disburse the money. And SBICAPS will have a big role because I see lot of reports g enerated by them to be it hydrogen renewable in multiple sectors.

Mr. C.S. Setty – Chairman, State Bank of India

So, I will answer that and I will also ask Ashwini to respond on that. Transmission, yes, I think is going to be one of the most important infrastructures which is going to be developed. Some of the projects are fairly large as you mentioned. We have been having discussion with them. What kind of structures they will come out is not very clear yet. Whether there will be an SPV or it will be done by their own companies. But there is a good opportunity coming up there.

And apart from transmission, we also see lot of emerging sector. I think last time also I mentioned we have started an initiative called CHAKRA. This is to support all sunrise sectors, whether it is green hydrogen or whether it is data centres , whether it is new renewable energy models which are emerging. Or even small modular reactors which government has been talking about , semiconductors. These are all the activities and sectors probably which have greater potential for investment. But they need a separa te kind of structure. It is not a pure vanilla loan which they require. They may require a mezzanine funding , they may require equity funding. So, we want to handle that kind of composite structures through our CHAKRA. As far as transmission, Ashwini, do you want to add something?

Mr. Ashwini Kumar Tewari , Managing Director (Corporate Banking and Subsidiaries) , State Bank of India
Two or three things. Transmission of course, what sir has said there is a lot of potential. But I would also point out to battery energy storage systems. We have got a large number of proposals which we are processing. We also have the data centre is another activity where we have got a large number of cases we are looking at. Some we have already done. And then there are others like pump storage hydro, which is something, these are starting to come to us. Only one or two are live currently. But now a large

number of people are coming because the latest tende rs, for round -the-clock pow

er. It
is not the plain vanilla solar or hydro, etc. So, with that combination, either BESS or pump storage hydro, combination along with solar wind is the new flavour. So, we are seeing a lot of activity and transmission clearly is one thing which is the need of the hour because without adequate transmission, the curtailment in solar is quite high. So, I think we are supporting all of that as it goes forward. And lastly, smart metering. We have done quite a bit already but still there are a lot of opportunities there.

Mr. Sushil Choksey – Indus Equity Advisors
Sir, when you highlighted a data centre , are we funding GPUs or we will only do infrastructure?

Mr. C.S. Setty – Chairman, State Bank of India

Both.

Mr. Ashwini Kumar Tewari , Managing Director (Corporate Banking and Subsidiaries) , State Bank of India
Yes, both. So, we look at the….

Mr. C.S. Setty – Chairman, State Bank of India

It comes as a package.

Mr. Ashwini Kumar Tewari , Managing Director (Corporate Banking and Subsidiaries) , State Bank of India
We look at the clients which are there. The way it is being presented here is more like a developer story because the developer creates the shell and ultimately the fit -out is done by the ultimate user. And we are focusing largely on the hyperscaler model because that's where the demand is assured and the client quality is assured. So, we've got quite a few of them and Mumbai especially has a lot of data canters coming up. We see a lot of potential in this area.

Mr. Sushil Choksey – Indus Equity Advisors
Sir, this means that hyperscaler means your LRD business, ticket size, maybe 15 -20 years kind of tickets and competitive. How is that visibility, sir?

Mr. C.S. Setty – Chairman, State Bank of India

So as far as the greenfield project is concerned, our ability to price is better.

Mr. Sushil Choksey – Indus Equity Advisors
Sir, my last question. SBI has YONO 2.0, multiple retail salary accounts. With touchpoints to customer concern on wallet share, how many products are we currently doing and what will we target?

Mr. C.S. Setty – Chairman, State Bank of India

Do you have any PPC number? But the last number I know is about 2.5 to 3. Around 3 products.

Mr. Rana Ashutosh Kumar Singh , Managing Director (International Banking, Global Markets & Technology) , State Bank of India:

Financial products.

Mr. C.S. Setty – Chairman, State Bank of India

Financial products. So, 3 is okay, but our idea is to take it to 5. And there are customers who tell me that they take about 8 to 10 different products from SBI. So that means there is a potential to go to 8 to 10. But we would be okay if we reach a PPC of 5. And the auto loans, what you asked, essentially is a hook product. You can't make money on the auto loan itself. The dealer commissions and other things. But it brings many other product engagements.

Mr. Sushil Choksey – Indus Equity Advisors
But to reach 5, I suppose we need a lot of transformation where human resources are concerned specifically on retail. Where branches are concerned, connectivity. So, everything can't be digital. So how are we building up that capability?

Mr. C.S. Setty – Chairman, State Bank of India

Yes. So, this is something we mentioned that how do we use our manpower at the branches when a large number of transactions have moved to alternate channels. We are redeploying some of the workforce into sales , and train our workforce in the branches for upselling. So, this is something what is happening overall. And that is how you see that for a large bank, diversified customer base, we have an average of 3 is a good number.

Mr. Sushil Choksey – Indus Equity Advisors
So, this mutual fund and insurance business, are we tracking at each district level?

Mr. C.S. Setty – Chai

rman, State Bank of India

At branch level also.

Mr. Rana Ashutosh Kumar Singh , Managing Director (International Banking, Global Markets & Technology) , State Bank of India:

YONO also have a deep integration with subsidiary production.

Mr. Ashwini Kumar Tewari - Managing Director, Corporate Banking & Subsidiaries, State Bank of India

Insurance and all, we always face this charge of mis -selling and although we are the lowest. So, I think all of that is being attempted in the right suitability manner.

Mr. Sushil Choksey – Indus Equity Advisors
Good luck for the year and thank you for answering all the questions.

Mr. C.S. Setty – Chairman, State Bank of India

Thank you, thank you, Choksey .

Mr. M B Mahesh – Kotak Equities

Sir, this is Mahesh from Kotak. So, one question around the margins again. What is so different about this quarter in terms of the margins changing direction so sharply? Whereas if you look at the last two rate cuts which happened in March and June, the impac t on the P&L was not that high. Whereas this time around you seem to be attributing the entire decline to that one particular variable.

Mr. C.S. Setty – Chairman, State Bank of India

No, I am not attributing only for that. I said that the way the composition moved; it is not only EBLR.

Mr. M B Mahesh – Kotak Equities

But the mix was not that high, right?

Mr. C.S. Setty – Chairman, State Bank of India

Sorry?

Mr. M B Mahesh – Kotak Equities

If you look at the.

Mr. C.S. Setty – Chairman, State Bank of India

No. The overall EBLR and T -bill link pricing has to be looked at. This is what I said, the corporate book has moved to a floating rate. Whatever growth has happened in the last quarter also predominantly came from the T -bill, which gives us confidence that we can do the asset mix change going forward and we are trying to move every T -bill link loan to an MCLR based loan.

Mr. M B Mahesh – Kotak Equities

Just to clarify that one point, the T -bill increase last quarter in terms of the price at which it was versus where it is today, that would have had a positive impact?

Mr. C.S. Setty – Chairman, State Bank of India

No. T -bill portfolio has increased.

Mr. M B Mahesh – Kotak Equities

But that portfolio would have had a natural upward repricing during the quarter or in the last months?

Mr. C.S. Setty – Chairman, State Bank of India

No, you have to compare with MCLR versus T -bill, not the T -bill versus T -bill. The one which is MCLR linked earlier has moved to T -bill and bring down the yield.

Mr. Ashwini Kumar Tewari , Managing Director (Corporate Banking and Subsidiaries) , State Bank of India
T-bill there is an uptick.

Mr. C.S. Setty – Chairman, State Bank of India

Overall T -bill portfolio has had a good yield pickup. But if something is moving from MCLR to T -bill, then there is a dip in the earnings.

Mr. M B Mahesh – Kotak Equities

But this was a choice you took in advance despite going ?

Mr. C.S. Setty – Chairman, State Bank of India

It is not only a choice. I think it is a choice. See, it is also the composition of the users of the facilities. If you have seen, since you have asked that question, a little deep dive probably is required. Lot of large well rated corporates were accessing the market has moved to banks. And most of their facilities were linked to T -bill. They were not utilizing it all. They were not using at all. They were accessing the market, CP and all. That has moved to the bank. And this is the relationship value we h ave. While you all are looking at the NII part, we are looking at the overall value of the relationship with the corporate, which is not evident in the NIM.

Mr. M B Mahesh – Kotak Equities

True.

Mr. C.S. Setty – Chairman, St

ate Bank of India

It is evident in our ROA. Where do I get the ROA? Where do I get the fee -based income what you are seeing, and the other income? It is because of the relationship with the corporate. When they come back to us, I cannot say that I will not give a committed T-bill rate. Even if it means that there will be some softening of deals on that. This is what I was trying to explain. It is not purely on the 25 b ps EBLR, which anyway we have announced. What we have not factored in for a significant movement from the ma rket to a bank.

Mr. M B Mahesh – Kotak Equities

So, if I were to simply draw the difference in the corporate sector and assume a large part of it was T -bill, I should be able to understand which portfolio took the T -bill portfolio?

Mr. C.S. Setty – Chairman, State Bank of India

Meaning?

Mr. M B Mahesh – Kotak Equities

If I were to just kind of, we are just trying to understand as to how long this impact will be?

Mr. C.S. Setty – Chairman, State Bank of India

These are all short -term impacts only. Predominant book has been in the short term. There could be some medium -term loans also which are T -bill priced. But in the current financial year itself, we would be able to move as large chunk into MCLR based.

Mr. M B Mahesh – Kotak Equities

Perfect.

Mr. C.S. Setty – Chairman, State Bank of India

There are two ways of handling this on the corporate side, particularly where we have very strong relationship, it is not only purely a small working capital being drawn by them. Either you increase the spread over T -bill and say that, you know, this is wh at the spread I am looking for. If they are getting a better price, they move on or move them to MCLR. So, these are the two strategies which we will be following this year.

Mr. M B Mahesh – Kotak Equities

Perfect. And one last question. When we do the calculated yield on advances, the decline has been fairly sharp. Now one of the reasons could be that the book was grown towards the end of the quarter.

Mr. C.S. Setty – Chairman, State Bank of India

Yes.

Mr. M B Mahesh – Kotak Equities

If I were to just move into 1Q and 2Q, I know that you don't want to give quarterly guidance. We're just trying to understand does it dip first and then starts moving higher? Or do you have a visibility of how this traction will look like?

Mr. C.S. Setty – Chairman, State Bank of India

I don't want I don't want to hazard a guess.

Mr. M B Mahesh – Kotak Equities

I understand.

Mr. C.S. Setty – Chairman, State Bank of India

I'm still sticking to my 3% annual NIM. But if you really ask me, I don't think there will be any further dip.

Mr. M B Mahesh – Kotak Equities

Okay.

Mr. C.S. Setty – Chairman, State Bank of India

If it satisfies you.

Mr. M B Mahesh – Kotak Equities

We wanted that answer, sir. Thank you.

Mr. Nitin Agarwal – Motilal Oswal
Hi, sir.

Mr. C.S. Setty – Chairman, State Bank of India

I think we have to go.

Mr. Nitin Agarwal – Motilal Oswal
Hi, sir, this is Nitin Agarwal from Motilal. So, one question again around the corporate loan growth. If I look like last two quarters, we have reported almost 15% growth in the corporate loan book. While you talked about that, you are looking at things in totali ty in respect to ROA and ROE. But does this growth momentum will, do you think this will continue in the next coming quarters because it will continue to have a bearing on the margins also, wherein we are expecting things to move up from here.

Mr. C.S. Setty – Chairman, State Bank of India

So, the part moment also, as I mentioned, from market to bank, if the market improves, probably the reversal will happen. So, that's the reason our corporate guidance is 12 to 13% is what we are looking at. And our 1

3 to 15% will be primarily driven by the RAM.
RAM growth.

Mr. Pawan Kumar - General Manager (Performance, Planning and Review), State Bank of India

Yes. Due to paucity of time, we will no w take up a few questions.

Mr. C.S. Setty – Chairman, State Bank of India

No. You want to ask something.

Mr. Nitin Agarwal – Motilal Oswal
Just one clarification on the ROA. When we talked about 1% plus RO A that we look to maintain.

Mr. C.S. Setty – Chairman, State Bank of India

Yes.

Mr. Nitin Agarwal – Motilal Oswal
As we now start providing for ECL, you talked about a 3, 4 year transition journey. Will that guidance stay unchanged over those 3, 4 years or you see some impact?

Mr. C.S. Setty – Chairman, State Bank of India

We are still saying that 1% through the cycles.

Mr. Nitin Agarwal – Motilal Oswal
Thank you so much, sir.

Mr. Pawan Kumar - General Manager (Performance, Planning and Review), State Bank of India

We have a few questions coming in through the online webcast now. This will be addressed by the Chairman, sir now.

Mr. C.S. Setty – Chairman, State Bank of India

I think there's one question why Q3 profit is more than Q4. - I think it is other way around why the Q4 is having less profit than Q3, mainly because of the MTM loss of 4520 crores in Q4 as against loss of 143 crores only in Q3. This is question from Venkateshwar Rao.

And question from Tamarish Sinha from of Business. What is the guidance on Net Interest Margin and NI I for FY 27? - NII guidance we do not give. But NIM, as I said, our guidance for domestic NIM is to remain above 3%.

And Vikas Bertiya . Why was Q4 NIM so much lower? - I think we have had enough discussion on this. If any further clarifications are required, we can have separately.

Sunil Melwani . What are the steps Bank is planning to take increase market share in CASA? -This is what I mentioned in terms of focusing on the district level improvement and the market share, as well as a very strong campaign which we launched. I have seen good impact of that campaign is, 'ABCD - All branches to contribute to deposits.' I think this is also helping us in terms of mobilizing. And as I mentioned, savings Bank,

we have witnessed a good growth of almost double digit, 10% growth on a very large base of savings bank.

Mridul from Senora Asset Management. What was MTM loss provided for Treasury losses? Was the same passed by NI I? - There is an MTM loss of 4520 crores in Q4 as against 143 crores in Q3. The MTM is routed through other income, noninterest income.

Rohan Mandora from Equirus. Your cumulative domestic yield in advances for 12 months is down 11 basis point. So, what is the domestic yield for Q4 and what explains the sharp decline? - I think again this also we have explained at length, what led to this yield on decline in yield. But essentially, as I mentioned, repo rate cut of 25 basis point and also shift in corporate bank corporate credit composition.

Siddharth Rajpurohit . Our EBLR share is only 35%, so there should have been only some seven -base point. - I think we need to add both the EBLR book as well as the T -bill linked advances. So that is about 50, currently we have E -bill and T -bill about 49%.

Whether the bank has made any amount of provision based on ECL? - No not yet.

Siddharth again, share of triple A in in corporate mix has risen by 400 basis point. Does it have an impact on yield? Guidance on the share of triple A going forward? - As I mentioned, some of the best well rated companies have moved from the market to bank. While it had dramatically altered the composition of double A and triple A, it had impact on the yields, as I mentioned earlier.

Jeet from Ambit. Please clarify off balance sheet exposure like financial guarantee not required provisi oning. Can we now assume that Non -funded credit exposure disclosed in Basel 3 will require provisioning in initial norms? - Provisioning a Non -Fund credit exposure shall be completed as per RBI guidelines, effective from 1/04/27. I think they also attract provision.

So, I think broadly we have answered the questions. We can go ahead now for closure.

Mr. Pawan Kumar - General Manager (Performance, Planning and Review), State Bank of India

I trust all the questions have been addressed. We will be happy to respond to other questions in offline mode. Let me end the evening with thanking Chairman Sir, MD sirs, DMD sir, top management team, senior officials of the circle and various offices connected through webcast, analysts, investors, ladies and gentlemen. We thank you all for taking time out of your schedule and joining us for this event to round off this evening we request you all present here to join us for high tea, which is arranged just outside this hall. Thank you. Thank you so much, sir.

END OF TRANSCRIPT